ABB India Ltd. (ABB)

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ABB India Limited
Registered and Corporate Office
Disha - 3rd Floor, Plot No. 5 & 6, 2nd Stage
Peenya Industrial Area IV
Peenya, Bengaluru – 560 058
Karnataka , India CIN: L32202KA1949PLC032923
GST: 29AAACA3834B1Z4

Phone: +91 80 2294 9150 – 54
Fax: +91 80 2294 9148
Investor.helpdesk@in.abb.com

www.abb.com/in REF: INABB:STATUT:LODR:ANALST_TRNSPT: May 11 , 202 3

BSE Limited
P.J. Towers
Dalal Street
Mumbai 400 001
(Attn : DCS CRD)

Nation al Stock Exchange of India Ltd
Exchange Plaza, 5th Floor
Plot No. C/1, G Block
Bandra -Kurla Complex, Bandra (E).
Mumbai 400 051

Attn: Listing Dept.
Dear Sirs
Sub: Transcript of Analyst concall

In continuation of our letter s dated April 28 , 202 3, and May 5 , 202 3 we are enclos ing a copy of the transcript of conference call with analysts, which took place on May 5 , 202 3 post announcement of Q 1 results FY 202 3 of the Company.

The said transcript is also uploaded on the Company’s website.

Thanking you

Yours fait hfully
For ABB India Limited

Trivikram Guda
Company Secretary and Compliance Officer
ACS 17685

Encl: as above

“ABB India Limited Q1 CY20 23 Earnings Conference Call”

May 5, 202 3

MANAGEMENT : MR. SANJEEV SHARMA – COUNTRY MANAGING DIRECTOR
MR. T. K. SRIDHAR – CHIEF FINANCIAL OFFICER
MR. SANJEEV ARORA – MOTION
MR. KIRAN DUTT – ELECTRIFICATION
MR. SUBRATA KARMAKAR – ROBOTICS

Moderator: Ladies and gentlemen, good day and welcome to ABB India Limited Q1 CY2023 Earnings Conference Call .
As a reminder, all participants ' lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch - tone phone. Please note that this conference is being recorded and any unauthorized recording of this call is strictly prohibited. The recording will be made available on the company 's and SEBI 's website subsequently.
I now hand the conference over to Mr. T. K . Sridhar – Chief Financial Officer of ABB India Limited. Thank you and over to you, sir.
T. K. Sridhar: A very good morning to all of you. Welcome to the Q1 CY2023 results analysts call. Along with me, I have Mr. Sanjeev Sharma – Country Managing Director , and then I have Mr. Sanjeev Arora representing Motion business and Kiran from electrification. Unfortunately, we don 't have anyone from process automation because they are busy with their customers. And Subrata Karmakar who heads the robotics will join u s after some time. With this, I hand over to Sanjeev to take us through the Q1 performance.
Sanjeev Sharma: Good morning to all of you. Thanks for joining in this call for our First Quarter or in the Indian terms the Last Quarter . Let's call it as January -March quarter.
Business highlights:
Just to give you certain pointers towards what we saw in the last quarter. In results, we had a strong start of the year. Our orders are up 36%, revenues are up 22%. This is something which we acknowledge as the highest ever order growth in quarter 1 in the last 5 years. Our improvement on EBITDA margin is to 11.4% which is up 290 basis points year -on-year basis. PBT before exception is up 66% year on year and PAT is up 65% on like -to-like basis. We continue to maintain a nd expand our cash position which stands close to Rs. 4,000 crores. We had the AGM yesterday wherein all the shareholders who were present and also who joined online, they appreciated the first integrated report for 2022 published by us. It really has brought a lot of new elements which makes it very easy to read for our shareholders. Apart from financials, there are a lot of other qualitative aspects which have been added, and we believe this is a journey which will continue and every year when you hav e our integrated report, you will see the elements become even better. We will highly encourage - if you have not done that already - please look at this first integrated report published by us and we will be very happy to get your feedback as well in terms of what you like and also what we can improve on it.
On sustainability course, our green power utilization is 100% and it has progressed well for us as part of our RE -100 goals . CO_2 emissions were down across locations and just to give you as a datapoint, in 2022, our GHG emissions were down 82% and that 's the journey we continue to do. We have a very structured program and every month and every quarter and every year, we

continue to make good progress in that direction. And we of course continue to have go od discipline on waste and water management.
Now, in terms of market momentum how we see it?
We continue to see strong growth across most business areas in short -cycle business and that

shows the width of business across Tier-1, Tier-2, Tier-3, and even Tier-4 cities. I think that 's something which is really the game and that 's where it contributes to the short -cycle business because there is an overall growth in different market segments. Our services for our installed base were up 37% on the orders and re venues were up by 33%. That shows that customers are investing in improving reliability,

availability, maintainability, and serviceability of their assets.

And on the continued momentum, we see this in the automotive and electronics side because these are the sectors which are expanding. Automotive on their own , plus the EV segment in automotive is contributing to even faster growth. And also the value chain; whether it 's in the batteries or many others, we see a lot of absorption of ABB technology there. A nd electronics as one segment, I think, is going to expand in an exponential basis as we go forward and a lot of our products and technology find their way there.

On the process side, power handling, motors, and drive packages for metal, cement, oil & gas majors, I think that has been quite robust and that shows that the demand and the distribution of all these output, be it metal, cement, oil & gas, or the city gas distribution for the citizens of the different cities , that expansion contributes directly to our order as well as revenue pipeline.

On the transport side, it 's I think known to all of us. Railways and metro, they are spending a lot, expanding a lot, modernizing a lot, and our technology sits right at the heart of it. That is where agai n we get benefit.

With this, the order backlog has grown 37% to INR 7,170 crores, which gives us good revenue visibility and also, we have a good gross margin visibility there, and if we execut e it right, we see future as a positive development on the reve nue side as well as profitability side.

Just to give you a few examples in terms of which are the areas we touch with our technology. For example, our system drives for the metals application, gas applications. Robotics earlier used to be only in the autom otive sector but now it really has gone deep and wide in the manufacturing sector , be it electronics; it is spun dyed, specialty fiber, paint conglomerate, or even the FMCGs, they are using our technology. We have the metal majors who are buying a lot of p ower equipment from us, traction technology for Bhopal and Indore metros and Indian Railways, and of course, the data center which was a new segment which we nurtured a few years ago, it really is paying good dividends to us in terms of all large hyperscal e datacenters. Our position there is pretty strong, and we continue to support our customers to expand the datacenter in the digital economy today. Robotic solution for EV cars, I think that 's a good expanding area. I mentioned gas distribution solution fo r 7 northeast states and of course the other core technologies like SCADA automation which provides more reliability for jetty pipeline.

So, if you really look into our exposure to multiple market segments, we have 18 business lines and they are exposed to about 22 -23 market segments which are relevant for us. We track them and the segments which are growing the fastest are in the focus category. The ones which we started a few years and now they are creating a good base of business for us is in the enhance d category and traditionally we have been very strong in these so-called sustained market segments wherein our product offering and our installed base is pretty strong. So, we continue to keep focused on them. A mix of high -growth segments and also the segments which are traditionally strong for us gives us a good mix of growth on the orders and revenue and also gives more diversi ty as different cycles of different market segments will play out in the future.

When it comes to the theme of the quarter which is electronics, if you look into the deep dive, Indian electronic market is expected to grow at a CAGR of 30% to reach $300 bil lion by FY26. This is one area wherein we are quite positive in terms of supporting all the new capacities which are coming in, which could be very high-end cellphones to industrial electronics, consumer electronics, electronic components, auto -elect

ronics , and government 's focus to really create

more independence from the global resources and have these capacities built inside the country. I think this theme seems to be having a good upturn for years to come and we are happy to participate. The other bene fit we will get is when such capacities and the sub -assembly capacities get developed, we will also have a lot of supply chain base that will get created in the country, which will also help us reduce our imports because some of the electronics are not man ufactured in the country, like power electronics and many other aspects of it. If that gets localized, that also helps us to increase our localization which we wish to do in certain product categories we have.

On the ESG side :

As I mentioned before, at ene rgy level, our wind power utilization is 100% compared to 2021 baseline. Waste recyclability stands at 97% compared to '21 baseline. And also, water recyclability we have reached 50%. We continue to focus in these areas and every quarter when

you hear from us, you will see these numbers ticking in the right direction.
Our CSR focus continues to be in the high -impact areas which is in education, diversity and inclusion, communities and environment. Here we do have a very impactful, very well -driven program, be it in education wherein we are covering 98 government schools around our plant or educating youth on the IT skills. We help 200 women who are pursuing stem courses. They come from a relatively underprivileged background. So, we are giving them the activ e kind of scholarship, but at the same time, we are giving them quite a bit of support in their internship and mentoring so that when they come out of their colleges, they are really ready for the market.
Same way, in the communities and environment, we ar e helping a lot of public infrastructure upgrade s where we think it is easier for the women to come to the industrial areas. There are proper pathways, there are proper roads, and there are proper connectivity between the public transport and the plants th ey have to walk to . These are properly lighted so that everybody feels confident coming to the industrial plants , because that 's one thing necessary in order to increase

the diversity, more women need to come not only to offices but also to the manufacturing plants and we need to create it. And we also treat this as a sample base for other industries to follow around their plants to improve the infrastructure con tinuously.
With this, I now hand it over to T. K. Sridhar – our CFO - to talk about financial highlights.
T. K. Sridhar: Let's go first to the executive summary.
I think the numbers speak for themselves. I could say that we did definitely have a fantastic quarter. So, let 's look at how did we perform first versus the last Q1 and also then sequentially how did we perform. I think in the Q1, the orders grew by 36 %. We had revenues growing up by 22 % backlog at an all -time high of 37 % growth and profit before tax was 66 % higher and also the profit after tax on a like -to-like basis is 65. Overall, it was another positive quarter and it was growth across all business li nes like what it was in the previous year as well. And now we see a solid backlog to secure our future revenues. We also definitely see an opportunity pipeline which is robust. And just to compare with how we performed sequentially with Q 4 '22, I think we maintained the momentum by and large ; definitely in orders and also better in revenues as well but not in the profitability. The reason is in Q4 '22, we had a favorable forex impact which really helped us. But also we did take up a provision of Rs. 23 crores in this particular quarter for traction motor issue which we had. It's definitely a more practical step to make these type of provisions to make sure that we have connections with the customers and the contra

ct obli gations
properly met. And we definitely ended with a strong cash balance of Rs. 3,942 crores as what you see. As we had said in the past, we have already earmarked certain cash of this for the expansions of our existing plants we have , including the modern ization of it . We are also actively looking for the M&A options what we had already mentioned in the previous calls.
Overall, I thought this was a strong start for the year. That 's how we see it. All the businesses are at this point of time looking forward to engag ing with the customers to have the growth momentum.
Just to dive a bit more deeper as to what actually made up for the changes we are seeing at this point of time in the businesses, I think the first thing is that our material costs are holding pr etty strongly at this point of time between a band of 63.5 % to 64 % or 64.5 % as what we see. This is good . We see commodity prices softening at this point of time, and we are able to hold on to the prices in the market . This is definitely an item to watc h out for going forward. We will make sure that we are there continuously monitoring this particular item.
Next is around other income. I think other income definitely has an impact because we have cash of Rs. 3,900 crores that earns interest. That 's something which is really interesting for us to have there to fuel our future growth opportunities as well. That income is to an extent supporting the bottom line as well. Personal expen ses compared to Q -on-Q which is the previous year same quarter and this quarter, we did have a slight increase and that 's majorly because we had divided the salaries of the people and also the incentives got announced in Q1 based on the performance what th ey had done for Q2. There is no other special event for that. That 's something which i s

standard. Exchange commodity and variation impact was high. We had a favorable impact in Q4 2022 but on a like -to-like basis, we did not have much of an impact other th an the Rs. 9 crores positive impact which we lost. Otherwise, the other topics are pretty much similar. We don't have any other issues. With respect to the other expenses, you really see that Rs. 402 crores versus Rs. 313 crores is something which would be interesting for you to know more as to why it is. I think I could tell you majority of it has been on account of volumes which we have grown.

That’s basically leading to that; be it freight, be it other expenses. Of course, we did have a bit more travel e xpenses to do. That ’s showing up as a positive impact in orders and the revenue execution, so that ’s good. Also, with the service revenues increasing, naturally some of these volume -related expenses will definitely is expected to slightly go up. But on a s equential quarter, we are more or less in the same line as what we were in December quarter.

Now, we give a bit of color of the business segment by segment. Starting with electrification, definitely it ’s very strong at this point of time; order growth of 4 4 %, revenue growth of 16 %, and order backlog of 37 %. This is something which is very nice to have. They have backlogs. And this is happening in all the divisions; be it smart buildings, distribution solutions, as well as smart power. It is across, well spread out, that means we could definitely see that it is increasing. Now, coming to profitability, I think it is the higher contribution from volume growth which definitely helped the businesses absorb the cost and deliver better profitability. Price real ization was definitely better in this quarter as well, and the capacity utilization in terms of automating the plants and making sure that they are more productive is actually one of the principles which has started to pay out. I think we have heard severa l times in the past when Sanjeev was mentioning how modernization does not just mean better

factories, it also means better production processes which could do precise manufacturing and high er quality which goes out of the factory. That ’s in the terms of g iving the benefits back to the organization and that ’s had an impact as you see.

I think a related question could be - is the margin in electrification sustainable? That could be one of the interesting questions to answer. I would like to say that we have a backlog which has consistent margin earning capacity but definitely it depends on the mix and which industries we cater during the next few quarters depending upon the backlog which we have and the book -to-bill situation. Because, if you look at electrification, they have definitely a high book -to-bill content. They definitely depend upon channel partners and distributor s to give them the majority of the businesses. At this point of time, I think on a blended basis -on a 4 quarterly basis - is what we would try to maintain. That ’s what we would like to say.

On the Motion side of it, this is, again, another business segment which is holding up pretty well and it ’s a very matured business where we see that the order growth was 37 %, revenue orders is 36% -in line with the order growth which is happening - and order backlog quite extensively with 19%. There are no slow -moving or ders. There are solid orders which are earmarked for execution in the coming quarters.

Next, coming to the PBIT story, they are definitely tracking well, and Q4 2022 was definitely a very strong quarter for them with a mix which helped them to get that par ticular good margin and the capacity which drove the volumes at that point of time. So, if you look at it, it ’s clear. I think Q2 and Q3 were something which were less in terms of the volumes but they did a strong recovery in Q4 2022 and that has probably compensated for the low recoveries in Q2 and Q3. Again Q1 ‘23, I think that ’s basically where they could have performed definitely better but we took charge of Rs. 23 crores which we have published in the SEBI as well, as a one -time warranty cost in tracti on motors which we supplied and that ’s more because of the supplier quality which we detected when we do it. I think as in the past , whenever we detect an issue which is going to have an implication with the customer – there is a route cause analysis which is done and measured in terms of what it would need to set right that particular position and we make that position upfront . We then make sure that we monitor and address that solution in a right manner and at some po int of time with the mitigation plans which will be there on those particular provisions what we have done, it ’s not necessary that the entire amount may be spent. But we need to allow time for this issue to be resolved because they are all on moving appli cations and trains. So, I think it will take some time. We would measure that over the next 3 to 4 quarters to come.

Process automation:

I think process automation had very good Q2, Q3, and Q4 quarters as you would see. These are all project orders. Projec t orders normally have a cycle in which they start to decide. Therefore, I think we do have a strong pipeline which we expect to mature into orders in the next quarters to come. Therefore, I think we are pretty much stable on the orders what we see at this point of time. And also a bit of time playout happens in project orders. The last quarter is definitely a weak quarter of the financial year of some of the companies. They would have exhausted their budgets and they definitely seek new budgets coming in t he next year , which starts from April month onwards. Let ’s see how the decision plays out in the coming quarters.

Revenues:

I think built on the backlogs they have in their pipeline, there is 23 % growth on revenues. That is a good part of it but I think mo st of it came from system reven

ues. That 's something which is
dependent on the project execution lifecycle. That 's how we see the mix a bit changed in this particular period and that is probably also the reason why we had a dip in the margins as what you s ee. But I think on a blended basis, 11 -12% or 10 -11% is something what we expect.

Robotics:

Again, this is also another business which we saw quite a strong uptick in orders and that 's more market driven in terms of adapting robotics technologies in the production processes of various market segments – 23 market segments – as what we track. The revenue growth was slightly lesser because it 's more dependent on the offtake and assembly o f the robots and supply. We want to make sure that this will also be executed in the coming quarters to look at it. And the

margins we had were definitely superior , supported by service and revenues from electronic segment as what we see.

Coming to the fact sheet of our revenue mix . I would say that we still remain with 13 % of services, 6 % in terms of projects, and 80 % coming from products. So, predominantly, our revenues are more predictable now with the backlog what we have. And yes, I think the export markets are slightly muted, not as a percentage but as a value . We have definitely grown in terms of quarter to quarter as a growth percentage but the local demand is definitely stronger than the export demand and that 's probably playing out in percentage s.

So, what 's going to be the focus area for '23? Of course, I think it 's penetration into the market aligning with the industry trend that's going to be the continued focus area as what we see.

Order backlog conversion:

We do have a strong order backlog at this point of time. So, a planned execution is the key and as per the expectation is to maintain the margin momentum as what we said. We want to make sure that we hold on to the PAT % of 10+ as what we see at this point of time for the next few quarters to come so that we have a credible performance on the go. Our expansion plans for factories will definitely be aligned with the purpose with which we are making those investments and sustainability is a part of our DNA as what we see.

With that, we could probably open up for Q&A.

Moderator: We will now begin the question & answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

We have our first question from the line of Renu Baid from IIFL Securities. Please go ahead.

Renu Baid: The first question is , broadly if we look at order flow trajectory , all segment s ex of PA has seen a very strong growth. Is it due to something apart from the broad optimism in the end market, some sli ppages of orders coming in from the previous quarter to this quarter which has helped to accelerate the momentum? Given the fact you mentioned that pipeline for the rest of the year is healthy, should we expect that high double digit - 20% to 30% - growth in order inflows could be seen for the year as a whole based on the pipeline that you have suggested?

T. K. Sridhar: First of all, I would focus on 2 things. One, which market segments we are in? We are in those 3 sectors – if you look back to the slides w here Sanjeev was mentioning about fast growth, moderate growth, and of course the other one where we are. Our major play happens in the moderate -growth sectors with cement, steel, and everything else, right? And we are definitely making it up with a lot of fast-growth segments we are focusing on. At the end of the day, we expect the growth and the orders on a 4 -quarter basis -which is a yearly running basis - of 12-15 % should be definitely a place to go. These 2 0% or 30 % what we see is something which depends on how the customer wants to make his order or decision pattern. That 's something which is a

mix of projects, which is a mix of also certain decisions what will happen with respect to funding. That's what we see, but definitely I think we are looking at a positive trajectory on that.

Sanjeev Sharma: From the overall construct of the market, I think just to add some granularity as to how we see the market and the development, all the businesses that we have , out of 18 businesses who are exposed to service and who are exposed to the product business, I think there the growth is quite robust and that really represents what 's happening in the country across because it is a secular growth, not coming from very large industr ies but it is coming across the cit ies, geographical distribution across the market segment, and also the category of the customers you have. Not necessarily all the end users, you also have machine builders who may be supplying domestically as well as exp orting and also a lot of participation in the infrastructure project; our channel partners, our integrators who are involved there. So, I would say on the products category side, it is quite strong. Then comes the next level wherein our product gets used i nto the subsystem. We call it as an ETO business, engineered to order. There again, it is the power distribution in the cities, renewables, and also in the new segment and the industries which are expanding or increasing the capacities on an incremental ba sis on the ground side. There again, we see it 's pretty strong.

Now, the third category, the systems business which is our projects business, that 's where what we do is we are careful in terms of which kind of projects we take, which kind of segments we are focused on. One is on the basis of where our value proposition is strong for the customer and wherein we add a lot of value for the customer , because once you add a lot of value for the customer, then it is possible to price that value. And when you pric e that value, it also shows into your gross margin as well as in your books. That has been our focus and projects business typically tends to be more cyclic than the ETO and the products business. On the products business, I think most of the categories we have, it is pretty strong. One or two categories are seeing the headwind. They were growing quite strongly for the last many quarters but one or two categories have some headwinds. But other than that, I think it is pretty robust market construct at this point of time in each area including robotics, electrification, and several categories of motion business.

Renu Baid: My last question here would be on profitability. Until 2 quarters back, we were confident of sustaining PBT margins of 10% plus. And now having seen margins improved sustainably across segments, we are indicating to maintain net margins of 10% plus. The ma rgin improvement trajectory outlook over the last 6 months, is it primarily driven by the mix and the gross margin on account of softening of commodity prices or more to do with the overall improvement in the price realizations across end products and solu tions and mix here? How should we look at it from a 2 - to 3-year perspective in terms of margin outlook?

Sanjeev Sharma: Margin gets affected by many variables and one of the variables is price realized from the market and whether you have the capacity and capability, in the inflationary environment, to pass the cost increase to the customer. I think we succeeded in both. And since our portfolio is positioned onto the high value -add as well as high quality, highly reliable products , I think there is a lot o f

recognition in the market post COVID to buy the products which have the high reliability quotient. And also, not only reliability in the product quality but also our ability to deliver them. Those 2 factors have allowed us to pass on inflationary cost to the market to a greater extent and also realiz

ation of the fair price , given the demand -supply situation we had in the marketplace to maintain the reliability of the product deliveries. That 's one aspect. The second aspect is that if you talk about the fu ture, the future can be described out of the backlog because backlog is what you convert. And that backlog the gross margin position as it is visible today, if it is run over good capacity utilization, naturally you realize a better profitability out of it unless some kind of a n event which is not foreseeable by us today comes in . Other than that, the trajectory remains smooth. If there is a robust order pipeline, robust visibility of the revenues, and the gross margins are to our satisfaction and we run th e capacities to the levels we want to do, I think the trajectory is quite smooth, Renu, at this point of time when we look at it from a near -future perspective.

Moderator: We have our next question from the line of Puneet Gulati from HSBC. Please go ahead.

Puneet Gulati: Just continuing on the same thread you talked about improved price realization, how should one think of it? Are you able to price your products better than what you used to in the pre -COVID environment or is this the mix which has changed?

Sanjeev Sharma: Two things have happened. One is the markets have matured , wherein the buyers have a much higher trust created among certain companies or certain brands who could support them during COVID period. I think that is something which is visible which makes us easy to realize the orders in the marketplace. That 's number one, if you talk about post -COVID period. Second part is the customer base which used to compare high -quality products with the cheap -quality products to compare prices, I think that behavior has come down in the marketplace. They really try to compare apple w ith apple. So, we don 't see those kind of negotiation tactics in the marketplace because the customers don 't want you to wait outside their room and negotiate. They actually are very professional. They connect with you online, they negotiate, and they have a reasonable expectation of price and if we meet those criteria, I think we get that benefit. At the same time, we have been reducing our cost because of our localization and expanded volumes and our connect with our suppliers. That also contributes to ou r ability to kind of serve the market at a reasonable price and at the same time we are able to build our backlog. These are the few factors that count. And then, of course, as I said, the customers are matured and they understand what 's happening on the i nflation side and also there was a stress on the supply and demand side. That also helps us realize the right price point in the marketplace. These are the few factors we observed, Pun eet.

Puneet Gulati: How is the supply pipeline panning out? Is there an ease in your supply chain or is there still a

stress? And will this advantage stay?
Sanjeev Sharma: On a comparative basis, it has eased out, but at the same time, we are very cautious. We are still maintaining high inventory levels so that we can deliver to the market what we promise. It hasn 't come down to a level wherein we can normalize our inventories to very low levels and just in

time a play can be made , because there are a certain category of components which require a little bit of more handling st ill because those pressures haven 't gone away yet.
Puneet Gulati: Secondly, in these orders which you announced, what should we consider as the base orders and what could be large orders in this?
T. K. Sridhar: All are base orders. Nothing is a large order .
Sanjeev Sharma: If you look into, as Sridhar explained, 80% of our business we can call it as fast -moving industrial goods. And then we have about 13% is coming for services which is basically you can say as a service as delivered and as d

emanded by the customer and then of course we have 7% to 8% which goes in the category of projects; and projects has a long gestation period. So, I would say much of the market now for us is very fast conversion of our raw materials into cash category. I think that 's how what we are seeing in our books.
Puneet Gulati: My last question is on the services part. While I think over the last 2 years you have been talking about services becoming a significant part, but from numbers ' perspective, it is still somewhere between 6% to 8%. How should one read that?
T. K. Sridhar : No, I think it 's not 6% to 8%. It is definitely higher.
Sanjeev Sharma: Our expectation is that the services are much higher in percentage than what you just mentioned but we will have to verify and come back to you based on what you are reading, Pun eet.
Puneet Gulati: My bad. It is 12% to 13%. That number sustains, right?
T. K. Sridhar : Yes. The 8 % what we are mentioning is for projects.
Sanjeev Sharma: Services are 12% to 13% but you can see , since the uptick of the products business and our ETO business is very strong, services in net value are expanding by 33%. That 's quite a good expansion. But on percentage basis, they will stay muted relative to the main business lines because the y are expanding faster.
Moderator: We have our next question from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.
Parikshit Kandpal: My first question is on this incremental demand or the large demand order inflows growth, can you help us understand this in more granularity on brownfield versus greenfield orders? Also, if you can help us understand how is the traction in Tier-2 and Tier-3 cities adding up to this growth?
Sanjeev Sharma: Let me bring even more granularity beyond me. So, let me involve the president of divisions for motion and electrification which are the largest businesses in us. Sanjeev Arora is seated here as

well as K iran Dutt. Sanjeev, what do you think? What 's your view on what you are seeing in the market? Which are the segments which are supporting us in our growth?
Sanjeev Arora: When you talk of the heavy industry, we see a greenfield as well as brownfield expans ion. And large players are anyway playing into it but when you talk of the second line of players and the third line of players in those respective segments, they are also expanding. So, the crux is that in heavy industry, we see both the large projects fr om the greenfields as well as from the brownfield s. Even when we talk of say the discrete part or the light industry, there also we see good amount of expansions. And when we talk of that, there is a well-supported mechanism from the government PLIs as well. So, you will see the new investment and also you will see the brownfield investments. Overall, I would say this is the situation, and we are confident that we will see much more of that in the coming times.
Sanjeev Sharma: Kiran, how do you see o n the electrification side?
Kiran Dutt: Added to what Sanjeev Arora has spoken about, since we are coming to Tier-2 and Tier-3, there is huge growth in terms of the buildings in Tier-2 and Tier-3 cities. That is something which is really supporting us in t erms of growth. In terms of electrification, what I see is -specifically in terms of infrastructure - I think whether it is power infrastructure , renewable, transports, I think there is a huge growth that we are looking at and that 's what is actually supporting us in terms of growth whether it is metro, whether it is Tier-2 or Tier-3. All said and done, it 's also very important to understand where exactly ABB is focused. ABB is also trying to focus in terms of Tier-2 and Tier-3 cities, more pe netration there, and that 's also giving us lot of results in terms of growth.
Parikshit Kandpal: Sir, the last question is on this entire n

ew energy theme. How do we intend to plug the products gap, if any there , which we need to address because this is a high-growth segment and we also said that we are looking for an acquisition given the strong cash balances which we have? How do you strategize and think about this high -growth segment and how to address the product gaps there?

Sanjeev Sharma: Parikshit, c an you mention again what segment you are talking about?

Parikshit Kandpal: The entire energy theme which is changing. With the EV side, entire green energy theme which is going to be a big change. I am talking about decarbonization basically; the product gaps there and how do you intend to plug those?

Sanjeev Sharma: If you really look into ABB portfolio and you look into our theme, energy efficiency is core of our theme in terms of what we deliver to our customers. In fact, part of our 2030 G HG reduction target is that we will sell more products. If the customers use more of our products, they will contribute to less G HG emissions. That play is directly right at the heart of our core portfolio in the motion and electrification and robotics as well as proce ss automation proposition. That 's something i n our core. But when we see the EV play and the other areas, in India the opportunity is very ripe for the simple reason anything that we produce in this country, we use 30% more

energy. That means now the sensi tivity of the large customers and medium size customers have come in that area. That 's why a lot of replacement market has come in wherein they are using IE3 motors. There is a demand for even higher efficiency motors because traditionally Indian market has been IE2 motors. New buildings which are coming up, new hotels which are coming up, they are demanding our building management system so that they can reduc e the energy footprint of their building. About 70% of the buildings which will exist in 2030, they are yet to be constructed, and building management system is one of the core element s which allows you to reduce 25% to 35% of your energy footprint. That a gain is another area wherein we see there is a good uptick.

Electric vehicles, all the new plants, whether in the scooters or if you look into the car manufacturing, very deep use of robotics and automation is in play. And also, there is a good demand for them to be able to use the highest productivity level and the lowest energy cost level and minimum usage of the paint. Those are the areas wherein the customers are discussing with us. So, our whole portfolio is into play there, and as the industry demands more – and they are demanding more – I think it is playing out in our order books and revenue books.

Moderator: We have our next question from the line of Deepak Krishnan from Macquarie . Please go ahead.

Deepak Krishnan: I just wanted to understand given that our cash balance is now Rs. 4,000 crores and we have indicated acquisitions. Where are we at that stage and how quickly or how soon can we see any action on the ground?

Sanjeev Sharma: We already have made our intention known to the market that we are going for organic and inorganic expansions. We have a pipeline for the inorganic targets globally which has local footprints and also we have a list for the potential local parts. But these things take time and we have to allow the current owners to come to a point that they are willing to deal with us and as and when we are ready with that, we will talk to you.

Deepak Krishnan: Maybe just a follow -up, essentially on the margin front. While we understand the benefits of a higher order backlog as well as th e capacity utilization, how do we overall see the competitiveness in terms of maintaining pricing? Do you see competitive intensity increasing or do you see supply chain still being sort of an issue in that case?

Sanjeev Sharma: As I said, what we have see n is,

apart from demand supply situation, we have seen the migration of a large swathe of customers from buying relatively cheap quality products moving into the high-quality product zone which is a sweet spot for us. I think that 's one good movement we have away from the demand and supply situation. That 's something which we are very encouraged because the customer is willing to pay a premium for a better quality, more energy efficient product, and something which they would like to make sure that their machines or their end-user plants are effectively working. That 's the one movement we see.

Going forward, competitive intensity is different in different product lines. We have 18 product lines and we are exposed to 23 market segments. Competitive in tensity keeps changing and

varying in different segments based on how the competitors play in and also how they expand their footprint and their capabilities on the ground. So, I would say that always it is never a 1 -year issue or 1 -quarter issue, that 's a lifelong issue one has to keep playing out. All we can do is whatever benefits we are getting today, this is something we have been preparing for the last 3 -4 years and that 's what gives us the competitiveness as well as the capability to serve this marke t in the current construct. And whatever we have done 2 years ago and now what we are doing, it will continue to pay us as we go forward.

Deepak Krishnan: Maybe just from an overall mix like you 've indicated Tier-3 and Tier-4 cities are gaining share, how much contribution is essentially coming from there and how easy is it for say an individual or say an SME to kind of choose an ABB product versus something that is already locally available there for a long time?

Sanjeev Sharma: Tier-2, Tier-3, Tier-4 citi es, this is where aspirational India sits at the moment, and the good thing about aspirational India is they really are having access to any product that they want , given the logistic and the distribution system which has been provided by the e -commerce players , and we also get the benefit of that bandwidth. So, we don 't see any let up by the Tier-2 or Tier-3 OEM manufacturers to choosing sub -quality product s because these products and these machines which may be being produced in the Tier-2 or Tier-3 citie s because the cost of labor and the availability of labor is better, but these machines are going to the end users which are the best in class. Or these are the end users which are operating and demanding very high for them. So, there is a consumption in Tier-2 and Tier-3 because the machinery builders and OEMs, they are supplying into the large cities. They could be supplying to Tier-2 or Tier-1 cities as well. But when it comes to the consumption in the real estate wherein our electrification products and our motion products also go, there again we find there is a much higher aspiration to have the high quality and better brand product use in the homes and the offices because the offices which are being built, they are also bein g built to the good standard and the architects and designers, they always make sure that the mix of the products that they use, they are more reliable and better -quality mix as they design the offices. I think this is a multi -faceted change. It 's not only the choice of the person sitting in Tier-2 and Tier-3. There are multiple forces play into it.

Moderator: We have our next question from the line of Jonas Bhutta from Birla Mutual Funds. Please go ahead.

Jonas Bhutta: One bookkeeping question that I had w as from our annual report . When we see this disclosure on foreign exchange used, that seems to have gone up materially in calendar year ‘22 basis the annual report that was just published a couple of days back. And it has gone back to levels where PowerGri d was part of our business. We would understand that there were a lot

of imports
coming in from the HVDC side. What would have triggered this kind of import? Because, I don’t see this commensurate increase in purchases from parent entity which is part of y our related -party disclosure. If you can just explain what led to this high level of imports which were not from the parent?

T. K. Sridhar : I think there was a similar query on the same topic but I think the expenditure in foreign currency for 2022 was Rs. 4,460 crores vis -a-vis Rs. 3,060 crores which happened in 2021. It basically has two broad categories of items. One is the value of imports what we do. It was Rs. 3,420 crores in 2022, and in 2021, it was Rs. 2,200 crores. So, we had Rs. 1,200 crores of i mports which happened. That 's basically triggered by the revenues which we have in the backlog for which we import material and that also came from alternate supply vendors which we have created, not much from the ABB Group. It is more from the third -party imports what we had so that I think this fiscal established that whenever we have an order backlog to execute and we know where the inventory is to be procured from , keeping the interests of delivery to the customers, we take the right decisions, and they are pretty much very well validated. The other thing is, basically on the other expenses like the group fee, the traveling for service revenues , as well as market pursuits and the export allocations what will happen as well as IES cost an increase of approximately 10 -11% over the base of 2021 of roughly Rs. 900 crores. Overall, this was basically the explanation, I think, Jonas, should help you understand why there is a change in the expenditure in foreign currency.

Jonas Bhutta: Just wanted to squeeze in one more. On the process automation bit, while we 've seen a sequential decline in order flows and you highlighted the pipeline is still strong, if you can elaborate on the key sectors that are showing strength in PA particularly. And what is the direct /indirect exposure to government projects in this segment? That 's my final question.

Sanjeev Sharma : In fact, we have 3 types of businesses in PA. One is PA Energy and then PA Process industry, and PA Measurement & Analytics. In the PA Energy, we have the exposure to the petrochemicals, pharmaceuticals, and they are mostly the private industries, but at the same time, areas that used to be in the government hand like city gas distribution; that 's another area which is expanding quite widely, so that 's anoth er segment. And of course, the SCADA system for ONGC and public sector units, business with Indian Oil, business with Oil India, those are kind of the categories that we have and also we have business with NTPC. That 's something what we see in the PAEN book. In PAPI, the process industry is purely a play in the mining, cement, aluminum, metals, and large process industries. And that largely is a play in private sector most

of the time, but there can be one PSU or the other which also buys our products an d services. As far as the Measurement & Analytics are concerned, it 's a pure products or the engineered to order play.
Moderator: We have our next question from the line of Mahesh Bendre from LIC Mutual Funds. Please go ahead.
Mahesh Bendre: Sir, in the presentation, we have mentioned that the theme for the quarter is electronics and the market is expected to grow 30% CAGR over the next 3 years. In that, our offering is basically switchge ars and automation switches and all that. Is it fair to assume that the electrical part of our business will grow along with market? If the growth in user industry is expected to grow 30%, our business segments will also grow at least in that rate?

Sanjeev Sharma: You have a good question and it 's a good correlation because typically, the businesses like moti

on and electrification, they are directly correlated to how the growth in the economy and the right segments which are growing, but I have Kiran here. Kiran, what would be your qualified view on it?
Kiran Dutt: I think this is a very very good question; in fact, very exciting question for me as well. Looking at the way electronics has been growing in India and manufacturing of cellphones specifically, I think it 's a very important segment for us on the way forward. It could be called as an emerging segment for us in terms of our approach. So, what do we see? As you said, yes, there could be a very good growth, but at the same time, a lot of things are on paper but it has to materialize over a period of time. So, we are looking forward very much in terms of the investments coming from various manufacturers who are ready to, of course, put in money, but there is a subsequent period which is required for gest ation of the project and that 's the way forward. We are waiting for it as eagerly as you are. Let 's hope for the best going forward. We are ready with all the products which are required for this particular segment and the offering is perfect for it and we hope to do the best in the quarters to come.
Moderator: We have our next question from the line of Aditya Mongia from Kotak Securities. Please go ahead.
Aditya Mongia: My question is pretty straightforward one. What is the capacity utilization across your 4 segments at this point of time? And if you kind of split it across your existing plants and the new capacities that you 've added, even better.
Sanjeev Sharma: Capacity utilization; we have 25 manufacturing plants. Of course, we are using capacities in different ways. Some plants we are still using single shift but on that rate, the utilization could be as high as 85% to 90%, but we still have room to increase more shifts. Certain plants are working with 2 shifts and we have a possibility to expand by usi ng the 3rd shift. That 's how the scenario is. It 's quite distributed. And also you should know that over a period of time, we have increased a lot of automation and robotics in our manufacturing and some of our plants and there again increasing the shifts and throughput of those plants is much much more flexible and easy for us.
Moderator: We have our next question from the line of Priyankar Biswas from Nomura. Please go ahead.
Priyankar Biswas: In your cha rt, you have highlighted as the high -growth area is the focus area. Can you give me some color like what percentage or something like that of your order backlog these focus areas are and if you can throw some further light like what is the market shares you have in these areas?
T. K. Sridhar : Priyankar, I would have loved to give you this particular answer, but actually it endangers my existence in the competitive scenario. Therefore, we don 't share this sensitive information. If you have any other questions , more than happy to answer that.

Priyankar Biswas: We have recently seen commodity prices softening quite a bit. Is there something that in the newer orders, you may have to pass-through some of it? Does it happen that way or should we be able to retain t he complete pricing hike that we have taken, let 's say over the past couple of quarters?
Sanjeev Sharma: Inflation and the supply demand situation, these are the things which take care of the pricing in the market. We are not the ones who would decide what price to be kept and that 's because there is a fair competition in the market and that 's something which describes what the price point customers are willing to pay.
Moderator: Ladies and gentlemen, due to time constraints, that would be our last question for today. I now hand the conference back to Mr. T. K. Sridhar for closing remarks. Thank you and over to you, sir.

T. K. Sridhar: Thank you very much and thank you for

joining this particular call and interesting questions which were posed to the managem ent who are all here and also it was a pleasure answering to those particular questions. Also, we should understand and also appreciate that we also learn in this perspective as to how the businesses are being reviewed by the various stakeholders of the organization . The reason why I say this - Day before yesterday, we had the board meeting for Q1 ‘23; then yesterday, we had the AGM where we had questions from shareholders and the other investors; and today, we have the analysts looking into the organization. Thank you for this active participation. Look forward for the next call after the next quarter. Thank you very much to the management team which could make it happen.

Moderator: Ladies and gentlemen, on behalf of ABB India Limited, that concl udes today ’s call. Thank you all for joining us and you may now disconnect your lines.

Call: Aug 2023

ABB India Limited
Registered and Corporate Office
Disha - 3rd Floor, Plot No. 5 & 6, 2nd Stage
Peenya Industrial Area IV
Peenya, Bengaluru – 560 058
Karnataka , India CIN: L32202KA1949PLC032923
GST: 29AAACA3834B1Z4

Phone: +91 80 2294 9150 – 54
Fax: +91 80 2294 9148
Investor.helpdesk@in.abb.com

www.abb.com/in REF: INABB:STATUT:LODR:ANALST_TRNSPT: August 16 , 202 3

BSE Limited
P.J. Towers
Dalal Street
Mumbai 400 001
(Attn : DCS CRD)

Nation al Stock Exchange of India Ltd
Exchange Plaza, 5th Floor
Plot No. C/1, G Block
Bandra -Kurla Complex, Bandra (E).
Mumbai 400 051

Attn: Listing Dept.
Dear Sirs
Sub: Transcript of Analyst concall

In continuation of our letter s dated August 7 , 202 3, and August 11 , 202 3 we are enclos ing a copy of the transcript of conference call with analysts, which took place on August 11 , 2023 post announcement of Q 2 results FY 202 3 of the Company.

The said transcript is also uploaded on the Company’s website.

Thanking you

Yours faithfully
For ABB India Limited

Trivikram Guda
Company Secretary and Compliance Officer
ACS 17685

Encl: as above

ABB India Limited
Q2 (April to June) CY 2023
Earnings Conference Call

August 11 , 202 3

MANAGEMENT : MR. SANJEEV SHARMA – COUNTRY MANAGING DIRECTOR
MR. T. K. SRIDHAR – CHIEF FINANCIAL OFFICER
MR. SANJEEV ARORA – PRESIDENT & LEAD BUSINESS
MANAGER (MOTION)
MR. KIRAN DUTT – PRESIDENT (ELECTRIFICATION)
MR. SUBRATA KARMAKAR – PRESIDENT & HEAD
(ROBOTICS & DISCRETE AUTOMATION)
MR. GANESH KOTHAWADE – SENIOR VICE PRESIDENT
(ELECTRIFICATION)

Moderator : Ladies and gentlemen, good day, and welcome to ABB India Limited Q2 April to June Quarter CY 2023 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded, and any unauthorized recordin g of this call is strictly prohibited. The recording will be made available on the company's and SEBI's website subsequently.

I now hand the conference over to Mr. T.K. Sridhar – Chief Financial Officer of ABB India Limited. Thank you, and over to you, sir .

T. K. Sridhar: Thank you. Thank you, Yashasri. A very warm welcome. Good evening to all of you for the Q2 analyst call, wherein we will take you through the performance of Q2 of ABB India Limited.

So, together with me is Mr. Sanjeev Sharma – Country Mana ging Director; Sanjeev Arora, who represents Motion; and Kiran Dutt and Ganesh Kothawade, who are from E L. And we don't have Balaji. Balaji is traveling from PA, but we have Subrata Karmakar from Robotics.

So, over to you, Sanjeev, so that we start off, an d then we can go to the financials.

Sanjeev Sharma : Thank you, Sridhar. Good evening, everyone. Thanks for joining this call so late on a Friday. So, we can understand that we should start this call on time and end on time so that all of you can go back to your well -deserved long weekend.

You know that ABB, as a company, has been around for more than 130 years. We continue to keep our leading position with our leading technologies in electrification and automation. And in India, we have been manufact uring for last 70 years -plus. And our presence here has been over 100 years. Our 4 verticals or business areas, electrification, motion, process automation, robotics and discrete automation, they operate in India with 5 manufacturing locations. At this point in time, we have 25 plants, 21 sales office and 750 -plus partners who bring us deep inside the different market segments as well as the geographical spread of our country.

Those of you who have been following ABB for a long period of time, you have seen that ABB has grown its depth in terms of the market segments we cover. So, if you see this chart on the right, which we call as SUSTAIN, these were the typical market segments ABB used to operate many years ago, which we, in other words, used to call our core segment s, cement, metals, mining, buildings and infrastructure, power distribution, oil and gas, marine and ports, rubbers and plastics. These were the typical market segment which used to give us bulk of our business. And they were very dependent on the capex cycle of large companies. But over a period of time, as India has grown and also new market segments and new market opportunities have come and also with our own concerted effort to expand ourselves into new market segments, we have gone into seg ments which are covered under ENHANCE. So, that is making a significant contribution

to our growth. And the focus segments which are the new generation market segment s where, again, our growth rate and penetration is increasing, and our products are findin g good favor with our customer s.

And the ones which you don't see on this chart, they are on anvil. There is a new, very large energy transition taking place in the country. So, we have identified a few opportunities wherein the customers are forming their capex as well as future investments. And you will see those

market segments will also get expanded. So, at the moment, we focus on 23 market segments, and this is our base for u s to drive the growth in our 18 business divisions.
So,

like every time, we talk about a particular market segment every quarter just to give you more granularity of a segment, how we see it. So, food and beverage is the theme for this quarter, a deep div e. What we have in this particular market segment, we see about $535 billion of the formation of the business in this year. And it has grown quite rapidly from FY '22 at $290 billion and is expected to be $535 billion in FY '25.
And you can see the market segmentation of it. And all these market segments, with the direct and indirect opportunities, play with our portfolio. Mostly indirect through machinery suppliers, OEMs, as well as our channel partners, they bring a lot of business, and also the large com panies, they buy equipment and technology directly from us in this segment. So, fastest -growing segments, you can see the packaged food, dairy, meat and marine. And also we see with the changing lifestyle and food habits, there's a strong domestic demand f or this particular segment. The expansion of capacities is taking place and more and more emphasis is being put by the government. 100% FDI for food processing, PLI schemes, all these are part of this market and our portfolio in drive motors, automation, i nstrumentation, robots, switch gears and digital powertrain goes into it.
Now coming to the business highlights. Our Quarter 2 of 2023 - where we call it as a June quarter, I think for many, reference point is quarter 1, but for us it is quarter 2. The ord ers were up 10%, despite a higher base, driven by emerging and traditional segments. Revenues are up 22%. And profit after tax, if you take a year -on-year basis, it's 200 basis points higher, driven by operational efficiencies as well as good execution of the backlog. We have expanded the manufacturing footprint of energy -efficient drive portfolio. That again, is playing into the sweet spot of the market, wherein more and more customers are replacing or buying products which are more energy -saving. So, energy-saving and energy -efficient is a sweet spot for ABB, and we see a lot of emerging demand in that particular area.
And not only are we helping our customers to reduce their carbon footprint, we, ourselves, have a concerted effort within the ABB organization, and we have been able to reduce 85% GHG Scope 1 and Scope 2 emissions until quarter 2, 2023 compared to a baseline in 2019 in all o f our manufacturing locations. So, it's a program that we run, and we are very proud of how our teams and our businesses have taken upon it and how we are able to be making an impact in each and every location. We are engaged with 3,000 -plus customers acro ss 13 Tier-1, Tier-2 and Tier-3 markets, and a substantial amount of business is coming from these markets for us. We are

maintaining a good cash position in our balance sheet, and our free cash flow conversion is in line with profit after tax . The Board has approved a special dividend. I think that Sridhar will give you a bit more details there . We thought that we will bring some value to our shareholders. So, there's a positive market momentum across all the segments that we are focused on. All ou r businesses are growing. All of our businesses are having profitability in the right direction. Our business now tends to be a short cycle. Our services are growing at a healthy rate. We also have good exposure to very strong emerging market segments, be it in the automotive traditional or EV segments which are emerging, electronics which is expanding, and also F&B segments. And the investment by Railways and Metro, that also is quite favorable for our portfolio and also process industries which has starte d making OPEX and CAPEX investments, there again, we are finding good favor. So, with that, our order backlog has grown nearly 29% to Rs. 7,700 crore. So, we have some examples here, we have the power an

d automation going into an aluminum
major. Then we have the motion solutions comprising of drives and synchronous reluctant motors going for a heavy electrical major. Then we have traction motors for railways, blending solution for a Japanese engineering procurement company for the energy space, robotics solution s for metals majors - It's a non-automotive project . Power distribution and management for data centers, which again is a very strong emerging market segment , alon g with robotics - paint in white in order s for automotive majors. More and more Indian automotive majors are investing in robotics, and we have quite a favorable positioning there. And of course, our switch gears going into ethanol production are also on d isplay.
Our teams have this recipe of really going and connecting with customers deep in the market segments with the new customers as well as existing customers and we had a very strong engagement in the last quarter across 13 Tier-2 and Tier-3 markets. This is one of the reasons the effort and the leadership of our businesses is really contributing to our growth.
As I mentioned, our GHG Scope 1 and 2 emissions are down 85% on the baseline in 2019. We recycle almost 96% of our waste. And 2 of our 5 plants are now water -positive , cumulative till

quarter 2 of 2023, and we hope to have all our plants water positive. On the CSR perspective, we continue to make impact on helping and supporting our surrounding s as well as the targeted areas with the infrastructure projects, providing skills as well as education in multiple schools, having the kind of residential facility for women with special needs in Nashik. We have a mid-day meal program supported through Akshaya Patra Foundation. In Faridabad, we run a program which is an education scholarship for girls with IT skills, and health care for making special camps for communities who don't have access to those means.

So, with this, I will hand it over to T.K. Sridhar – our CFO, to take you through our financial highlights. Thank you.

T. K. Sridhar: Thank you. Thank y ou, Sanjeev . It gives me immense pleasure to bring you the results, which is absolutely a solid performance in the quarter. So, I think, first of all, I would like to tell you, based on the feedback what we got and also the global standards , we improved ou r press release,

which would have reached you all with more information, which we will do on a half year and full year basis so that we have a better transparency and clarity on the data of the performance of the company.

So, going by that, I think we have now got a consistent track record. Orders are at Rs. 3,044 crores, which has seen a 10% Y -on-Y growth. Order backlog, we are at Rs. 7,729 crore, 29% up. Revenues - we now have reached Rs. 2,500 crores per quarter. So, that's now consistently tracking at that level, with 22% growth. And profit after tax and the profit before tax, I think, have grown exponentially with Rs. 393 crores and Rs. 296 crore for the quarter, which is more than 100% of what we had delivered in the previous year .

So, we bring to you, apart from this, I think, a couple more data points, how our earnings per share has been improving for the last 8 to 10 quarters and also what has been our traject ory on converting the profit into cash. So, we are now quite efficient in converting the profits into cash , we are trending at an average of 100 % of what we earn.

So, I think this is a key summary of how the Q2 looks like. Just to get some more information about how we did for the half year. So, half year, on the order level, we are trending at 22% more than the half year of last year. So, Rs. 6,169 crore as against Rs. 5,066 crores in orders. And the backlog, we said 29%. So, revenues are up 22%. And profit before tax and before exceptional items is up by 83%. And profit after tax is

up by 5 %.

The gap is more because in the first quarter of last year, we had one except ional transaction impact of the turbocharger sale divestment, so which can be made out this quarter's PBT of Rs. 328 crore . And that's the one which is included in the profit after tax of the last year. So, that has an impact. But if you remove that, the profit before tax and profit after tax for the 6 months also will trend at the same levels is what we have seen. So, cash b alance, we are at Rs. 4,092 crores at this point of time.

Just to dwell a bit more on what the structure of the P&L look s like. So, as we explained the revenue portion of it, other income consists mainly of interest income from the cash deposits we have ma de. The material costs are holding on at 63.5%. This is probably because of 2 things. One is the mix of orders remaining consistent with a good amount of services portion and also a bit of a softening of the metal prices, which has helped us. And our abili ty to command a better price in the market has actually improved the material cost. These material costs are derived from the orders we have booked in the previous quarters. So, this is something what we need to keep in mind.

Personnel expenses is at Rs.16 8 crore compared to Rs. 145.7 crores from same quarter of the last year . And that's representative of the increments that have been given to the employees on a year -to-year basis. We don't have any other events apart from that. Other expenses remain consistent. So, the only outlier is the exchange and commodity price variation. So, in last quarter it was Rs. 56.8 crore, and this quarter was Rs. 29.8 crore, resulting in a Rs. 30 crore swing. That's

the only additional impact. But otherwise, the other elements remain pretty consistent with what we had in the previous quarters.

So, overall, we are very satisfied to deliver this parti cular result as there is profit after tax of 11.8% and on a 6 -month basis at 11 %.

So other income includes 49 crores , and majority of it is interest income . Operational EBITDA, quite interesting, I think this is something which all you have been tracking as to how ABB is performing. We maintain stability on the performance. So, we always have been saying that we want to have the 10% PBT first and then move into the next corridor of delivering better profitability and PAT level , and that is reflective in t his particular slide of EBITDA and PBT. And that's more because of the volume price and the capacity utilization .

Just to give a bit more color on how each of the segments have performed. So, electrification and motion, everyone continues to be on the grow th trajectory. All the divisions in electrification posted a growth. So, I think that's something which is quite visible in across all the divisions.

Revenues - this is basically possible because we had a seamless supply chain supporting the fast growth of the EL division, which also helped in delivering the revenues on time. Profit before tax and interest, I think it is more of a price realization, capacity utiliz ation and a mix, which gave a positive lift to the numbers.

Motion. I think, again, a strong demand from energy -efficient products. This is a theme which is a hallmark of Motion offerings. So, that has actually driven the growth. And it's good to see that for the last 2 quarters, we are consistently at Rs. 1,100 crore in order bookings and reaching up to Rs. 1,000 crores in revenue execution as well and a good development in profitability as is evident. Q1 had a onetime impact of a quality warranty what we have provided, and that's exactly what is there , and this was already informed to you in the last quarter's earnings call.

Process Automation. So, we got a large order from a metals major as was told. I think that's helping us to get to Rs. 784 crore this particular quarter. Revenue i

s consistent with the order booking, what we had on hand of Rs. 510 crores , so profitability coming back to Rs. 11.1 crore. And I think in the Q4 '22, it was more contributed because of the highest ever revenue, which was there, an exceptionally higher service revenues, which pulled up the profitability to Rs. 17.6 crore.

Robotics. Again, another quarter of solid performance. So, the orde rs were slightly less than in this particular quarter compared to the run rate, and that's more about the timing of orders. This being the first quarter for quite a few companies, so the decisions come up in the next quarter onwards upto the financial year starting from April onwards. But I think Robotics as a business is actually performing and quite consistently with the number s we have.

The last slide is about how we see our channels, offering and geography. So, products dominating the total offerings wi th 77%, services with 13%, and X1 projects with 10%. There has been a broad bifurcation.

Next is geography. I mean, while it is good to see that we have 11 % of exports that has come out in this particular quarter , more important is that the domestic deman d is growing faster than the export . While we see the absolute value of exports also increasing, the domestic demand is far exceeding the export demand, and that's exactly why the percentage seems low.

So, what is the focus for H2 '23? So, definitely, we c ontinue on the market penetration. We also make sure that we have an order booking momentum going on. And sustaining margin momentum is also key for us to be there in the corridor of our goals . And we'll make sure that capital that is available is allotted for the right projects and the right processes. And last but not least is making sure that the sustainability target is also achieved.

So, while on this, I have something else which I thought I should offer to you because I know a lot of people reach out to the organization to set up meetings. So, in order to make sure that we have a more seamless experience on how we deal with analysts and investors, we thought that it is time for us to gear up to make it more digital and make it more user friendly.

So, we will reach out to you with a link wherein you could register yourself and ask for meetings, and then the organization will make sure that it is set up at the right point of time. And this also helps us to share with any of the regulators at some subsequent point of time if it is asked for. So, this way, I think we make it a bit more structured and more documented also well for you, and it al so helps you to record yourself for the meetings or to have that with ABB.

So, with this, this is the end of our discussion. So, we could open now for Q&A.

Moderator : Thank you very much. We will now begin the question -and-answer session. We have our first question from the line of Renu Baid Pugalia from IIFL Securities. Please go ahead.

Renu Baid : My first question, obviously, when we look at the numbers, margins, you have seen consistent improvement. While your comments have been very clear, can you show some more inputs in terms of the gross margin's consistency of 36% for almost 3 quarters now … How sustainable is this? And what comfort do you derive from the order pipeline in terms of competitive intensity in the mix, which should help you sustain this p rofitability?

Sanjeev Sharma : Thank you, Renu. Thanks for this question. So, we have shown you our backlog numbers, which have grown by 29%. So, that gives us forward revenue surety, and that's where the margins come from. So, we have a fairly robust pipel ine of revenue. So, we feel that with the consistent execution each and every division that is carrying out, I think trajectory is in the positive direction for us.

Renu Baid : And any input specifically on the mix of large orders that you have booked

in th e current quarter,
probably in the process segment? And how has been the outlook from core sector awarding like steel, especially on the greenfield projects? Also, do you perceive any slowdown in orders towards the end of this calendar year or beginning ne xt calendar due to the elections?

Sanjeev Sharma : So, the second part, I'll answer. First part, you can go ahead about the orders being booked, the large orders, Sridhar?

T. K. Sridhar: Yes. I think the large order, what we have booked from a metals major, I think that happen s normally in Process Automation . And also, Renu, to answer your question on the first question, which is consistency about how good will that 63.6% or 64% in the material cost, right? So, if you look at the backlog, the majority of it is projects because it comes. But all the product businesses, which is motion and EL, a lot of them are book -to-bill or short -cycle orders. So, that's also governed by the current prices which happens in the market. And so , it's a matter of how we e xecute the existing backlog mix with the capacity utilization and the service composition.

That remains the key. So, our endeavor has been to remain in th at material cost level. So, what could basically upset that? That would basically be the volatility in the FOREX , anything which could happen on the economy with respect to the demand situation with respect to metals, right? So, this is what we see. As far as technology is concerned, we have more prudent offerings in that particular space, right? So, this steel order will get executed over the next 18 to 20 months, that's what I was saying. Over to you , Sanjeev .

Sanjeev Sharma : So, with respect to forward outlook, we respond to how we see the market developing close to our nose. So, we engage, and if t he market responds positively, we continue to engage and continue to create capacity to deliver on time for the customers. So, even if the market is very robust, we always make sure that we make commitments in the market which we can deliver and honor on t ime, be it supply chain disturbances or any other disturbance which could be there in the marketplace. So, I think that has been our trademark. Now looking forward, when I look into our distinct themes because ABB, of course, is one company, but then we ha ve 18 companies within one company. As when I interact with each of the division leaders, they're really engaging very well with the market. Their targets are to expand from the base where we are, and they are quite positive. They see the market responding in a positive way at this point of time and also with the forward pipeline.

There are certain pockets which are in a multiple market segment and multiple product lines or product division portfolio , you will either have one line or the other wherein some hotspots develop, which are very natural. Only on the minority side, there is a certain sluggishness here and there in the market segment or a product line, but not on the majority side of it, Renu. So, that's what we see. Now with respect to the election year, probably, I think we'll listen to your report, if you have done a better analysis so that we can learn from it. So, there is something, I think, we will learn from the market rather than have our own point of view on it.

Renu Baid : Also, just want t o comment and appreciate your efforts for being the first to automate the investor side of queries and requests. Thank you and appreciate your efforts.

Moderator : We have our next question from the line of Deepak Krishnan from Macquarie. Please go ahead.

Deepak Krishnan : I just wanted to understand, given that our cash position is substantially improving, you've indicated we could look at potential transactions. Where are we on that path? How close or how far is that event? And

if not, then what do we do wi th such a healthy cash balance that we're sitting on?

Sanjeev Sharma : So, we have both organic and inorganic plans. So, the organic plan is very well laid out, in line with the demand that we are seeing in the market and the capacity utilizations we have r eached.

So, those are very firm and very predictable as we go forward. And also, we have many of our global divisions coming to us , using India as a base to serve global markets. So, incrementally, different businesses have started showing interest in that area. So, we should expand in that direction as well. So, that's one way of utilizing it.

Then what we have at this point of time is for every business area and every division, we have very clear targets what we are looking for, what kind of technologies, bolt-on technologies we are looking for in each division. And this is something which is a search at a global level as well as at a local level. And both will happen. So, some kind of acquisitions can take place at a global level with that targeted approach, and some will happen at a local level. So, that's where it will get utilized.

And in this particular space, both should be ready, buyers and sellers. So, buyers should be ready to buy. We are ready. But then the sellers should be ready to also transact. So, we do have a pipeline there, but it will happen over a period of time. And I think that's how we will see utilization of cash going forward.

Deepak Krishnan : Maybe ju st a follow -up. Just indicating that you indicated the pipeline continues to remain strong. And last quarter, you sort of indicated a 12% to 15% is the order inflow growth that we were expecting for this year. But given that 1H we are already at 20% plus. Do you see that we would be more at the upper end? Or do you see potential to back to even the price higher than what we were recently indicating?

Sanjeev Sharma : What Sridhar said is that this is the first quarter generally for the industry, they are typi cally sluggish in this quarter. And then it picks up in the second quarter, third quarter and fourth quarter for the industry. So, we don't see. I think when we meet large corporates and medium - sized corporate and kind of upcoming companies, actually, we d on't see any sense of passivism as yet. So, we will play by the market. It's difficult to predict how it is. But I think we will keep on making a deeper penetration in the market segment and the geographies. And none of those efforts are disappointing us a t the moment.

Moderator : We have our next question from the line of Sumit Kishore from Axis Capital. Please go ahead.

Sumit Kishore : We read your press release , it says that base order inflow growth was 4% year -on-year. Is there a risk of the base ordering s sort of plateauing out after for a while ? That's my first question.

T. K. Sridhar: Sumit, we have said that it would be on a high base of last quarter same yea r so, that's basically what we meant, that when we see the 4% . Last year, the same quarter was in a fast track, which was a rebound after the COVID period and people started to place orders. And that's exactly what we said that it was on high base orders. And so, in spite of that, we are able to grow.

Sumit Kishore : So, I was saying that you mentioned in a certain business segment in the base quarter, which might have also slowed down the base order inflow growth in Q1?

T. K. Sridhar: Actually, Q1 in robotics, last year, we had an electronics segment, which gave us an order, which was a o ne-off order. So, therefore, there were 2 large orders, which were booked in Q4 '22 and Q1 '23. So, that's exactly what we meant over there.

Sumit Kishore : My second question is that your gross margins have been stable , there are operating leverage benefits playing out, which are showing up in EBITDA margins. Now as the cycle matures

,
would you lower the threshold on gross margin? Because essentially, with the operating leverage benefit, you would still make the same EBITD A margin and the same profit margin. So, in booking more orders, would market forces make you lower the gross margin that you're making right now?

Sanjeev Sharma : Well, I think it's a very, very good question and insight ful. But typically, as a company, yo u respond to the market forces as they present themselves. So, what we have right now is we are playing as the market demand is there and seeing the elasticity of the market to absorb the price points that are available in the market at large. So, I think this is something you don't predict, but you adjust as you face the market .

Sumit Kishore : Because when we look at the peak of the last CAPEX cycle, we sort of see that your gross margins were a lot lower actually at that point versus what you are making r ight now.

Sanjeev Sharma : Which year are you referring to?

Sumit Kishore : I mean, towards 2007 and 2008.

Sanjeev Sharma : I think all of us were very young at that time, but you have a point. If you may have seen the ABB portfolio now , it is very different relative to what was in 2007 . We were very project heavy , very concentrated . But now the portfolio is very, very different. The character of the company as well as the penetration and our exposure to market segments, geographies is very, very different. So, I think on a like -to-like basis, it's not comparable.

T. K. Sridhar: But Sumit, thank you for this question. Also, until now, we were always asked questions, when will you reach or surpass that particular 2007 level? Today, we are talking that we have already surpassed that, so how are you going to maintain, right? So, that's a good conversion as what we see.

Sumit Kishore : Yes. Now, near that point, your ROE levels were significantly higher. And you're closing that gap very fast now, but your ROEs were in excess of 30%. So, that was at the peak of the last cycle, yes. Thank you.

Moderator : We have our next question from the line of Amit Mahawar from UBS. Please go ahead.

Amit Mahawar : Sir, congratulations on great profitability. I have 2 specific questions. First is on motion, the kind of demand we are seeing in propulsion systems, do you think capacity -wise we are ready? And

do you think next 2 years, the run rate of motion, especially from propulsion , etc. , that we can have is going to be significantly higher? That's my first question.
Sanjeev Sharma : We could give this question to our Motion head, Sanjeev Arora. Sanjeev, di d you get the question?
Sanjeev Arora : So, if I got it right, it is upon the expansion and the investments relation, right?
Amit Mahawar : Yes.
Sanjeev Arora : Do we see good investments and how are we prepared for that? So, if that's the question, thank you very much, I think very well pointed out, and that is exactly how we are playing in this field. We are expanding our portfolios, our production facilities. And you have seen in the past that we have also put up a traction motors plant in Vadodara last yea r. And also, we are expanding our converters production facilities as well. So, we are getting up, and we'll be coming as close as the market demand s.
Amit Mahawar : Fair point. And the second question is more on the electrification portfolio, and maybe San jeev, you can help us here. We have a significant gap when we talk about the low voltage products range. If you look at the MNC peers that we have in India and the kind of growth and run rate they are also seeing now, can I assume that most of the capital allocation of ABB will go in the EP segment because of CAPEX ? And can you help us compare the gaps in EP portfolio that you want to address?
Sanjeev Sharma : So, we have Kiran Dutt who heads o ur leading portfolio on the product side, the smart pro

ducts
and smart building product portfolio. So, we will invite comments from him. And he's seeing quite good growth. And we also have Ganesh Kothawade who looks into the electrical distribution portfol io, which deals with the medium voltage. So, first, I invite Kiran with respect to how you see growth in the E L side of your portfolio, and how relative to competition, that work, I think, is just the question.
Kiran Dutt : Thank you, Amit. I think overall, if I look at it as a perspective, I could understand your question in terms of what are we trying to do, are we able to catch up with the competition? I think, yes, in terms of the portfolio, we have been trying to expand and not only the portfolio which are going to be utilized in India, but also trying to have some portfolios and getting it from Europe as well.

So, overall, in terms of the portfolio gap, whatever is there or is going to be there, it's being addressed looking at the market requirements which is going to also come up in the future as well. So, not only in terms of what needs to be done now with the existing portfolio and also what would be the requirements because the market segments are changing, and we nee d to adapt ourselves to that particular segment. We are also trying to bring in more and more portfolios in electrification, specifically on the low -voltage side.
On the medium voltage side, maybe Ganesh can take over.
Sanjeev Sharma : So, electrification i s the largest business for us. And within electrification, we have the product s and the ELDS, which is the distribution system. So, actually, the real competition is between these 2 guys, wherein right now the ELDS is the largest business. So, now if the q uestion is either that Kiran will be able to surpass that or not. So, I think that's where they are focused on in terms of how to engage in the market. Inviting comments from Ganesh. How do you see ELDS portfolio as well as your position in the market?
Ganesh Kothawade : Thanks, Sanjeev. When it comes to the Distribution Solutions business, we all know that we are really leading in this business, and we have quite a matured portfolio because we are here in India since last 40 years, and we have almost all th e products which are manufactured locally. And as Kiran has rightly said, because there are some segments which are now changing . We are coming out with the solutions which are segment -specific because evolving segments like the data centers or food and be verage, these are some of the segments that require a very specific solution, and we are coming out of those type of solutions.
And also, there is some shift in technology where the market is demanding for greener products. And we already launched an ecofriendly GIS (gas insulated switchgear) last year and the next expansion of those range also will come to the market. So, I don't see a major gap in terms of distribution so lutions, what is required by the market and in our customers in India.
Sanjeev Sharma : Thank you, Ganesh. And a very quick comment. The rate of growth of the portfolio, which Kiran is running between ELSP and SB, we are seeing a very healthy growth rate th ere. And also, I think the plans going forward are very, very encouraging, and the momentum is encouraging. And also, our factories, which are delivering this product portfolio, I think the productivity gains that we are getting there with increased automa tion and also new techniques that we have developed, I think that is also adding to our bottom line in a very significant way. Very, very strong businesses, ELDS and ELSP and ELSB. So, we are very encouraged. And all the allocations that are demanded by th ese businesses are being given to them.

Moderator : We'll take our next question from the line of Ankur from HDFC Life. Please go ahead.
Ankur Sharma : Great numbers once again. So, I have 3 q

uestions. One, going back to the base order growth,
which was just about 4% this quarter, and I take your point that we are sitting off a large base

last year. But just trying to understand, especially on the motor side, which is typically short cycle, small orders, 8% growth. Even on the PA side, including this metal or der, that's a 10% growth. So, is there some lack of momentum which you are seeing? Any slowdown we are seeing in terms of order? Or is it that we should kind of reset our expectations to a high single digit kind of order growth , given the base we are on?
Sanjeev Sharma : So, Sanjeev Arora is very well connected with the market on the motor side of the business. Sanjeev, how would you answer that query?
Sanjeev Arora : I think a very good observation. So, see, let's understand. We h ave also seen the softening in metal prices. So, that piece is also catching up when you talk of the absolute numbers. So, that is one thing which you have to consider. And the second part is, I would say that the short -cycle business, I cannot say that it is 100% right , but then we can see some kind of headwinds. At this point of time, when we talk to our customers, be it the large international OEMs, end users, they all have a heavy investment plan. But yes, it could be possible that we see some headwinds . But as of now, they are not very visible , as I can say very confidently.
Ankur Sharma : So, that's my question. So, basically, while growth may continue, we probably see a high single, low double -digit kind of growth. That's the kind of growth because our overall orders are growing at high 20s, right? So, maybe now we need to reset our expectations to more like a high single, low double -digit kind of growth. Is that a fair assumption ?
Sanjeev Sharma : So, Ankur, nothing increases in a straight line . And if you go back many quarters, the motors division has been growing at a very, very healthy rate. So, I think we have not only gamed the market, but also, we have gained a lot of market share. Now a time comes when you will always have a certain adjust ment of the market demand and also adjustment of the competition, response also to the position you take in the marketplace. So, in a portfolio wherein we have 18 divisions, and we have 23 market segments, we will always see this cyclicality, which is buil t into our kind of portfolio. So, we will not be able to confirm or deny your hypothesis. We will play it out as the market presents itself.
Ankur Sharma : Fair point. And just a follow -up on the motor business again. Maybe Sanjeev, either of you can answer. Just on the upcoming competition, we are hearing players like WEG, NIDEC, some of these large MNCs looking to set up capacities in India. So, anything yo u can help us on the incoming competition there?
Sanjeev Sharma : Yes. That is true that Indian market is attractive, and it is attracting the players who are not present here in this country. And they will find their space, and they will rightfully also fi nd their niches as well as the market space. But at the same time, we should know that the market is expanding at a good healthy rate, and that's where it is. And our ability to deliver, even during the stress situation like COVID, I think, keeps us at a v ery high speed in the eyes of our customer s, and there's quite a bit of loyalty built with the customers who want to stay with us. So, that's something we continue to enjoy. But of course, when our competitors set up capacity, I think like anywhere in the world, they will also create their own space, yes.

Ankur Sharma : And just one last one on the rail side, especially on the propulsion. Clearly, what we're seeing is a lot of project orders that the rail is ordering out, large LOCO, Vande Bharat , etc., tenders on the Vande Metro as well

, two private players to participate. So, how are we approaching that?
Because clearly, then you have to tie up with some of these guys who make the entire loc o or a coach, right, and then we supply the propulsion into tha t. So, some help there, do we have a tie-up in place?
Sanjeev Sharma : So, we are participating in that market, and we'll get back to you soon if we have a success in that engagement.
T. K. Sridhar: But these orders will all take time to decide, right? So, because these are all mega orders, Ankur, so I think it has to go through the process of verification and the placing of orders by agency.
Sanjeev Sharma : But you’re right, I think this particular market segment is positive for our portfolio. And our enga gement is in the right place. And whenever such orders come, that will be quite an event, and we will announce it to you.
Moderator : We have our next question from the line of Puneet Gulati from HSBC.

Puneet Gulati : Congrats on great numbers. Can you also talk a bit about what is the situation in terms of supply chain for you and for the competition in general?
Sanjeev Sharma : I can reply about ourselves, I have no clue about competition. Our supply chain has eased out in most of the areas. And as I said, even during the peak of supply chain trouble, our global supply chain managers really helped us out, that network help ed. And we could cater to the demand which we thought we can cater to at that time. And we didn't disappoint any of our customers during that period. We were very forthright and clear. Right now, all those strains that we had in the supply chain, they are not visible. I think it's fairly evened out for us at this point of time.
Puneet Gulati : And secondly, can you also comment a bit on what are the further levers that you still have for your margin expansion? And how high can you go from these levels?
Sanjeev Sharma : Sridhar, do you have a formula for that?
T. K. Sridhar: Puneet, I don't have a formula for that. I think it's a play of w hat we offer to the customers, right, and how we intelligently manage our capacities and the cost, right? So, this is basically what it is. And that's exactly what we have been trying to do. Our first initiative was to make it more credible over the last 8 to 10 quarters, which we have done. And we have now slowly gotten into the double -digit PAT margin, that's what we see, right? So, I think we would like to remain consistent and credible over there rather than just promising from here .
Puneet Gulati : And just last one. Your share of direct sales this quarter has gone up. How should one read that? Is it more quarter sensitive? Or is there a change in strategy from that?

T. K. Sridhar: Direct sales in the sense?
Sanjeev Sharma : End users.
Puneet Gulati : In your channel mix, sir.
Sanjeev Sharma : Large orders.
T. K. Sridhar: It's basically about large orders and system orders, what we have got both. So, that's, in fact, actually what has changed the share for th is quarter.
Moderator : We have our next question f rom the line of Parikshit Kandpal from HDFC Securities. Please go ahead.
Parikshit Kandpal : Congratulations on a great quarter. Sir, my first question is on the expansion plans in India. So, I think earlier in the call, you said that the global divisions are interested in sourcing more from India. So, just wanted to understand the large part of expansion which is happening in India. So, how will be the mix there in terms of your own global com panies and in terms of Indian market? And how will it impact our exports, which is right now at 10%?
Sanjeev Sharma : So, my mandate as a Managing Director for ABB India Limited is to serve these domestic markets. That's the reason why we have a multination al arm present in India. Other places, our company is present and is catering to those markets outside India. No

w as we cater to Indian market and our production capacities have increased to a good scale, and also our sophistication and our productivity me asures ; it's not only the labor arbitrage India has, but also the productivity arbitrage we are able to create now with technology, robotics, automation. So, our plants have become global standards.
Now we have certain global market demand, and we have tha t capacity available across the globe to cater to that demand. Now it is for the global divisions to adjust those capacit ies somewhere else before we can serve the given demand from India. So, I think this will be a logical process over a period of time. A nd in many of the divisions, that's already taking place, and we have seen quite an upsurge of volume being supplied out of India into export markets. But in short term, I don't think the percentages needle will move too fast because the domestic market is growing much, much faster than the international market. And if we have a capacity adjustment at a global level and that gets moved lock, stock and barrel in India, then that's the only time we will see this needle move on the percentage side.
Parikshit K andpal : And sir, my second question is on the pricing bid. So, post COVID, suppose that the highest level of pricing was at 100, so what could be the trend now, given there has been correction in commodity prices? I think earlier also, you said that motor, there has been some kind of slowdown because of the correction in commodity prices. So, what levels of pricing would be from the peak levels right now?

Sanjeev Sharma : So, one thing we should know is when the inflation comes in, that inflation stays, right? That escalation of the price that takes place as inflation , it stays into the system, and it stays as an input cost. It doesn't go away. Now when the fluctuation of certa in commodities by the actual price goes up and down, that gets adjusted as you play the market. And typically, the price in the market is based on demand and supply situation. It is not adjusted by the input cost basis. When the input cost is there, especi ally during inflationary periods, the customers are more sensitive because they understand that they have to pay the higher price. But when it comes to the normalization, then the prices get normalized in the marketplace. But that is something you don't fo rce yourself to do it. It's a market adjustment picture. And Kiran and Sanjeev, they're very sensitive and very elastic to how the market plays out. So, this is something you don't strategize. This is something you play how the market shows up.

Parikshit K andpal: At the current level, are you seeing some pushback from the pricing? I mean, do you think there's still some scope for improvement ? Or do you think that now maybe we have peaked out and could see some correction?

Sanjeev Sharma : Any insight to add, Sanjeev, on that?

Sanjeev Arora : No, I think, again, I can only repeat what Sanjeev is saying, that the market price levels are dominated by demand and supply, one; and the second part is the material prices. So, there could be a possibility that we can see some reduction in the material price bookings if the price go es down globally. So, at this point o f time, we can say that it has stabilized. But going forward, if global demand decreases and then it has an effect on the material prices, then again, the reset of the button can take place. So, that's my take on it. But if you are looking for an absolute number, I will not be able to give that right now.

Moderator : We have our next question from the line of Jonas Bhutta from Birla Mutual Fund. Please go ahead.

Jonas Bhutta : So, I just wanted to understand, has there been any positive impact of this governm ent scheme called RDSS on our EP segment in terms of order flows? Is ABB going to have a role to play there? That'

s the first question

Sanjeev Sharma : Can you repeat what government scheme you're referring to?

Jonas Bhutta : The RDSS.

Sanjeev Sharma : RDSS. Okay. So, maybe you know something more than we do? What exactly is RDSS?

Jonas Bhutta : The upgrade of the power distribution network.

Sanjeev Sharma : This is upgrade of power distribution network.

Jonas Bhutta : Yes, so it leads to a host of smart metering , etc.

Sanjeev Sharma : Smart metering, okay. All right. Kiran, do you have a view on that?

Kiran Dutt : On the smart metering side, we are not exactly on the tariff meters , we are on the low -voltage side. So, we are not into that product segment at all.

Jonas Bhutta : So, there's no positive pull -through because there's an upgrade of the entire metering network ? So, does that have any positive pull -through for our distribution product in the power distribution product lines?

Sanjeev Sharma : Ganesh, do you have any impact of this changing of the metering and the RDSS part? Do you know of any impact on your business?

Ganesh Kothawade : There is quite a good opportunity in the distribution segment because when there is an upgradation in the distribution line, t here is quite a good requirement which is coming for the medium voltage breaker side. And generally, these jobs are done by the EPC contractors, and we do get the business from EPC contractor s and from these utilities. So, there is definitely a scope, but not as much potential as smart metering. But definitely, there is quite a good potential, which is available in the modernization of the distribution network, particularly on the 11 kV side and 33 kV side.

Jonas Bhutta : And my second question on the EP segment was, sir, you alluded to this business has seen a massive improvement in its operating margin. And a part of that is the lag and lead time between raw material prices increasing and decreasing, and our ability to hold on to pricing in those periods. D o you believe that with this quarter, a large part of that benefit of holding some bit of high-cost pricing, but low-cost inventory is largely now into the margins of the segment?

Sanjeev Sharma : Kiran, do you have a point of view? Our performance on the bottom line on the product side, is that correlating with inventories that you bought at a lower cost and then you had a better price realization? Is that contributing? Or you think that's not corr ect?

Kiran Dutt : I would rather answer in a different way, Sanjeev, on this. It's not a question of what we have purchased at a particular price or something. It's more in terms of the demand for the market in terms of product mix, what's required. It's al so related to the earlier question where you were talking about how exactly this distribution can actually support us in terms of volumes. It's an indirect one, what we could say. So, it's a question of how exactly indirectly, whether there's a building co ming up, whether there's a segment of an industry which is coming up in the market, which is actually supporting our growth. And when it comes to margin, what we are talking about is the volume, for sure, it is playing a very big role in terms of getting u s the margin as well. We also spoke about commodity price s going down or softening up, that's actually

supporting us in terms of our margins.
Sanjeev Sharma : Fair enough. I think the same way plays out for Ganesh's portfolio as well .

Moderator : We have our next question from the line of Bhavin Vithlani from SBM Mutual Fund. Please go ahead.
Bhavin Vithlani : A couple of questions. Could you talk about competitive intensity , because some of the capital group's company in compressors and abrasives have spoken about influx of Chinese companies and restarting of the unorganized players. And if you could also give some comment in the

motors business. We understand CG Power, EMEIC and WEG going for mega expansion.
Sanjeev Sharma : So, we did answer about the players in the market, and they will find their own space. And with respect to customer behavior of buying branded products or the nonbranded product, that's a customer behavior topic. But what we see in India is a marked shift in l ast few years, especially after COVID, wherein the reliability of a supplier and the reliability of the product has become a bigger criterion for decision making. And the market shift has taken place. Apart from demand growth, the market shift has taken place for the people who are the marginal buyers. They have shifted to more reliable and more established players in the market. And that's als o part of our growth story in the marketplace. And in India market as diverse as we are, you will always have customer segments which will be transactional at the bottom of it , and then there are people who are really appreciate reliability, availability, maintainability and serviceability of a company which serves them. So, that's how the market gets formed. And we find that the top of the market is becoming larger rather than shrinking , from our perspective.
Bhavin Vithlani : A follow up. Are we also looki ng at margins over growth , and consequently, we're seeing some slowdown in revenue growth? Or are we reading too much into it?
Sanjeev Sharma : We should cross the bridge when we face it, but that's not the situation we are in at this point of time.
Bhavin Vithlani : Great. Just last question. If you could talk about the exports growth because we spoke about slowdown in the global market. How should one think about the growth rates for the exports?
Sanjeev Sharma : So, we do 11% to 12% exports. And as I said that story is in the early stages of development as far as India is concerned because as the global team chooses, whichever business chooses to adjust their global footprint, it has an exponential impact on what we w ill export out of India. And that story has to play out as we go ahead .
Moderator : We have our next question from the line of Aditya Mongia from Kotak Securities. Please go ahead.
Aditya Mongia : I'll limit to a single question. The question relates to ener gy-efficient drive and your optimism on that front. It would be useful to get a sense from you what is the current penetration of this segment inside the country? And how has that been moving over time? I'm just trying to get a sense of how the customer is thinking through kind of coupling up a motor and drive more and more in the country?

Sanjeev Sharma : I'll let Sanjeev Arora answer it. So, just to let you know about drive. We have a very low -voltage motor drive as well as medium -voltage drive. And all of them go into critical applications. And Sanjeev, over to you.
Sanjeev Arora : Thanks, Sanjeev, and thanks for the question. I think this is a very good question, which is close to my heart. And this is picking up in the right direction. Let me first start with this statement. So, earlier, we used to see that a very small segment of the end users, which are technically knowledgeable, were picking this as a case study or a proof of concept. But today, I can tell you, this is growing exponentially. Now in Indi a, yes, there is a scope to grow further. But the concept of motors plus drive is good , because straight away you save 30% of energy. And with the corporate roles being very, very prominent when it comes to the carbon neutrality, sustainability and the ini tiatives on that, this energy efficiency movement with motors and drives is a key enabler and a low -hanging fruit for all segments and industries in which we operate. So, this is picking up, and we see exponential growth in this piece going forward. And I can also add that when it comes to the energy -efficient motors, we enj

oy a very large share of i3, i4 range in the market. So, overall, it will be a game changer for the industries, and we are well prepared in this portfolio.
Sanjeev Sharma : And Aditya, yo u can also help us along with your colleagues. So, you must be attending a lot of such calls with other companies. So, all the companies who use these motors and drives, you

can ask them if they're using it because that can reduce them 30% energy, and that will go in their bottom line. So, you can, of course, mention this ABB drives and motors they should use because then they have a sure benefit. So, you can also help us the other way.
Aditya Mongia : So, absolutely. You are the early movers; you should tend to benefit from that. And I look forward to hopefully a deep dive into energy efficiency as part of your presentation at some point of time.
Moderator : Thank you. Ladies and gentlemen, that was the last question for today. I now hand the c onference over to Mr. T.K. Sridhar for closing comments. Over to you, sir.
T. K. Sridhar: Thank you very much. Thank you, once again, everyone, for attending this call, both from the analyst side as well as the management side. It is a Friday evening , so we do not want you to hold you back more in the office, and it's also a long weekend. So, I think with all the discussions what we di d, I think we will continue to do our best . And we will come back again to you in the next quarter to have another good call . And before we sort of hang up, I wish you all a very happy Independence Day from our side. So, that's it. Jai Hind.
Moderator : Thank you. On behalf of ABB India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

(This document has been edited for improving readability)
ABB India Limited
August 11 , 202 3

Investor / Analyst contact:
TK Sridhar
Chief Financial Officer
sridhar.tk@in.abb.com

Sohini Mookherjea
Country Communication Manager
sohini.mookherjea@in.abb.com

Registered Office:
ABB India Limited
Plot No. 5 & 6, 2nd Stage,
Peenya Industrial Area IV, Peenya
Bangalore 560058
Karnataka

CIN: L32202KA1949PLC032923
https ://new.abb.com/indian -subcontinent

Call: Sep 2023

ABB India Limited
Registered and Corporate Office
Disha - 3rd Floor, Plot No. 5 & 6, 2nd Stage
Peenya Industrial Area IV
Peenya, Bengaluru – 560 058
Karnataka , India CIN: L32202KA1949PLC032923
GST: 29AAACA3834B1Z4

Phone: +91 80 2294 9150 – 54
Fax: +91 80 2294 9148
Investor.helpdesk@in.abb.com

www.abb.com/in REF: INABB:STATUT:LODR:ANALST_TRNSPT: Septem ber 1, 202 3

BSE Limited
P.J. Towers
Dalal Street
Mumbai 400 001
(Attn : DCS CRD)

Nation al Stock Exchange of India Ltd
Exchange Plaza, 5th Floor
Plot No. C/1, G Block
Bandra -Kurla Complex, Bandra (E).
Mumbai 400 051

Attn: Listing Dept.
Dear Sirs
Sub: Transcript of Analyst virtual meeting

In continuation of our letter s dated August 23, 202 3, and August 28, 202 3, we are enclos ing a copy of the transcript of virtual meeting with analysts, which took place on August 28, 2023.

The said transcript is also uploaded on the Company’s website.

Thanking you

Yours faithfully
For ABB India Limited

Trivikram Guda
Company Secretary and Compliance Officer
ACS 17685

Encl: as above

Amit Mahawar: So when you want to give me, go ahead. Can you confirm?

Sohini Mookherjea: That, yeah, sure. Yes, please, please sure, sure.

Amit Mahawar: So hello and welcome to this focused interaction with the leadership team at ABB. Please join me in welcoming Mr. Sanjeev Sharma, CEO and Managing Director, ABB India Limited and Mr. TK Sridhar, CFO and Head, IR at ABB, let me straight away reque st and even Shree there to give us all a brief opening remark , post which he's you know they'll be happy to take a few questions to make this a more interactive session. Thank you and all over to you Sanjeev.

Sanjeev Sharma: Sridhar you may like to go ahead.

TK Sridhar: Thanks Sanjeev. Good morning to all of you. Thanks, Amit, for this opportunity . I think to talk to quite a few people on this call, right. We did have a bit of interactions earlier but there were a different set of people. It's always wonderful to talk to people after we have a good result and that gives us a bit more confidence , to be honest , and India is definitely something which is now booming with a lot of confidence on the manufacturing sector and other investment topics as well. So, on that ground, I think we did an good storm Q2 which is April to June 2023 just to be precise because it alway s gets confused whether April to June is the first quarter or the second quarter /. Because ABB follows Jan to December, so therefore April to June is the second quarter for us. So, we did publish our results and also we did a couple of more things. I think we gave a bit more elaborate press release to help people understand wha t's happening in the different sectors and the different topics. I think that should have provided more highlights. And also, we did some analyst call wherein Amit did attend and a couple of his colleagues. So, I think we do have these interactions and looking forward for this now, which is more pointed towards a few people and a few more relevant topics on this side, over to you.

Sanjeev Sharma: Thank you, S ridhar. I'm glad to be part of this group and this discussion. Well, it's been an interesting period that we are experiencing in Indian market and also to mention how we observe the global markets and development and on a relative scale how Indian markets are acting and behaving and also we see the direct impact of that on our books in terms of how our portfolio is accepted and the kind of flow our portfolio has in the market and we are exposed to different market segments. So just to give you an idea , ABB India is manufacturing for last 75 yea rs and we are in 18 business line and exposed to 23 market segment s which gives us a fairly good pulse of what's going on in different corners of industry as well as the markets , both relat

ive to direct private
spend and also government led initiative s which again have an impact on the private spend towards our port folio . So, I'm glad to see that that there's an interest to know more about ABB within the investor community. And yeah, for the last many quarters post COVID lockdowns, I think we have seen quite strong customer loyalty and confidence in ABB portfolio in terms of how we supported them during COVID , which was a very difficult period of time . And I think that's where we see a ment al shift in the customers wherein earlier everything used to be around negotiating the price to the last penny. But now we see there's a new behavior that the customer had a preference for more reliable sol ution, more reliable suppliers as well as people who make commitment and they're able to deliver to their commitment. So there's a mark shift there. So not only the growth in the market that we see which is coming because of the investment by the government as well as private sector, but we also see shift of certain customer behavior from buying from Tier 2 suppliers to coming to Tier 1 suppliers like us. And also coupled with that on sustainability, there's the high level of consciousness and especially in the large and the medium size players in the market. And they are also demanding quite a bit on the energy effici ency portfolio, which is a sweet spot of ABB, a portfolio of services within electrification, motion, and process automation. There's quite a good expansion of manufacturing and we are presently surprised how apt people are now, h ow open people are to apply robotics , automation in their shop floors. Whether it's a large scale manufacturer of automobile or even a building workshop somewhere in Ludhiana for that matter, you know , there is a very high consciousness that if they have to compete or they have to be part of the supplier chain, supply chain of large players, a large manufacturing company, they have to keep the quality consistent and also make sure that they use the available technologies to be more productive . So, so that's a kind of an overall sprinting effect , we are seeing from the 23 market segments into our 18 divisions. All of them are doing well and Sridhar will explain to you further, that we run a debt free co mpany. We have put

the kind of cash on our balance sheet and we have good land bank around our plants. So for us to expand organically, which we are continuously doing and also we are spending more money on the productivity measures on the existin g shop floors by automating them . And future possible inorganic opportunities as they develop in front of us, whether they get initiated from the global side or we close some possibilities locally which will be the bolt on the acquisitions on the existing business model. So, our idea is that any inorganic opportunity should be pulled onto the existing business model, which should add more value to the customers we are serving . And while we look into that, we are also seeing certain new market segments which are emerging and we are focusing on that. It will take one to three years for their readiness to be big contributors to us, just like data center was four years ago. Now it is a big contributor. So, we are seeing some full 2-3 new market s egments emerging on the horizon, which we want to take benefit of as we go forward. So this is the where I will stop in terms of my entry point and then we are open for our discussions.

Amit Mahawar: Thank you Sanjeev, always interesting to hear you. So we will wait for a couple of seconds to the question queue images and I would request you know anybody wanting to ask question can straight away chip in. Thank you. Then please go ahead Yatin, Yatin from Fidelity.

Yatin Matta: Hi, thanks. Thanks San jeev and Sridhar . I just wanted to understand few years back you guys indicated a total addressable market whic

h was close to $5 billion and I'm excluding the power projects part because that has been divested from then on. How has the time changed over the last three to four years, specifically two parts in this one is that we have also increased, we have a similar product offering but we have also increased the depth of our product offering. And secondly, the overall market buoyancy has returned in India it seems after multiple years. So how are we looking at the overall macro market shifting for u s?

Sanjeev Sharma: OK, Sridhar, do you have a number or should I give the number I have off the top of my head.
TK Sridhar: Yeah, you can give a number, Sanjeev. I think it's more authentic when it comes from you. So how many?

Sanjeev Sharma: So you see so I think that's how we play , I give more directional i nput, Sridhar is more precise so. So I think in our in our outlook how we assess the market and that's how actually we make our organization chart. Our organiz ation chart is not how much revenue we do, how many employees we have. We put into the organization chart what is the addressable market. Each one of us are doing like say what is the consolidated number as country level and then it gets broken down to each of the business area and then to the reason because that gives the clarity and then you can calculate the market share out. So now with the current portfolio and the current market mix, we estimate our market sizes between $11 Billion to $12 Billion,

Yatin Matta: OK. And will it be possible to break it down between the segments?

Sanjeev Sharma: Well, I won't immediately have those numbers, but I think they are available somewhere. So, so w e can look at that.

TK Sridhar: Just to help you on back of the envelope calculation, right. Yeah. So I think should be the 70 % of our offerings come from our products. So naturally which is basically split equally or slightly between differences between EL and MO, which is electrification and motion, right. So if you take the $11billion -$12 billion is what Sanjeev was mentioning, right, 70 of it or 75% of it will come distributed between these two business areas. And then you have 15 % and all with 20 % from the projects, which is the process autom ation part of it and the balance

10% and 5-7% to the robotics portion. So th at's just a backup envelope calculation assuming that it is equally distributed.

Yatin Matta: OK, OK, thanks. Just second part to it is and this is a slightly more macro . There seems to be around $300 billion dollars of potential spend around energy transition. Now a large portion of that would be module, but energy transition and when I combined it with ES G, with the targets with the companies have that that looks like a reasonably large market. How much of this market play would we be involved in and in terms of base business, how much of base business would be coming from this piece so to speak?

Sanjeev Sharma: S o you're absolutely right. I think energy transaction is a big story and substantial amount of cash flows of the companies are being diverted there. Like for example only last week we closed a contract with a large steel major and in fact the key criteria for them to decide about was energy efficiency. In fact that was the only element which was taken for in-depth discussion and of course you negotiate price and set it at some point and that's the basis of how it gets concluded. So I would say, when I look into the large players who have been our traditional customers, be it in the chemical, oil and gas industry, steel industry or aluminum industry and cement for example , energy efficiency is on e of the key drivers for decisions and also in our process automation when we apply solutions or energy efficiency equation in terms of how much we are saving for them because that directly correlates with their G HG emission relative to the same amount of production

they carried out in
previous time is a strong factor. Maybe you can consolidate those numbers based on the multiple input, but I can talk more about the client behavior. I know of a large oil and gas company which is a global company. Probably one of their CE O's was also available last week in the B20 conference. They are spending about 40% of their cash flows in the energy transition with a view that they would reduce their fossil production by 40% of current levels and rest will be completely complemented with the renewable or low carbon footprint. So that 's the kind of an impact and a shift is ha ppening in terms of the future direction as well as the reinvestment of the current cash flows by the key customers that we have. So, we see that impact in our energy efficiency portfolio and process automation portfolio and that 's where we see . I'm no t able to assess the complete consolidated numbers. We have not assessed the market that way, but since we have a very stable market segment based as well as customer base sitting under it, so we focus on the client behavior as well as meeting their demands with the proposition we have.
Amit Mahawar: Thanks. Thank you. Then any other question.

Yatin Matta: Come back in queue. I have a few.
Amit Mahawar: Sure, sure. Maybe Sanjeev, I have one question till others warm up to it. S ee both the parent and you I'm sure have been very vocal about years of under investments in India in the past , and in maybe at least the last 1-2 years , we've seen statements from both the India team and the global parent talking about accelerating investments in India. So which are these segments where you will be keen and you 've touched upon some of this, in the con calls, but still if we take 2-3 areas where you would want to expand capacity, what would they be?
Sanjeev Sharma: I don't know, I 've not heard the comments that we have under invested in India by the group or if Sridhar has been taking private session s I don't know . Definitely we are not over invested in India that I can confirm because given that we have the 18 divisions in the country and all these 18 divisions are really fine tuned to the market segment which are relevant to them. And we watch the demand very closely and what we try to do is , our focus is always on localization of our port. So that's whe re the continuous investment continues to take place on our port. That means if you continue to reduce your import content and you continue to have a higher level of localization, 2 things happen. One is our product positioning becomes more competitive, our deliveries become faster. At the same time, we also have a good impact on the profitability .

So that has been our kind of a key focus for each of the division and they have been doing a good job. Now wherever there are gaps in the product portfolio like there is a product which is available globally and the Indian market or the Indian customer i s ready for that product , what we do is we keep bringing them and that ’s where we have been expanding our portfolio. And also where we find that enough demand has now been created for that product that's where we expand our manufacturing capacity and we start localizing it because then we have substantial volumes available for that particular product category. So that has been our approach a nd that's where we watch our capacity utilization and we also see how much bandwidth we have with the number of shifts that we can run in our factories , that determines how we should carry on with the future invest ment s. Now with respect to future investment s, as I said our balance sheet , both in terms of land availability and in terms of cash , is quite robust and we spend that money more meaningfully. We spend that money where we can think that ABB as well as our shareholders can get good returns out of it . Our return on capital employed is good at the m

oment and that's what remains as one of the criteria for us to choose those sides. So we have been expanding quite a bit on MO. We are expanding and spending quite a bit of money on EL and also in the pipeline , we have quite a bit of investments planned there already. A lot has gone in and a lot will c ontinue to go . What happens is a lot of investments go on to productivity improvement and that's our favorite area of investment, not immediately going for brick and mortar investments. One example is our factory here in Bangalore wherein now in the same soft floor we are producing 30% more in 30% less space by having p roper ly robotized as well as automated. So, we didn't have to construct another big and modern factory and show the capital expenditure there, but instead we do a lot of process improvements and ensure reliability of the deliver y statement. So those are continuous and these to our benefit are incremental investment s rather than big mover investment s. And that's where you can see the kick ups you are seeing in our profit abilities because we have been investing in a right way . Now in terms of expanding, we recently invested in a large GIS factory. Earlier the market used to buy air insulated switch gears on the medium voltage side. But now the market is shifting to GIS and we have invested quite a large sum there and it's a brand new factory. Our base factory is in Germany, but when our German engineers visit India because it has been done from scratch, this factory is the most modern factory anywhere in the world for manufacturing GIS switch gear of ABB . So that's the kind of benefit we have and once you establish that , not only the domestic mark et, sometimes our global guys can also get more motivated to buy from these factories. So that's the kind of investment we are doing. So E L, MO, RA, we have already invested a lot, but now we are expanding more on the application and the kind of the customer experience center . Because robotics for example, our investments are not to produce robots. Our investments are to really creat e client solutions and that's where we are investing a lot. A lot is coming in electronics manufacturing , a lot is coming in the precision engineering , a lot is coming in the different kind s of manufacturing sectors. So we are setting up a lot of new kind of centers wherein customers can come and experience it and experiment with us and then they become our regular customers as we go forward. So these are the few areas wherein we feel our investments will continue. And even in the certain sectors of process automation, we have some investment. And within MO because of the electrification of railways, there's quite an uptick on demand on our underlying portfolio. And that's where again we are considering expanding our capacit ies.

Amit Mahawar: Very helpful. Sanjeev from Kiran from Franklin. Kir an, can you please go ahead with the question?
Kiran Sebastain: Yeah, good morning. Thanks for the opportunity. So, I have two questions. I'll start with the first one. So, when I look at this whole electrical engineering value chain, I see that the p rofit pool has massively expanded over the last couple of years even like high voltage transformer companies talking big in terms of demand and margins are

expanding. So there are two parts to this , of course there is a demand surge and the supply is taking its own time to respond. But how should we think about it? Is the industry currently over -earning , not really specific to you , because you have very differentiated offerings in many of those vert icals. But the way I'm figuring out you know , on one hand maybe Europe is slowing down, maybe US will potentially slow down, domestic is holding up as of now. But again if domestic factories are only at the beginning stage of capacity expansion, electr ical consumption actually comes maybe one or two year s into t

hat cycle. So maybe there is more leg in terms of growth on the domestic side. So maybe your thoughts in terms of the demand side then maybe on the supply side, whether the industry is o ver-earning right now? Would be helpful.

Sanjeev Sharma: So you see just like our individual portfolio, as such each company they look similar but they also have very individual portfolio s and characteristics. So comparing one company and the other becomes a little bit difficult because of the characteristics and how we are in the journey of our development. It can be different from one company to the other. Now as far as ABB in India is concerned, we you know if you really go back even four years, we have been growing in our MO EL portfolio even if the market was quite stagnant . This is for the simple reason that we found certain pockets of growth within the country which w ere under addressed by us and we started focusing on those and that started bringing us good volume , so it depends upon which side of the equation you are. Now if you really look into the current situation, I think in all the 23 market segment and plus three or four more segments forming, I think that is the story of the country. Now let me give a bit of an idea. If I take you about say 18 years back in the market and industry, ABB used to be exposed even with Hitachi and everything. You know that power grid portfolio on about 7 -8 market segments, right, because we used to call that the core market segments or the core sectors for that matter. I think that's all, we like to define it in India and if those go up , our volumes will go up that t oo in projects and otherwise the value will shrink and the numbers will not look at two or three or fo ur years rounder and if the NPA side that kicks in because of those large investments. So I think that's something we have gone through. My journey with India started in about 2016. That time we were exposed to about 8 or 9 market sectors, right. So from a company perspective we have come a long way and also as a country perspective we have come a long way that a lot more market segment ha s got activated in the count ry. So that has expanded the market and we also started focusing on these markets second and started addressing those market segments. So that has created a much more resilient market space for us. At the same time we had certain business reasons which were quite marginal in size. We also focus on them. We made investment in them both in the leadership as well as in the space and they also have come on their own being by being able to address reasonable and good size of projects. So that also created a capability and capacity for us to be able to address different market segments but also with a good competence on the potential businesses which were undersized earlier. So that is another area which has been great for us. And the th ird area, the Indian market was foreseen as if it happens in Mumbai, Bangalore, Chennai or you know Kolkata and plus 100 kilometers. You know that was typical attitude as to how we dealt with the market. But in the last few years have gone totally into Tier 2, Tier 3 and even bigger, you know, deeper market s because the real formation of capital, real formation of wealth and real formation of entrepreneurs, machine builders, integrator is taking place in these c ities because cost of capital is low, the availability of the manpower is there and people are quite enterprising to be able to connect with anybody and everybody to supply. So this has expanded the base in a good way for us. Now if I look into it in the c urrent perspective, all these areas I go, I would say majority of it is on the high swing on the demand side and only there are minor you know corners whether it can be on a particular market segment or it could be a particular geography or it could be a p articular portfolio that's where you see. But those

are the ones which
peak and they plateau and then they come down and then they come back in. So that's a kind of an experience we have right now Kiran, but that's all that demand will sustain given India as a country is under invested - relative to the rest of the world. Rest of the world has a demographic problem in terms of creating a lot of manufacturing capabilities. India, if it plays its cards right, I believe in this journey . That's my view. I'm not looking at 2 years. I wo uld say it would be a decade of journey for Indian market provided you know we don't have any self-goals created in the policies. So that would be mine.

Kiran Subastain: And fair to say that the competitive intensity has been rather benign in the last 18 months or so compared to the previous 7 -8 years.

Sanjeev Sharma: Well, well, competitive intensity, you know let's say when I look at it, when we do a competitive analysis it's very difficult for us to do for 18 divisions. I can't do it at a company level because each one of them is exposed to different names or in competition, different size and different intensity. Really what really matters for us is that we are really focused on the right market segment and the right customers. And once we find those sweet spots, then the competitive intensity typically goes down. Because what happens is if you try to be everything for everybody, then of course you face the competitive intensity. But if you're very selective and you know exactly the customers who respect your proposition as well as your portfolio, then the competitive intensity states stays moderated. That's what we try to do. Not all the time we succeed, but most of the time we do.

Kiran Subastain: So the way you define these m icro markets, in these markets, your shares would be in the 30 % ballpark or maybe 10 %, what's the kind of number?

Sanjeev Sharma: I think. So we'll have to see each division, right, for that part of it. So , I'm representing ABB India Today in this call, but I'm representing 18 division and 18 business leaders, right. So some total of those results is ABB India, right. So if I had to drill down, I drill down on each business division and in each business division we have different product lines and all of them have their own business models which are exposed to different competitive and different market share intensity. But quite frankly when we drill down and we look at it , we feel we have quite a good runway ahead of us.

Kiran Subastain: OK. And my second question was on this PLI theme : how big is this in the scheme of overall CapEx, how big is this PLI as a theme . And also would you like to share some of those new markets you are thinking of entering, are they related to this theme?

Sanjeev Sharma: Sure. So PLI is being enjoyed by our customers and we get th is sprinkling effect on us with in our po rtfolio because PLI people are encouraged to expand capacities at scale and when they expand capacity at scale, naturally they look for products and solutions which are reliable, available, maintain able and also our services. So that's a sweet spot for us and our reputation there is quite good. So that's where we get the benefit. Now when it comes to different PLI sector s, I think they are being aided , electronics is definitely one of them and the food and beverage sector, we see quite a bit of expansion of that particular market segment for the same reasons. Now the news market segment and the data center, I don't know whether they a re in PLI or not, but that's something which has become a substantial market segment because anything which has a very high energy density is a good customer for us, whether it's a petrochemical plant refinery because these guys consume a lot of energy and that energy is used in the electrical form and to run their processes so that becomes a good place for us to place our technology and equipment. The d

ata center is also one which is nothing but power flow to servers and their server density is very high. It's almost like connecting a resistor in front of a power plant and the distribution of power as well as cooling all those aspects . And then of course we have the size you know customers in pharmace uticals and the new technologies which are being brought up . Now in the new areas, hydrogen for example, I think that's on the experimental state and that's part of the energy transaction. Electrical

vehicles or EV space. We the EV charging or the EV space wherein somebody is trying to create battery modules for say , EVs and not with the Indian ambition, but a global ambition and using new materials ,but then those materials cannot be handled manually. They need robotics to kind of deal with it . So that's creating a special solution which nobody has created before. You get into those kind s of areas, you get onto the drawing board, create a solution and that company then tries to provide those solution s to the local as well as the global industry. EV is another area which is in progress and it is working. Battery manufacturing, of course, it's correlated with EV, but it's also correlated with the energy storage for the future, once we get the equation right. It will also go into the energy storage distributed around the grids or maybe around the large compounds of things. And also the new technologies will be required like for example if you produce say very large solar energy next to a refinery. So what you do is some of your feed stock which you are using to do the captive power generation that will be replaced by the solar e nergy. But then you will still be creating excess solar energy which can be used to produce green hydrogen. So you can set up another green hydrogen plant next to it. And once you produce green hydrogen, of course you can again put that as a feed stock to your plant, because again, you can use hydrogen as a green stock. Then you may still have excess energy because solar energy ’s capacity is very high. Then you start bringing the big battery banks which are lined up to the peripheries of the plant and what you do is you store those. And then anytime there's a power shortage, you can use the peak node shaving by using these battery banks or keep feeding the grid and continue to gain some kind of tariffs . So, these are the solutions which are yet to be told and this configuration, some of them are very unique to India. And now we are being challenged by our customer s to work out some solutions which require a automation and the management of these resources and the timing of it, how you manage it, how the energy flow should take place. So that the plant side remains stable, but at the same time you prioritize which energy to us e at what time so that you make the maximum benefit of the low carbon intensive energy. And s o I can go on. So there are many such areas wherein we are exposed to. So that's where you can see after a level of 10-20 years and not so high development in the core technologies, now it's a good time for the core technologies to be not only use d as they are, but also to be redefined how they will be able.
Kiran Subastain: Thank you. That's it for me.
Amit Mahawar: Thanks, K iran. Anuja, you can go ahead with the question.
Anuja: Yeah. Thank you for this call. Overall, the question Sirs, is on profitability over the next 2 -3 years. You know, given that you're doing a lot more, innovative work across your customer segment, does that mean that profitability improves? And the second question is, obviously, India may benefit if it becomes a large manufacturing hub. But from the parent perspective, are there , propositions to kind of make ABB India as a manufacturing location? And for what kind of products or technologies is the parent really focused on? These are the 2 broad questions.

Sanjeev Sharma: So secon

d question I can take Sridhar, do you want to take take a fall on the properties?
TK Sridhar: I think Sanjay, you take the second question. I'll come with the answer for the first later. So because then it has a sequence.
Sanjeev Sharma: Yeah, I go with them. So, see as far as you should know the I can be very open with the character of a multinational corporation, multinational corporation, is it already present across the world, right. So we already have substantial manufacturing in all the markets which are relevant for us , whereas we are in India becau se we are very interested in India. So that domestic market is core focal area for ABB in India and that's how exactly we have been growing and how we have been reshaping ourselves over the last few years and to a certain successful degree. Now going forwa rd, our view as a local management team as well as global team is to continue to sophisticate our manufacturing operations in the country, not on the labor arbitrage basically , because that's not the right way to look at it because labor arbitrage goes awa y after this. We are

looking at keeping the labor arbitrage but also creating a very large productivity arbitrage for the future. So those are the things we are testing out on our shop floors as well as manufacturing and we need to get to the producti vity level as high as anywhere in the world. That's our focus at this point, right. Once you have the productivity arbitrage as well as labor arbitrage then it becomes quite easy to integrate such factories with the global supply networks for a di fferent market. So that's something we are seeing already , certain manufacturing expansions have taken place in last 2-3 years , which is 50% domestic oriented, 50% export oriented and that has been quite successful experiment. Those are the experiments we keep on doing because global markets have very stable market base, and they are used to buying for certain factories. So as in when the market s start accepting products delivered from India, those markets we keep opening and those markets we keep taking advantage of. So it's a journey we will perform. But in terms of % of export, my view is that the domestic market growth will be stronger than the export market, not only for us but for the export market as a whole and % wise, it may oscillate around 12 to 15% because the domestic growth may be much stronger.

Anuja: It's just in terms of the competitiveness, where does the Indian factory stand at as compared to say some of the best factories for ABB around the world? Like when you say the focus is on improving the productivity levels?

Sanjeev Sharma: So I wou ld say scale matters. So competitiveness comes if you're running a factory in Italy which is 10 times my size and which is fully automated, naturally that scale gives the benefit to that location and also you have the supplier base which is connected close by. So what we have to do is when you create a scale, you also create an ecosystem around those manufacturing locations and we should not overstep there. What we do is we always stay very relevant to our customer s. So this ecosystem in certain areas is already developed in the country and there are many areas where it is yet to develop, like for example power electronics. There's no supply chain available in power electronics in India for that matter. I hope PLI invites certain customers who become power electronics core producers in the country over a period of time because that goes mainly into energy efficiency equipment, EV charging equipment, solar inverters, lot of other areas, power electronics is app lied but that ecosystem is not there. So it's much better to produce that core electronics close to the point wherein that solution is available at a scale and distributed to the rest of the world. But if I put a time mark of 5-10 years, I think it will, it will change substantially in fa

vor of it.

TK Sridhar: Thanks Sanjeev. And I think to come to the next question of expansion of the bottom line, right. So I think first of all, all these actions what we have taken till now or the past in three to five years has started to show its positive attraction on the margin so far, right . Come in a couple of years before and after the post code, we started to say give a commentary that we would like to stabilize at a double digit PBT level which is the profit before tax. And we have done that con tinuously for the last at least four to five quarters. And now that with the consistent flow of orders and our ability to command the price in the market for the special offerings what we have and also the market expansion topics at what Sanjeev had built upon earlier , has definitely given us a good mix of orders and a profitable scenario of what has actually happened in the last few quarters. So therefore it has actually now we are able to transaction that into a good profit expansion even at the pad level , right. So I mean for the last two quarters we have been giving a double digit profitability at the profit of a tax level and I think it's quite necessary that while we have a scenario of the market which is developing and we have the elections also comi ng in the next quarters , I think it is reasonable for us to have an ambition to say that we see stabilized on this double digit profitability of the bad % for the next four to five quarters because we have a stronger order backlog at this point of time, which is 7700 crores and a bulk of it is also coming from projects. So while we have a good visibility of revenues, there is also something to add with the book and bill orders what we will receive in the next few quarters from the market. So I think all these playing out, I would suggest that while it is good to have an ambition for market under profit expansion, it's more important to have a credible run on the profit after tax for the next few quarters so that we are able to stabilize That's has been our sort of a mantra so far and we would like to follow it consistently so that we are able to meet the consensus estimates as what you would have built in for us.

Anuja: Sir, if I may like dou ble digit can mean a lot right in that

TK Sridhar: No, I am talking of in the range of say 10 -12 as what we are at this point of time.
Anuja: And my question was more longer term, right, like as we move towards say you know some of the newer technologie s like energy efficiency, energy storage, hydrogen, does that does that really bump up profitability because some of those innovative technologies or solutions may be only provided by AB B and not by some of the other companies that are present. So more on a structural basis and I understand you're talking of a, shorter duration here .

TK Sridhar: So I think Sanjeev you can give a more ambitious sort of direction and but I could give you a direction on the CFO standpoint, OK. So as wha t Sanjeev was mentioning, so we have 15 % of our revenues coming from exports and 85 % coming from the 23 marked segments locally, right. That's basically a given fact, and we would like to stand by that, so what comes from the core sector is still 50 to 55 %, right, which is your cement, steel and sort of stuff which always is the core which is high, because we have an installed base, we have products pretty much suited and also while we are definitely focusing on the high growth sectors which forms the next 40 % to 45 %, right. So the trick is, how do we balance this particular portfolio, right? Can we sort of only focus on the high growth sectors and not or focus less in the core sectors, is something which has to play out. So for us, I think core sector will still remain a key market and in that particular market , so naturally the profitability is not an ambitious range or a corridor which we could expect becau

se it's more
in the open to a lot of players there. But whereas the other faster growing sectors are something where our strategies are working out and that will also continue for the next few months, a few years to come, right. So having said that, that's why I said I think I'm breaking it at in a corrido r of 10 to 12 %s and expanding it later on could be a more realistic assumption rather than sort of picking it at a higher % than that. Right. So and not to forget that we have certain topics which have to be dealt with in the country in the next year to come. So I think we need to also keep that in mind. Sanjeev, over to you if you want to add some color to that.
Sanjeev Sharma: Thanks. So you know I think it's a good question and you can see that our portfolio change in 2019 has led to this kind of a step change in our performance and also our exposure to more product and ETO oriented business . MTO, MTS is the made to order, made to stores and the ETO is engineered to order which we use our own product, create more value added and then send it out as it finished the product which can be used by an OEM or an end user. That is about 70 %+ of portfolio. Now that's a function of the market strength. If the market stays strong and the volumes continue to rise in that area and we keep on putting measures on the productivity side while we kind of take those vectors, those directly go into the bottom line minus you know whatever money that we will kind of spend for acquiring those additional volumes in the new segments and the geographical market. So that's something which is a positive story b ut if the market slows down that's where it can it stay, the numbers remain at the same level then it starts plateauing. I think that's another element one has to watch for. And then the service business again is a robust business because we have created t his kind of a install base for last 60 - 70 years that requires a lot of attention and service. So to keep it more productive and reliable that's about 10 -15% and then remaining is project. So that means when you carry this mix in a growing and a strong market,

unless nothing happens to the market and it stays with the trajectory of 6 to 7% growth , I think we are on a good part. Predicting future is very difficult, predicting profitability is even more difficult, but I think we can only look at the trajectory of it, where it is going and try to keep ourselves on that trajectory path.

Anuja: Right, Sir. Thank you.
Amit Mahawar: Thanks, Anuja. Neeraj you can go ahead with the question. Neeraj from I took,
Neeraj: Yaa, Hi, Sanjeev. Hi, Sridhar. Thank you for taking the question. You know, coming to the trajectory of growth, you know just one question on the order inflow, we've seen it coming at about 10% in the last quarter, which is you know substantially lower than let's say the average of the last 7-8 quarters. So is this a more sustainable sort of run rate as we have seen commentary for many players in terms o f mentioning customers normalizing their ordering activity which might have been sort of higher due to supply chain issues, there was advance ordering, inventory levels are normalizing. Is this sort of a more normalized, or should we? I understa nd quarter to quarter doesn't make sense to look at, but on a n annualized basis, is this sort of 10 % - 12% a normal run rate to look at going forward?

TK Sridhar: OK. So Sanjeev, so but I think I'll just give a bit of a color then you could add from the m arket perspective. So Neeraj I think the question which you asked is why 10 % now while you were growing at 20 % earlier quarters, right. So that's a question. First to answer, I think the first thing is that when we need to compare, we need to compare with what was the last quarters and the last quarter as we said was a really high base and in spite of that we grew on 10 %. So if you normalize that parti

cular base for the last year. So probably then we would be feeling that we would have grown at higher percentage right. So on a cumulative basis for the half year, we are at 22 % as what you would have seen. So now going with, I think if you really look at how AB B has its patterns, of course, the first quarter because the industry is looking at a quarter of the last financial quarter of their accounting period . So normally the decisions are pretty fast in the last quarter of the year which is Jan to March, OK. So then the next quarter which comes up and then until you have any large orders with spillover then the base order seems to take a bit of and slowness because it gets decided on the budget which rolls in from that particular for all, all companies and all organizations. So it's a bit of a slowness and then it starts to pick up and again in Q3 slightly and then sort of peaks up in Q4 which is our October to December quarter and then again gets into the sort of a crescendo in the next quarter which is Jan to March and this is a cycle . And if you look at the order patterns over the years and this actually you could see it. So now the c oming to the question is right, is this 10 % of order growth is going to resemble the what the future intake is that your answer to that is today I will not be able to predict to you that whether it is going to be 10 % or 15% is going forward, but actually we want to make sure that every quarter we go a double digit between 12 % to 15 % and that's what we have been saying because with the spread of the orders between the fast code sectors and the core sectors and then exports what we have, I think that should be an reasonable scenario to look for.

Neeraj: Understood, great. And just one more question for me is you know we're hear ing obviously a lot of talk on government push on CapEx in specific sectors like railways which you spoke a bit about as well as investment in renewable power generation, transmission, distribution so if you can just touch upon, you know, what is the scope of growth for us in these specific sectors?
Sanjeev Sharma: So well yeah, go ahead .
TK Sridhar: First of all, Neeraj we don't give anything which is basically specific to what is the growth on these particular sectors, I think. So, we always give a clear sort of a direction as to how those markets are giving some meaning for our growth, right. So, Sanjeev, you could complete it

from there.
Sanjeev Sharma: So, the investment that is being made by the government in the rail way modernization railways, one is to really electrify all the tracks so that is a big mover and that is causing quite a bit of expansion and moving away from diesel. That's again another energy transition story at a very last case in railway s. And then we are having the new locomotives as well as new trains. So, we have a plane , all of those elements and we are getting, benefited out of it. Same thing goes for the metro expansion as well. The metros a re expan ding in the city then o ur portfolio goes in there as well. Now when it comes to other area s like city power distribution, I think given the urbanization which is increasing, one of the side effects , I think not many people talk about and realize about the smart city projects which were being talked about is how to really have a framework for power distribution in dense urban cities or Tier 2 cities or tier 3 cities. Earlier , the technology was not in play in order to assure that the feeders going to the residential colonies as well as industrial colonies should have a stable power. There used to be uni -directional power flow. Now it has a kind of fail-safe technologies which are there which feeds into industrial as well as residential corridors and that's where our technology comes in play and it is not visible. But then if you are in Mumbai or you are in Delhi or you are in Bangalore, you'll see thos

e

technologies are getting added into the into these and all states have realized it and all cities have realized it and we see quite a bit of uptake there. And also on the building side, when you have the more expansion taking place on the building side , there again I think a good amount of our EL and MO portfolio gets consumed. So, the government led investment of course ha s a direct way. But also, a lot of investments which are being made or encouraged in different other sectors , they also have the indirect effect. Quite frankly, it is not of our much interest, and you should give us a little bit of a discoun t there. We don't over analyze our customers. What we do is we really connect with our customers, and we see how the demand is forming at the feet of the customer. And that's how we go about, kind of capturing it. Be it an end user who is directly buying from us or it could be a contractor who is delivering for a project for them. It could be an EPC which is doing the complete execution of it or it could be OEM which are building machineries which will find their place in that plant. It could be the road building project, or it could be kind of a railway project. So, we capture this breakdown of such a kind of you know the head investment into different market segment which you focus on. But quite frankly we don't over analyze we simply stay connected with the customer base we have we also watc h which are the other customers which we are not you know cannot be, we are not referred to our expanding and that's how we continue to go. So, we do some analysis, but not we don't do our analysis.

Neeraj: Sure. Thanks a lot.

Amit Mahawar: Thank you. So maybe we will take one last question if somebody wants to come. I think one or two last question, Sanjeev, I think, yeah,
Yatin Matta: can I, can I go?
Amit Mahawar: Yeah, Yatin, please.
Yatin Matta: Yeah, Sorry, just on the profitability piece and I'm so sorry, I'm repeating some part of it, but just do it just for the seasonality. If I see H1 this year versus H1 of last year, 35% of incremental profit has come from other income, which is interest income and of course that's because we have had a higher cash generation which has come through now given. Our business is slightly more short cycle and given how the commodity has moved over the last six to seven months, how are we thinking incrementally, specifically one in terms of RM and RM to say is because that has been stable now for 3/4, but with commodity coming down, we'll probably have to pass on some of the benefits to the customers. And second, how are we thinking of overall underlying operating leverage in the business.
TK Sridhar: Okay . So Yatin let me give you reply for that question. So I

like that question. So you have a lot of other income, I mean other income which represents then large p ortion of income from the interest which is earned out of the deposits. So is this going to be a permanent source ? Answer to that is no, right. Then I'll tell you why . Because it could definitely be the capital allocation which is one of the top most topics or priorities between me and Sanjeev and the group as well, right. So then when this gets invested, probably it gives us more than you know 7 -8 % is what we have on the top line because that's the rate which you get from the de posits what you have, right. So that having said so, I have full confidence that once if this gets deployed it should only improve and not deplete number one. You are on a long term basis, so initially even it takes some time for the investments to pick up. So but at least you have that right. So now there are two questions. So one is you know what do we do in this transition period when the capital which you invest starts to earn , number one and number two, is that so with this 64 % as what you're looking at as a material cost going to be there or is it go

ing to be this thing ?
So I think it's a play of the market, let me put it this way . If you look at our markets which is 15% exports, exports is definitely a better revenue profi tability generating segment as such , but if you look at it from the other 85 %, I think their E L and MO definitely have their market position. Therefore, they are able to command a reasonable price for their respective shares of business and so far I think we have been successful to pass on the risk which we see in the commodities and the Forex volat ility as what we said to the market and that has started to stabilize because that's also reflecting the scenario that the commodities and other prices are stabilizing other than the Forex which is volatile at this point of time, right. So my take is that first of all, I think our target is to make sure that we remain in this corridor of 63 .5 - 64.5 on the material cost irrespective of what it is and control our expenses with the capacity leverage which will actually add to the profitability, right. So in a nutshell, I think if we are able to practice this for the next few quarters I think that exactly connects to my earlier question which to Anuja saying that our ambition is to make sure that we have a credible bad % of 10 to 12 % is built on the fact that we need to address this as well, right. And as you rightly said whe re you are, you will you be able to manage this price increase going forward ? I think answer to that could be no because it would has to plat to at some point of time when you have the prices stabilizing as such, right. So our target is therefore to maint ain the 64 % corridor for material cost with the mix. And with our ability to command a better prices and the choice of markets what we want to go in right and the balance is to leverage out of the capacity expand leverage what we have on the op timization side of it, right. So with those particular principles in place, I think we would like to look at a material cost range of. 63-64 in that particular range, right. So once it starts to go beyond it, probably it has an impact on the bottom line as well. So that's something which we need to be watchful of.
Yatin Matta: Second , you know, just continuing with this portion you mentioned to Anuja that you were looking to sophisticate domestic manufacturing. Now that will not be a labor arbitrage that would be probably more technology intensive. How do we look at your medium - term employee cost because one, availability of talent, is there enough talent in the country for us to achieve that? Second, how do we look at our employee cost? Is there any restriction which we'll be looking at or we are okay to invest for the future?
TK Sridhar: Sanjeev, you w ant to take it or I could take it and then you could complete it, right. So, okay , with respect to the cost, I think we are at, a band of 8 -8.5% or 9% , that's what you would have seen over a period of the last few years. I think if your reve nues start to keep increasing at 12% to 15 %, I think we are confident of maintaining that between 8 .5- 9%. That's what we see, right? That's very clear. I think in terms of retaining the people, we are pretty much on line in retaining those who are required for the organization while healthy attrition is also good to have, right. So that's basically what we see in terms of salaries , I think we are in line with the industry as what it is if not definitely the highest paying as what one would say in the engineering industry. So that's something

which we need to be aware of. So given that, I think Sanjeev, if you want to do some qualitative rounding upon that.

Sanjeev Sharma: So labor as a component, I think for a company like ABB is very important. We don't see it only as a cost element from my perspective. We really see it as an element which can really deliver what we promise to the customer but that's what keeps ou

r forward cycles
ongoing or customer loyalty maintained. So we always ensure that the people we retain , we train them well and they are quite sticky. So typically we find that the people who have stayed with us five years and more, they have a longevity and I think we answered now when it comes to the general market, at this point of time , the labor policies or the labor dispensation across all the manufacturing location s we have , is quite supportive to what we want to do. I think we are able to get the mix that we want in our manufacturing location both with the nature of mix we want and also how much we want to get done outside. So one of the elements of manufacturing is not that everything should be in -house , one of the leverage s you always do cleverly over a period of time is , what is core and what is noncore . What you do is you continue to maintain the core inside your own premises and you spread out the noncore to your supply chain. But if I see the last 10 years , a lot of handling is done by that because that got distributed to our supplier. So our fixed cost becomes variable cost over a period of time and then as the volumes expand , you add more people and when the volumes contract you have an ability to reduce the variable cost very quickly because that's very contract. So that's one way to manage it. The other part is that talking about the talent availability , I think we have a lot of people availab le in this country. We are not s hort of that. What we need to do as a large corporate is to have very strong training programs in place and that's what we focus on whether it is at the electrician level, or the ITI level. Only last week , we open ed an ITI sponsored program in Bangalore. So , in the culture we have , we continue to create a feed stop of trained manpower coming in because most of the people who come from basic education al qualifications or even sometimes engineering fields are not ready for the industry. And that's where our responsibility comes beyond profit, and other aspects to really make sure that we create meaningful engineers, technicians and shop floor employees. So , for that , I think we have been fairly successful when it comes to the attrition part . Attrition has been on the high-end side of the employees , maybe in that digital area say the last two years it was very hot, but now it has moderated out for that matter. It was only very few talent pool bands which were overheated in the marketplace, otherwise on the generic manufacturing side of it, it has been quite stable. As mentioned, this is not an area wherein I really lose my sleep on at this point of time .

Yatin Matta: One last comment, not a question. I think it's commendable that we have done India specific ES G and we just hope that we continue to meeting our targets there.

Sanjeev Sharma: Well, thanks for noting that and acknowledging it's a topic which is really close to our heart , and we don't do it because we have to prove something to someone . We do it because we know it's the right thing to do because once we do that with the right intention then we spread out that sentiment across the company and that's why it's very well ingrained in all employees , all across locations. Thank you. We have programs for next few years. So we'll continue to be a part of that.
Amit Mahawar: Thanks. Maybe Sanjeev you want to take one last question and then we conclude the call.

Sanjeev Sharma: Yeah, raise hand from Anuja.
Amit Mahawar: Anuja, you have a question.
Anuja: No, I think that's the previous one. Sure. Sure.

Amit Mahawar: So maybe I'll just ask the partial question. If I compare the EL portfolio and if I compare with som e of your global competition like Schneider and Cements in India, we have a dominant position in medium voltage . High and extra high is no more our game. What are those areas where you know, Sanjeev if

you would want to, I would not call aggressive, but we want to be more present product -wise and market -wise in the low voltage where we have gaps ? Thank yo u.

Sanjeev Sharma: So , in EL we have a portfolio starting with the medium voltage switch gear and that's where the big transition of AIS to GIS is taking place. So that's where we have made substantial investments. Most of the industries as well as ci ties today, want to have a smaller footprint where they want to put their power module. So that's where GIS comes in handy and that's a big growth area for us and those investments have been made in the right place and expansion has been taking place. So , we hope to take benefit of those things . Now the other area in the ER is the city power distribution as more urbanization is taking place. So that story plays in favor of our medium voltage switch gear or ELDS data centers . I think we are just at the start of the journey , given how much digital content we consume and the need for localization of data. I think this is a very, very long story because I have watched it grow in Southeast Asia many years ago. So India is bound to see a very large growth in that area. So that's another sweet spot fo r us especially with the ELDS . And when it comes to ELDS or the Media World portfolio, we also have the Tier 2, Tier 3 city expansion. That's where we are creating more and more channel partners as well as integrators. They do the value -add services for us, for our customer by using our design . That's another area where we are expanding . And that creates more resilience rather than everything we produce in our factory , we produce core components and we give it out to our channel partners and integrators and they do more value adding close to the customer. We have a leading position in that business now . It is primed for supporting global businesses on the export side so the gl obal managers already have a lot of confidence in those factories. So that's another play that we see is going to accelerate for that . On the low voltage side, we have seen a quite a big uptake on the productivity side or low voltage with gear business. And there our volume growth, profitability growth is pretty strong , and we have competitors who have consolidated in front of us. But at the same time what we find is that the uptake of our product is very strong in that particular market. Now the other area in the EL is the city power distribution as more urbanization is taking place. So that story plays in favor of our medium voltage or ELDS Data Centers for that matter. We don't pay too much attention to it. We only pay attention to where our products and services are demanded and can be useful and that's where we are seeing good traction. And we are also seeing that with the productivity and the modernization methods we have taken , that is making us to be the more reliable supplie r in the marketplace at a very, very short response time. I think our response times have reduced dramatically. So that's where the confidence in the market comes, that if they want a component that comes from those factor ies, they can really get it very quickly and that also creates loyalty as well as the support over the price that we request in the market. In the same way we have another lower segment which is the building segment wherein more building oriented products go . That used to be a sub optimal business but now it has substantially grow n. In last year, it doubled in terms of the manufacturing output. So it is supplying very well in the market and plus also had export market allocations into certain markets in the West side of the country and that is also playing quite well for us. So I would say on the year side overall the growth rates and the robustness of the market connect is quite good for us and quite frankly we are not competing . We are really competing o urselves

from the last year of our behavior to new behavior that we have this year so that we can do better than what we did last year. So we are not saturated there this year good, good runway ahead of us. Motion side again is the energy ef ficiency portfolio and we mentioned early, I will repeat that's in the sweet spot of this season making of all the customers who are ESG and sustainability conscious and everybody who wants to have more reliable product. They continue to buy

ABB drives as well as motors and there are certain segments of the market wherein, they don't even look at the competitor. They only want ABB especially for machine builders who are exporting, and they buy only from us because they feel they have a reputation to protect outside the country. So we have certain products of ours which have 100% of favor in the minds of our customers. When it comes to robotics, manufacturing is expandin g. I have already told you that that's the area we continue to expand and process automation. Again now the poor sector has started kicking up whether it's cement, steel, chemical, oil and gas distribution, blending areas. So a lot of derivatives are being planned there so we are getting good traction in those markets . The Indian Oil Corporation or other private players are expanding in those areas as well . So overall I would say it's one of the unique periods where all 18 division s, all 23 market segments are positively inclined. And I would say some new market segmen ts are growing 15% plus , some mid mature segments are growing between 10 % to 15%. So called ’core’ segments are growing around 6 to 8% and they are joining the party right now and that's where our maximum volume comes. So if those well kind of s egments also kick up and they really bring the volumes which they have not brought for last 7-8 years because of the NPA's, they were subdued and they start joining the party and more expansions take place. I think we'll have a very robust market going forward. But that's our view today, but we don't know the markets and the other things that will show up next year or the following year, but we follow very close ly with our customers. So we adapt as we see the customers ’ strength or customers ’ weakness in a particular market.
Amit Mahawar: Yeah. Thank you, Sanjeev. Thank you, Sridhar. We will now conclude this call. And thank you once again for great color and your time. Thank you.
Sanjeev Sharma: Really nice talking to all of you. Have a good day. Thank you.

Call: Nov 2023

ABB India Limited
Registered and Corporate Office
Disha - 3rd Floor, Plot No. 5 & 6, 2nd Stage
Peenya Industrial Area IV
Peenya, Bengaluru – 560 058
Karnataka , India CIN: L32202KA1949PLC032923
GST: 29AAACA3834B1Z4

Phone: +91 80 2294 9150 – 54
Fax: +91 80 2294 9148
Investor.helpdesk@in.abb.com

www.abb.com/in REF: INABB:STATUT:LODR:ANALST_TRNSPT: November 14, 2023

BSE Limited
P.J. Towers
Dalal Street
Mumbai 400 001
(Attn : DCS CRD)

Nation al Stock Exchange of India Ltd
Exchange Plaza, 5th Floor
Plot No. C/1, G Block
Bandra -Kurla Complex, Bandra (E).
Mumbai 400 051

Attn: Listing Dept.
Dear Sirs
Sub: Transcript of Analyst concall

In continuation of our letter s dated November 3 , 202 3, and November 9 , 202 3 we are enclos ing a copy of the transcript of conference call with analysts, which took place on November 9 , 202 3 post announcement of Q 3 results FY 202 3 of the Company.

The said transcript is also uploaded on the Company's website.

Thanking you

Yours faithfully
For ABB India Limited

Trivikram Guda
Company Secretary and Compliance Officer
ACS 17685

Encl: as above

"ABB India Limited
Q3 CY 2023 July to September Quarter Conference
Call"
November 09, 202 3

MANAGEMENT : MR. SANJEEV SHARMA – MANAGING DIRECTOR –
ABB INDIA LIMITED
MR. T.K. SRIDHAR – CHIEF FINANCIAL OFFICER –
ABB INDIA LIMITED
MR. KIRAN DUTT – ELECTRIFICATION – ABB INDIA
LIMITED
MR. SANJEEV ARORA – MOTION – ABB INDIA
LIMITED
MR. BALAJI – PROCESS AUTOMATION – ABB INDIA
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to ABB India Limited Q3 CY 2023 July to September Quarter Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touch tone phone. Please note that this conference is being recorded and any unauthorized recording of thi s call is strictly prohibited. The recording will be made available on the company's and SEBI's website subsequently.
I now hand the conference over to Mr. T.K. Sridhar, Chief Financial Officer of ABB India Limited. Thank you, and over to you, sir.
T. K. Sridhar: Thank you. Thank you very much. Very good afternoon to all of you, ladies and gentlemen. Thank you for attending this particular call, which is in a very short time. I mean the reason for that is , I know we're all entering into Diwali vacation. So we said that Friday could be a good day for all of you to start enjoying the vacations. That's why we said even it's in short time, we complete it today.
So we just completed our third quarter Board meeting. So we have released the results plus the presentation on the Web. I hope you had a chance to look at it.
So now in the call, I have Mr. Sanjeev Sharma, Managing Director of ABB India Limited; and Mr. Sanjeev Arora, who represents Motion; and Kiran Dutt, who leads Electrification; Balaji, who represents Process Automation; and Subrata Karmakar is not available . He is on a customer visit. Therefore, we have these people on the line.
So without wasting any time, over to you, Sanjeev.
Sanjeev Sharma: Thank you very much, Sridhar, and good afternoon to all of you. Thanks for joining in. I'll give you a very quick overview about how we saw the performance for the last quarter. And we will take the questions later on after the financial s are presented by Sridhar.
So ABB as a company, as you know, in India , we have four verticals. And within these four verticals, we have 18 divisions organized, which are active in the country. We operate with five manufacturing locations. All of them are IGBC green certified, either platinum or gold. And we also have significant ESG programs running and you know, over the last two years, we have made significant milestones there. We operate 28 sales offices with 7 50+ partners and growing. And our penetration in Tier 1, Tier 2 cities is direct as well as through our partners who are taking us to a much larger customer base . This slide is how we look at the market and the different maturity of these segments.
So what we have on the top of the S curve, the Sustain segment, wherein you have this classic market segment we are present for a very long period of time. And this is where bulk of our volumes come , but at the same time, in the current markets, not all of these market segments are growing at a very high rate, but they are growing between 8% to 10%.
The ENHANCE are the market segments we discovered a few years back and this is where we made significant efforts in the last few years to gain traction. And these segments grow between

10% to 15% for us. The segment itself grows at that rate and the business also reflects in the 18 divisions who are relevant for this segment.
The focus segments are the new segments, which we may have started recently or over the last couple of years, and we have seen significant traction. So the rate of growth of our business in this segment is very high. These are the segments ’ information.
So, combination of focus and how it sustain makes our growth story , and also our ability to operate 18 businesses in 23 market segment, that gives us the underlyin

g resilience to our
business model when we present results to you. And cyclicity of one segment or the other gets compensated by the segments, which are on the up curve and vice versa. So that's how we see all the business that has been coming to us and how it's sustaining for us.

Theme of this quarter, every quarter, we take a theme and we take a deeper dive. And we have taken railways and metro, a deep dive from our perspective and also what's happening in the country. As you know, we operate fourth largest railway system in the world, in India. And investment in railway is expected to grow at CAGR of 15% for the next two years and more. Railway infrastructure itself is attracting $715 billion by 2030. And largely, it is based on the electrification of the railway network, adding the freight corridors and also bringing in new trains, which requires higher speed. So everything is into the upgrade mode when it comes to the rail infrastructure, both on the freight movement, as well as the passenger movement with more modern, more comfortable and much more high -tech technologie s that going into that system.

So we are also equally exposed in the metro network, which is existing at the moment in 15 cities. And already, seven cities have 640 kilometers of it under implementation. So, we do see that this particular segment will continue to grow in a country like India . And I think we have a long runway and long highway to enjoy in this particular market segment. And our technology, both for the passenger trains as well as Metro, they're well proven globally.

Being a Swiss company, I think these technologies have been fine -tuned and optimized over a period of time. They work for the best of the systems. And Indian systems are also enjoying it and preferring ABB systems going into these trains and metro systems.

Now key drivers are, of course, passenger and freight traffic. And we do see that quadrilateral network of high speed train is going to augment it, modernizing of 1,275 stations, dedicated freight corridors, Gati Shakti cargo terminals, Vande Bharat trains, all are playing into our portfolio.

One has to also mind that these trains run for a long time, and the expectation of the owners of the metro and the train system is to also service them for a long period of time, and that also passes to our service business volume for the future. And that is very consistent, a nd that's going to be quite stable for us as we go into next year.

So, our orders grew 14% from both emerging and traditional segments compared to last year. Our revenues are up 31%, achieved through all our 18 businesses really executing well, and you

can see the rhythm in the company and the businesses, through the entire value chain, be it bringing the orders, converting them into revenue and converting that into cash. I think that machine is working reasonably well for us. And also given how we are executing and how our books have been and the efficienc y of conversion , that is showing in our profitability after tax, which grew by 79%.

We continue to focus every month and every day on next level of ESG achievement. And we do it not to show a PowerPoint slide, we do it because this is the right thing to do and that's how our management team sees it. We have already achieved ‘Zero Waste to Landfill ’ certification for the Nelamangala factory. You may have noted the other certification we got in last many quarters over the last two years.

And we also achieved a waste recyclability of 95% and water recyclability of 50%. And we have an ambition to continue to improve these parameters, and we have very specific plans for each of our locations and each of our factories. And of course, we are en gaged with 1,700 customers across 12 Tier 2 and Tier 3 markets. And that is something which is discovering new markets for us, new customers for u

s, and that's where some of the growth components, which flow
through our orders , is coming , because we are r eaching out much, much deeper into the country. We are quite surprised to see the resilience of acceptance of ABB technology as the quality and the price that we are offering is quite good in most of the market segments as well as the geographical markets that we are opening up.

We continue to maintain reasonable cash position at INR 4,356 crores at this point in time. So, orders, yes, we have a significant jump, and it's also a mix of large orders that underscore some capex revival. I think that has been a question everybody has been asking us. So we had a good story with our base orders in last many quarters, led by MO and EL division s. And now we find that the large capex orders also have started flowing into our books.

Services orders grew by 25%, and continued momentum in automotive, electronics and sectors, they continue to give us a good uptake into robotics and similar automation projects that go into it. And then, of course, there will be high demand for integrated solutions in metals, mining, oil, paint companies, and there's an uptick there. And we see quite a good conversion rate and the preference for our ABB soluti ons by these market segments.

In the transport demand for propulsion technology solutions, ABB has a very strong portfolio, both globally and now locally. And with that result, we have an order backlog, which has grown by 23% to INR 8,008 crores, which shows a very sound visibility of the revenue that we will execute in the coming quarters. So that gives us a lot of confidence and a lot of comfort as we go into this quarter, which is the last quarter of our calendar & financial year So this is th e overall picture and this is how we see it.
Next, please. So, some of very quick examples. A compact substation of leading private power company. And also , somebody was visiting Vaishno Devi last week, one of our external partners . And they said that all along the climb that they did in Vaishno Devi, they could see a lot of ABB logo equipment, and we were the most prominent one.

Of course, those are the compact substations and also the ring main units, which are supplied by our Nashik unit, it is an integrated solution to provide robust and integrated power supply for such locations or any kind of infrastructure location.
Then the propulsion technology solution for a railway transportation, multinational company, I think this is something secured, and we are going to go into execution mode ; Rectifiers for a very large natural resource company ; Robotics automation for painting and cleaning of EVs from an Indian auto major. And then, of course, we have electrical core products, our energy efficiency solution, gas insulated switch gears and robotics - I think they are finding their ways into these 23 markets segment that we talk about. Next, please.
We continue to have a very strong customer engagement. This is our backbone, and this is one of our secret recipe of expanding into market segments, letting them know ABB 's portfolio, also establishing our point of contact, which really serves them , and also the geographical penetration into very, very deep markets, which we were never present in. We believe we have done a reasonable job in the last few years, and that's where our confidence comes that we have a lot to explore and lot to penetrate as we go forward.
And that gives us the confidence that India has not only been a good customer base for us in the Tier 1 and Tier 2 cit ies, but markets have become much deeper and stronger for us, and that encourages us to go to the different geographical and market segments.
So our approach to ESG strategy is clear, and we talked about it. We have 5R approach , waste intensity reduction, waste to energy recovery, value

champion, training awareness not only for
our teams, our suppliers, even our customers. I think that's always the dialogue. Whenever our leaders visit the customers, this is the prime starting dial ogue, what they are doing and what we are doing in this particular area. And I can say that our connectivity with our customers is very high on this common value syst em, especially with the large and the medium -sized customers. So some of the examples I say, in the middle picture, you see , we have totally banned the use of the single -use plastic over the last quarter .
We have also reduced usage of packaging labels, which has changed. Use of reusable kanban bins in the production area. We recycled the waste through approved recyclers. And you can see in the last chart , how this kind of a focus reduces the waste intensity and what we are sending to landfill drops very heavily. And that's the reason our first plant, Nelamangala, got z ero waste to landfill sustenance plan under program , and we have been certified for that .
Same thing we do with the CARE part of our value system. We have good CSR program. And here, we are very happy that as our profitability is expanding, it's very fulfilling because our commitment to contribute on the CSR also expands the same way. So as a management team, we feel very ha ppy when our, say, profits have doubled up in the last few years. So that way our kitty to do the CSR program also has doubled up and they go in different areas. They're going to help. They go into the governmen t schools. They go into education. We take them into children who have the heart diseases.

We've helped them out with the treatment so that children can grow healthy. Schools are adopted by us. So there's a proper education, and the food as well as nutrition is given to the children. And our programs are addressing 11 out of 17 United Nations SD Gs directly and 6 are addressed indirectly by us. Next, please.
So with this, I will hand it over to Sridhar to take you through financials of last quarter.
T. K. Sridhar: So thank you, Sanjeev. I think, yes, we go to the financials. So total order s received , so we are at INR3,000 crores for the quarter. And as you have seen the trend chart, we have been

maintaining INR3,000 crores for the last three quarters sequentially . I hope with the markets which are there and the opportunities which are there, I think the trend should continue as per what we see .
14% growth also has certain large orders, which has been received from the railway sector, and that actually has improved that way. So I think while I say this, are we finding a slack in the base order s? I would say a number of opportunities are still there. That is only basically the conversion which has to happen, which will definitely happen going forward as well. And order backlog, INR8,000 crores on the order s.
So, I think, as you know, because PA (Process Automation) has also increased order intake , this has got a good mix of projects, products and services as well. As Sanjeev was mentioning, this provides us a good visibility of revenues for the next few quarters to come , upon the basis the execution schedule what will happen.
So, none of these order backlogs are either slow moving or non-moving. They're all executable , so the reviews show that there is no risk, per se, on this particular order backlog what we are carrying. So revenues, I think good part of revenues, we are growing 31 % . So this is good information what I thought I should share with you. This revenue comprises of different models.
Coming to how MO and the product business are performing – If I look at it for the quarter, MO and EL, which are product dominated, it forms part of almost 72-73% our revenues, which was 81% in the last quarter . So does it mean something else ? The answer to that is no , because they are doin

g more revenues on the absolute values . But the good part is , PA project revenues have started to gain more traction, so which is a 16 % last quarter, and they are now 25 % for the quarter.
So, I think this is good to note that the basket is shifted between the process automation and the other divisions as such, and robotics has increased to 4%. So overall, it's a healthy trend, as what we see, even though % could vary between the divisions. So products continue to dominate the product offerings today at this point of time.
Another interesting piece, which we would like to rather emphasize and we have been emphasizing on to grow is how do we focus on services. So services for the quarter in terms of revenue was 16% compared to 12 %- 13% what it used to be. So that's a very encouraging trend with the -- all the service teams, which are there on the ground, and the opex spend, which is already happening. So, this has pushed the revenues further to 16 %.

And that's also probably a factor which will drive the profitability as well . So, projects still are at 11 %, the balance 73 % is products. So we have a good mix or a healthy mix is what I would say.
So, another good part is to see as to how the channels have played out in this particular quarter. We see the end users, which are the ultimate customers, their businesses have increased. I think we were 33% earlier , and this quarter i t's 40%. So that's a good direct connect and we are connecting it to the same topic of the results of the customer connect program, what we have been doing consistently is also helping us to garner this particular end -user customer segment, and partners definitely are continuing to remain at 40 %.
So now coming to the geographical dimension, how did we do on exports and the domestic market. So all of us know the domestic is actually outgrowing the speed of the growth in the export market. So therefore, our domestic market remained at 90 % for the quarter and 10 % of exports, compared to export, which was 12 % the previous year same time.
So overall, I think we have a good mix of revenues by the various businesses. We have, in terms of offerings, it's a good mix of balancing mix of projects also playing in now and also in terms of channels and geographies - So as we close this particular quarter, this trend seems to be the right direction.
We have a cash balance of INR- 4,300 crores. So it is overall, we have earned a profit that has been accrued to cash. We did, of course, use it for a dividend, which we declared in the Q2, so then that has been paid to the extent of INR 233 crores.
So now coming to a more granular picture of how does the P&L of the company look like. So as you all know that INR 2,769 crores revenue. So this is equally distributed between the different segments as what I told. So now other income is INR 77 crores, a majority of it is based on the interest income on the deposits, what we carry. So that's round about INR65 crores, which we earn every quarter, and the balance is of the other items.
Material cost is hanging with 63 %, is a good rate. I think we have consistently been around this percentage . So if someone is askin g what's the recipe, it is very simple, it's actually a good mix what we have on the revenues , which is contributing to a better percentage . As I said, service has improved, and that's one of the reasons. Another thing is the orders which are getting

executed today are those orders which were booked at the better ma rgins when the material prices were higher. But going forward, we could see that basically there will be equilibrium, which will start to fall in place. So that being the case, assuming there's the backlog and margins are also strong and consistent. So tha t's about it.
And when it comes to then personnel expenses, INR 178 crores versus INR 156 crores to IN

R
168 crores - So INR 156 crores to INR178 crores is more because of people increase. We are growing. So we are recruiting people. So that number of people have increased definitely from what we were and also the impact of retention of people by giving them increments is also definitely an impo rtant ingredient to keep in mind, as well as an actual evaluation impact. So this is basically the reason and it's a normal stuff as far as expense is concerned.

Other expenses, which are -- which is INR 404 crores versus INR 340 crores to INR 370 crores. And I think it's more driven by the revenues. No one -off items, which are there. So that's something which is good to say about it. And we ha d certain increase in bad and/ doubtful debt provisions, not because it has become bad, it's more because we follow a very consistent term in the policy of how we treat the accounting of the receivables, which are based on the age of those receivables.
We are confident that there is no risk on the balance sheet at this point of time. So exchange commodity variation, INR 3 crores positive to INR 29 crores and INR 30 crores is, of course, anyone can see it is out of our control because it's more led by the derivative accounting and the mark -to-market impact with the prices which are softening out on the metal side, so we have a lesser impact, I would say. Otherwise, the depreciation, the interest remain quite nominal in line with the other quarters what we have seen.
Now let's dive a bit on the business segment, Electrification. So we had a very good run in the first quarter. We have Kiran here. So Kiran will also give some light as to what it is. The good part is we are still maintaining the INR1,000 crore s trend every quarter. And fourth quarter always happens to be a strong quarter. So we'll wait to see what happens over there.
So, revenues following the trajectory of the order intake, we are at INR 1,042 revenues : INR 1,000 crores on orders, INR1,000 crores on revenue, so it has become a run rate, I would say, going forward for EL . Backlog of INR 2,086 crores, strong order backlog, executable, no issues, and PBIT is strong - 19% PBIT margin . And that 's more because of good mix , price realization, as well as capacity utilization impact . So I think we often say that volumes stay magic , and so this is what you could see both in the product division as well as the electrification and more .
The next slide. Motion. Yes, orders, I mean, it's a bumper quarter for motion in terms of orders, in term of large order what they receive from the railway segment. So that's actually profiled up the orders, but the base orders remain consistent with the run rates what it used to be. And the revenue is growing consistently at 11 %. But when the large order s start to execute themselves, we could see a better revenue traction also happening.
Our order backlog is up 32% and PBIT again at 19 %. Our revenue mix is largely contributed by two divisions, which make up around 75%, and both of them have healthy backlog and healthy margins at this point of time, yes.
Process Automation, I think this is a turnaround sort of a story . Process automation has also gained traction in orders. So we missed a couple of orders in this particular quarter, not because of loss of orders, it's more about delaying decisions. So that should play out in the coming period. So that's something which we say that should be available in subsequent quarters as well.
Revenues are up 93% on a yearly basis. The backlog, what we have of INR 2,800 crores, which is 10 % higher - should technically have been higher because we have got the orders which we missed - but still, I think we just wait for a couple of more quarters over there.

And PBIT I think has increased to 14.5%, and this is majorly beca

use process automation
depends quite a lot on service. So a huge stream on the revenue service. So the service picks up, naturally the margins also pick up accordingly. So there is a good sto ry to take it forward.
Robotics. So robotics, of course, we had some good orders in this quarter as well. So they were lesser in the last quarter, and that was more because it was from the slippage of decision, which happened in this quarter, so we are there. And the revenues and profitability fine, so we don't

have much of an is sue under the smaller segmen ts.
So overall, I think we have a good channel to market, good offerings to the customer and also in terms of geography, we are pretty much well spread. So what we are more gung -ho about is whether the domestic market is outgrowing the export market growth. So being well entrenched in India and serving the domestic market gives us better visibility and options to adjust to our volumes and widgets. So in a way, we are insulated from the global business if at all it is there. Thank you very much. So we could open up for the questions.
Moderator: Thank you very much. The first question is from the line of Renu Baid from IIFL Securities.
Renu Baid : Congratulations, team, for super performance this quarter. My first question is to understand - if you look most of the short cycle or the base orders, as you mentioned, there have been some softness. Do y ou think it is primarily linked to inventory destocking or slowdown ahead of elections in terms of base consumption ?
And at the same time, you also highlighted quite an interesting pickup in large order flow, some delays in decision making but orders are on plate. So how should we look at the mix of movement of orders, both on short cycle and long cycle both with respect to investment and the capex momentum? That's the first question.
T. K. Sridhar: Okay. So Renu, so let me start with that question. Let me put a context and afterwards, we have the leaders who will throw more light on it, okay? So what we see today, I think in the last five quarters to six quarters as we have seen, base orders have predominantly been the driver . So that’s what we have seen .
And now off late for the last two quarters , three quarters, we saw large orders also picking up, and that's also predominantly coming from process automation and in this quarter , from motion, right? So when I say motion large order, it's not a system order per se, it's a large product order for an higher quantity, which is actually qualifying to be called as a large order. But having said that, how is it playing out in the market?
While we see large orders, our focus is to make sure that we grow with base orders as our priority. So that's where we see. And that's across all the divisions as what we are at this point of time witnessing. Now coming to the different markets, what we see , of course, when you go back to those markets of enhance , grow and focus. But I think it's a very interesting sort of story, right?

And we have been repeatedly saying this, that data center, electronics and everything have been in new segments, which are growing and giving orders to all of the businesses at this point of time. And food and beverages, which used to be very less, today a s a part of our revenue, almost 7%. And automotive as well as building sectors have grown.
So I mean this is basically the big picture view, what we see with respect to different segments. While our core segment, which is steel, cement, oil and gas, they also now have started to pick up on their capex spend, and that's from where we are coming. So what we are seeing at this point of time is , while the number of opportunities in the market would be increasing , there could also be a price stabilization, which will happen as it goes forward . Because the metal prices are stabil izing and als

o reasoning . So I think to compensate for that is where we look for new customers, new avenues, so that we could maintain the bottom line as well.
Sanjeev, would you like to add something to this? Any color, Kiran, you would like to give from EL and MO, Sanjeev?
Kiran Dutt: Yes, I can give some inputs. This is Kiran here. I think Sridhar covered most of it. Only a few thoughts there that the base order continues to grow. It's not that there is challenge in the base orders before, there could be some challenges in terms of the projects which gets concluded, maybe some of them have pushed into Q4 as well. That is something what we see.
What we also see additional is specifically for the base orders from Tier 3, and Tier 4 cities. I think a lot of orders are coming in. So that is something which actually gives us lot of energy to work upon. And as Sanjeev explained, we are getting into the customers in the Tier 3 and Tier 4 cities as well. So that is also giving us a boost in terms of orders for base orders.
Renu Baid : Secondly, if you look at the export numbers in absolute terms the last couple of quarters have been flattish, while the global markets have turned pretty weak in terms of actual investment in sentiment. So is it applicable to increase in the product mix an d more production on the export side? And what will be our growth outlook and strategy for exports, not in percentage of revenues, but in absolute base?
T. K. Sridhar: So exports, we said it is 10% of revenues and 11% of orders, right?
But if you see the growth in revenues, we are doing 31 % of the revenue, which is coming up, right? But the growth per se in terms of export and absolute value, we see definitely around 13% to 15% as an absolute growth .

But that what is basically taking that percentage down is more of an absolute value of domestic market, which is outweighing the growers market. So having said that, I think a focus on exports from EL, from MO, as well as slightly to extent of PA remains unabated.
But the good part is that when there was a situation when we have to go scouting for exports, today, I think exports come to us on their own with GIS facility and everything there. And also now that the local markets and the domestic market is so interesti ng, we would like to focus our efforts on local markets and be relevant over here.

Yes. Would you like to say something, Sanjee v?
Sanjeev Arora: So, Sanjeev Arora this time. So I think Sridhar, thank you for that. And see exports, yes, you're right that we see that the global markets are not as buoyant as we see the local. But then that 's also an opportunity , because you do see that the countries are more relying on having a good quality product at a reasonably affordable price. And that gives India and us an advantage to put in our technology at the right price there. So I think that can also work as an opportunity for us going forward. So that's my take. Thank you very much.
Moderator: Next question is from the line of Amit Mahawar from UBS. Please go ahead.
Amit Mahawar: Sanjeev and Sridhar, congratulations on consistent new benchmarks on profitability. So my first question is in this quarter, we've seen some slippage in energy, auto and PA. On an adjusted basis, what would have been the growth had we seen that? And also, you have provisions on receivables. So what is the adjusted profitability? That's the first question.
T. K. Sridhar: So let me take this question while if Balaji wants to comment and put in some numbers, it's okay. That's fine. So I think the PA did INR 529 crores of orders in this particular quarter.
They used to do roughly INR 700 crores of orders for the last two, three quarters. The gap is something what we missed and that's missing out because of delay in decision of orders. And that should sort of come out. So, when we forecast larg

e project orders normally , it always has
a bit of an 19-20 model.
So that's how it happens. But I think are the opportunities there in the market? Answer to that is yes. So, we don't see that as a factor to be concerned about. So Balaji, would you like to comment?
Balaji: Thanks, Sridhar. Just to add, I don't want to give a number, but then definitely, it's more on delay in approvals that certain orders could not be booked and the teams are on it to get that in place.
In comparison, I would say that had we taken in those orders on a comparable basis, we should have been sligh tly ahead of Q3 2022 on a comparable basis. Just, to give an idea about the ones that slipped in terms of timeline.
In terms of visibility, both on the base orders and in terms of large order, there are quite good opportunities in the short term and year midterm as well.
T. K. Sridhar: Thank you. So your second question was regarding the profitability, right, Amit, if you could repeat the question again, please?
Amit Mahawar: Yes, Sridhar. What is the recurring adjusted margins if you would, just accounting for the provisions you've made in this quarter?
T. K. Sridhar: Okay. So I think we just did not make provisions for the sake of making provisions. It's because we had a reversal last time, which has, which is not present , because reversals or recovery from the customers don't occur every time. So I think if you remember, we were dealing with certain electrical balance of plants, orders or the business which was left by PG , and which was with us.

So we had actually provided for those particular receivables basically the model of accounting and conservative model. But as we continuously say, even though we provide, we continue to work on it and make sure that wherever there is a possibility and we h ave a fair chance, we get back those money. So the last quarter, we had an income or a reversal because of this particular efforts to what I certified.
And this quarter is a normal quarter without the need of reversal for anything. It's a normal provision which happens only based on the receivable aging as per the accounting policy.
Amit Mahawar: Fair point. Second and last question is more on mobility since this quarter, you have railway as a focus. Let me focus on that. On the propulsion capabilities and capacity of ABB in Indian plants, where are we in terms of the capacity market share ? We hav e Megha, we have Bombardier, we have like two, three guys who have global scale including ABB in India. And you actually mentioned about a significant number in the next seven years that India is going to

spend in railways. And propulsion is one of the largest subsets.
So can you just maybe Sridhar or somebody else can throw some light on qualitative aspect of where ABB stands on capacity because the step -up in demand every year is going to be significant vis -a-vis what we've seen in railways and propulsion and new type of technologies . So, any color there is useful. Thank you.
T. K. Sridhar: Sanjeev, would like to go?
Sanjeev Arora: So thank you. Thank you for the question. And I think we are all excited about this journey. So this is Sanjeev Arora. So I think you're right. And let's under stand how we operate. So the names that you have taken are the OEMs, whom we serve. And definitely, the expansions, the orders, what we are taking , have a definite expansion plan in place. And you will soon hear from us in coming quarters on how and when we are actually opening up new facilities and a lso enhancing our current facilities to cater to this. So you're right, and the investments are lined up and planned well. I hope I was able to answer you at this point of time.
Amit Mahawar: Yes. Sanjeev, my only point is assuming the last two years of activity, we've seen a very heavy awarding in one of the largest global numbers t

hat India has seen maybe is on propulsion in terms of large contracts and supplies will soon start. So how is ABB placed capacity -wise? And is there a risk to the industry where capacity might not be ready to meet the next three -year demand to start with? That was my contention, actually.
Sanjeev Arora: See, that's what I was trying to explain that if ABB is taking that order - First of all, the bottom line is , we only bid if we are confident that whether we'll be able to meet the customers' delivery. So that's clear. And these are long -term projects. And it is not that it's going to be a very short cycle. It's a long project, and we have a definite plan.
As far as ABB capacity goes, whatever project we bid, we will make sure that it will be delivered in time. But regarding the general industry and the orders taken by other people, I wouldn't be the right person to comment. But as far as ABB goes, be rest assured that whatever we take, we commit to the customer we deliver. And we are expanding as I told in my previous comment.

Moderator: Next question is from the line of Mohit Kumar from ICICI Securities.
Mohit Kumar: Congratulations on a very, very good set of numbers. So my first question is on the mobility margins, which has improved materially in this quarter. Is any large order which got delivered? How should one expect it to revert to the mean in the next couple o f quarters?
T. K. Sridhar: You're talking of Motion, right?
Mohit Kumar: Yes, motion.
T. K. Sridhar: For Motion, PBIT % last quarter was 14.5% , Q3 ’22 was 10.6% and this quarter was 19.4%. So that's basically the question.
So Q3 2022, I think one was the mix, definitely the mix and the price realization advantage, which has played out and also the positive impact of forex, which has actually factored into the PBIT itself.
From a forex impact on those particular results, it's more driven by the capacity , the margin on the orders and the mix. So this is broadly the thing. So I mean, they have a very clear focus on service. So service as a business division is rendering better revenue scale.
Mohit Kumar: And anything on the expectation this will revert to a mean kind of number?
T. K. Sridhar: I didn't get you.
Mohit Kumar: Is it fair to assume that this is stabilized at 15%, 16% rather 19%, which is simply very high?
T. K. Sridhar: We don't know. We do not predict those particular numbers at this point of time because we have a lot of backlog, and we need to see what sequence of that particular backlog is executed .
Mohit Kumar: On the Motion, Sridhar, my second question is, I think this quarter, we have won a large order. This seems to be particularly from Vande Bharat. Is it fair to assume this order is executable over the next four years to five years and not over one years to two years. Is that a fair assumption?
T. K. Sridhar: I leave the judgment to you because it's an information which is more internal to the organization, we don't share those details in integrity. I'm sorry for that.
Moderator: Next question is from the line of Ankur Sharma from HDFC Life.
Ankur Sharma: Just on this rail order again, it's for the Vande Bharat. So I assume the value would be around INR 300 crores, INR 400 crores, but more importantly, is it for the Russian customer. Is that right?
T. K. Sridhar: So Ankur, I did mention the sector from which we got it , but our rules don't allow us to give more information because it is confidential information of the customer, right? So we don't do that. But I gave you an information about which sector it came from .

Ankur Sharma: So, on the motor division, especially on the LV motors, some of your peers, including CG, are talking of a slowdown there, some channel destocking, etcetera, and that maybe continuing over the next

few quarters. I'm not sure if you spoke about this, but how are you seeing demand, especially on the LV motor side?
Sanjeev Sharma: So we have Dr. Sanjeev Arora here. So he will be able to do this.
Sanjeev Arora: So thanks for the question, and I think good that you raised it up. See, let's understand that the pent-up demand is over. And the other part is that a lot of orders are also re -export from our OEMs , and if the global scenario is softening up, even though our local demands will remain, the overall picture will reduce. And there is a lot of exports from India, when you come to general machinery market, pump, compressors, you can name another seven applications more.
So overall impact of global economy will be there. India is a global player. We will have to have that brand. But domestic part, I would still say that it would not be that pensive mode, but global demand can drive the overall demand a bit down.
Ankur Sharma: Okay. I understand. Just one last one quickly on the process automation, where we saw this big jump in top line, I think 90% plus. But clearly, the order backlog growth is just about 10% on a Y-o-Y basis. So is it just a base impact? And therefore going fo rward, it kind of gets normalized? Is that how we should look at it? I'm just trying to understand this big jump in revenues when backlogs are up just about 10% on process automation ?
T. K. Sridhar: Just to give you a logic on that Ankur, I think process automation started with a low order backlog base a couple of years before, right? And they try to build on this particular order. But the revenue execution was faster than the order intake. So the consumption of the revenues from the order received and the backlog is faster. And therefore, you see only a 10 % growth , in the order backlog.
Whereas when you look at MO and EN , you see a larger percentage growth because they have a consistent order backlog based on which they are adding orders and executing revenues.
Moderator: The next question is from the line of Aditya Mongia from Kotak Securities.
Aditya Mongia: I just had a single question, and this was more on the operational EBITDA margin that you talk about. If I see the Q -on-Q or the Y -o-Y trends in that number, they are very different from your reported numbers. For instance, from 2Q to 3Q, there is a decline in operatio nal EBITDA margin versus what the reported numbers are. Could you give us a sense of what adjustments you are making in that number?
T. K. Sridhar: I didn't get your question. So if I look at the operational EBITDA margins, right? So, for Q3 '23, as per the press release, we did 13 %. Q3 '22 as well. And Q2 '23 was 13.6 %, right?
Aditya Mongia: That's true.
T. K. Sridhar: Right. So you are comparing it with what, I didn't understand.

Aditya Mongia: If I look at the PBIT margins for instance, 10.8% last year same quarter has become 17.5%, even though the operational EBITDA margin is only up from 12.1% to 13%. In th at sense, I wanted to get what adjustments do you make which makes the difference at an EBITDA level, operational EBITDA level from a margin perspective very different from your PBIT movement?
T. K. Sridhar: Very good. If you have the press release in front you, we have defined what is the operational EBITDA at the end of the press release - you remove out what is before interest, taxes and acquisition, operation with the income and operation, excluding acquisition -related amortization, restructuring related and implementation costs, changes in amounts recorded for our obligations related to divested businesses, the estimate s and mark -to-market.
So there's a whole set of definitions, what we ha ve to do to normalize to come to operational EBITDA, which reflects the operating margins of the business on a like -to-like basis without having an impact of forex fluctuations, re

structuring fluctuations and only onetime impact what happens.
Aditya Mongia: Understood. So essentially, this is a better number to focus on. That's as much as I wanted to clarify.
Moderator: Next question is from the line of Jonas Bhutta from Aditya Birla Mutual Fund.
Jonas Bhutta: Congratulations, Sanjeev and Sridhar on a greater set of numbers. Just one question on this mobility order. Is this one of the many portions of the same order - in the sense , is this going to be a recurring order as the client starts manufacturing the trains? Or this is the entire scope of the order through the life cycle of that project?

T. K. Sridhar: So as far as the current detail goes, it's the complete order for complete life cycle at this point of time, and we supply the product portion of it, yes.
Moderator: Next question is from the line of Amit from Prabhudas Lilladher.
Amit: In your initial remarks , you talked about deeper penetration in Tier 2, Tier 3 cities, and you're getting very robust response from that. Just wanted to understand Tier 2, Tier 3 cities, if you could share us what is the contribution in EL and MO from Tier 2, 3 cities this quarter or 9 months?
Sanjeev Sharma: We do have a number, to be honest . But that's a very sensitive number to share . So, I hope you would like to have the same margins and supplements for the coming quarters also, right, or maybe. So therefore, we would prefer that it's more internal.
Amit: Sure. My second question on the superior realizations which you have mentioned in electrification business. Just wanted to understand if you can throw more color where we got this from? And is there any trend which we are witnessing, which is leading to th e superior realization here? Is it a product mix or something?
T. K. Sridhar: Kiran?

Kiran Dutt: Okay, I can answer that. Kiran here. Price realization happens in 2 parts. One, in terms of technology, and one in terms of, let's also give some credit to our sales colleagues who are doing a great job. The technology, what we supply is current technology , which is quite, quite superior than many of our competitors. And that's giving us an edge in terms of what we supply to the market compared to any other competitor. So that's one of the reasons. And for sure, our sales colleagues ar e doing a great job to get this done.
Amit: Sure. Sir, last, if I can squeeze in on the gross margin. Would this level be sustainable? Anything, any color you would like to share on the gross margin going forward in coming quarters?
T. K. Sridhar: So let me take this question, Kiran. So it is gross margin and it's a bit of sensitive topic. So I think the gross margins, which we have today, which has some products of quite a few actions what happens in the graph, right? It's a capacity utilization. It's a price realization as what Kiran was alluding to. And also it's an average of the mix, right. So these are the three topics.
And as I was mentioning earlier, today we have an advantageous situation of execution of those orders, which were secured at the time when the prices were high, but we were able to negotiate with the vendors better and create a better NPV for the organization.
But now, going forward, the gap will start to close and because they are all becoming now stable, right? So that being the case, I think we cannot give you a sort of a directional view on where we would like to go to on the margin per se. But I think we want to definitely believe at the company level in the PAT % of more than 10 % as what we said is what we would like to be.
Moderator: Next question is from the line of Harshit Patel from Equirus Securities.
Harshit Patel: Sir, if I look at our margin profile of last few quarters, I think much of the expansion has come from the operating leverage rather than the gross margins. I mean gross margins have definite

ly
helped, no doubt about that.
So is it the case that we are now getting decent level of economies of scale in many product lines, which was not the case earlier now with the increasing revenues and therefore, a very good cost absorption is happening, which was not the case, let's say, 2, 2.5 years ago. So would you agree that this factor would have helped margins more, vis -a-vis, localization that we are doing at the moment?
T. K. Sridhar: Okay. So far, Sanjeev Sharma has not gone on air. So this will be the concluding remark for Sanjeev Sharma.
Sanjeev Sharma: Yes, I think you're right. It's the mix of factors which contribute to the profitability. So, you have to optimize the whole value chain to squeeze the superior profits. If it is based on only one factor, then it is not sustainable. And I think our journey in the last 2, 2.5 years has been to look across the value chain that is what kind of a gross margin we are booking the orders. Then what kind of execution cycle we do in terms of no slippages in execution, only positive slippages. Then productivity measures that we take in our factories in terms of ability to execute the orders without distorting the market price with more efficiency at a lower cost.

And then introducing a lot of automation in our factories so that we are able to do far more from the same assets. We are able to produce more from the same assets by means of automation inside the plant, also developing our suppliers for localization and also outsourcing so that we

are able to produce more from the same plant. So all these taken into the profitability equation. And also our ability to deliver services very effectively post -delivery , during the commissioning, installation and also after work - That engine is also working for us and attracting some better margin orders from the overseas market. So there are a number of elements when you put them together, they start playing.
And of course, capacity utilization is one effect, but then I mentioned to you about other facts.
And last but not the least, the supply chain, how tightly they manage the increasing volumes and they take the effect from the suppliers with the increased v olume that we are giving to our suppliers. Sometimes we have a pre-agreement with them, higher volume means lower cost. And sometimes, we have a capacity to negotiate them around it.
So if you put that across the value chain and sum them together, that starts showing up in the margin that we are declaring to you and to the market.
Harshit Patel: Understood. Sir, just a small follow -up to that. On the kind of factors that you have elaborated. So everything seems to be growing right for us. So would you agree that whatever can go right is going right for us and that is causing the kind of margins that we are seeing at the moment?
Sanjeev Sharma: So I can say the same words I used for the Board presentation today this morning that ABB as an organization, all our 18 businesses are in a very good rhythm. We have very good and very high-quality leadership on each one of the divisions that we have and also the management structure on it.
They're empowered to run their businesses in the relevant market segments. And also, they have excellent support coming from the global teams for expansion of the portfolio, localization . So we are in a good rhythm at this point of time, and we are also operating in a very supportive market. So if you combine all those things, these effects are quite normal in my experience.
Moderator: As there are no further questions, I will now hand the conference over to Mr. T.K. Sridhar, Chief Financial Officer, for closing comments. .
T. K. Sridhar: Thank you. Thank you very much. Probably this is the first time since I've started this particular journey where we've answered all questions, right, and completed on time, right?

Thank you for
a very patient listening and interesting questions. And wish you all a very, very happy Diwali to you and your families, and stay safe and stay healthy. Thank you very much. Looking forward to talk to you in the next quarter. And thanks to all this management team, which was here, which have put in a lot of efforts to come here. Thank you.
Moderator: On behalf of ABB India Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2024

ABB India Limited
Registered and Corporate Office
Disha - 3rd Floor, Plot No. 5 & 6, 2nd Stage
Peenya Industrial Area IV
Peenya, Bengaluru – 560 058
Karnataka , India CIN: L32202KA1949PLC032923
GST: 29AAACA3834B1Z4

Phone: +91 80 2294 9150 – 54
Fax: +91 80 2294 9148
Investor.helpdesk@in.abb.com

www.abb.com/in REF: INABB:STATUT:LODR:ANALST_TRNSPT: February 26 , 2024

BSE Limited
P.J. Towers
Dalal Street
Mumbai 400 001
(Attn : DCS CRD)

Nation al Stock Exchange of India Ltd
Exchange Plaza, 5th Floor
Plot No. C/1, G Block
Bandra -Kurla Complex, Bandra (E).
Mumbai 400 051

Attn: Listing Dept.
Dear Sirs
Sub: Transcript of Analyst concall

In continuation of our letter s dated February 13 , 202 4, February 20, 202 4 and February 21, 2024, we are enclos ing a copy of the transcript of conference call with analysts, which took place on February 21, 202 4 post announcement of audited financial results of the Company for the fourth quarter and financial year ended December 31, 2023 .

The said transcript is also uploaded on the Company's website.

Thanking you

Yours faithfully
For ABB India Limited

Trivikram Guda
Company Secretary and Compliance Officer
ACS 17685

Encl: as above

ABB India Limited
Q4 & Full Year CY 2023 Earnings Conference Call
(October – December 2024)

February 21, 2024

MANAGEMENT : MR. SANJEEV SHARMA – COUNTRY MANAGING DIRECTOR
MR. T K SRIDHAR – CHIEF FINANCIAL OFFICER
MR. SANJEEV ARORA – PRESIDE NT, MOTION
MR. SUBRATA KARMAKAR – HEAD, ROBOTICS
MR. KIRAN DUTT – PRESIDENT , ELECTRIFICATION SMART BUILDING AND SMART POWER
MR. GANESH KOTHAWADE – HEAD , ELECTRIFICATI ON DISTRIBU TION SOLUTIONS

ABB India Limited
February 21, 2024

Moderator: Ladies and gentlemen, good day and welcome to AB B India Limited 's Q4 – October to December Quarter & Full Year CY 2023 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded and any unauthorized recording of this call is strictly prohibited. The recording will be made available on the Company 's website and SEBI's website subsequently.

I now hand the conference over to Mr. T K Srid har – Chief Financial Officer of AB B India Limited. Thank you and over to you, sir.

T K Sridhar: A very good morning to all of you. Thank you for joining this Q4 and Full Year Results Call . We are in Nas hik today right , where we have entire board as well as the management team over here . Along with me on the call is Mr. Sanjeev Sharma, the Country Managing Director and I also have in -person Ganesh Kot hawade , the head of the location in Nashik over here . And also on the call , I have Mr. Sanjeev Arora, who leads the Motion D ivision and then we also have Subrata Karmakar, Robotics Business. W e are not able to have Balaji because of customer requirements where he 's travelling , but we will try to make sure that we are able to answer the calls which pertain to process automation as well.

So, I think it 's a good time now to go to the presentation what we have already uploaded on the website. So , I hand over to Sanjeev to take us through the Business Highlights.

Sanjeev Sharma: Thank you, Sridhar. Good morning to all of you. Thanks for joining this Call. And again, I recognize our host Ganesh K othawade, who 's hosting us. He leads the largest business we have in the country, which is Electrification Distribution and also we have an Integrated Facility here in Nashik . Very good sustainability credentials and the board when he was here yesterday, they were quite impressed in terms of how our facilities work and how well our teams are performing in business with us as well. Thank you, Ganesh. Thanks for hosting us.

Now , with respect to Q4 and the Full Year :

Last year, we talk ed about it , but just as a reminder, just to again anchor how AB B India operates and what ABB India structure is, we have four Distinct Business Areas -- Electrification which largely deals with Power Distribution , both at the medium voltage and low voltage level and also Installation Product and some UPS Services . So, these are the typical products which go into increasing the reliability of power distribution in the cities, industrial plants, infrastructure projects , and also making sure that the buildings where they are deployed, they are more energy - efficient and they have a better energy footprint .

ABB India Limited
February 21, 2024

Motion Divis ion, with large deals with the Low V oltage, Medium V oltage Motors and Drives , it's an Energy Efficiency portfolio. Wherever we apply these, with more of our products being used, our customers benefit in terms of having a better energy footprint and reducing the Greenh ouse Gas Emissions created by them. So, that's the kind of power of this portfolio .

Process Automation is Automation of the Energy Industries ; Process Industries , which are in the core sector ; and also our Marine and Ports which are very critical infrastructure for import s and exports ; and of course , Measurement Analytics , which goes into the sensors that are used by

the industry.
Now , what we have a s the fourth division is Robotics and Discrete Automation . That's where we have the division which is delivering automation to increasing appetite of manufacturing industries which are not only wo

rking well, but they are expanding and their need for applying
robotics automation is increasing day -by-day. We are seeing very healthy growth and healthy results in this division as well … and also the sophistication what industry is d ependent on .
We are operating in 5 manufacturing locations in Maharashtra, Gujarat, Haryana and Karnataka and we have 25 plants in these manufacturing locations with 28 sales offices across the country to serve them for sales as well as services , and we have an increasing network of our partners who really take us to the different market segments and to the depth of geographies of the country.
You may be familiar with this picture. This is , in short , our strategy to engage with the market. So, what we have here is on the bottom, they could be the smallest contributors but highest growth market segment because they have come into being recently like Data Centers, Railways and Metro , and Electronics. These are the sectors which are growing very fast and we are having an increasing contribution into our order books from these market segments because we have product portfolio with this market requirement. Renewables, Electronics Metro, Data Center , and Railways, they are really tracking forward positively .
And when it comes to the water, wastewater , warehouse, logistics, power, distribution, building and infrastructure, all these sectors have a moderate growth . Moderate growth when I say it is between 10 % to 15% and these are also contributing in a significant way. These are the ones which we maybe started engaging in the middle of last decade and we have matured these market segments in a significant way, and they are becoming good contributors.
Low growth segments, which are traditionally in the core sectors. For example, marine and p orts, oil and gas, pharma, healthcare, pulp and paper , cement , they have been muted for a period of time, but now we see many of these market segments have started tracking . The project pipelines have been built well. We have a very strong installed base in th is market segment, and we service them quite effectively and we have a very strong ongoing relationship here. By the way , though it may be low growth, it has the highest contribution to our order book. So, that means as and when the formation of growth and CAPEX takes place, we get another pickup in this segment.
So, most of it is led by high growth and moderate growth into our growth from the segment

perspective and also our geographical penetration in the market, but the low growth segment , though they call low growth, but they have a substantial contribution . When they move , they move really well for us. We do see there are some growth triggers which still have to happen for our business as we go forward despite having very strong growth already into our books in the last many quarters.
Now , we are going to cover like every time we cover ed a segment : We take a deep dive there. So, in case of I ndia, India aims for 500 GW of Renewable Energy installed by 2030 , and it has been very impressive how we have gone about executing it , we have almost 180 GW of installed capacity wherein it is distributed into different resources, wind power, solar , biomass, small hydropower waste -to-energy , large hydro, and there have been 30 times increase in solar power and two times increase in wind power since 2014 . So, it's very impressive.
I spent quite a bit of time in Europe, especially in Germany. This was back in 2008, 2007 when they were forming strategy, and I could see similar kind of development there wherein there was a policy and there was a policy bias towards renewals and within five to 10 years they really became leaders in this particular area. So, India has a very natural need to expand into renewa bles and you can see the government policy is really very well aligned. And I think th

at 's
something which is the new normal in India, wherein the national policy and the action and the entrepreneurs and the incentives and the long -term vision in this area is all coming together, be it in the form of National Green Hydrogen Mission , PLI, Solar, PV Manufacturing , Solar City, Solar Park , and 30 GW Offshore Wind . We believe this is something is a long play, and we have a very good portfolio to support it . And we sometimes continue to add new products which really debottleneck these market segment s because when you expand too much , then you require special technology, we continue to pay attention to it, and we also bring in technologies which help and aid in distribution of this power generation.
Now , with respect to how our growth is coming quarter -to-quarter : It is totally rooted into how our teams and our businesses engage with customers. We have a very strong engagement strategy with customers. We go deep into the country and across the market segments. We are engaging with the customers in Mumbai, Kochi, Maha d, Ludhiana, Lucknow , Leh. So, this is our secret

open recipe for you that is how we continue to find new customers, get them excited about AB B products and technology and quality and our credentials on sustainability. We get a very good response wherever we go , and have a long runway in the country to reach out to more and more customers on the geographical spread basis.

Some Business Highlights for you :

First, on the operational performance : We had a strong operational performance with Q4; w e had orders which were up 35% from both emerging and traditional segments , as I explained to you earlier , the mix . Revenues were 14% up, p rofit after tax is 13% up, mostly driven by operational efficiencies , and we continue to maintain a strong cash position.

The Board has recommended a final dividend of Rs.23.8 per share. I think maybe Sridhar can explain to you a little bit more in terms of where we were and where we have expanded in a very short period of time. I think a lot of cash is being directed towards the shareholders and we are very happy to do that together with our shareholders. So, what we are doing is , we are sharing the performance of AB B with our shareholders in terms of expanded divi sions .

Now on the E SG and Customers : We have 50% of the Company 's manufacturing campus es certified as water positive . Just to give you a color to it, Nelamangala which was our first plant which became water positive. That means that we are putting more water in the ground than we are taking out. About two years back, we monitor ed the water levels with an electronic meter and we have invested in technology. Two years ago , we had water depth around our Nelamangala plant at 60 meters , and one month back when we checked, it had risen to 29 meters. So, these positive elements when you do it consciously, you do it with the right technology and you monitor it in good faith and you want to make sure that you succeed , they work . We will have all our manufacturing campuses go to water positive as per our plant . And we have reduced almost 88% in greenhouse gas emission s in Scope -I and Scope -II with the baseline from 2019. So, that shows our commitment, and the programs are working, and they are well monitored , they're well managed at the central level , but really led by our campus teams or the location teams and all of them are very proud and our global teams are very proud the kind of achievements AB B India and the businesses have made here. We do it not to impress the world , because the management team feels is the right thing to do for the simple reason , India is a water - stress country, India is an energy -stress country , India has waste to the landfill issues. We want to make sure that from our side , we create a minimum footprint on the environmental impact, and we create a

positive impact in terms of contributing to water tables , contributing to no waste to land fill and also other elements which really contribute to the environment and also encourage our suppliers, our customers as well as other partner companies in the areas we are present in or the industry forums we represent.

Now , we had significant orders in traction, large orders with the st eady-base orders. We had the automotive sector performing well for us and likewise in process industry, metal , mining, chemical, textile companies gave us good integrated solution orders. And on the transport side, railways and electrification of metros is a net positive for us . And high growth sectors like data centers, electronics, railways and metro and renewables , these are really tracking very well for us in our order books , and our portfolio in all these segments which are tracking well , we have a sweet spot in terms of how we can serve these customer s. And as a result , our order backlog grew 30% to INR8,404 crores. So, that again gives us a very solid outlook for our revenues going forward . And we have a fairly good mix of large orders as well as the base orders that convert rather quickly.

Now when it comes to the overall impact on our balance sheet : You can see that we have good growth where 23% backlog has grown by 30%, revenue grew by 23%, operational EBITDA and margin grew by 54% and EPS has grown by 11% , cash has grown by 31% and our GHG emission have gone down , with 2019 base , by 88%. So, we believe we are tracking the right KPI in the right direction.

Return on capital employed is one of the good measures for all of us to manage . So, you can see compared to 2019 when we had 10%, we are now at 21%. So, this is something which is notable for all of us and it has grown 110% over this period of time .

Now , we get orders across market segments. As we say, we have 18 divisions which connect with about 23 market segments , so gives you some kind of idea that Power Distribution package which comes out of Nashik , where we are sitting , for a data center of IT major , there's a huge expansion of data centers in the country for small, medium and large size and AB B product s portfolio provide the power supply at the medium voltage and low voltage into it. We become the core because data center is nothing , but a power consuming block wherein you have servers which require a lot of power and ABB supplies that power into it . We work with the global IT majors as well as majors in the country , we do get a lot of preference because of our portfolio and our ability to execute .

Robotic Solution s for Electronic s business of a conglomerate . Again, lot of demand for robotics from us and newer applications are being tried out by the customers . And then our traction technology offering for railways, electric drives, automation for the leading integrated metals and mining Company , our Distributed Control System for specialty company , Vacuum Circuit Breaker for solar and wind projects, these are the few highlights of some of the application s.

On our “Green” credentials you can see all our units are now green certified units, mostly Platinum, and our Scope -I and II GHG emissions on as I mentioned before to about 87 %, 88%, energy productivity of 65% , water recyclability is 45% , 50% of our units are water -positive and already one unit has become zero waste to landfill and we will convert other units also.

And the picture you see on the left is our real picture of our plant in Bangalore. This is not a stock picture from the internet . So, we really pay attention for our green consciousness. So, when you visit any of our plants, you will see a lot of green -conscious among our campuses are managed .

We continue to make sure part of our value system of care. We have a meaningful and impactful CSR project . And the external agency revie

wed our project. We got very good scores in terms of impact and our ability to create a positive movement into all the projects wherein we are focused, so be it in the infrastructure, women education, water and providing medical equipment for cancer patients. So , we make small contribution in our way given the amount of contribution can be done , but, we are happy to engage with what we do . And we are also very happy that our earnings have increased , they have doubled in the last few years , that means our CSR budget also has doubled in proportion. So, that gives us even more capacity to serve society as we go forward.

So, on the “Financial Highlights ”, now I pass it on to my colleague , T K Sridhar to take you through this . Thank you.

T K Sridhar: Thank you, San jeev. So, I take this opportunity to take you through the performance numbers.

I think this is more focused on how we have performed in Q4 ’23 and also some snapshots of the full year. So, orders , we closed at Rs.3,147 crores for the quarter which is 35 % above the previous year, the same quarter , and of course this also include a large order from the projects and the systems division from traction in our business, which is one -time o f order. Then, we have an order backlog of Rs.8,400 crores , this is an all -time high because we had good order intake in this particular year which is almost 23 % growth for the full year , and this has definitely resul ted in order backlog of Rs.8,400 crores which gives a better visibility of revenue for the future.

And when it comes to profitability, we are Rs.454 crores for the quarter with 13 % up on the profitability compared to previous year , and also on the PAT similar 13 % which are there.

But if you look at the full year, we are definitely up on the profit after tax by 22 %. And this is despite the fact that last year included exceptional income of Rs.339 crores for the sale of Turbochargers business to Accel leron, and therefore this year represent pure operational performance, which has improved substantially than what it was in the previous year.

How did this happen? I think it ’s more about the quality of the orders, operating efficiencies , capacities which are utilized now to quite a good extent and also definitely supported by a positive price movement, which contributed to profitability .

Last but not the least , now that our portfolio is pretty straightforward o n product businesses , so our predictability of profitability is in execution and also a good orientation towards service is really helping us to become move into these particular ranges what we are seeing .

The next is around cash . We are at 4 ,700 crores as well. It is also reflected by the fact that all the net income which we have generated over the years, our conversion ratios to cash has definitely improved and we are trying to make sure that every profit which we earn is reflected into cash.

So, orders received we discussed 35% for the quarter , revenues we grew 14 % and for the full year 22 %, profit and operational EBITDA is somewhere pretty solid about from how we want to do it.

So, one point which I would like to bring to your attention is that if we remove the so -called one-off items of the last year, which is of the sale of Turbochargers business , our growth is almost 400 basis points in the margin level .

Just to g ive you bit of a more color on how did we perform in the structure of the profitability, right? So, here if we look at it, I think our material cost is about 62.6. This is probably a very comfortable area where we are in the range where we are in. The teams have been consistently working on localization, on improving the mix of the businesses what they are executing , and also making sure that we don 't have any profit leakages during the execution of the orders what we have .

And just to mention if someone is curious about what is other income, other income, majority of them, almost Rs.70 crores represents the interest on the fixed deposits what we hold, and that's something because of cash which is there and we are allowed to invest only absolutely in safe securities and which is the bank deposits and the other related instruments is where we gain this particular interest.

So, personal expenses , we a re holding on to 6.5% for the quarter a nd 6.8% full year compared to 7.4 % last year and the majorly coming out of the fact of increasing productivity and making sure that we are ideally employing people over here.

The one element which probably is not largely under the control of the business is about exchange and commodity variation. So, this is Rs.10.5 crores negative compared to the Rs.3 crores positive in the immediately preceding quarter and Rs.30 crores positive in the last quarter of the same period last year. So, I think the swing is around about Rs.40 crores. So, this is something which will also see in the waterfall chart , which is already included in the next slide .

Depreciation, we have been investing consistently in the modernization of a factory, the expansion and sort of stuff. So, that's probably increasing the depreciation, but that is for a good cause and that supplements that ROC still stands at 21% is what we have to do.

Interest cost is Rs.8 crores at this point of time for the quarter and this is more related to the MSME vendors what we have to a ccrue the interest which we have . And also, to be mindful of the fact that this is something which we make sure that we have a straight dealing for MSME and we pay them on time , we make sure that we have no large interest cost going over there.

Effective tax rate stands at 25 percentage is what you would have seen . In this quarter , probably the six months and the full year, we decided that we would give more details on the press release and that 's something which we have been published in this quarter as well because it is the year end.

This is about talking about what 's the waterfall. So, if you look at it, we had a favorable volume impact and a mix impact which contributed to the accretion of the profit and slightly compensating the increase in expenses , absolute values and also the FOREX which is there and still we did manage to get to the numbers which was considerably a credible number as w hat you see .

So, just a bit of a deep dive into how we see the business wise performance. So , this is pretty interesting as I see that how business is evolving. So , electrification growing at almost Rs.1,000 crores every quarter in terms of order booking and they grew about 24% for the quarter from the previous year. And then, of course, electrification being short cycle businesses, you should see the conversion of the orders booked into revenues as well and that probably has a healthy impact on the profitability, which is there in the chart below and their order backlog has increased by 24% compared to the previous year. S o, they have a good short -term visibility of revenues going

forward. The orders also constitute from new growing sectors like the data centers, OEMs , and major metals , and energy players .

Motion is represented by motor s, system drive, services division about it and also the traction. So, we did definitely book large orders in Q3 and Q4 from the traction business. So , that is reflected in the large orders , and this also gives us a good visibility of revenues going forward. The profitability, I think there could be a bit of an explanation which I need to do in terms of how from 19 .4 to 17.4. I think if you look at the FOREX impact which we mentioned earlier. So, this is something which has impacted the motion because they have quite a bit of imports, when it comes to drive and drive products and system d

rive, and that 's something which has
impacted them . I think this is more temporary in nature , it will settle down in the average rates what is already being depicted over here .

So, order backlog , even though it looks pretty impressive around Rs.3,500 crores , we need to understand because th at got a system order, large component, it gets executed over the next 24 months and so that 's something which we should be aware of , it's unlike electrification where you get executed in the immediate quarter .

Process Automation , I think they have been having a consistent run and there are more projects focus ed, so they are a bit cyclical sometimes but that 's why you could see a slight dip in the order intake numbers and revenue is definitely driven by the order backlog . They have got a good execution pattern and we see no margin slippages in the projects what they 've executed . But good part is that they have a consistent order booking which comes from the installed base , that means the services revenues are consistently increasing that's what we see. And here also in the PBIT , they were also impacted by the negative FOREX impact that they have.

Robotics missed certain orders in Q4, but they would definitely , going forward , will see the pipeline stronger. So, they would be able to make it up run rate going forward as well. The revenues are consistently increasing with the backlog what is there with them , and PBIT they are at 12% and that 's more from because they have order s which is also good in the team .

So, overall, if you look at of ten how we are structured, I think this is something a slide which you would be all familiar with. So, products constitute 76 % of the revenues and 12% from the services and projects constitute 12%.

And the next slide is interesting as to if you look at the composition of the demography of the revenues , today, we are talking of 90 % of our revenues from the domestic market and 10 % coming from the exports. So, this doesn 't mean that exports are falling down. This only means that the domestic market is expanding faster than the export market . But if we take an absolute value of the growth in the exports, right, we are almost making more than 13% to 15 % growth, which is pretty decent considering the sort of vaga ries which we have in the different global markets. But whereas when it comes to India, it really reflects the investment momentum which is happening in India, which always is growing faster than the global markets. So, this is basically how we see the structure of the business models in terms of our offerings.

And if you just roll it forward, because what is it we see in store for 2024, I think there are two topics. One is what is going to drive the growth , the other one is what are the factors which we definitely have to monitor. So, from the growth factors, we think definitely investment in the private sector along with the public sector will drive growth. All of us believe that the public spend will happen, investment will happen and so this will definitely propel t he growth . The nation -led programs like “Make in India ” and this is also going to really help the investment patterns in India and this will also help us focus on the local content which is there.

And the next important factor which we have so far not often talked about it in the past , but we see that this is a trend which is visible in the market is about premiumiz ation. That means the affordability for quality products from the consumers have increased and therefore a concern is there. Q uality products or technologies and technologically advanced product s is something which the customers will start to prefer and therefore we expect that the sweet spot for ABB going forward .

Having said that, there are definitely certain key factors to monitor. I think all of us know that inflation and higher interest

rates will be a n item to monitor because that impacts the so -called OEMs and the small vendors because we are talking of the fact that we are exposed to quite a bit about tier-2, tier-3 cities, which is our breadwinner at this point of time, and there could be impact. So , this is something which we think as a parameter which we need to watch out for .

And consumption growth is also driven by the rural demand is definitely another factor to consider in the growth patterns what we see .

And the last but not the least, we have in this particular year, several of the countries in the world are going for elect ion, and India also will see an election period in Q2 . While we believe that there could be certain delay in decisions, we see that the fundamentals are in place. So, having said that, I think we expect that we will have a positive momentum as what we see in this point of time . So, this is probably my last slide.

So, I think with this , we could open up the session for more questions .

Moderator: We will now begin the question -and-answer session. We have our first question from the line of Renu Baid Pugalia from IIFL Securities. Please go ahead.

Renu B Pugalia : My first question is a little bit more basic. Typically, if you look from a trend perspective, fourth quarter tends to be far more lumpier and better in terms of sequential revenue growth. And given that our backlog has been, especially from your side this quarter was broadly flattish and not a growth on a Q oQ basis, specifically for E L and MO, both which are product -oriented portfolio s for us. So, any revenue slippages, delays or any specific comments from your side?

T K Sridhar : Renu, from my side , I could say there has been no revenue slippages. I think there is no destocking issue also which we see from the channel partners or our customer side as well. I think what we see is more about meaningful execution according to the milestones and the offtake of the customers, which is very important. I think if you look at the patterns previously when we are coming out from the COVID scenario, I think people try to execute whatever was required at that point of time as a backlog which they had to do. So, therefore the offtake was far faster in the previous quarter, but now it has started to stabilize, right? So, that means it 's going to be more even in a way which matches with the execution of the various projects with the OEM and channel partners have . And that's basically what we see both in electrification as well as motion.

Renu B Pugalia: Secondly, if we look at directionally, while we have been guiding or we a re broadly mentioning of maintaining double -digit net margins now , this year has been pretty strong with combination of factors , mix as well as multi gain side in terms of benefits. So, looking at the backlog that we have in hand , wo what is the outlook that you would like to share for the next calendar year, especially on the profitability given the way the macros and your order backlog is tied up today?

T K Sridhar: Renu, we don 't share outlook that 's I think that we know, right. So, I think I could only give a color to that ; our order backlog is a good mix of orders from the 23 market segments what we cater to , and also it has an element of good amount of services which is also a service thing. But the other factor which we need to consider is 90% is from the domestic market, right? So, that means a content which is basically more driven by the local prices, local competition sort of stuff. So , I think gi ven this particular scenario and we have a major event election which will happen in Q2, I think we should be realistically cautious when we have given estimation about these profitability indicators . So, given that we are at the double -digit margin at th is point of time, I think our ambition is to make sure that we remain credib

le over here.

Renu B Pugalia: And last question, more is related to the end markets . If we see electronics has been one of the key growth drivers for ABB and now with deepening of presence in OSAT and the entire value chain, there will be more factory automation opportunities. So , how are we looking at this market unfolding, and have you already started to see activities from the customers in terms of enquiries in this segment ? So, how should we look at both in terms of opportunities on the manufacturing side and electronics in specific going forward?

Sanjeev Sharma: Definitely , electronics is a segment wherein we see positive development. Not only we see the formation of CAPEX and expansion, we see direct impact in our order books, and we are delivering meaningful projects in electronics sector and also the nature of electronic manufacturing is now especially when more modern plants are being … because every time an electronic manufacturing plant is set up by a global major or local, they always go for new technologies. So , robotics automation is one ele ment that go quite well into these manufacturing and we are seeing a good upt ick in that part of our portfolio , and in addition when you have these integrated facilities come, you have other related products of AB B from electrification , motion also find place in these facilities. So, definitely , we see an uptick and positive upt ick of electronic segment , Renu .

Moderator: The next question is from the line of Mohit Kumar from I CICI Securit ies. Please go ahead.

Mohit Kumar: My first question is on the order inflow. Was there any large order inflow in this particular quarter like previous quarter ? And a related question is, the life cycle of the current order book , is it very different from the order book at the end of C Y'22?

T K Sridhar: I will a nswer to your two questions. The first question is, did it have a large order ? Answer to it is yes, it did have a large order. I had mentioned that it had basically come from Motion from a traction business from a railways customer . So, that's #1. And #2, what 's the composition looking like of the order backlog? It's a good question. I think earlier we used to have from the order backlog, probably 7-8% as large order content … as the project orders in other words , but in the current order composition order back log, Rs.8,400 crores, we have almost 15 % from the large orders. So, these large orders get executed over a period of 18 to 24 months depending upon the project what we are executing, and the balance gets executed over a period of time with the predictable revenues.

Mohit Kumar: My second question is on the gross margin . Our gross margin s were the highest in fiscal and this particular quarter . How do you think about as we go forward especially for C Y'24, do you think any gross margin correction? I think last quarter you alluded that there was some correction.

T K Sridhar: So, first of all, Mohit, we don 't give any forecast as far as gross margin is concerned . So, gross margin is basically a resultant of two to three factors. One , of course , is the composition of the orders what we execute , and if that has a larger element of project orders which get executed , as you see that we have already mentioned the 15 % are large orders. So, I think that will have a lesser contribution to the gross margin , but whereas the product order definitely has. So, I think , as the prices are stabilizing in the market both in terms of pricing, which we do with the customers as well as with the vendors with the material prices stabilizing, I think the possibility of increasing the prices into the market will be more even -based and not a normal pattern, right? So, that's how it will happen. So , more expansions in the margins will come through capacities through different market segments what we go into and v

alue -based se lling, right. So, that's basically how the margin expansion going forward will happen.

Moderator: We have a next question from the line of Ankur Sharma from H DFC Li fe. Please go ahead.

Ankur Sharma: I had two questions. One was on the motion business that is . Just wanted your comments on how are you seeing the competitive intensity, pricing and also demand there because one of the peers said, it almost seems to be like a price war going on in that, especially on the low voltage motors. So, that's my first question. Second was on the automation segment. While Q4 is being seen good growth , overall order inflow seems to be flattish on a YoY basis . So, is it that some orders are kind of defer red and you probably think that should pick up over the coming quarters or maybe it 's more like post -election , so do you have some comments there as well ?

Sanjeev Sharma: So, your question is about process automation . Yes, our pipeline is quite strong and there are certain orders we feel got deferred and they will come in most likely in this quarter . When it comes to terms like price wars and others, I think we never use this kind of terminology within our own internal system, because that shows an erratic behavior of someone. And we stay quite

steady with respect to how we serve our channels and our customers with more consistency over a period of time. So, our pricing strategies are very stable based on how the market and the market segment show up based on the strength of our port folio . But yes, if there is some kind of a behavior in the market , so it's not the whole segment gets affected , there may be a kind of stress in a particular market segment on the lower side wherein it is more price -sensitive. So, that's how we deal with it. I do have my colleague , the President of Motion Division, Sanjeev Arora . Sanjeev, would you like to add to my comments?

Sanjeev Arora: Thank you very much for the question. Thank you, Sanjeev, for giving me this opportunity to answer it. I think you are just spot on . And definitely as Sr idhar has also mentioned, it is the value -based selling, it is the portfolio and the technological advantage what we have , that is playing very well for AB B low voltage motors. And the customer has the belief that if they are going for the sustainability as a subject on top of their mind, it is the energy efficient motors of ABB which can support them very well , and that 's how we are keeping ourselves a bit more isolated and protected from I would say the general t rend and that 's our strategy will be going forward as well.

Moderator: We have our next question from the line of Amit Maha war from UBS Group. Please go ahead.

Amit Mahawar: Sir, my first question is on the motion division. This year, almost 50 billion plus worth of orders, right, the largest subset for us and that 's more driven by traction. In CY'24 how should we look about traction orders, do you think we 'll have the same momentum , any color on that?

Sanjeev Sharma: As far as the traction orders are concerned, is a direct result of spend being made in the railways and in the metro segment. In railways, specifically in terms of the new trains being launched, we have a substantial technology footprint in those areas. With respect to traction, our focus market segments are railways and metro and within railways it is the new trains like Vande Bharat and more modern trains wherein our technology, the sweet spot technology for those segments . They are preferred technology, but we participate with the railway s tendering process or through the OEMs who are building those trains . And we have good position there . And also in the railway electric engines , when they are buying and expanding that line, we also have some technologies going there . And in the metro of course we supply substantial amount of technologies there. S

o, these segments are tracking. So, yes, it is cyclic . Not every quarter you have a very large tender, but whenever large tender happens f or the OEM wins and then the OEM takes their time to place their offload of the AB B technology orders to us. So , I would say , I would consider it as an engineer to order business , but it will be more cycl ic going forward. We will not track it quarter -to-quarter , we will track it as it comes.

Amit Mahawar: Second question is on the E L division. Our profitability has seen a material ramp up and it 's more close to the global peer like Schneider operating in India at 18%, 19% plus . But there 's a significant gap in top line. I 'm not saying, we have all the product portfolio, but our top line vis-à-vis say Schneider in India is materially different. So , which are the areas where ABB will expand and target in the E L Division in terms of product profile?

Sanjeev Sharma: So, let me admit my ignorance because we never track our competitors , we only track what we can do for our customers with our portfolio. So, I will not be able to relate with the percentages you said . But yes, relative to our quarter -to-quarter, year -to-year performance and the markets and the customer segments we want to do, I think we continue to make very strong progress. So, we are quite happy with what our distribution that ELDS division is doing as well as how our business in smart power and smart distribution are working. And I think we are on track in terms of localization, in terms of penetration, expanding our product portfolio , and we are making substantial kind of investments in that area. Do we compare with somebody? No, I think we haven 't done that. Maybe it 's a good question from you. Maybe we should look at it. But at this point of time. I think we are going by our plan.

Amit Mahawar: But at least on LVM , which side is maybe we are leaning towards in terms of expansion, sir, some color ?

Sanjeev Sharma: Last year we expanded quite well on the medium voltage side in Nashik . You may have tract it and Ganesh since he 's sitting next to me, I can take benefit of him. What do you think on the medium voltage side, what kind of opportunities you see connect ion?

Ganesh Kothawade : Thanks for giving me the opportunity , Sanjeev. So, medium voltage, definitely , we did the expansion in the last year. We brought our eco -friendly product line which has been introduced and also a couple of other products which is from the contractor side also has been introduced . So, there is an expansion which is in the product portfolio that has also been done and also investment which has been done in basically the capacity expansion to meet the demand in the market . So, we can see a ve ry good demand which is coming from the renewable , building and also rail and infrastructure segment and of course the data center because it is highly energy - intensive usage which is coming from the data center. So , we do see this good expansion coming and we have seen good growth in the last quarter also when it comes to the distribution.

Sanjeev Sharma: So, in short, what Ganesh is alluding is, we have a very solid performance . I think our benchmark is how well we do as AB B globally and I think ELDS, or our division really is on the top of the benchmark globally when it comes to business performance and also the growth . When it comes to low voltage , we have Kiran Dutt. Kiran , would you like to put some color on it ?

Kiran Dutt : Thank you, Sanjeev. From the low voltage perspective, I think you also made certain points in terms of localization and expansion of our port folio . I think we have been doing that continuously over the past few years. We have added some products which are addressing different segment of the market, not only the segments what we were already having , we are also trying to get into diff

erent segment of the market . One is in terms of the portfolio expansion where we talk about , the rest is also important when we talk about the localization part of it . So, overall, it 's in two ways we look at it . One, while expanding the portfolio, we also want to introduce those products into India as a localization part of it. Let me give you an example in one of the segments of data centers . We also launched some solutions on the UPS side. So, that's been launch ed in the last quarter of last year, that 's Q4 of 2023. So , a good portfolio and a very

particular segment of the market called data centers and that kind of portfolio will support us in future growth. So, overall, we continue to expand portfolios as well as localiz ation .

Moderator: We have a next question from the line of Umesh Raut from Nomura India. Please go ahead.

Umesh Raut : My first question is pertaining to your opening remarks about premiumiz ation. So, basically, it is really heartening to see that there is a shift now happening at a ground level to more towards premium ization. But I want to kind of understand more on the vertical side basically in which all products you are seeing this particular shift happening and how this can also lead to a further better realization for the Company ?

Sanjeev Sharma: Mr. Ra ut, thank you for your question. It 's a good one. I think we have seen th e significant shift of customer behavior especially post -COVID . During COVID period , customers realize that when they are in dire straits, which are the companies Which stand for them, and which are the ones has the ability to serve them. Obviously, companies like AB B stood very tall during that period , the way we were organized to help our customers who were in the remote location with our digital technologies, digital support technologies, and we didn 't leave any customer wanting relative to maybe not so great experience they had during their c linical phases with some of the other participants in the marketplace . And I believe that has created a strong impression in customer s' mind and I do believe that have a large contribution in terms of how customers started thinking about reliability, availability and the overall strength of the Company . So, that's one reason we find.

Apart from the organic market growth, there 's a shift of the preference from a large customer, which was very kind of price -sensitive earlier towards more reliable supplier, and they 're willing to pay a reasonable price for the products and the quality and the services they get from a Company like us. So, that's we could measure it, but we find that there 's substantial shift on top of the market growth itself. So, that's why you can see our growth numbers are relatively multiple of the GDP growth in the country . It is being contributed by that behavior as well. Now , when it comes to the verticals, we definitely see that very clear ly in robotics , we see that very clearly in the A -grade buildings which are being built , and the infrastructure projects being built, whether our electrification and motion products, there 's a clear preference for those products from us. Th e people are demanding it by brand that what brand they would like to place in when they have that flexibility. And not only that, even the contractors who are working in very prestigious government projects, they want to make sure they 're using the best technologies and components, because now the government infrastructure projects are of such a high quality, whether it 's a parliament or it is Ayodhya , airport , railway station s, Ram mandir, you will find ABB technology footprint there because there 's a preference that they should put best -in-class equipment . So, it means it 's not only the government procurement which says t hat buy the cheapest, they are saying, buy the best for the best infrastructure we

are putting in and that 's our
sweet spot and that 's where our brand placement is quite good. So , in the electrification, all these areas, premiumization is taking place . Data centers again , the large global players when they are coming to India, they have a ch oice to buy cheap, but t hey don 't, they come and they buy our premium technologies because the data center is all about reliability, availability for the

customers and they want to ensure the best of technology goes there. So, that's another area where we see a distinct advantage .

Especially on the sustainability side , we find the industry behavior has changed; cement industry, steel, industry, pulp and paper, there 's a lot of demand for high quality products which reduces their greenhouse gas emissions by using technology which gives them more efficiencies. Same thing is with the contractors who are doing residential building , commercial buildings , they also have a preference for high technology , and they buy it by name or sometimes they buy exclusively. And we have an example : we are executing , I will not name the customer, they placed an order three months back , and without our asking, they repeated that order by sending an e-mail to us to listen , hey, I'm setting up another project , just please repeat it. So, that's the kind of a behavior we think people are using because the amount of money they are spending for their project is so high , they don 't want to compromise on the last component which used to be a behavior earlier, but we see a mark shift there and it 's a sweet spot for us. I hope that answers you, Mr. Ra ut.

Umesh Raut: Yes, sir. Very much. Sir, my next question is pertaining to exports and services business. So, if I look at our trajectory, I think overall at a Company level, we are doing very good in terms of growth, but as a percentage of share in terms of services and exports , that has kind of marginally remain ed same or marginally decline d as compared to last CY'22. So, any particular color on this front, especially now that you are saying uptick on the renewable side globally and there might be a chance of getting better sourcing from par ent side as well especially on these lines?

Sanjeev Sharma: As far as services are concerned, we are growing well and our exports by percentage may look low, but in net terms we are growing 15% there. But since the domestic market is so strong, when it moves percentage wise, you will see that the exports and the se rvice look relatively or percentage s are low, but we have a healthy growth in that area and we are quite happy . Now, as a multinational corporation working in India, investing in India, localizing for India, our prime focus is Indian market. That 's why we are here and that 's why we want to help the Indian customers. And since we have sophisticated factories, I don 't drive the export business , my business leaders don 't drive export business . What they drive is they run best -in-class operations which are so attractive for our global business leaders that they want to buy from here and serve other markets. I think that 's how we treat it. So , we are finding increasing interest from the global business leaders who manage other markets , either they are giving the allocation to our factories to supply into markets, or they 're even asking our domestic leaders to be responsible for other markets. So , we see that this will be a kind of a long -term trend wherein we will have more and more participation in global market, but that 's not the focus we have, we have the focus on the domestic market , and I believe that 's something which will be very rewarding and is rewarding at the moment , and export will be a consequence of it.

Moderator: The next question is from the line of Mahesh Bendre from LIC Mutual Fund. Please go ahead.

Mahesh Bendre: In the l ast four quarters , we

have been reporting an order inflow of Rs.3,000 crores around that
number and the base effect is going to come up from next quarter onwards. So , is it fair to assume

that we will continue to grow, but the growth rate won 't be like the 30 % growth that what we were reporting for the last many quarters ?

T K Sridhar: Yes, I think it 's a fair point. So, I think we grew from a smaller base to a more solid base at this point of time, which now consists of both base orders as well as large orders. It depends on how faster the large orders get decided in the future as well . So, having said that, our focus is basically to make sure that our base orders are as strong as what it was in the past . So, that's how we would like to look at it.

Moderator: The next question is from the line of Aditya Mongia from Kotak Securities. Please go ahead.

Aditya Mongia: I'm kind of picking up a comment that you made earlier about integrated solutions becoming more and more relevant. And if I 'm not wrong, you had also just announced an order with Tata Steel, which is kind of more integrated across their plan. Could you give us a sense of how meaningful this, let 's say, a different line of work can become for your positioning inside the kind of boost to margins if any that can come from here?

Sanjeev Sharma: As you said, the core sector orders are concerned, we always have good healthy orders from here. Even when the CAPEX was not as high , we had very good OPEX orders wherein there 's always an expansion or two which keeps happening . But now what we find is that, yes, those tick up in certain market segments have started happening and then we are seeing growth in these core sectors . They are a good and a large contributor to our orders and we see that as this momentum takes place, I think it will meaningfully contribute to the weighted averages we have going forward. But you 're right, there is an upt ick on the project s business and that 's what we have been talking about in many quarter calls that is something is a matter of time , when it pi cks up and starts contributing even more meaningfully . That's where our mix of products ETO and the projects start becoming such that our projects take longer time to execute , but at the same time still our 70 %, 74% of the volumes o r the revenue still comes out of products and the E TO business.

Moderator: We have our next question from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal : So, I have a question on your online marketplace. So, you've been talking it for many quarters in the past. So, if you can help us and understand over the last couple of years, how has been the ramp up from that in terms of contribution towards revenues , market share gain, etc. ,?

Kiran Dutt : I think e-marketplace has been quite good in India now. It 's gaining traction over a period of time. If I just compare what it was in 2022 and what it is in 2023 , we see a substantial increase in the offtake from the customers on the portal. There 's also something known as we call it as (ROPO) Research Online and Purchase Offline . I think that has been a game changer for all of us. We find that a lot of customers research the product, find the technicality, find out what are the specifications and lot of technical data which is available online and they would like to purchase offline. So, we allow that to happen and that 's something which we see having a

tremendous growth going forward. There is also an important aspect that being digital is actually reaching out to many customers across the country. So , that is something on a penetration level it is really supporting us. And it is also easy for a customer to connect with AB B because of this particular portal. So, we see lot of inputs coming us , lot of leads coming out from this b

ecause
of this portal. So , that's the way the development is . And we feel that this particular business going forward will defini tely be at exponential level.

Sanjeev Arora: Thank you, Kiran. I think Kiran, you have touched upon all the important aspects of this piece. I would say, this is in a nascent stage and developing , and this would be one of the very important revenue streams in times to come and will definitely support the reach and response time what customer requires. So, yes, we are very bullish about this piece .

T K Sridhar: But to give you some you know data, because I think you guys require data , so I have more to deal with data, right? So, I think out of the total orders what we have , I think only at this point of time from an e -commerce as in order stream o r revenue stream, I think we are very nascent as what Sanjeev was alluding to. So, I think we are just a couple of percentages there. The market is yet to catch up on that particular journey. But we expect that this could grow quite fast in the periods to come and that 's something which we are investing on at this point of time . And in this process we are also making sure that internal processes like our order management system and the other -related customer interfaces are also upgraded to talk seamlessly on this particular technical solution.

Moderator: Ladies and gentlemen, we 'll take that as the last question for today. I now ha nd the conference over to Mr. T K Srid har for closing comments. Over to you , sir.

T K Sridhar: Thank you, Yashasv i, and thank you , everyone for joining this particular call. This being the year end and also the last quarter of the result quarter, right , so we thought we should try to answer as much as possible so that efforts we also increased the time, right … so we sort of elongated to

another by 15 minutes in the call . I am hopeful that this could have answered quite a few questions of yours. In case if you still have certain things which you need clarification, please do feel free to contact us back and we will try our best to revert back to you soon. Thank you very much for joining this call once again and looking forward to see you for the AGM wherever is possible, which is in May. So, very good and thank you for all the support, all the sort of an understanding of what AB B is. So, it has been a great journey for both Sanjeev and me since for the last five, six years. And that is also reflected in the confidence with the shareholders have in the performance of the organization and the resultant share price . Thank you very much.
Moderator: On behalf of AB B India, that concludes this conference. Thank you for joining us and you may now disconnect your line s.

(This document has been edited for improving readability)
ABB India Limited
February 21, 2024

Investor / Analyst contact:
TK Sridhar
Chief Financial Officer
sridhar.tk@in.abb.com

Sohini Mookherjea
Country Communication Manager
sohini.mookherjea@in.abb.com

Registered & Corporate Office:
ABB India Limited
Plot No. 5 & 6, 2nd Stage,
Peenya Industrial Area IV , Peenya
Bangalore 560058
Karnataka

CIN: L32202KA1949PLC032923
https://new.abb.com/indian -subcontinent

Call: May 2024

ABB India Limited
Registered and Corporate Office
Disha - 3rd Floor, Plot No. 5 & 6, 2nd Stage
Peenya Industrial Area IV
Peenya, Bengaluru – 560 058
Karnataka , India CIN: L32202KA1949PLC032923
GST: 29AAACA3834B1Z4

Phone: +91 80 2294 9150 – 54
Fax: +91 80 2294 9148
Email ID: investor.helpdesk@in.abb.com

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BSE Limited
P.J. Towers
Dalal Street
Mumbai 400 001
(Attn : DCS CRD)

Nation al Stock Exchange of India Ltd
Exchange Plaza, 5th Floor
Plot No. C/1, G Block
Bandra -Kurla Complex, Bandra (E).
Mumbai 400 051

Attn: Listing Dept.
Dear Sirs
Sub: Transcript of Analyst concall

In continuation of our letter s dated May 6 , 202 4, May 1 0, 2024 and May 13 , 2024 , we are enclos ing a copy of the transcript of conference call with analysts, which took place on May 13 , 2024 post announcement of un-audited financial results of the Company for the first quarter ended March 31, 202 4.

The said transcript is also uploaded on the Company's website.

Thanking you

Yours faithfully
For ABB India Limited

Trivikram Guda
Company Secretary and Compliance Officer
ACS 17685

Encl: as above

ABB India Limited
Q1 CY2024 Earnings Conference Call
(January – March 2024)

May 13 , 2024

MANAGEMENT : MR. SANJEEV SHARMA -- COUNTRY MANAGING
DIRECTOR
MR. T.K. SRIDHAR – CHIEF FINANCIAL OFFICER
MR. KIRAN DUTT – PRESIDENT , ELECTRIFICATION
PRODUCTS
MR. SANJEEV ARORA – PRESIDENT , MOTION
MARKETS

Moderator : Ladies and gentlemen, good day and welcome to ABB India Limited Q1 CY 2024 January to March Quarter Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touch - tone phone. Please note that this conference is being recorded and any unauthorized recording of this call is strictly prohibited. The recording will be made available on the Company 's and SEBI's website subsequently.

I now hand the conference over to Mr. T.K. Sridhar, Chief Financial Officer of ABB India Limited. Thank you, and over to you, sir.

T.K. Sridhar : Thank you, Nirav. Very good morning to all of you. Welcome to the 1st Quarter 2024 Results Call.

I have with me on the call Sanjeev Sharma – the Country Managing Director; and Kiran Dutt, who leads Electrification; and also, Sanjeev Arora joining us remotely for Motion. We were not able to get other people for Robotics, Subrata and Balaji for Process Automation because they are traveling , and they are on with customers. And therefore, we now start the call. So, over to you, Sanjeev.

Sanjeev Sharma : Good morning. Thank you, Sridhar. Thanks for joining today. We had an AGM on 11th of May, Saturday. I hope many of you had a chance to watch the proceedings because they were available live. But we'd today like to give you a quick overview of January to March 2024 results.

So, before we dive in, just as a reminder that ABB in India, we operate 4 verticals, which we call as business areas in Electrification, Motion, Process Automation, Robotics & Discrete Automation. In our view, our portfolio, all the business areas and the 19 d ivisions under these business areas really represent sweet spot for what is happening in the Indian economy – be it in terms of infrastructure development, industrial development, digitization, and also the manufacturing expansion that is taking place in the country because our portfolio products, they align very well with respect to the growth that we are seeing in the multiple market segments.

As you know that we have 19 divisions, which are exposed to 23 market segments. And that gives us the fundamental resilience as we participate in the marketplace.

We serve our markets with 5 manufacturing locations, which are in Nashik, Faridabad, Baroda, and 2 campuses in Bangalore. Within these campuses, we have 25 plants and we have 28 customer care offices around the country so that we are close to customer alwa ys. And we are also serving the market with 750 plus channel partners, integrators, OEM, supporters for our business portfolio. And as you know, the impact of the partners is that we get about 41% of our business through partners and 59% is direct sales.

To give you the business highlights. In the quarter gone by or the quarter that we are discussing today, our orders grew by 15%, which we believe is the underlying success of ABB India's multi - division, multi -market segment portfolio because it pairs very well what is ha ppening in the marketplace and also the kind of focus our division, each of our division pays to their customer and customer market segments. And we continue to grow and penetrate in multiple market segments, multiple geographies, deep into Indian territor ies. And also, we continue to expand our product portfolio in each division and combination of factors continues to give us more access to the market, and that's the reason we grow faster than the GDP growth of the country. Our revenue on back of higher backlog grew 28% and we continue to experience positive book - to-bill. Our profit after tax grew 87% due to good capacity leverage. And also,

we continue to
optimize the cost. So, there is a good operational excellence reserves which are coming through our value chain because we focus not only one part, but we focus on entire value chain and our team continue to deliver better operational results. We stand at robust cash position at Rs. 5,036 crores. And while we do the business in a credible way, we continue to focus on sustainability aspect because we think it is the right thing to do. It is not something which is a buz zword for us. We do it because it is the right thing to do in India and also for the environment. And we reduce 88% of our greenhouse emissions in Scope 1 and 2 at our own operation as compared to baseline year of 2019. We continue to focus on water. So, our operations are increasingly becoming water positive. That is we put more water in the ground and we continue to raise the ground water level wherever we are present. And that we continue to do. And right now, more than 50% of our campuses are water pos itive.

We also launched a compact drive, ACH180, which caters to a very exciting segment of HVACR equipment sector. And this is again is a high growth segment. So, as I mentioned, we continue to expand our portfolio.

What we see is the positive market momentum across market segments and all for the large customers, medium sized customers , and the small customers. So, we had a healthy mix in last quarter of short and long cycle opportunities coming from industrial sector as well as from the digital that is Data Centers and also from Railways and Metros. Our export expansion took place by 23% though exports remain by percentage 10% of our portfolio, but net -net there is a high growth. Why is the percentage of export looks 10%? Because the domestic growth is much, much stronger.

Discrete continued momentum in automotive sector and electronics is visible to us. And also on the process industry side, if you see, we have energy industry, metals and mining, they are expanding. And data centers is a quite a discovery for us. A few year s ago, you remember, we keep talking about it. But now we really are seeing the scaling up of orders out of this particular segment, especially the global majors who are trying to set up data centers to localize data and also provide much faster and higher cloud services to the ever -expanding digital consumption in the country. I think the data center market is showing a lot of strength for us.

And also on the transportation sector, demand for propulsion technology for Railway and electrification for Metro, that's a very, very positive development for our portfolio. And of course, we continue to enjoy the resilience and the vibrancy that we have in Tier-2 and Tier-3 markets where we continue to increase penetration. So, with all this, our order backlog grew 25% to Rs. 8,900 plus crores. And that's the picture that we paint with orders growing 15% and revenues growing by 28%.

Just to give you an impression in terms of significant wins, when we talk about data centers, so we put in compact substation and smart power products and medium voltage switchgear for large data center projects. When I say large, you can imagine largest p ossible data centers being put in by the global major players who buy these similar products and services from us globally. And they continue to repeat that in the country. And also our robotic solutions beyond automotive are penetrating in new market segments like F&B segment, wherein there's a good uptake because productivity of a plant is not only production, but also how quickly you can deal with the end of the line packaging solution because that otherwise slows down the productivity of the line. So, that's where the robotics come quite handy . Global metal product manufacturer relies on system drive. So, we had a major order there. Robotic solutions are being increasingly applied i

n the manufacturing of electronics, which is expanding in the consumer goods and mobile phone assembly, and robotics is becoming a key ingredient for scaling of the production. Our low voltage motors for the range of manufacturing of water solution and engineering Company continues to find favor because we deliver energy efficiency motors. And everybody is very conscious these days in terms of really buying energy efficiency components to run for their facilities. Our process automation solutions for remote terminal unit, leak detection system, and SCADA for brownfield project of an energy major, that again is a very solid solution and really relied upon. And we continue to see a lot of repeat orders in these particular areas. So, this gives you a flavor how ABB portfolio p lays in different segments, different market segments, and different products, how we have created the very large and wide catchment for the market.

One of the key reasons for our success is because we have very passionate teams in the market as well as in the businesses. And they continue to reach deep into the market and market segment. So, at any time, if you speak to us today, there is somewhere our teams are connecting with more new customers and really making them aware about ABB portfolio and the benefits of it. And that awareness itself continues to create a growth momentum for us acros s the country.
If you look into the market segments that we talk about, this is how we see them. So, you can see the high -growth segments are in data center, railway, metro, and electronics. They are growing, say, plus 15%. And Enhance , which is, say, the middle one, they grow between 8% to 15% and Sustain. The segments under Sustain , which we may call as moderate and low growth, but still, these are the segments which give us 50% plus in our orders book. So, you can see that as the Sustai n segments continue to move to Enhance and Enhance moves to Focus and the rotation takes place, that brings the basic resilience for ABB for product portfolio. And we are seeing now signs in the moderate to low -growth segments. Some of them are breaking out, and they are going to the Enhance market growth side. So, that's where you can see that the Focus

one gives us very high growth. Enhance segments give you a very stable and solidified growth. And Sustain , they are coming out of the low -spend cycle to the higher spend cycle. And that's something we enjoy, and we will enjoy in coming quarters.
Now, theme for the quarter, just to explain to you every time we take a theme. This time we have taken Buildings and Infrastructure, a deep dive in it. It's a $1.4 trillion market growing at a CAGR of 9%, comprised of infrastructure in smart cities, roads, waterways, ports, tunnels, and many others. And this is an area which is a sweet spot for our Electrification and our Motion portfolio. And here, that's the reason when you look into the Electrification portfolio, I think our teams are doing fantastic job in terms of connecting with the existing and the new customers. And that's where you can see we have a high growth coming in.
And also, in the transportation sector, our Motion teams are really bringing the best of the portfolio that is available in Europe and localizing and have localized it for local products because now Indian Railways and Metros are really looking for best -in-class global products, and that plays quite well for our portfolio. Now, key drivers, of course, about affordable housing, green building solutions, technology and AI shaping th e industry, which requires different kind of ways to look at it, proactive government policies and support, all these are adding to the growth in this particular segment.
On sustainability in practice, just by the way, the picture that you see on the left is not a stock picture. This is a picture as I'm sitting in the ABB b

oardroom, when I look down, this is an ABB
campus picture. So, when we say green, we mean it. We ensure that we nurture the sustainability aspects around all our campuses. As I mentioned, reduced Scope 1 and 2 GHG emission by 88%, and that's what we will stand in ‘24. Water recyclability, we will improve from 37% to 45%.
Our 3 units are already water positive, they have become 4, and zero waste to landfill unit, we already ac hieved one. And we will also make sure that within ‘24, we have 2 units or 2 campuses which become zero waste to landfill units, and we continue that journey. And this is something we have committed. One is it's nice to show this number, but we, as a manag ement team, feel this is the right thing to do, and that's our motivation to do it. And I think with the result, we also know that three years ago, we had only 2 ESG funds which were invested in ABB. And as of last count, I think it is about 52 or 55 ESG f unds invested in ABB India stock.
On the CSR side, we continue to develop the infrastructure in the rural road infrastructure project. So, this road, as you see, it's being developed around Nelamangala rural road, which is close to our plant and which also serves safe commute of the vehicles, plus also providing a segregated path for women to be able to come to industrial areas in a safe and a much more conducive way, with a lot of confidence that if you want women to participate, you've got to have the right infrastructure to walk to the w ork from the metro stations or from the spot where the buses, et cetera, drop. So, we continue to develop in mind so that there is a higher confidence in the teams and the women and the men to come to the plants where we are situated, and there is a positive talent acquisition possibilities for us. At the same time, the rural folks who u se these

roads, I think there are less accidents and there is a much smoother movement of goods and people in these areas.
We do organize science competition on National Science Day. We have a special school to mainstream children for special needs. And also, we have inaugurated pediatric OPD at Municipal Hospital in Delhi that we have supported. So, we have multiple areas, 3 focal areas,

which is education, diversity and inclusion and healthcare for communities. And we make sure that all the funds that we have, we meaningfully spend them every year.
So, summary, aligning with India's growth and global shift. So, what we see right now in the market is domestic demand and elections, though everybody asks us, what is the impact of elections on the portfolio and the growth? You can see as such, we have not seen such a big impact in the 1st Quarter . And I really do believe that this time around, elections have had no real impact, but we are cautiously optimistic about it. Whether there are pre -election or post -election, some weakness can be felt, but we hav e not felt it in a major way.
Demographic and social change. I think India has a positive demographic bent going forward. And also, we are seeing a good income distribution in the country and also consumption is increasing. So, that again backfills the customers who are encouraged to expand their capacity and that goes quite well for our portfolio. And private CAPEX , yes, we see a significant private investments in areas like data center, automation, industrial automation, metals and mining and PLI-led CAPEX . And this is something which has a starting point. I think many people say that they have peaked, but from our point of view, all these areas are just starting. They are just taking off. They are not peaking. They are at the starting point relative to when we compare how these segmen ts have grown in other developed economies. We are at the starting point, not at the midpoint, not at the high point. And then, of course, energy access and transition, global offshoring, t

echnology advancement, all these are playing for our portfolio.
So, at this point now, I hand it over to T.K. Sridhar, our CFO, to take you through financial highlights.
T.K. Sridhar : Thank you, Sanjeev. I think it was very insightful. So, let's go to the finance numbers, how did we perform? I think our press release has got a lot of more information and data for all of you guys to digest. And also, I think this time we made it sure that these presentations are available well in advance so that it could help you before we can read or report writing on our business for you guys.
So, coming to the performance, how did we perform :
I think as Sanjeev was mentioning, it was again another strong quarter. It was a solid start for the year as well. I think this quarter was characterized by certain milestones, which were achieved which were not there in the future. I think the first time we crossed in revenues we reached Rs. 3,000 crores. And, PAT, yes, 15% is what we see. Then also cash we s urpassed Rs. 5,000 crores. So, this is something for the first time which we have done.

And when you go a bit deeper, orders received, we did Rs. 3,600 crores, 15% up over sequentially, and also 15% up for the Q4. But a good part of it is that the Rs. 373 crores of orders, what you have seen, is basically characterized from the data centers orders, what Sanjeev was alluding to earlier.
Strong backlog. We don't see any sort of non -moving or slow elements on this. We hope all of this backlog will be executed in the quarters to come. And not to forget, this also included the traction orders, which are long gestation orders, including the ser vice element of that. So, that takes up a bit of a portion of this. Revenues, growth of 28% at Rs. 3,000 crores. And profitability went quite high compared to the previous quarters. So, I think this was absolutely a very normal quarter. There were no untow ard one -offs like forex or any other cost which was there. But I think it was more attributable to the material cost, good material cost, good revenue mix, which has helped us to do this. And also on the good control over the other elements of cost.
So, overall, I think it was a good start for the year. We are operating at 4,600 people in the organization. So, I think this is something slide which I would like to spend a bit more time. So, I think when the group normally releases the results, the group gives a view of different geographies. And one of the key geographies which the group looks at or takes reference to is of India. So, I know when the group results were announced, in India they said it was a growth of 5%. And there were quite a few questions to me, whether it is 5% or what is it.
So, my request is the group looks at India differently, and we report orders differently. So, this picture will give you both the views. And for the sake of good clarity, even though it could be a bit of a conceptual slide, I made sure that we give more data about it so that it is because for the first time, I thought of giving more clarity to this topic so that we could establish this clarity for all of you once and for all.
Orders which emanate out of India, right, so this is the view, what a group looks at it. So, it consists of customers in India placing orders on ABB India Limited, which is the listed entity what we are talking for. And also, basically, there are other companies in India which also can get some orders, like the B&R Automation sort of stuff. And also, we have other ABB companies outside India. So, this looks at what are the orders which the Indian customers have placed on different ABB entities globally and locally. So, if you look at it, so last year, the order intake

was $389 million, and this year it was $407 million. So, therefore, it gives a 5%. And this was exactly what was captured by the group in its press release. But when you

now look into how do
we report orders, it's basically what orders we get, ABB India Limited gets from customers in India, also customers outside India and from the ABB group companies within India. So, this is basically and absolutely an opposite situation of this. So, here we look at $453 million, the same basically Rs. 3,607 crores. If we convert it, it becomes $453 million at the exchange rate of Rs. 83 per dollar. So, therefore, this is 15%. I think this picture should give you enough clarity. So, my request to you is before you start to write, give predictions, I think we need to wait for the ABB India results to come to get the real view of it.

Next slide, please. So, now getting into the financial summary, if you look at it, so we are the most interesting part of it is that, of course, we did cross Rs. 3,000 crores in revenues. And this is something which was the first in several quarters. We have good deposits and therefore good interest, which is a major portion of the interest income, other income which we have. Material cost is at 59.8%. First time in the history of ABB where we have gone below 60. I am sure that this could evoke a lot of interest in all of you people as to whether it is sustainable, whether it is something which is one -off, whether it is something which is going to be the future trend sort of stuff. I would like to clarify that this very strong material cost reduction has happened due to 3 to 4 factors, pretty much very important. One, it consisted of higher services and higher exports. Process automation did a phenomenally high component of services in business in this particular quarter. And also, EL did something on the exports portion of it. And then localization and SEM savings was very important for us to achieve. So, this is unabated efforts what the organization puts in. Not to forget that these orders are from the times when the prices were at pretty elevated levels, because the material costs or the commodity prices were at that point of time pretty high. And so, that factored in that. But whereas afterwards, the material cost started to soften. So, we have a positive advantage coming out of that.
Connecting back to the slide where Sanjeev was mentioning about the Sustain, Enhance , and Grow (Focus) sectors. And I think that also played a very vital role in terms of the better margin orders which come from these particular mix of market segments, what we have.
To be sort of on a safer side, this is one of very good strong quarters, right? So, that's where how we see the material cost going below 60%. And the personnel expenses definitely higher than what it used to be previously. It is driven by salary revisions, and we added some 450 people during the quarter compared to last year to this year. So, that's something which has also impacted on the personnel expenses . Other expenses, majority of them is all volume linked. So, we did have one -time favorable tax impact of Rs. 10 crores, which was I think one off, which wouldn’t stay. And Q1 had a warranty cost, which we had also declared in the press release last time, s o which is not there in this particular quarter. So, interest cost, primarily, I think this could be a bit of a question as to when we have zero debt on the balance sheet, so why do we have interest cost? I just want to tell you this, because that major el ement of this, almost 95% of it is basically one, what we need to do on account of accounting positions on lease equipments, what we buy, and the premises what we hold on lease, and also the warranty discounting. So, I think this is basically the accountin g position, what we have, but otherwise, there is more interest costs, what we pay to the bank as we’re flush with funds.
So, just going more into the segment -wise. Electrification, so Rs. 1,800 crores of orders almost, right? So, I think this is basically a 34% str

ong order input, and that's basically from the large
order we got from the data center. And definitely the backlog moving pretty fast, and the revenue, therefore, in this 30% growth. PBIT, ever -time high, 23.7%, and that's basically the reason for what I told, and they also gained because of the stable commodity prices and good offerings to technology, more premium customers. That's how it is, and also, the connect on the Tier-2 and

Tier-3 cities is something what has basically helped out. So, overall, I think that's how the PBIT definitely improved, and there was no ForEx impact on this.
Motion. Motion was a bit flattish in orders. I think decision on some of the system orders got slightly postponed, so hopefully we'll look at it at Q2. And, of course, I think, as all of us know, so there was on standard products, there is a certain price pressure, what we see, and that's something which we have to navigate as the system stabilizes. And backlog's pretty steady, so therefore, it's a well -oiled machine, as what people would see as motion at the segment. The

revenue mix and the price advantage of the previously favorable margin orders is something which helped them to also soar on the margins to 20%.
Process Automation is one of the turnaround segments, as what has been for us in the quite some quarters, few quarters to come. So, revenue's pretty high, and this is the first -time high execution of service orders, what has been done by process automation, especia lly in the oil and gas and the metals and mining sector. So, that's something which has really improved, and definitely, the improvement in the project execution, as well as the composition of orders, which is reflected in the revenues, is something which helped on the margin front, no ForEx impact again in PA.
Robotics, I think they're also a bit flat. So, they will get some orders in the coming quarters to come from the industries what are relevant for robotics, is what we were seeing in the previous slide in the business. So, revenues growing pretty solid at 60%, of course, Q1 '23 was slightly flattish, an d therefore, relatively, it looks higher, but I think Rs. 100 crores or Rs. 110 crores or Rs. 115 crores is standard what the thing is showing. They have a slightly lesser backlog at this point of time, as we see, because the revenues have started to grow faster than the orders, and they would catch up in the coming quarters with the orders, as well, and with definitely a higher revenue execution, you see that translating in the bottom line, as well. And with a good composition of service and profitable segments of revenues. So, this is, by and large, the overview of finance, and as well as this thing. And needless to mention, so we have a very resilient and diversified business model with 41% in this quarter coming from EL, 32% from MO, and process automation going up to 23% is what we saw, and which has basically pushed up the profitability numbers, as well. And compared to that is the offerings, w hich we go through projects, services, and products. So, projects is slightly higher at 16%, and services is a good percentage of 14%. So, this is something which is a clear focus for quite a few business divisions.
And coming to the geographies, as what S anjeev was mentioning, is that even though exports are growing, definitely, on a comparable basis, pretty strong, but the domestic demand is something which is growing faster, and therefore, we could see 92% of our revenues come from India, and the balance is what is from exports.
So, this is, by and large, the Q1 synopsis of how we performed, how the business environment looked like, and so I know we did take a bit of a longer time, 3 minutes more than what we should normally take for our commentaries, so we now can open up for question and answers.
Neerav?

Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Renu Baid from IIFL Securities. Please go ahead.
Renu Baid : I just firstly I would want to appreciate how well the Company has explained the bridge between Group and India reported numbers. So, that is very helpful for all investors. Second, again coming to questions. First, Sanjeev, you did highlight that various end markets are just at the start of their investment cycle when you compare with other developed markets. So, from a preparedness perspective, both with respect to capacity and people capabilities and skillsets and technology, how is ABB planning to invest its cash and build up its portfolio for these emerging opportunities in the domestic market? That's the first question.
Sanjeev Sharma : Thank you, Renu. As far as we are concerned, we continue to invest in the incremental expansion of our capacities, both in the people resources as well as the physical resources are concerned. So, that's always an ongoing process. So, every year you see we have expanded facilities. Plus, we continue to invest in the productivity measures in the existing facilities so that we are able to produce more from the same infrastructure. So, if you see EL , MO, PA, we have a lot of expansion taking place there. And I think as you go forward, you will continue to hear from us that yes, our forward planning is matching in step with how we see the market will grow.
T.K. Sridhar : So, Renu, just to add to what Sanjeev was mentioning, I think we invested almost in the last 2 years, Rs. 180 crores to Rs. 200 crores just on expansion. And that particular effort will continue as we see the demand expanding.
Renu Baid : Secondly, Sridhar, at various segment discussions, you did allude to a very high margin or better price margins in the orders when commodities were at the higher level, aiding margin expansion. So, possible to broadly quantify in the backlog in terms of revenues, approximate contribution from these, in terms of dips towards the margins from these high -priced orders. And given the kind of backlog and the mix that you're seeing today, do we think net m argins in early teens should be broadly sustain able for us from a 2 - to 3-year perspective?
T.K. Sridhar : That's a good forward -looking question. So, let me give you a bit of a color on it, while we don't give any forward -looking forecast on it, right? So, if you look at the backlog of Rs. 8,500, so almost 40% of it today is held on long term migration projects, right, both from Railway customers, which we had announced in the last year and also from Process Automation.
So, what is basically from EL and MO, right? So, they run on a book -to-bill situation of almost 40% to 50% quarter -on-quarter. So, that's something what they need to book, right? So, these

particular orders, whatever you have, so are something which has come from the periods where the material costs were high in which we had priced it to the customers. But whereas subsequently the material costs have softened. So, now the question is, the future prices what we give for the book and bill revenues which we gi ve in the next 2 to 4 quarters for this particular year, shall have to carry a natural adjustment to the current prices and that's how it is. So, therefore, at this point of time, it is not such a way predictable to say that whether the existing backlog would give us and not the same level of margins as what we saw in the 1st Quarter . But

as we say that we are, because having come to reach in 12 percentage of profitability last year. So, our endeavor is to make sure that we are there, and we do not fall below that, and while our efforts are there to improve upon it.
Renu Baid : Lastly, if I can ask one more. In the annual report, if you see, we saw very impressive growth in the s

hare of electronics and specifically other product segments which grew by almost 30%. So, possible to broadly mention any notable categories within these other segments, whether it was UPS for data centers, metering products, et cetera, which drove higher growth in the product portfolio for us?
T.K. Sridhar : You are mentioning of EL.
Renu Baid: Overall, looking at the annual report, we have a product -wise break up given in terms of switchgears, motors, electronic, supply components and others. So, very material jump in others if I have to just share across the numbers. Then other revenue in terms of overall, which we have big 30% jump on a yearly basis.
Sanjeev Sharma : So, Renu, in material terms and the size terms, data centers definitely is one. Railways is another one and the Metro. These are the ones which are playing out plus the Electronic sector and the Automotive side, but on the EV side, there's an expansion for us.
T.K. Sridhar : And last time I think we also got some good orders from the metals and mining as well as oil and gas, right? So, that also is something which helped us. And that's exactly what you're seeing in terms of service revenues which were executed in Q1 for PA.
Moderator : The next question is from the line of Jonas Bhutta from Aditya Birla Mutual Fund. Please go ahead.
Jonas Bhutta : Had 2 sort of longish questions, but both related to the drives portfolio of the Company . Again, drawing from the annual report, we saw that the drives and traction motor business sort of grew almost 40% YoY. But it was also sort of compensated with a higher imports in terms of raw material. So, despite a higher import content and pricing pre ssure for standard products, just wanted to understand how is the motion segment showing such high margins, one? The second, which is drives related again, is if you can give us an overview on the drives market and is it growing at the same pace at ABB's own growth in the drives business, particularly your LVMV? And will the adoption of maybe an i3 or i4 motor standard take away some of the need for drives in the future? Those are my two ques tions.
Sanjeev Sharma : We have Sanjeev Arora, our President for Motion Division on call. Sanjeev, would you like to take a view on the question that they mentioned?
Sanjeev Arora : Thank you, Sanjeev, and thank you for a very good question. See, let me pick up the first, the drives part. Let's understand how the customer behavior is changing. And I am very, very confident that whatever may be the situation, our customers are buildi ng their blocks on the

sustainability and energy efficiency around that. And that will really bring the real drive in the drives demands. And on top of it, they have really seen and tried the best of the technologies in past, and they have a lot of confidence in ABB drive. And h ence, we see that we are growing much, much faster than the market growth, be it the low voltage drive or the medium voltage drive. And this momentum will continue irrespective of what we see in the times to come in the market, because customers are really dedicated to their goals of net zero and energy efficiency, and this is a low -hanging fruit.
Coming to your second question of I3, I4 motors, whether that will hamper the drives part. So, I3, I4 motors will never ever dampen the momentum of drives, because let's understand, hardly 15% to 20% of the motors in the industry today are using drives. And so therefore, as the penetration increases, drive market does increase, but on top of it, the direct online is going to stay there. And as we move towards energy efficiency, and actually, if you really ask me, it is very, very unfortunate that such a dev eloping economy like India is still at I2 basic efficiency. And this is actually, I would say, absolutely unfortunate.
So, as we learn more about motors, we should raise our b

ar to I3, I4 as the minimum efficiency
level, which should prevail in the country in case we need to really cope up with what Europe of the world or US of the world are actually going to. So, it is not going to dampen because market is very wide. And secondly, we must, at all costs now, the government should play a vital role in bringing up the efficiency from I2 to at least I3 or I4 level as the minimum operating efficiency.

That's from my side. In case any more clarification, I'm open for it.

Jonas Bhutta : Sir, just one quick one. What percent of our drives' portfolio is localized? That's my final question.

Sanjeev Arora : So, that is one thing which we refrain from expressing. But then I can tell you, we have a good amount of localization.

Sanjeev Sharma : So, Jonas, what we do is, the localization is a continuous process, but that is something which we continue to do to stay competitive as well as making sure our supply chains are as local as possible. And your question on I3 and I4 and drives is very relevant. And of course, on the lighter side, you can help us by, whenever you go to other calls with other customers w ho you are using a lot of energy and you should ask them the question, why are they not using more I3 and I4 motors and drives? I think that will help us also boost the consumption of these products, which actually overall reduces the energy footprint in t he country.

Moderator : Next question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar : Sir, my first question is on the data center. Is it possible to get some sense of the data center contribution as a percentage of our revenues? Is it fair to say the contribution has reached more than 10% to 15% of the top line?

T.K. Sridhar : No, it has not reached to those particular levels, right? So, it is, of course, a very fast moving market and therefore it is very vibrant in our revenue distribution of that.

Mohit Kumar : My second question, again, on the data center, sir. How do you see this specific opportunity this year versus last year? Is it looking better of what is compared to last year?

Sanjeev Sharma : It is accelerating. It's increasing in the size, the size of the data centers and also the players are doubling up the investment in this area. And this is something we will see continue having the same trend, yes.

Mohit Kumar : And sir, last question. Is it right to say that we have localized all the data center opportunities to the country?

Sanjeev Sharma : No. You mean by the operators? No, I think it is at a starting point.

Mohit Kumar : My question is, sir, whatever we are producing for data center, is it completely localized?

Sanjeev Sharma : Yes, that is highly localized.

Moderator : Next question is from the line of Mahesh Bindre from LIC Mutual Fund. Please go ahead.

Mahesh Bindre : Sir, currently 40% of revenue is derived from the partners. That is more of distribution side. So, you mentioned that we are reaching Tier-2 and Tier-3 cities. So, in terms of your own understanding, how much market we have covered in terms of Tier-2 and Tier-3 cities? And what more penetration we can achieve? Basically, I'm asking the further potential for our growth in terms of Tier-2 and Tier-3 cities and penetration.

Sanjeev Sharma : Good question. We have Kiran Dutt, our President for Electrification. So, he deals with this topic and it's very dear to him. So, Kiran, would you like to say a few words around it?

Kiran Dutt : Thank you, Sanjeev. And thank you, Mahesh, for this question. You're talking about Tier-2, Tier-3. I'm even looking at Tier-4, Tier-3 cities, Tier-5 cities as well. So, that's how the situation is in India. As you know that we have already commented that we are already looking at 23 segments of the market. And all these 23 segments are located in different kinds of cities in India. So, you u

nderstand that. And it's very important for us to ensure that these customers who are located in Tier-2, Tier-3, Tier-4 cities are catered to in the best way possible in the shortest possible time as well. So, looking at that, our penetration has increased over the years. Over the past few years, we have been looking at what kind of distributors are available and where could we penetrate more and more. And that's a continued action. We will continue to do more. If you ask me how much we have covered, we have a long way to go. So, we would do that in the course of the years to come and ensure that our customers get the best material, I would say the least possible time which is possible to be delivered to them.

Sanjeev Sharma : So, as we mentioned, this part of our portfolio, we sometimes fondly call it as a fast -moving industrial goods. So, here, as Kiran very honestly said, it's a journey which has started and it's a long way to go. So, this is an, I would say, on the lower side of the curve rather than on the mature side of the curve at the moment.

T.K. Sridhar : So, I think in the presentation, Sanjeev, so you definitely showed about how we are connecting to the customers. I think there are certain cities like Aligarh and Asansol, where you would have not even sort of thought about. I think that sums off the connects which will definitely develop this particular market.
Mahesh Bindre : Sir, I mean the distribution side, this portfolio is more towards motion or it is more towards electrification?
Sanjeev Sharma : Both electrification and motion and also partly in process automation.
Moderator : Next question is from the line of Amit Mahawar from UBS group. Please go ahead.
Amit Mahawar : Sir, if you look at the global color, it seems Asia is driving a lot of demand on new electrification products, especially on the medium voltage. Do you see, for us, when we expand capacity, I mean, you spent today Rs. 150 crores, Rs. 200 crore on capaci ty expansion, a bulk of this going towards the electrification portfolio expansion. And to the last participant's question, any specific gaps majorly you would want to cover on the medium voltage side for data center? Because we still don't do a lot what parent does, because the market in India is still emerging. So, any color on the expansion on the EP side? And if EP will expand disproportionately in revenue share in the next 5 years? Thank you.
Sanjeev Sharma : So, on the expansion side, we are investing in all areas, namely electrification, motion, and process automation. So, we are seeing that growth. Robotics, we already invested quite well in 2020. And we get the benefit in terms of the market share of the market segments we are focusing on. As we go forward, we are not only seeing the growth in one particular market segment . As you said, we have multiple market segments, and also not in 1 business division across all the divisions. So, we cont inue to make investment. But you should keep in mind that ABB in India is manufacturing for last 75 years. So, that means we already have our investments in place. And anything that takes for us to cater to incremental demand is only an incremental investment for us. So, that's where we have the leverage. And plus, we continue to optimize our operations. We continue to use a lot of automation and robotics. That also, in the same footprint, we are able to produce more. So, that, again, adds to our operationa l leverage, as well as on the productivity side.
Now, going forward, as far as the data centers are concerned, data centers are nothing but power guzzlers sitting with the computer, sitting in the computer racks. So, what you need to do is to feed them with the low voltage power, as well as the substation at the medium voltage level. All those technologies are largely produced in India. And I think our portfolio is quite complete for E

LDS, as well as the ELSP. And we e xpanded quite a bit in Nashik last year for ELDS portfolio.

So, we feel we're fairly complete. And that's where the confidence level of our customers who are coming to India or who are in India is quite high because our supply chains are pretty robust and controlled at the local level. So, our deliveries, and typically data center customers are in a tearing hurry. So, we are able to match their demands, both in the product delivery, as well as the services that are required to run those data centers.
Amit Mahawar : And a small question, second question is, globally, if parent is thinking of expanding capacities, we have some select mandates. Incrementally, do you think you'll get a more share of export mandates than your Chinese counterpart or Asian counterparts in select segments, or it is not a major change that you see? Thank you.
Sanjeev Sharma : My time in morning till evening totally gets dedicated for Indian market, because we are a multinational. The very reason we are present in India is for India. And that's where we continue to spend more of our time. But at the same time, the mandate I ha ve given to all the division heads is to prepare their factories and operations to world class levels, even better than what is existing anywhere in the world, so that there is a pull for those factories to supply in the other location. And t hat's what we continue to invest in last 5 years. And we are seeing now there's a lot of pull coming from the global managers to buy from Indian factories. So, that will be our strategy. We will not be seeking proactively any mandates because this is something we will allow the natural pull to come from the global segment. And there are pulls and pressures in the global market, which are favorable for India and w e will take benefit of it.
Moderator : Next question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.
Parikshit Kandpal : So, my first question is on the large order pipeline. So, if you can highlight, give some more color on how's the large order pipeline panning out for the rest of the year?
Sanjeev Sharma : Large orders we are getting in from Railways for the motion, which is traction orders. Then we have a good large order coming out of the data centers for the electrification, especially the distribution solutions. And we also have large orders in our proce ss automation energy, as well as process automation process industries segment. So, that's where the bulk of the large orders are sitting at this point of time. And then we, of course, have the medium size orders and the fast flow orders, as we call it a f ast-moving industrial goods and electrification , motion , and process

automation. As far as robotics is concerned, it's an ETO business, which is very specialized. And when the companies like local manufacturers of the automotive they expand, they continue to upgrade their lines and that's where we see cyclic orders into the robotics, very high quality, very sophisticated orders across electronics, automotive and others. But yes, large orders I mentioned to you the divisions where the large orders are sitting and also we see a pipeline going forward.
Parikshit Kandpal : Sir, my second question is on the new product introduction. So, like you introduced ACH180 drive. So, my question is annually what's your target or so how do you see, how do you increase the TAM ? So, potentially, what these products do to your total addressable market opportunity in terms of like expanding your portfolio? So, what would be that impact on the same?

Sanjeev Sharma : We always start small when we have the new product introduced. So, we allow our channel partners to absorb it, introduce it in a big way with the customer connect program in the first few quarters and then we st

art seeing a kind of rational uptake of those products and consumption and absorption of it. So, whether you go to the new market segment or you go with a new product, you always in terms of percentage growth, you get it high but in the base volume is always small, and it takes time before you get it as a substantial mix in the portfolio.
Parikshit Kandpal : So, it's largely in Tier-2 cities. So, Tier-2 and Tier-3cities or like across the portfolio?
Sanjeev Sharma : Wherever we select this particular product, wherever the HVAC systems are being installed, they are across all the Tier-1, Tier-2, Tier-3 cities, wherever the new infrastructure is being built which requires air conditioning. I think that's where these products get positioned.
Moderator : Next question is from the line of Umesh Raut from Nomura India. Please go ahead.
Umesh Raut : Sir, my first question is related to theme that you have mentioned for the quarter which is buildings and infrastructure. So, where we are exactly in terms of CAPEX cycle barring say data centers especially related to residential commercial side of the buildings and hospitality as well? And in terms of overall contribution toward top line, how much of building automation is currently contributing?
Sanjeev Sharma : So, I'll just give a brief comment and then I'll let Kiran answer it. So, this is one segment wherein the real estate sector has again kicked back after a lull of 10 years. So, whether it's residential or commercial side, I think it is expanding. And also, on the infrastructure side with the government spend on a different type of infrastructure projects, we have the expansion there. But I'll let Kiran put more color and understa nding of it. And I believe around the building and infrastructu re, it's about 10% of our mix.
T.K. Sridhar : 8% to 10% it will come. Kiran please.
Kiran Dutt : Thank you, Umesh and Sanjeev. Thanks for the question. And the point I would like to imply is in the slide what we showed, we also showed something known as affordable housing. And that's the sector which is going to grow. We already are looking at 20 mi llion homes which are going to be built. Having said that, it's also important to note that for the building, there's a component called MCB for which we celebrated 100 years of invention in ABB Global. So, it's been already announced. The press releases are already there. You can have a look at it. In fact, the MCB, which is a primary part of any particular house or a home, it was invented by Hugo Stotts and this was in 1924. And that was later on, of course, bought by Brown, Boveri and later on, you know how ABB was born with ASEA and Brown , Boveri coming together. So, that's a very important aspect I would like to mention here.
And then what is also important to understand is 70% of the buildings which are going to be seen in 2030 are yet to be built. So, having said that, you know what's the potential in this particular segment of the market. You also mentioned a question on building automation. I think

what we see at this point of time is just the initiation or probably the first kickstart of this particular building automation. We see a lot of potential coming out from it. Some of the colleagues sitting here have also visited our office here and seen wh at exactly building automation can do. And it's a good showcase to the customers who would like to implement building automation as well. So, building automation is, at this point of time, a preferred one by a lot of customers who are in the commercial sec tor. The residential sector is just on the rise or pick up. So, it's just the start of the story.
Sanjeev Sharma : Thank you, Kiran. And as Sanjeev mentioned earlier, that there's a lot of uptake on the sustainability side for the IE3 and IE4 motors and also what drives. Just like that, as we go forward, the building automation al

so falls in that category wherein bui lding automation, BMS,
is a key component to make sure that the energy optimization takes place in the high -class building. So, we see a good scope of development there, having experienced how Dubai market developed and other markets which we re recently constructed, how the consumption of these products take place.

Umesh Raut : My second question is pertaining to capital allocation policy. We have seen almost a jump of 2x in terms of cash position, which is directly close to Rs. 50 billion. And looking at, I think, operating cash flow generation going forward as well, I think i t'll remain closer to about Rs. 15 billion, Rs. 16 billion on a yearly basis. So, I just wanted to understand what we are thinking in terms of utilizing that strong cash balance and upcoming future cash flow generation.

T.K. Sridhar : The first thing is that we follow a very clear capital allocation policy. I think 30% to 35% goes in terms of meeting the networking capital expansion needs, what is needed as we grow. And the balance would be required for we have earmarked some of the cash fo r inorganic and organic options, right? So, that's something which you already declared. So, which is every business is definitely working towards that as to how they could expand their portfolio or become more operationally more productive in terms of the ir offerings to the customers. And so there are various options what is being looked into. And last but not the least, I think we also share the cash with the shareholders and therefore, as you know that we increased the dividend quite extensively in the l ast year. So, I think this capital allocation policy is consistent. While it slightly changes from year to year depending upon the focus area, but this is how we done the capital allocation policy.

Moderator : Next question is from the line of Aditya Mongia from Kotak Securities. Please go ahead.

Aditya Mongia : The first question was, first of all, special thanks to Jonas for his question, so picking up from there on energy efficiency. So, we've seen the benefits of energy efficiency coming in a meaningful manner from a bottom -line perspective in the motion segment. The parent has been talking about other areas where in let's say decarbonization linked kind of spending to reduce decarbonization is turning to yield business opportunities. It will be interesting to Mr. Sanjeev Arora's views on India in what shape an d form beyond energy efficiency is he seeing new business opportunities? In specific, are you talking about professional technology, something on the traction side also if you could kind of comment upon. That will be my first question.

Sanjeev Sharma : Sanjeev, would you like to take this question?

Sanjeev Arora : I think we have all seen the energy efficiency benefits partly that also supports the carbon neutrality because ultimately when we have more efficient technologies to run our operations and especially with the motor driven equipment which are the energy gu zzlers and if we use the energy optimally, then definitely we support the carbon neutrality team.

Second part is when you come to the new technologies, we are very well placed when we talk about hydrogen and ammonia in our portfolio, the production of hydrogen and ammonia. We have taken a few orders in hydrogen and especially when you talk of the power ing of the electrolyzers, we have good technologies. Now, while we talk of this, even when you talk of the ethanol phase, again, there also we are very well placed, blending the oils and then I would also like to take this opportunity and mention here that one part is the production, but other part is the transportation of the hydrogen, ammonia and there our energy efficiency, motors and drives, use of compressor, use of pumps, they are a very good technology to be placed with the OEM who will act

ually supp ly them to the end users.

So, I think overall while in production of electrolyzers, but also in transportation, also we are very well placed. Coming to the Railways part, we have seen the electrification going very, very strong and we have been a very major contributor both in terms of electrification of Indian railways and now we also play a good role in the metros and providing our absolutely state -of-the-art technology on the converter businesses and also on traction motors. Overall, I think we are adding to the team with the global technologies, and which is very much welcomed by our customers. Let me know in case I missed out something.

T.K. Sridhar : I think, Sanjeev, thank you for your time. I think that's quite a bit of an explanation for the question. So, in the interest of time, should we go for the next question, please?

Aditya Mongia : Sir, my second question would be more on the margins. So, just to set some context for myself, you're now ahead of margins that the global parent is reporting. And just to set some other context, you have Rs. 1,000 crores of capital inside business and you are earning more than that as your EBIT. Now, we just wan ted to get a sense whether this is in any way a reflection of a receding competitive intensity in the sector or is the customer moving towards newer products? Just trying to get a sen se because our sense was Indian market was more competitive versus what the global parent sees for itself. And the quotient of, let's say, going for new product, new technology is also more European than Indian as a concept. So, just trying to get a sense of whether we are seeing any changes on competition and acceptance of new products in India

versus where the world is for ABB in specific? And that would be my last question.
Sanjeev Sharma : Aditya, it's a good question. So, there are 2 things which are forming the market in India and which I think is favoring us. One is the expansion of the market itself and the appreciation of the market segments which are now acting on scale. When they act on scale, they always like for premium products because reliability, availability, maintainability, serviceability becomes an important aspect.

The second part, post -COVID, we talked about before, there is a huge shift of the customers who used to be very price sensitive earlier in terms of whatever products and the solution they bought towards the products which are more reliable and more availab le and also are better supported. Because during COVID period, customers realized that it is not just the price of the product, but it is the Company 's ability to support those products digitally, remotely, as well as provide those components when you need it so that you continue to have your operations running during the supply chain constraints. Those abilities which was demonstrated by the Company when ABB was one of them, I think there's quite a marked shift of certain customers into our area.
So, that's why you can see, if I look into last 3 years, ABB has grown 27% CAGR on our orders. So, that's an indication of not only the domestic market expansion, but also a premiumization of the market and also movement of a large section of the customers towards companies like ABB. Now, with respect to the profitability, et cetera, I think that's a lo t of operational excellence, localization, how we manage the support the customers with the prices in the marketplace and also how our supply chain is acting, I think it's a mix of that and also the productivity measures that we have put in into our shop f loor. So, if you combine all these things, that's where the total effect is coming. It is true that global and everybody thought that India is a so -called very price sensitive, low cost market, but I think that view is changing for good. And I have seen this happeni ng quite frankly in China as we

ll. In the early cycles of China, that's exactly what the pattern was emerging, yes.
Moderator : Next question is from the line of Shrinidh i from HSBC. Please go ahead.
Sri Nidhi : Sir, ABB overall has a 14% to 15% business coming from the services end market. May I ask how is it different across the four segments that the Company has? And it would be great if you can give some color on how is the profitability different in services portfolio versus product portfolio.
Sanjeev Sharma : Services, the highe st concentration of the services is in process automation. That's a larger percentage of process automation business in the services. That followed by motion and electrification. So, that's how the formation is. And of course, robotics also has quite a good mix. So, I would say in process automation or industrial automation, service contribution is 40%, electrification is 22%, robotics is 6% and motion is 32%.
Sri Nidhi : And sir, profitability, would it be possible to give some color on how is profitability different?
T.K. Sridhar : Shrinidhi , this is on the 1st Quarter numbers, right? So, the profitability, I think, say I would give you a very general color because I cannot give anything which is specific to the divisions because then it becomes very sensitive, okay? So, I think we deal at northwards of plus 25%. I mean, any service business revenues will go beyond 25% of the EBITDA margins level. So, that's basically how a good combination of product , projects , and services helps us to maintain a healthy bottom line at the end of the day.

Sanjeev Sharma : A healthy bottom line and healthy relationship with the customers as well because our products are the one which requires a lot of reliability and availability services because it's critical components operating in very critical plants. So, that's where the customer really appreciates how our service teams are organized and they're able to respond in time. So, I would say for both of our comfort, ye s, the margins are reasonable for us to operate this business. Yes.
Moderator : Ladies and gentlemen, we'll take that as the last question. I'll now hand the conference over to Mr. T.K. Sridhar for closing comments.
T.K. Sridhar : Thank you, Nirav. And thank you everyone for joining this particular call. So, as we close this call, we wait for the election results to come out, which will be in Q2. So, again, we'll talk to you again in the month of August So, that's how we have the Q2 results, which will come up. So, thank you very much. I'm hopeful that these discussions are pretty much useful for all of you. And feel free, just in case there are some unanswered questions, feel free to write back to us so we will do our best to answer them. Thank you very much.
Moderator : Thank you very much. On behalf of ABB India Limited, that concludes this conference. Thank

you for joining us. And you may now disconnect your lines. Thank you.

(This document has been edited for improving readability)

ABB India Limited
May 13 , 2024

Investor / Analyst contact:
TK Sridhar
Chief Financial Officer and
Chief Investor Relations Officer
sridhar.tk@in.abb.com

Sohini Mookherjea
Country Communication Manager
sohini.mookherjea@in.abb.com

Registered & Corporate Office:
ABB India Limited
Plot No. 5 & 6, 2nd Stage,
Peenya Industrial Area IV, Peenya
Bangalore 560058
Karnataka

CIN: L32202KA1949PLC032923
https://new.abb.com/indian -subcontinent

Call: Aug 2024

ABB India Limited
Registered and Corporate Office
Disha - 3rd Floor, Plot No. 5 & 6, 2nd Stage
Peenya Industrial Area IV
Peenya, Bengaluru – 560 058
Karnataka , India CIN: L32202KA1949PLC032923
GST: 29AAACA3834B1Z4

Phone: +91 80 2294 9150 – 54
Fax: +91 80 2294 9148
Email ID: i nvestor.helpdesk@in.abb.com

www.abb.com/in REF: INABB:STATUT:LODR:ANALST_TRNSPT: August 13 , 2024

BSE Limited
P.J. Towers
Dalal Street
Mumbai 400 001
(Attn : DCS CRD)

Nation al Stock Exchange of India Ltd
Exchange Plaza, 5th Floor
Plot No. C/1, G Block
Bandra -Kurla Complex, Bandra (E).
Mumbai 400 051

Attn: Listing Dept.
Dear Sirs
Sub: Transcript of Analyst concall

In continuation of our letter s dated August 5 , 202 4, August 8 , 2024 and August 9 , 2024 , we are enclos ing a copy of the transcript of conference call with analysts, which took place on August 9 , 2024 post announcement of un-audited financial results of the Company for the second quarter ended June 30 , 202 4.

The said transcript is also uploaded on the Company’s website.

Thanking you

Yours faithfully
For ABB India Limited

Trivikram Guda
Company Secretary and Compliance Officer
ACS 17685

Encl: as above

ABB India Limited
Q2 & H1 CY2024 Earnings Conference Call
(April – June 2024)
August 9, 202 4

MANAGEMENT : MR. SANJEEV SHARMA – COUNTRY MANAGING DIRECTOR
MR. T.K. SRIDHAR – CHIEF FINANCIAL OFFICER
MR. KIRAN DUTT – PRESIDENT , ELECTRIFICATION
MR. SANJEEV ARORA – PRESIDENT , MOTION
MR. SUBRATA KARMAKAR – HEAD , ROBOTICS
MR. GANESH KOTHAWADE – HEAD , ELECTRIFICATION
DISTRIBUTION SOLUTIONS

Moderator: Ladies and gentlemen, good day, and welcome to ABB India Limited's Q2 April to June quarter and half yearly CY 2024 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded and any unaut horized recording of this call is strictly prohibited. The recording will be made available on the company's and SEBI's website subsequently.
I now hand the conference over to Mr. T.K. Sridhar, Chief Financial Officer of ABB India Limited. Thank you, and over to you, sir.
T. K. Sridhar: Thank you, Michelle. Very good morning to all of you, ladies and gentlemen. Welcome to the Q2 (April to June) investor call. So I have with me here Mr. Sanjeev Sharma, MD of ABB in India. I also have Sanjeev Arora, who leads the Motion division, and I have Kiran Dutt and Ganesh Kothawade from electrification business; and Subrata Karmakar from robotics.
So over to you, Sanjeev, just to start off to give a feedback as to how the quarter went.
Sanjeev Sharma: Thank you, Sridhar. So those of you who are familiar with the ABB in India and also those who may have joined for the first time, an overview about ABB India. We are in India doing business for the last 74 years. We are manufacturing in the country for the last 74 years. We are in 75th year this year and we operate four verticals, namely electrification, motion, process automation, robotics and discrete automation and collectively, we have 18 business divisions organized under these four ver ticals.
In Electrification, you may know that we have solutions around distribution solutions, which is the medium voltage switchgear , which powers big cities, large industries and infrastructure projects and also automate and provide more reliable power to the large consumers. Smart power, smart building is the low -voltage switchgear businesses, and they are businesses which really help the infrastructure as well as industry to distribute power with the low -voltage technology. And then we have installation produc t, service , and the EV portfolio.
Motion is all about energy efficiency. Our product in drive s, whether it's low -voltage drive, medium -voltage drive, NEMA Motors, IEC LV Motors, large motors and generators , they positively contribute to customers' greenhouse emission possibilities, when they use it because they are highly efficient equipment when they are employed into different high -energy -consuming projects or infrastructure projects.
Process Automation is all about again, energy efficiency and automating core process industry, be it in the energy area, process industries, marine and ports, measurement and analytics.
Robotics and Discrete Automation is all about providing the next gener ation of productivity for the manufacturing and the shop floor, be it in automotive, electronics, fast -moving consumer goods companies and many other applications wherein the automation helps improve the productivity of the plants.

In the country, we operate in 5 manufacturing locations, namely Nashik, Vadodara, Faridabad and Bangalore , and we have 25 plants in these locations. We serve our customers with 28 sales offices and service offices across the country. We have very strong channel partners or integrators in different categories of the businesses which help us to reach even the deeper side of the market in Tier 1, Tier 2, Tier 3 markets wherein our serviceability is enhanced by our partners.
Going through the business highlights of the last quarter. We recorded a strong performance with orders and reven

ues growing by 13%. And we see a strong momentum with large orders from emerging sectors. That was the highlight. Revenue, based on our backlog as well as book -

to-bill, we are seeing a steady execution across the market segments. Because of our operational efficiencies and many measures we have been taking over the years, now we are seeing the convergence into our both top line as well as bottom line. And our profit after tax expanded by 50% due to the revenue mix and superior order execution by our 18 divisions. Operational EBITDA was up 64% for the quarter. And Board, which met yesterday, they unanimously approved the interim dividend of INR10.66 per share.

On the portfolio side, we introduced part of our Motion low -voltage motors. IEC low -voltage IE4 cast iron super premium efficiency motors. As I mentioned, Motion division and our Motors division is all about providing more energy efficiency to industry and infrastructure projects across the country. And that's why we continue to enhance our portfolio and localize it. And this is having a good uptake, especially among the customers who are more and more conscious about sustainability agenda as well as makin g sure cost input on account of energy is optimized in their setups because that's one of the big cost elements for all the industries and this consciousness is spreading quite rapidly across the industry, and we are direct beneficiaries of it. And also, w e introduced IE3 aluminum motors for reliable and energy -efficient solutions.

We had an introduction of AquaMaster, electromagnetic flowmeters supporting India's water industry. As you know, water industry is expanding quite well in the country and our por tfolio of electromagnetic flowmeters find a very good installed base across the countries and across the states.

We celebrated a milestone of 100 years anniversary of ABB miniature circuit breaker. You may know that the circuit breaker that you use in your houses and your offices, ABB is the pioneer of this device, which was developed by Hugo Stotz in Germany . And this year marked the 100 years anniversary of it. And the same products and same technology is, which is produced in our highly automated plants in the country in Bangalore is also available to Indian consumers.

As part of expanding our partnership, we partnered with Witt India to deliver advanced tunnel ventilation solution, enhanced safety and operational efficiency in India's infrastructure projects. So it's not only the product selling, but also the tactical a nd strategic partnerships wherein the players who are expanding and helping build the nation's infrastructure, we continue to partner with them.

On sustainability in practice, we have a very good agenda across all of our locations. Now we are also training our suppliers – more than 300 suppliers across 14 divisions in sustainability and green products participated . We continue this because we will make sure not only Scope 1 and

Scope 2, but Scope 3 emissions are also properly captured and contained across the value chain across our supply chain.

Now just to give you a data point that IEC low voltage motors installed base for last 5 years saved about 500 gigawatt hours annually, and it is matching the state of Sikkim's yearly energy consumption. So that's the impact because we may see them as a pro duct, but I think when you use the right product in the heavy energy infrastructure and the industrial projects or anywhere the consumption, whether it's in HVAC if you use the right motor, right drive which ABB has, I think it directly contributes to ene rgy saving. And that means that much of less energy has to be produced or that energy, which is saved can be deployed more productively in other areas.

Just to give you a bit of a breakdown of what we saw in the market. We see positive market momentum across segments. I think thi

s has been developing over a period of time, but now the momentum is there. And that's where it reflects in our orders, as you ha ve seen and we talked about, plus 13%. Our export orders also grew by 39%, largely contribution from specialty chemical service orders from an energy major. More and more of our divisions are participating in the exports. But we are very, very selective, and we are making sure that whatever we deliver out of ABB India and India has a good reputation in the minds of the customers who receive our products and solutions globally.

In the power distribution and energy, we are seeing much deeper adoption of power equipment, compact substations, switchgear, renewable energy. So these are across the segment of power distribution, the business electrification run by Ganesh. I think you're seeing a very good adoption as well as in the low voltage run by Kiran, I think that is seeing a very, very good adoption across.

Data Center has been a highlight for the last quarter. We bought some very large contracts relative to the past. And we have been talking about these data centers as a segment for the last 3, 4 years, and we find that it is now really converging into a good scale up as we go forward.

Discrete Automation, automotive sector, the investments are driven by EV. And there again, we are participating . Demand from energy industry, metals and minerals and mining are consolidating. Though they have not been participating in past, but in the last few quarters, we see now the momentum is building up there, especially from the customers who look for our produc ts and services.

On the transport side, traction and propulsion equipment for railways and metros, they continue to have a very good uptick in our order intake and also sitting in our backlog, which has grown 23% to about INR9,500 crores compared to same quarter last year.

So if you see the first half of the year highlights, we have a double -digit top line growth aided by all divisions. It is not by one division or a few. It is across all the divisions, and also, we are seeing a cyclicity across 23 market segments we participa te. There are some market segments which are very strong in one quarter and then the leadership is taken by the other segment. So that's the resilient business model we have in the country wherein we participate with multiple divisions, which have the 18 b usiness models. And then when we participate in a spread of the

market segment, this gives us a very good resilience to ensure the growth as well as execution of our contracts. So, in the case of EPS, we have expanded by 67% and cash has grown by 19%. We continue to be a debt -free company with good cash on our balance sheet.

So just to give some flavour about where our products and solutions are finding their place. Transportation and mobility system, if you focus on propulsion equipment for Indian railways, traction order including for motors in metro rail in segments in three cities, robotics applicati on of a production line upgrade for energy major, passenger vehicle, auto major.

Then in the industry, the efficient power distribution solution for a data center major, which is the global major, which is expanding rapidly. And this is a trend we see, it continues, given the data consumption by the country and the policy infrastructure which demand that the data has to be stored within the country. This particular market segment has, I think, a very long runway ahead of us and it is very starting point in my point of view. Same way in the terminal automation for energy major, compact substation or to switchgears and metals industry and, of course, analyzers and emission monitoring solution for an EPC. So these are some of the examples just to give you what industry is consuming from us just as a top slot example.

On the decarbonizing and sustainable

operations, there's an uptick in that area. Like for a

hydrogen project, we have supplied switchgears and also for a 4 -gigawatt solar project in one of the largest solar parks in Gujarat, our medium voltage switchgear ha s been selected and being installed. And of course, we have modular high -voltage motors for a supercritical carbon dioxide extraction for Middle East energy major. So what you see here is our solutions go a number of places in different shapes and forms, and that creates a collective demand for us.

The core reason why in last 3 years, we have been growing 27% CAGR, I think, is because how we connect with our customers. And we continue to connect deep in the market and the market segments, and we continue to find new partners and continue to find new customers and convert them into ABB solutions. This is an ongoing activity. And any time we speak with each other, you will always find either a partner or a customer activity is going on in Tier 2, Tier 3 cities, so that it takes us the deeper end of the market. We know that despite this growth rate, which is multiple of the GDP growth here in the country, we still have a very good runway ahead as we engage more with the marketplace.

Just to give you a colour to which of the market segments we participate. And you can see we have tabled them under high growth, moderate growth , and moderate to low growth . And the moderate to low -growth still contribute quite heavily to us in our businesses, in our volume. And the enhanced in the focus market segments. These are the new market segments we picked up developed say, 2015 or '16 onwards, and this is something which we are kind of reaping the benefits of growth because these have come on thei r own. And that's what we continue to do is to keep on adding high -growth market segment as we grow forward.

Every call we take a theme, and today, we have taken Energy Transition as a theme which, of course, is seeing a good investment from energy major as well as the business houses who want to be in this area for a long term. And there is a good investment pote ntial here. We have actually tabulated renewable energy generation, green energy corridor, EV and charging infrastructure ,

and green hydrogen and certain data, that's how we read in the marketplace. I'll let it be available with you as a data point. But from ABB's point of view, our offerings include medium voltage and low -voltage switchgears in these segments, low -voltage components, battery energy storage systems, motors, electrical drivetrain packages, rectifiers, electrolyzers, wind turbine contro llers, automation and instrumentation and robotics and digital solutions. So these segments will grow at their own pace based on the development. But our portfolio, which is distributed across our business area and divisions, these are the typical product packages that go into the new market segments we are focusing on where the investments are expanding.

In terms of sustainability in practice, we are tracking our goals, and it's a very well -focused program. And here, in Scope 1 and 2 GHG emissions, we are ahead of plan. Water recyclability is our focus. We have already converted a number of locations into water positive. That is we put more water in the ground than we take it. And we have already reached a zero waste to landfill unit in one of the locations. And by 2024, we will have two locations out of 5, which will be zero waste to landfill. And that's o ur commitment that while we grow and while we do work, this is the right thing to do for a country like us wherein we are water stressed and as well as waste needs to be managed in a more meaningful, more thoughtful way. So we will continue to do our contr ibution .

Now our margins have expanded. Our profitability has expanded over a period of time, so have our CSR funds, and we feel very please

d about it because one is to deliver higher margins to the stakeholders. But at the same time, we have other stakeholders in the society, where we are able to spend much, much more. Compared to a couple of years back, now we are spending almost twice as much as we had part of our kitty to spend, and we feel very good about it and our focus is on the education and skilling , and communities and environment, as well as also we contribute in the infrastructure, wherever we feel we can make it safer for communities or safer for the factory workers, safer for the women to come and participate in the industrial area.

So that's why you can see in Nelamangala, we are doing rural road upgradation. Peenya we have done a lot of upgradation. And every year, we continue to add in. So you put forth a few more years and then you steadily see that the whole area gets transformed.

So I will stop here, and I'll hand it over to T.K. Sridhar, our CFO, to take you through some financial highlights.

T. K. Sridhar: Thank you. Thank you, Sanjeev. So good morning to all of you once again. So just to talk about how did we perform when we see the number side of it. I think it has been a good quarter once again, so therefore, we could say probably that we have consistent track record of delivering performance, which is better than the previous quarter. And hopefully, we should be able to continue that for some more time. That's what we see.

Orders , we have logged INR3,400 crores of orders, which is 13% up. Our backlog, as Sanjeev was mentioning, is INR9,500 crores. This also had almost 40% to 50% I would roughly say, which is about long gestation projects and the balance 50% to 60% comes from short cycle orders, which will be executed over the next 6 to 9 months period of time.

Revenues, I think INR2,800 crores, up by 13 %. We could have done more. I have been here in the same sweep. We could have done almost INR200 crores more, but I think that was more because of an alignment with the project schedules which was important for project businesses to do.

And also because it was elections time and also the budget time which was there, so people had delayed the decisions that means we did not lose any revenues. It was only a postponement of the revenues with the customer, which was very momentary for the par ticular matter. So I think this should probably answer a question as to why did we not do revenues. I thought that's why I put a bit of more colour on this topic.

So profit before tax, I think this is INR594 crores, right, and 51% up and which is also the same as far as PAT is concerned, which is 50% up. So consistently, if you look at it, so we have been delivering the profit as well as the revenue numbers quarter -on-quarter. So this has resulted in a good pickup of earnings per share. andalso in terms of how much do we convert this profit to cash, we always make sure that we are there at 100%.

Just to do a bit of a second level deep dive because we still have a third level which will become more interesting going forward. But I think on the first -- second level, I think orders, we were flat on base orders, and that was the reason why we said th e second quarter had quite a few macro factors which were impacting them.

We were successful in large orders, which came from basically from emerging sectors. That was something which was pretty strong in a way. It is also in line with Q1 '24, where we do. So 13% up on orders, but sequentially, we were minus 5% and that's more because of the base orders, which remain flat.

The order backlog we discussed about it, INR9,500 crores, 23% up. So we have done 2 years scrutiny of what the order backlog quality is. We are confident that would be executed as per the delivery schedules agreed with the customer. So therefore, we don't have to see any risk in this

particular topi c.
Revenues, I

NR2,800 crores. Revenues grew definitely across all the divisions. So we were 13% up. And as we said, that we missed INR200 crores, and that's more because of the reasons that I mentioned. And profit before tax, yes, 21 %, probably the highest in the quarters, what we saw till now. And coming to the cash balance, we have INR4,872 crores, and this is after paying the dividend which we paid in the month of May. We have upwards of 4,700 people to deliver this service.

So this slide we repeat because there is always a question. So if the group gives a colour to India , how does India numbers stack up. So if you look at the left side of the slide, I think this states what group sees from India. So it looks at third -party customers who give orders, both -- to ABB India Limited, to other ABB companies in India if it is ther e and also ABB companies which are outside India.

So when we take this, this is called a demand -side view from India, the growth is roughly run about 2%. But when you look at India, India, which consists of customers who give orders to

India, ABB India Limited, both from outside India as well as from India, so we are 13% as what I mentioned.

So EBITDA performance, I think we are 19% at this point of time and PBT before exceptionals is what we said. And if you look at the PBT bridge from 15.7% for the last quarter, same time and to 21 %, of course, the volume and mix contributed to the major portion of the improvement with 6.3% coming from their improvement. And of course, we did have other expenses which increased because we are delivering more revenues. The growth phase is on, and ther efore, it's slightly definitely higher.

But we want to tell you that there was a forex gain. It's a swing of INR30 crores compared to quarter -on-quarter, right? And that's something which also was an important element to factor in as for the results are concerned. But –is it a major one ? According to me it is not. So it doesn't matter much because the number of the value which we are talking of profitability is far higher on that.

So overall, I think we did 21% at INR595 crores. The drivers for that was definitely better margin orders, we did have positive price movements across and we did benefit from steady material cost -- material commodity cost at this point of time.

Yes, the next slide. So about -- how are we doing on the profitability side, the next slide. So this is a Level 3 deep dive so to understand how the structure of a P&L at this point of time. So our revenues, we did talk about it. So the other income consis ts majority of interest income, which is coming from the deposits, what we have of almost INR2,800 crores.

And the material cost is 57% at this point of time compared to 63%, what we were earlier and 59.8% in the previous quarter. And the other expenses are more or less in line with what we have delivered in the previous quarter. And only change is about exchan ge and commodity variation. We had a gain of 9.5%, but the swing between 9.5% and a cost of 29.8% is almost INR40 crores as what was mentioned earlier.

So other elements of depreciation and minor interest costs and discounting, et cetera, remains pretty much stable. So the ETR is 25.5% as what we see. So overall, I think this is how did we perform.

But other important thing which I would like to share with you is I think there could be a bit of a question mark. So how did we really go down and what is contributing from 63.5% material cost to 57.2%. Just to give you a bit of colour . I think there are different factors, which are external and there are certain factors which are internal.

So when I want to say, which is external, we are talking of a revenue mix, price push to the markets what we are talking of and of course, on the design optimization and the SCM savings what we have. So this roughly contributed to a 3.6% of t

he movement, w hich happened. And
the internal levers that we have in terms of operational efficiency, in terms of capacity utilization sort of stuff contributed for the balance percentage, if you move from 63.5% to 57.2%. So this is something which I think could be inte resting.

And this is actually spread out across all business units in different forms, and not all businesses

had the same, right? But I think it depends on how business is positioned in the market as well as in its own operation locally.
So we go to a bit of a colour on how did Electrification, Motion and Process Automation and Robotics performed. Motion and electrification, this quarter did INR1,432 crores of orders . And sequentially, they are slightly lower. On an average, they are pretty much ahead of the curve as what we see, right? And Q1 '24, while it was higher because normally, as you know, that's a financial year for quite a few Indian customers locally. So that's the time when they would exhaust the bud get and say for the ordering it's speedier than what it n ormally is with the other quarters.
And when it comes to revenue. So we are -- they are INR1,121 crores cement here is what I say that there was a bit of an alignment and definitely a holdback for the customers assuming that budgets could have certain favourable impacts for them. So -- and profit before tax and interest, I think because led by the revenue mix and good margin orders which were executed and also operational efficiencies impacting them positively, they were able to deliver 23% of PBIT. And the order backlog is 39% up from INR2,000 crores what it was last year the same time.
Next slide. Coming to Motion, which is a very interesting segment is what you all know, and it's directly relatable to the industries to which we are catering to. So Motion was up in orders with 18%. Revenues pretty much aligned with what the backlog execu tion patterns are. So 17% up over there.
And order backlog and all time I have INR3,930 crores. I think we should be aware that this order backlog has a major orders of traction converters from railway segment and that service, long-term service order as well. If we sort of eliminate that, you would see the same amount of increase in the order backlog as compared to the orders, what they have to do . That means, o n a real-time base volume, it should be 20 -22% higher compared to what you see, right?
And PBIT, again, a fantastic traction as what I would see 23 %. Of course, they did have a positive impact also of the foreign exchange coming in over there for the momentary at this point of time. But I think it's a cycle which always has a sort of outcome then comes back to the balance sheet at later date.
Process Automation. So last quarter, we definitely, last year, same quarter, we did have certain major orders from the metals sector and oil sector, so which were not there in this particular quarter. So we did INR533 crores. So we are slightly less compared to the quarter -to-quarter. Whereas revenues given the good backlogs, what they have, I think we are 24% up on revenues and profitability tracking well at 16%, mainly aided by services revenues and export revenues over there and efficient project execut ion and the mix from higher contribution orders and higher margin orders.
So here is Robotics, which is a very fantastic market segment, which all of us know. So they are back on track with INR157 crores of orders this quarter, slightly less of revenues on this because these order backlogs would have been currently received, will fructify into revenues going

forward, and they track certain profitability of 14%, 15% at this point of time. So I think there's also a good contribution of service, which help them boost the margin front of them.
This is the last slide. I think

this is just to show how does our business model look like. So I think if you look at it, so we are basically a product -oriented structure is what we see with EL and MO forming part almost 75% of our total business model. And with -- from the offering side of it, again, it represents because EL & MO being product businesses majorly. So then we are 76%, 75% of product businesses and 12% on services and exports similarly 12%.
And when we come to geographies, we said that our exports increase, and that's why we could see the percentage of our revenues looking at 12% and 88% from the domestic revenue -- from the domestic consumption.
So overall, I think we are primarily focused on India. So India is in a sweet spot as what we say in terms of growth trajectory as well as the investment capex cycle, which has kicked in at this point of time. So therefore, we feel that we are in a position where we could take leverage of the investment climate which is developing so fast. So that's it from -- as far as commentary is concerned.
Michelle, we can open up the call for our Q&A.
Moderator: The first question is from the line of Mohit Kumar from ICICI Securities.
Mohit Kumar: Congratulations on another status state of results. First question on base orders sir, base order is slightly weaker in the first half. Are you seeing increase in inquiry levels going up post the election?
Sanjeev Sharma: We did have this election as well as budget period coming. So I think they have a bit of a slowdown in the marketplace. But going forward, I think we can give you a more granular view

from our business heads starting with MO. Sanjeev, the question is how do we see inquiry buildup going forward, followed by Kiran, Ganesh for ELDS and Subrata.
Sanjeev Arora: Yes. Thank you for the question and thanks Sanjeev for getting this opportunity to answer this. As we all know that now the government has formed that it's quite stable. Things are in the right shape. And the growth story of India is very much predominant still. So we feel that be it heavy industry, light industry, transport and infrastructure, all this piece where ABB is present in each and every segment, we have a strong conviction that this will show a steady growth path. Of course, there would be some cycles, some headwinds, maybe some global impacts, how the world is behaving, but I think underlying strength is for India is that we will see opportunities coming up as we move forward. So that's from my side, Sanjeev.
Sanjeev Sharma: And same question for you, Kiran, for the EL.
Kiran Dutt: Thank you. See, from my side, adding to what Sanjeev Arora said, what I would like to say is we did see some challenges in the building sector. And we have also had some informations where the building sector would have de -grown by almost 18% as a market i n terms of the pickup of apartments especially in the residential side. And that could be for many reasons in

the macroeconomics, as well as it is also what we saw was some base order decrease probably due to the delay maybe because of budget and things like that due to elections. So that's what we saw in some of the sectors of the market.
But what we see is also probably the Tier 2 and the Tier 3 cities coming up. So that's what we see on the positive side, which could pick up in terms of the base orders.
Sanjeev Sharma: Thank you. Ganesh, from the Electrification Distribution Solutions side.
Ganesh Kothawade: When it comes to the distribution solution, obviously, there was a natural hold of the delays due to the election and because the budget was not announced, because some of the infrastructure projects where government has to really clear the cash to the EPC people. But if we see to the pipeline, we see a very strong pipeline, which is coming from industry as well as the upcoming segment, and we can see an incre

ase in the base order in the coming quarter if you look it at the pipeline.
Sanjeev Sharma: Thank you, Ganesh. Subrata, from the Robotics, and on your segment which you cater to, how do you see the pipeline going forward?
Subrata Karmakar From Robotics' point of view, I see that it's a constant growth in the market. I never seen because of election market was flat or going down and again going up. It is not like this. It's a constant growth. Still automotive holds major share of Robotics. H owever, I feel that small customer, base customers are growing. Number of robot sales in the Indian market has grown by more than 50% between '22 and '23. And I think that, that growth will be constant in coming years.
Sanjeev Sharma: Thank you, Subrata.
T. K. Sridhar: Thank you. I think, Mohit, you got the sort of colour from all the divisions representatives, I think which is more comprehensive in a way.
Mohit Kumar: Understood, sir. My second question is order inflow for us versus the group within India. Is that a market share inching as compared to group companies by Indian orders? Are you producing more products through Indians companies, so Indian companies are getting more share -- wallet share?
T. K. Sridhar: I didn't get your question, Mohit.
Mohit Kumar: Sir my question is on the order inflow for us versus the group. Our number, 13% up, right, compared to group for Indian orders were 3% -- 2% up, right? My question is, is the market share inching us? Are we getting more orders from the global export orders but because you're producing more products indigenously? Is it the right understanding?
Sanjeev Sharma: So I think we haven't established any correlation, and we don't pay too much attention to that because that's more of a flow, which happens based on how the group companies and the global players may be exposed, right? So other channels would be exposed. S o what we can confidently say is about the India numbers, how we are exposed directly to the market. And those numbers

are more predictable from our point of view. So we haven't established a correlation, maybe this is something we have to think about.
Moderator: We'll take the next question from the line of Sumit Kishore from Axis Capital.
Sumit Kishore: My compliments on a very strong quarterly performance. Two questions. The first one is, over the last 5 years, the EBITDA margin reported by the MNC parent were higher than ABB India.

Over the last couple of quarters and particularly Q2, ABB India EBITDA m argin was higher than the parent. Your comments on the sustainability of this phenomena given ABB India pays royalty technology fee to the parent and there are imports that ABB India does from the parent. That's the first question.

The second question is, we've seen large orders and long cycle orders from energy and core industry segments, which contributed to order inflow during the quarter. Could you give us a sense on how is the mix of base orders and large orders in the order boo k roughly? And what is your sense on sort of what kind of execution –schedule does it entail across this and large orders in your four reportable segments?

Sanjeev Sharma: Sridhar, you can take the second question first.

T. K. Sridhar: I think I have already replied the second question, but for the sake of benefit, I said that the order backlog, which is roughly about INR9,500 crores today has 40% to 45% made of long cycle and project progress. That's number one, right? And that gets executed over a period of time. And normally, the execution of projects normally hover on about 15 to 18 months, depending upon to which sect or they cater to. And the balance 55% to 60% is short cycle order and that go over an execution period of 6 to 9 monthly , roughly . So I think that's how we see most of it.

Sanjeev Sharma: On the first question about group and ABB catching

up and exceeding the performance in India.

So I think both are not comparable because group is exposed to all markets of the world, and they have to see the cyclic nature of China, Europe, Asia, Americas and we take at least some total effect of whatever is happening across the order flow. And it's a credible performance relative to where ABB Group used to be and our ABB Way, which was implemented by our group CEO, Bjorn, who of course, now has moved on and new CEO is installed from 1st of August. I think he did a credible job globally, and we are all thankful to him for the discipline and the focus that he brought for us.

As far as India story is concerned is, as we say, it's an India story. It's an India story is about emerging market story, which should be seen in its own merit and its own isolated effect. And here the results that we are getting now for last 3, 4 quarters, they are not made recently. They are in making for last 4, 5 years.

If there's some total or number of things that converge, so that you get an effect out of operation, and one is that you get good quality orders from the market, you have much more broad -based market segment participation, you have much more broad -based ge ographical participation due to higher localization as we go, we will expand your portfolio of offerings in the market and you also make sure that all the localization being done by our OEM partners, our machine builder partners, we participate in them so that countries import will start reducing.

So it's a kind of a combination effect, and on top of it, the productivity measures that you take in your shop floors and you continue to reduce your cost and also ensure that you make only meaningful investments so that the businesses are able to expand m eaningfully and participate in the market growth and the volume growth. So I think when you align all these value chain elements in a good way, and we are lucky, and we are very thankful to our leadership of the division, each one of them have been doing it very well, and they have taken the opportunity in the last few years to reach where we are. So it's –a collective effect of all the work that has been done in past.

And market is very supportive at this point of time. There is a much higher appreciation of higher quality products in the market relative to past wherein the customers used to compare high - quality products with the cheaper versions. But post COVID, the mindset of the customers have changed and they look for more reliable products rather than cheaper products. So that's where, again, it is sweet spot for us. That's why you have seen 27% CAGR growth in the last 3 years. And when you process them in the volu mes and the capacity you have, and you put more productivity in the shop floor, you start seeing the rolling results into the bottom line. So that's how we read it how the situation is.

T. K. Sridhar: Just adding to what Sanjeev mentioned, I think we've also seen a consistent growth in service revenues, which is very important for us to have the margins, right? So that's something which was a bit dull due to COVID and other topics, which are in the coun try, we had to deal with. Now that we have all passed that, I think that is also a very effective contributor. And just for information, we have dedicated service business units in each of these particular divisions, catering to the installe d base of the country. So therefore, the focus is very sharp, very widespread across the market with more innovative solutions. So that is something which is aiding the profitability also.

Sanjeev Sharma: A lot of customers are through opex cycle, which affects the service or upgrading their installed base, that shows up in our service business, which again is a high -quality business for us.

Moderator: The next question is from the line of Jonas Bhutta from Birla M

utual Fund.
Jonas Bhutta: Congratulations on a great set of numbers and not just this quarter, probably now 4 quarters running. My first question was somewhat similar to what the previous participant checked and I'll try to sort of approach it from a different angle. So if you can s ort of talk about on which products particularly are seeing such a superior pricing power?
And I would appreciate if you can give a slightly more nuanced understanding to the extent possible on the sales mix. Because if I were to sort of rationalize all the reasons mentioned in the press release for higher profits, something does not seem to add up because your service and export revenues as a percentage of sales is the same as last year. So they have grown at the same pace at the consol entity has grown.
Second, your scale efficiencies or operating leverage is not visible because employee cost and other expenses growth in both these line items are higher than your sales growth this quarter. So that effectively leaves us with largely pricing power as commod ity costs have largely remained

flat in this period. And the nuance that I'm sort of looking at is because, sir, on the Process Automation side, the presentation mentions that given that energy as a percentage of sales within that segment was higher, and hence, we've been able t o reflect this kind of margins.
Our understanding was on the energy side, there's another MNC that sort of was a market leader. So have you sort of gained market share? Have you localized? So some more nuanced would really be appreciated across at least EL, MO and Process Automation, longest question, but I would appreciate your answer on this.
T. K. Sridhar: Jonas, I think to maintain the profitability and the performance of the company, it is important that we have the secret sauce with us , number one. So we cannot be diverging information by business, by divisions and all the stuff, it is the interest of all of us, okay? That's number one and we maintain it very consistently, okay, number one.
And number two -- but I think I gave you a bit of a colour as to why did you did a nice pickup obviously in the P&L, looking at the expenses and all the stuff, right? The major contributor, if you look at it from the structure of the P&L, you could see the largest gain has been due to reduction in the material cost, where we have moved 6% of almost 61%, 62%, 63% levels to 57%, 57.5% right? And I did touch upon this as to how did we gain this material cost improvement. I did say that it was a combination of both externally led actions and internally led initiatives as well, right?
So I said that from externally -led actions with respect to accessing different markets, different customer base and also with the variety of the mix of services and exports and the margins thereon, we've got almost 300 basis points or 350 basis points impr ovement right? So 3.5% over there.
And then when it comes to what are the internal -led initiatives in terms of supply chain, in terms of localization, capacity leveraging and all these stuff and also looking at how do you mitigate the risk on projects and long -term service orders, right? So there, we gained almost another balance 3% right? So I think these are the factors.
So now will these factors sort of play out the same going forward, right? I think there is a limit to which you could always expect this particular improvements to happen. What will remain definitely, the advantage of a higher capacity, the leverage we should get because of more revenues and the better cost ratios we have. So I think going forward, this would sort of stable out in an environment at what we are playing today.
Jonas Bhutta: Got it. Sir, my second question was on the share of IE3 and IE4 motors in our CY '23 sales and in our first half. So what percent of our Motor sales largely c

omes from these two product lines
given that we are further expanding our offerings here, even a r ough cut ballpark number would help? And that's my final question.
T. K. Sridhar: Sanjeev Arora, who's here, is eager to reply to your question. So he will give you all the stuff.
Sanjeev Arora: Thank you. First of all, this subject is very close to my heart. And our customers have shown a great confidence in our Motor business. And if we see more than half of our production, that

means roughly 52% to 53% of our production is of IE3, IE4 motors, even though as per norms in India as per minimum efficiency norms, we are still at IE2 as a country. And this clearly shows that we are serving the customers, their causes of sustainability, we are really partnering them in their goals of energy saving as well. So giving you the prospective of production and means anything else if you want to ask, please go ahead.

Moderator: The next question is from the line of Amit Mahawar from UBS.

Amit Mahawar: Congratulations on great structural journey on margins beyond you can see on the stable cost and benefit, et cetera. First question is on capacity. We have some major segments, right, like power distribution units for data center, propulsion sports, high speed and metro, isolators and circuit breakers for a lot of new applications, including hydrogen that you highlighted. Next 3 to 5 years, when we plan our capacity creation which are the areas wh ere we will see maximum capacity creation, if you can highlight? That's my first question.

Sanjeev Sharma: Just to give you an overview, we are in the 74th or 75th year of manufacturing in the country. So that means we have a long time to set up the manufacturing facilities. And it is always ahead of the curve, what the market is asking for and what we need to offer. So what happens is our manufacturing expansion is always incremental in nature. So whatever we expand is always either within the same space, you have more better productivity measures by automation, robotics, et cetera, so that we can produce from the same space more. That's one. And the second is we continue to sectionally expand the plant in the same location. So that's the kind of a nature of expansion that we have been doing.

But going forward, we now are reaching the point given the growth rates we have seen. And at this point in time, all the divisions, when we talk to them, they are quite okay for coming years, right? So we have the capacity that we need. We are already look ing forward for next 5 to 10 years. And there, there are certain divisions who want this capacity expansion. So you may have seen some announcement that we did yesterday, wherein we are adding a plant here in Bangalore, wherein the units which were relati vely small earlier in our business, they are expanding at a much rapid pace.

So we are providing the much larger space and more sophisticated facilities, not only for Indian market because they also have got mandate to do the export. So that's the one part, which is very clearly which we have gone forward.

Otherwise, other areas in EL , we have a continuous upgradation and expansion in Nashik with ELDS. Also in ELSP, ELSB, all these are based on the market requirement and gap that we see now and next 3 years, I think those expansion plans are already in place. And same thing goes for MO . MOTR has expanded substantially in the railway and metro segment, motors, low - voltage motors, medium -voltage motors, all of them are expanding.

Process Automation, as I already mentioned, that they are expanding in the new location. And Robotics, we already invested quite well in 2020. So we already have a state -of-the-art plant there, but then we always keep investing, getting closer to the custo mers as well as making sure that we are able to serve them more effectively. So in all, we have plan in p

lace mostly

incremental, but wherever the capacity expansion is required by scale, there we go for the newer facilities and all that.

T. K. Sridhar: Just adding to what Sanjeev said, I think you're all aware that we still have land banks in Baroda as well as in Faridabad, right, so which is definitely a stage where we could add capacity. And the capacity expansion would have been announced for P A will help in unlocking space for the expansion of the MOTR as well. So I think the traction in this thing also .

So that could probably answer your question with the large impetus on railways and the same order inflows from them, how do we cater to that, and this would help us doing this. So there's sort of churn of the volumes between the locations will help us figu re out how we could address the growing market.

Amit Mahawar: Very helpful, Sanjeev and Sridhar. And second question is coming from the group now Bjorn had a very fabulous tenure, which also impacted ABB India materially beyond what the India story management has driven beautifully. New management seemingly is contin uing the strategies of the last CEO. But anything that you want to highlight in terms -- so the way ABB operates is very different from players like Siemens globally when they think of global factories, division -wise versus segment wise ? Anything that, Sanjeev, you want to highlight on the management -- message from the new management, which is worth sharing here?

Sanjeev Sharma: So as far as the credit for performance, we give it all for India as well as group to Bjorn. We were just the holder of that strategy and executor of it as disciplined soldier s here in India. And I think each one of us embrace that change. And I think India is seen when Bjorn used to visit India, he saw , and he commented that India is expecting example of the philosophy he wants to promote within ABB. And that's the reason he, last year, even had the Board -- ABB Group Board came in to see h ow ABB India operates and empower as well as focused manner.

So Bjorn was all about performance. And he had three tier thinking towards the businesses. That is all of our divisions, that you should be stable first. You should be profitable, second; and when you are stable and profitable, then you can grow. And I thi nk that discipline he kept for the last 4.5 years, and that's where you can see all the global divisions, their allocations and their focus was getting the stability not only overall, but also in each location and each business location, you have to have stability, profitability and that you do either by portfolio, by management or new expansions or also by taking out certain portfolio within the company which are not core to us. So all those things were done.

Now given that we have our colleague, Morten Wierod who has taken over a CEO from 1st of August, and he was, by the way, also Chairman of ABB in India. He frequents India very well. He knows India very well. So we do feel that going forward, we will have a natural support available from the Group CEO.

But the Group CEO, as per the Chairman's statement, Peter Voser, he has a mandate for growth. So he has been given a mandate that the growth is the focus for him while maintaining the profitability that group has achieved and growth, in last Capital Market s Day, as you have noted,

they have already given the margin corridor ABB Group wants to maintain. And on top of it, the mandate for the new CEO is growth.

Moderator: The next question is from the line of Shrinidhi Karlekar from HSBC.

Shrinidhi Karlekar: Congratulations on good set of numbers. Two questions actually -- What I want to know sir is what percentage of your backlog is really a fixed price contract? And how much is the price variation?

And the second related question is, sir, would y

ou say the part of positive surprise you saw in the material margin is due to commodity stability or commodity deflation from the point of order booking to the point of execution of sales, as well as probably due to stability of Indian currency from the point of booking of the order to the execution of the order? Otherwise, you would have built some deflation ? Those are related questions.

T. K. Sridhar: I, again, go back to the colour which I gave you on the split of the order backlog between long -term orders and short -cycle orders. So long cycle orders are definitely, I said 40% to 45% of backlog comes from projects and long cycle orders, which as in mechanism have the price variation process built in because it goes over a long period. So this is basically normal commercial terms and conditions.

But when it comes to the balance, it's 45% to 50% is orders, which comes from short -cycle orders and which gets executed over a period of 6 to 9 months. I think there in very few cases, we have it, but majority of them are fixed -price contracts.

Shrinidhi Karlekar: Okay. So would you say it is base orders that you do, it's still a very large portion? Some of the margin benefit that we have seen on the material margin is partly because of time of booking, the commodity what were there at the time of booking and how th ey have been stable or deflating to the point of execution?

T. K. Sridhar: Yes. I think we had said that in the past as well. I think the current margin expansion also due to advantage of higher price at which we book the orders because of the raw material prices are higher, and basically on the fixed price contracts, what we're having. And as they stabilize, you get to have an advantage coming into the P&L account. But I think now that the prices are stabilizing at this point of time as what we see, that particular difference between the order booking to the execut ion time advantages will start to thin down going forward.

Moderator: We'll take the next question. Ladies and gentlemen, this will be the last question from the line of Aditya Mongia from Kotak Securities.

Aditya Mongia: My question was more kind of comparing the amount of value creation that you can do in the Motion segment versus the Electrification segment. I wanted to get through a sense that eventually when things kind of even out on margins. Would Motion segment, bec ause of its value addition, higher services component, energy efficiency be having higher margins versus the switchgear -driven electrification segment? Or would you have a different view?

Sanjeev Sharma: We have a different view. Both Motion and Electrification are nearly same size. Electrification, now being the largest division and closely followed by Motion. Now you may have heard us saying that they follow this pattern of a fast moving industrial goods background.

Just like you are used to FMCG, I think we –a following a FMIG model, wherein we do certain products, which are -- we call it as ETO, engineered -to-order, wherein we use our own products to create a subsystem and supply. But larger portion of it is moved as a product into the market. And then you have the value adders with our partners, OEMs, machine builders, who create value in the market.

And in a market which is growing rapidly and as India is growing and you have an expansion taking place geographically and in multiple market segments at the same time, these businesses tend to do quite well. And these are high -quality products. And most o f our customers are not only supplying to high -end, very high -quality, high -end supply end users, but also they're exporting a lot. So what happens is that the price point that is realized by us, there's a willingness to pay for what we supply in the mark etplace, right, which is very different from the retail type of participation you do in certa

in market segments. But we are talking about mostly our industrial customers, their appreciation of our quality and reliability, availability locally as well as ou r ability to service them and maintain their product, I think that has a kind of a perceived preference for our portfolio.

So as the EL, MO is concerned, we do see they will continue to perform this journey going forward. But we are not alone in the market. We see the similar trends with the others as well who are participating in this market segment. And I would say this is a n early cycle of India. Not many people have a comparative, but I have a comparative in my career wherein I saw China grow right from mid -90s, 95 onwards.

And I see India is almost lagging 20 to 25 years where China was 20, 25 years ago and we still have another 5 to 10 years ahead of us wherein the growth rate and the demand for our products and solutions will expand and also industry is willing to pay for the quality of the product, which is world -class.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. T.K. Sridhar for closing comments. Over to you, sir.

T. K. Sridhar: Thank you very much, Michelle, and thank you very much, ladies and gentlemen, for participating in this particular call. Very interesting questions, I could say. I think hopefully, we again meet the next quarter with a similar set of results is what we cou ld see. And also, I wish you a very happy quarter closing as well as in good and healthy life. And I also thank the management who are there with me on this particular call with who's -- without whose support this could not have happen. Than k you very much.

Moderator: Thank you, members of the management. On behalf of ABB India Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

----------------------- (This document has been edited for improving readability) -----------------------

Investor / Analyst contact:
TK Sridhar
Chief Financial Officer and
Chief Investor Relations Officer
sridhar.tk@in.abb.com

Sohini Mookherjea
Country Communication Manager
sohini.mookherjea@in.abb.com

Registered & Corporate Office:
ABB India Limited
Plot No. 5 & 6, 2nd Stage,
Peenya Industrial Area IV, Peenya
Bangalore 560058
Karnataka

CIN: L32202KA1949PLC032923
https://new.abb.com/indian -subcontinent

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Call: May 2025

ABB India Limited
Registered and Corporate Office
Disha - 3rd Floor, Plot No. 5 & 6, 2nd Stage
Peenya Industrial Area IV
Peenya, Bengaluru – 560 058
Karnataka , India CIN: L32202KA1949PLC032923
GST: 29AAACA3834B1Z4

Phone: +91 80 2294 9150 – 54
Fax: +91 80 2294 9148
Email ID: i nvestor.helpdesk@in.abb.com

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BSE Limited
P.J. Towers
Dalal Street
Mumbai 400 001
(Attn : DCS CRD)

Nation al Stock Exchange of India Ltd
Exchange Plaza, 5th Floor
Plot No. C/1, G Block
Bandra -Kurla Complex, Bandra (E).
Mumbai 400 051

Attn: Listing Dept.
Dear Sirs
Sub: Transcript of Analyst concall

In continuation of our letter s dated May 2 , 202 5 and May 9 , 202 5, we are enclos ing a copy of the transcript of conference call with analysts, which took place o n May 12 , 202 5 post announcement of un-audited financial results of the Company for the first quarter ended March 31 , 202 5.

The said transcript is also uploaded on the Company's website.

Thanking you

Yours faithfully
For ABB India Limited

Trivikram Guda
Company Secretary and Compliance Officer
ACS 17685

Encl: as above

ABB India Limited
Q1 CY2025 Earnings Conference Call
(January to March 2025)

May 12, 2025

MANAGEMENT : MR. SANJEEV SHARMA – COUNTRY MANAGING DIRECTOR
MR. T.K. SRIDHAR – CHIEF FINANCIAL OFFICER
MR. KIRAN DUTT – PRESIDENT , ELECTRIFICATION SMART POWER AND SMART BUILDINGS
MR. G. BALAJI – PRESIDENT , PROCESS AUTOMATION , ENERGY INDUSTRIES
MR. SUBRATA KARMAKAR – PRESIDENT , ROBOTICS
MR. GANESH KOTHAWADE –PRESIDENT , ELECTRIFICATION DISTRIBUTION SOLUTIONS

Moderator : Ladies and gentlemen , good morning , and welcome to the ABB India Limited Q1 January to March Quarter C Y2025 Earnings Conference Cal l.

As a reminder, all participant s' lines will remain in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th e conference call, please signal the operator by pressing "*" then "0" on your touchtone telephone. Please note that this conference is being recorded, and any unauthorized recording of this call is strictly prohibited. The recording will be made available on the company's and SEBI's website subsequently.

I now hand the conference over to Mr. T.K. Sridhar – Chief Financial Officer of ABB India Limited. Thank you, and over to you, sir.

T.K. Sridhar: Thank you, Ryan. Very good morning once again to all of you. Thanks for joining the Q1 2025 Call.

So, along with me on the call is Mr. Sanjeev Sharma – the Country Managing Director . And we have Kiran Dutt and Ganesh Kothawade who lead Electrification Division. And then we have G. Balaji, who leads Process Automation and Subrata Karmakar of Robotics. Sanjeev Arora could not join this call as he is travelling, but therefore we will handle the queries relating to motion by ourselves. Okay, so over to you, Sa njeev.

Sanjeev Sharma: Thank you, Sridhar. Good morning to all of you for joining us to know more about January to March 2025 quarter. This is our first quarter of CY2025.

Just to give you a glance about how we are structured as a company we operate with the four business areas , namely electrification, which all deals with the distributed solutions, which distributes electricity in large cities, industrial complexes , large infrastructure projects, be it commercial buildings, tunnels , and residential buildings. Then we have the products which go into the manufacturing, which is the installation products, which are kind of add -on products to the industr y.

Electrification portfolio is quite full, and it's the largest business area for us at ABB India followed by Motion, which has drive products, system products, system drives, NEMA motors , IEC LV motors, large motors and generators , Traction and Service . This is all about energy efficiency and mobility -based solutions.

Process Automation which caters to energy industries, process industries, marine and ports, measurement and analytics, this is all about productivity and energy efficiency for our customers in the large process operations.

And robotics and discrete automation is all about robotics. We supply for automotive, ancillaries of automotive electronics manufacturing and many other applications . As manufacturing expands in the country, robotics is expanding as well.

Our operations in India, which is in the 75th year of manufacturing , is done out of five manufacturing locations, namely two plants in Bangalore, and one each in Nashik, Faridabad , Maneja . We have 25 shop floors. We operate with 28 sales offices and also combined with the service offerings to the customers spread across the country. We have 750 plus partners who take us to the deeper end of the market so that we can cater to and serve our customers even in the remotest part of the country. And we continue to expand that. And as we speak, we are expanding our capacities. And as and when we are ready, we will also announce those to you.

So, for the January -March quarter, the financial performance is that our orders expanded 4%, revenues expanded by 3%, and profit after tax by 3% on a comparable basis year-on-year. And our cash balance stands at Rs. 5,756 crores. We expanded our portfolio with low voltage flameproof motors in higher frame sizes for IE2, IE3 and IE4 efficiency classes. And we are seeing a good uptak

e of this class of offering that we have in the market. They offer much higher reliability, safety and efficiency.

Recently we also launched the range of modular LIORA switches from electrification smart building for commercial and residential spaces. It expands our portfolio to really near retail experience for our customers.

On the sustainability side, we have reduced our Scope 1 and 2 GHG emissions by 87%, comparable to our baseline in 2019. Our Nelamangala campus in Bangalore has achieved Mission to Zero status as part of ABB Global's sustainability journey to deliver net zero emissions.

We were also awarded Best Sustainability and CSR Practices Company by Asian Centre of Corporate Governance and Sustainability. We don't apply for such award s. We were just picked up by their own independent research. So that shows that our focus of doing the right thing in this area gets recognized by the serious third -party companies which really analyze the publicly declared data as well as the data available through the databases.

Now, in Quarter 1, we had a stronger momentum in core segments and also complemented by few emerging segments, namely in transport, building and infrastructure, discrete process, and our exports grew by 40% in this quarter. Order backlog is up by 11% and Rs. 9,958 crores. That gives us a very good visibility going forward for the revenues that we have planned for year 2025.

Some of the highlights to you, just to give you an idea about how this company with 18 divisions operating with 23 market segments impact customers in different segments of society and applications. Like in the case of Indian Oil centralized pipeline information management system, we have provided automation digital solutions. We have also provided for an electronics industry major some localized user language -based sanding automation solutions. We have revamped a distributed control system for flue gas de sulfurization for a leading energy company. For an integrated energy measure, we have supplied SCADA and PLC for a major offshore project. And of course the traction systems for railways were also part of our significant wins. And

switchgear, another power distribution technology for a data center major was part of our wins and a smart power solution for a water treatment plant and technology from System Dry Corded Tire Company .

So you can see it gives you a spectrum of applications and industries that we serve. And that gives us basic resilience in different cycles of the market because we are exposed with multiple businesses to multiple market segments. And that's why we have the confidence always to continue to navigate whatever changes that come into one segment to the other because economic cycles play through different market segments at different time s. And we continue to have portfolios that apply in multiple market segments. And we continue to navigate ourselves forward.

Now , when it comes to the part of our business kind of ethos is to continue to find new customers and continue to serve our existing customers effectively. So we always have very wide and deep engagements with our customers in multiple forums and each of the businesses engages with the customers and also sometimes they come together and then they have the common customers together s o that the customers know what our offering and business proposition is. And in these forums we detect lot of new customers an d we can start the journey with them for many years to come.

When it comes to the diverse businesses which cater to 23 market segments, I mentioned, so this gives you a picture in terms of which market segment from our portfolio point of view are on the high growth side, moderate growth side and low growth side. The so -called low-growth segments still form a large part of our offerings. And these cycles, and they so

metimes are in low, they go to moderate. And the moderate segments can switch between high and low. And that's the reason we continue to maintain focus in our offerings, including our service offerings to all these segments and the customers in these segments so that we are effective and customers always appreciate whenever their cycle turns that they have a consistent partner with them.

We will take a bit of a theme for this quarter deep dive, which is cement. Just to give you granularity , India is the second largest cement producer in the world and accounts for over 8% of global installed capacity. Cement volumes are increasing by 6 % to 7% year-on-year. And as of 2024, India's green cement market is valued at approximately US$2.31 billion and is projected to grow at CAGR of 5.85% through 2029.

We have a lot of offerings here. And there are key drivers and trends, as you can see, which are led by, spent by the government and also expansion of infrastructure, transport, mobility. And we see that this is a long runway and long highway for us to travel. Our solutions, which are essentially aid in supplying energy efficient technologies for cement plant, because it's a very energy intensive process , and also the process automation and export systems, which helps cement manufacturers not only produce cement efficiently, but also manage the grades based on the market demands that come from the marketplace. So , we have quite a good suite of portfolio in this particular area .

Now, when we look into sustainability in practice and our goals, so as I mentioned before, we have the Scope 1 and 2 GHG emission 87% reduced compared to 2019 level. Zero waste to landfill units in 2025, we will have four units qualifying for that. And in supplier engagement, we are increasing and we will be training our suppliers to be also focused in this particular area. Our CSR activities, be it climate change module for teachers , developing an external road project to make sure that the communities around the industrial areas have a more safer access to their locations and the children, the women, they can walk around in a much more safer environment, well-lit roads, well carved out roads, and there is no mixing of traffic with the pedestrians. We continue to develop such projects so that the communities are safe , and the women have confidence to come to industrial units to work so that we can expand even our diversity rates. Green school campus programs, then skilling 400 youth across locations, aiding and modernizing the hospitals in Nelamangala which we handed over, and of course special health camps including assistive devices distribution across locations for specially abl ed people, and also sponsoring a project in Himalayas wherein it helps waste collection and recovery center because a lot of tourists bring a lot of stuff which cannot be left in , plastic cannot be l eft in the hills. So , there are volunteers who collect it , and we sponsor collections and distribution of it in the right places.

Factors to watch out for in 2025, we see, well, there are different years and different cycles, and we are experiencing that cycle. So , we are building ourselves upon consumption, investments, premiumization, domestic economic strain and global trade uncertainty. A mix of this is on our table. And that's where we decide where the opportunities are. We focus on the opportunities rather than we get too worried about macros. And there are always opportunities. We have done it for a long period of time , and we focus in the right areas to make sure that we navigate the uncertainties and at the same time keep making most of the opportunities.

So with this, I will hand the presentation over to T.K. Sridhar to take you through financial highlights. And I will join you back later when we have a question -and-answer session. Thank you

.

T.K. Sridhar: Thank you, Sanjeev. So, w e get into another interesting part of how did we perform in Q1 , '25. Right . Base orders grew by 10%. This is despite the fact that we also had a large order in the last quarter , and we could make it in this quarter as well. What's more encouraging is to see the base order is growing while the large order is definitely something which come as per the CAPEX cycle. So, this is something which is a healthy part of it.

If I remember correctly, the market was concerned in the last quarter in 2024 that w hy were the orders not growing? And we did say that one of the orders were delayed , and it may go into Q1 , '25 and that's the result why we could see a large order of Rs. 200 crores which is there for the particular quarter.

The order backlog 9,958 gives us a good visibility of what could get executed and for the future revenues , two-thirds of it will get executed in the coming quarters , and the balance will go to the

next year based on the project schedules and the long -term service order what we have for traction converters in the years to come.

So, revenue is 3% up, and this was more because the market w as a bit volatile. So customers had a preference to schedule their supplies according to the tune of the market. They were slightly lesser, but having said that, we are clear that as the volatility topics cease down, so they should also pick up going forward.

So, profit before tax, 20% is what we are able to maintain at this point of time, again coming from a good mix of operating leverages and also a price realization which we had. And not to forget, we did have a favorable Forex impact in this particular quarter, contrary to an unfavorable one in the last quarter, which is basically more to the moment out of foreign exchanges and commodity prices, which we do.

So this is something which impacted the margin, but the operational EBITDA, which excludes all the foreign exchange variations or any other one -time impacts as what we see, are still standing robust at 16.4% for the quarter. And it is in line with what we had done in the previous quarter. So, Q1, '24, it is definitely lesser. And that's more because the volumes in Q4 , '24 was Rs. 3,300 crores or Rs. 3, 400 crores roughly compared to Rs. 3,160 crores in the current quarter. So, in other words, we did not lose out on any of the structural issue s. It was only more about an operating leverage which was missing due to lower revenues.

So cash balance, Rs. 4,700 crores. Our collections were able to keep speed with the revenues and also the overall collectability. We did not find any drastic liquidity issues in the market as what we go forward. So , that's something which we think we will continue to focus on , and we will definitely go forward to have different options to how to use this cash. The next slide .

Just to give a bit of a trend as to what it has been, what it used to be at Rs. 3,000 crores, Rs. 2,500 crores, we are now stabilizing at a base order of Rs. 3,500 crores. That's what we could see on an overall, at this point of time and plus some large orders which came in in this particular quarter. So there have been large orders in the last several quarters in the past. And that's more from the demand which was coming up after the COVID CAPEX cycle, which was rejuvenated in those particular quarters , and that helped us as well and also the market focus into fast growing market, the medium and the realistic also has a reflection in this particular large orders what we have been receiving. So order backlog, 11% up year-on-year. So, two -thirds of them are executed in the next quarters to come and the balance would go to the year after.

So, this is an academic slide for those who follow the press release and also try to look at what is correlated with the local performance. So overall, A

BB Group would have announced 1% or
a flat demand environment from India, whereas we declared 4%, including the large orders what we have .

So, a bit of a view into this term in the P&L account. So material cost held at 58.3% holding robustly at the point of level and it's more coming from the point of mix of revenues, and

operational efficiencies and also some price realizations which were favorable during the quarter. So that was something which helped to keep the material cost 58%.

Personal expenses higher than in the previou s quart er and definitely slightly higher than the previous quarter. the deviation to this effect is more from the point of view of a, number of people we have recruited more and also we had certain salary revision which was done in this quarter and accordingly the actual valuations get done once in every year as in the month of March because that's the financial year which is applicable for all actual valuations. And so that gets recalculated based on a higher salary base and that has a momentary impact for that particular quarter and is consistent across all the first quarter s in several years to come, at least since I have been the C FO for this organization , that is quite typical of it.

And other expenses with the same level. So there have been no, I would say one-off expenses which is more in line with the volumes and the inflationary trend for what has happened and also in line with the marketing efforts what has been going on to make sure that we remain competitive and relevant to the market.

Exchange rate s gain as it is what I told , there is a swing of almost Rs. 20 crores compared to in the previous quarter same year and the last year. So same quarter previous year. So that is something which is on account of the mark -to-market impact which we have on the derivatives, commodities and the foreign exchange statements. And this is momentary. Sometimes we have a gain. Sometimes we have a profit. But at the end of the day, operating profit what is important for us, and we are steady and strong on operational profitability. So, this is something which is there on the financial statement as what we see. Ye s, go to the next.

Yes, getting a bit deeper into business segments at this point of time. Electrification continuing its strong run of Rs. 1,600 crores minimum. And t o be honest, in Rs. 1,791 crores of Q1 , '24, they had a large order from a data center, which is not there in this particular quarter . It is more base order. So that way, Kiran is very happy that he is able to get more of base orders in this particular quarter .

So, overall, electrification is able to have its focus on the sector, which is relevant for them, and able to get their share of business over there. And revenue is slightly lesser and of course Q4 ,'24 is always a good quarter for us because that's the last quarter of the year , and therefore there is something which is very strong actions which happen to make sure that we reach the business performance levels compared to the previous year. So that's something , but on an overall basis Rs. 1,200 crores reve nues in the last four quarters and now we are talking of Rs. 1,300 crores revenues overall and an upward trend has been maintained. And profitability, you have 25.7%.

So, in all standards, pretty much decent from the electrification division from where they were coming from.

Motion, again, we had a large order of Rs. 200 crores from a railway segment now again. So , that's for the traction converters and business. And so we were able to keep up that particular momentum of Rs. 1,200 crores. Revenue steady at Rs. 1,100 crores every quarter , and that should

slightly go up going forward as the backlog starts to execute itself from the project orders which is there , and profitability

remains solid at 22%.

Process automation , this is where people would be interested to understand. We have Balaji as well, so there could be any direct questions to him while doing the Q&A. But overall, for the process automation is dependent on the CAPEX decisions, which are very much relevant for them , large scale CAPEX decisions, right? And as I was mentioning, due to the volatile factors which were there, which were hovering in the market, there was a bit of a cautious approach which were taken by the customers in the core s egment and that resulted in decisions getting delayed, number one.

Number two, April to March being an year -end for quite a few private industries , that is also considered to be a place where they could have decided to preserve cash and watch out for the moments in the macro factors as it is supposed to play out. There is no opportunity decline in the market , but it is more definition of decision making which is slightly moving up the quarters as we go forward. And that has definitely left and resulted in a backlog which is lesser than the previous year. But I am sure that with the orders, in case if we are successful and it gets decided in the future, this should also help us to do it. But the good part of it is that even though the orders are down, we are definitely on the revenues we are not so bad off because we had a good service revenues which came up over there, which definitely helped the profitability as well.

Next slide.

Robotics and Discrete Automation , large order from an electronics sector, so helped up shore up the orders , and this was also something which we expect in the last quarter, but firm and effective by in this quarter. And all of them t rending in the right direction, including the profitability for robotics.

This is just another slide which is good to understand where are we and how we are. In this particular slide, if you look at it , MO and EL still dominate the product offerings of us. So we are at 74 %-75% of the business, which comes from th ese particular two segments. And the balance is driven by process automation robotics. So it remains constant here and there, couple of percentages, quarter -on-quarter , but overall it's better.

In terms of offerings, again products are 73% and projects 13% and 14% is what we see, definitely in line with what used to happen previous ly, in terms of channels as well as constant. And in terms of exports, this quarter was slightly, definitely higher in exports. That's what we could see. And this is in revenues, but in orders we were higher in exports as what we see. So, this is something which is pretty interesting and as we see another thing which I would definitely look at it is that the orders from Ti er-3 and 4 have improved substantially compared to the previous quarter. This is a welcome fact and is also resonating with our efforts which is happening by reaching out to the hinterlands of the country to be more relevant in those particular markets as wel l. So, overall , a good quarter according to us, other than revenues , which is slightly

off the mark , and that's more driven by the macro factor , but all the other topics in place, that's what I would say.

Yes, so this is the last slide if I am not wrong. Yes. So now we can open up the meeting for Q&A.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question -and-answer session. First question comes from the line of Renu Baid Pugalia from IIFL Capital Services . Please go ahead.

Renu Baid Pugalia: Thank you. Good morning, team. My first question is, Sanjeev, you did mention that macro is not looking so exciting, but you are focusing more bottom -up. But what we saw in TA in the last quarter with respect to orders getting postponed from customers and execution, does that phenomena co ncern you in terms of the likely ex

ecution for this year that we missed it from

double -digit growth to single -digit or flattish execution this year or bottom we have fair amount of confidence that double -digit revenues growth trend should be in tact ? That's the first question.

Sanjeev Sharma: Thank you, Renu. So in our view the Process Automation business represents largely the project business , which is about 10% of our total portfolio. And they do depend upon how the customers feel confident in the process industries as well as in the large government infrastructure projects, say, in the oil and gas and the other power generation area.

So there, many projects which were on pipeline are still on the pipeline, but because of the uncertainties which are floating across the world and also domestically, certain customers held back the decisions. And we do believe those projects are still in the pipeline and those decisions will improve. So, that's what it is. So , it's very difficult. We have just finished the first quarter briefing. So , it's difficult to say what happen s at end of the year.

But as far as our base business is concerned, that continues to be robust. But it is to be acknowledged that as per the large projects are concerned in the market, they are there, but they are sluggish in decision making, at least in the first quarter. And we will see how the 2nd Quarter goes for us and 3rd Quarter plays out. And then that's how we will be able to comment to you more specifically when we have the commentary for 2nd Quarter and 3rd Quarter .

Renu Baid Pugalia: Got it. The second question is just pulling few input s from the annual report , within the product segment, others as a category in the last two years have grown very smartly from Rs. 1,400 crores to Rs. 2,400 crores plus revenues, our fastest CAGR. So , can you share some insights in terms of what type of product portfolios become a part of others here and what is the kind of localization efforts which ABB has put in to improve the local manufacturing footprint of this fastest growing segm ent for us ?

Sanjeev Sharma: So, if you have been Renu, you have been hearing our commentary for last, almost at least in my history, about 38 quarters. And so we have maintained that we play the market from three or four angles. So , one angle is we continue to expand our portfolio , and then we continue to localize it so that it becomes more attractive price point to have voice to the customers. And as

the economy is growing, it continues to kind of become more sophisticated. So , more and more ABB sophisticated products keep coming and we can now localize and spread it in the market. So, that's one effect which is playing out in this year as well.

And other part is our geographical penetration because India's growth is moving into Tier-2, Tier-3 series. And Sridhar mentioned that that expansion is causing expansion of our portfolio intake from the market.

And last but not the least, the economy continues to expand and the market segments which were moderate in size early or small size, they have become substantial in size now as we go forward. So, these are the few things which cater to it. But you are absolutely right. Especially in the electrification and motion, we have expanded our portfolio, and that portfolio is playing out in favor for us. Yes. And definitely, as you mentioned localization of the product after we have tested the product in the market that there is a good demand and acceptance. Then we go ahead and we manufacture, localize and we expand on top of it.

Renu Baid Pugalia: Any particular products to call out or nothing specific here?

Sanjeev Sharma: In the case of the motors, if you can see that we have expanded our portfolio there. You can see that in the case of MOLM, we have a good intake of export orders there and that has contributed and tha

t's on the back of localization. Likewise in MODP, which is our drives product, there again we have expanded our portfolio and also have localized. And same thing goes for the traction side. Again, we have expanded our portfolio for mass transit, locomotives, electric, bus, truck, and they are playing out in our field.

Now just to give you some granularity on the electrification side, I have Kiran D utt with us. Maybe he can paint some color around it.

Kiran Dutt: Thank you, Sanjeev . Thank you, Renu. that's a very good question in terms of expansion of portfolios. On the electrification side, what we have done is there are two parts of it. One in terms of energy management solutions, where we started expanding our portfolio there, s o which is very, very important for customers in terms of finding out in what way the buildings are efficient or the industries are efficient. So that's one part of the portfolio which we expanded. It is also related with the d igital portfolio, what we have expanded as well.

The second part of the story is the launch of LIORA , which was also explained during the presentation. LIORA is the modular switch range, which is for commercial buildings and the residential buildings. This portfolio has really expanded a lot , and we are seeing a lot of traction in terms of orders and revenues coming in during Q uarter 1.

Sanjeev Sharma: In the case of ELDS, our distribution solutions, if you recall that we had inaugurated a expansion of our facilities in Nashik 1.5, 2 years back, and that production of GIS facility is on. And that really has created quite a large base for us to serve the market, wherein the market has become sophisticated because they require small footprint switchgear, which can go into the basement of buildings or it can be small urban area because the land is something which is more premium in those areas.

So, w e are seeing quite a good expansion of our portfolio and the investments that we made in that area. And also we continue to expand in Nashik our localization effort. And there are certain products which I can't say directly the name of it , but those are the products which are only produced in one country in Europe and another country here which is India and we have started exporting that as well apart from very high consumption within our own product which has localized our product as well as you have a much better uptake in the market and that also reflects in our profitability and growth.

Renu Baid Pugalia: Sure. Thanks so much, team, and best wishes. Thank you.

Moderator: The next question comes from the line of Mahesh Bendre from LIC Mutual Fund. Please go ahead.

Mahesh Bendre: Hi, sir, thank you so much for the opportunity. Sir, industrial, the process automation business is showing a weakness in terms of negative growth for the last three quarters. So, when do you think we will be able to come back on the growth path in this segment?

Sanjeev Sharma: Thank you, Mahesh. So, as far as when we talk about ABB present in this market with 18 divisions and 23 market segments , so we are the true reflection of what the market is doing. So, what we do is, when the market and the customers that we are trying to serve, they are ready for decisions, they show up in our books.

So as I said, process automation is 10% of our large projects of the process automation is 10% of our portfolio. And largely we have fast -moving industrial goods. So that base order continues to perform well, because the country is expanding and is absorbing those products quite effectively.

But when it comes to large projects, they are cyclic in nature, and it all depends upon how the private CAPEX and the government CAPEX is forming in the marketplace . So, I would say indirectly if we watch these market segments and see the CAPEX formation there and the government

CAPEX release, that should have a direct correlation with when the recovery in the process automation businesses will come.

Mahesh Bendre: Sir, last question from my end. Last t wo quarters the order inflow has been soft overall. We had a single -digit growth this quarter and previously we had negative growth. So going into the next 2-3 quarters, will the momentum remain the same?

Sanjeev Sharma: So we are coming on back of last 5 years wherein we grew CAGR 22% in last 5 years and our revenues grew 20. 5% on back of economy growing 6% to 6.5% . So, we have had a fairly strong run over a period of time. And then what happens is that once you have a strong run, just like in

the markets, you have a time correction, and you also have a price correction. But in this case, you can say that certain market segments take a breather and then the next cycle of investment comes. And that's where it reflects in it.

I believe 2024 has been quite eventful. And 2025, as you can imagine, right from new government coming in U.S. and also now the recent we ak event , so there are a lot of events which are playing out in the minds of our customers. And that reflects into our books at the moment. But I believe the moment this uncertainty is cleared out , we believe the underlying of Indian economy as well as Indian spend capacity is quite high and t it will pick up. Whether it happens in the running quarter or it happens in the next quarter is difficult to say, but we are very optimistic going forward that we will have reasonable rates of growth in this market for us.

Moderator: The next question comes from the line of Subramaniam Yadav from SBI Life Insurance. Please go ahead.

Subramaniam Yadav: Thank you, sir. Sir, just wanted to have a color on this chart of high , moderate , low, what we give every quarter. So, how do we read into this ? When we see quarter -on- quarter changes in couple of sectors moving to moderate , what is the view we take? Is it a quarterly view we take or yearly view we take on the sector and then we move that segment to moderate from the low?

Sanjeev Sharma: So, that's an interesting question. So , one is that this particular picture is both for our internal as well as external consumption. Internally, what we do is we make sure that all our sales team and businesses are laser focused on all these segments in the low, medium and high, because that's where the capital formation takes place and the serviceability offers have to be very high, both on the sales side and also post order side. So , that's one part.

And on the second side, we look at it from a kind of a holistic trend that these particular market segments are relevant for us for long -to-medium term. And we will stay focused on that. So ideally, it is not quarter -to-quarter because this capital formation of the size we look for and we track doesn't change quarter -to-quarter. I would say calendar year basis is a reasonable way to

look at it.
And also another way to look at the high, medium and the low is that these high segments are the ones which are relatively new market segments. They say like data centers started picking up in 2016 and 2017. They were next to nothing. Now it is a substantial part of our portfolio, and the rate of growth is still quite high. So , that's where they say.
So, we have a bit of a matrix and more granularity to it which we track. But yes, to your question, to your answer, yearly adjustment is more relevant for it rather than quarterly adjustment.
Subramaniam Yadav: Sir, but when we look at the number of sectors moving from low to medium, but in terms of our inflows which are not matching that thing, so hence my question was related to that.

Sanjeev Sharma: Yes, so if you see the low segment, still they form quite a substantial percenta

ge. I think it's almost 45 %, Sridhar?
T.K. Sridhar: 45%.
Sanjeev Sharma: 45% of the volume comes from the low market segment. So , we see that as an opportunity because those segments are actually primed to spend more in CAPEX because they haven't done it for a very long period of time. So , if you look at it from that angle, it's just a matter of time when those kick in. And when the market conditions and the confidence in the large CAPEX spender is there, then this low segment starts priming both on the OPEX and CAPEX side. So , you can just imagine that given the growth that we had of 22% CAGR in the last 5 years, how well it will play out once these low market segments or some of those segments also start joining the medium side of it.
Subramaniam Yadav: Sir, f inally, if you can give some color on this service income, because that pie has been increasing and leading to a better margin for us. So , how do we look at that service mix going ahead?
Sanjeev Sharma: Service is almost every time between 12 % to 13 %, but ideally our aim is to get to 15%, but with more orders coming in, s o service as a percentage looks pretty much the same, but if you look only at the growth of service and exports, they are very robust, I would say.
Moderator: The next question comes from the line of Mohit Kumar from ICICI Securities. Please go ahead.
Mohit Kumar: Good afternoon , sir, and thanks for the opportunity. My first question is on the motor side. As per the annual report, the penetration of IE3 and IE4 was 54%. What was this number for CY '23? And what will the market share in IE3 and IE4 motors?
Sanjeev Sharma: So, Mohit , actually i t is a very good question. I am also interested in those numbers, but today Sanjeev Arora is not here. He is travelling. He is responsible for that business. We may not be able to give that answer immediately plus w e typically don't go to that granularity of information because it's very sensitive to business .
Mohit Kumar: Sir, any color on the order ’s number for CY '23. CY '23 versus CY '24, that 54% , how does this compare?
T.K. Sridhar: As Sanjeev was mentioning, we don't give those numbers . Otherwise , then we will have a different set of calls.
Sanjeev Sharma: Or if you can next time, you can bring as a base reference our competitors' numbers and say, hey, how they compare against them, then perhaps we can bring some granularity .

Mohit Kumar: Sir, how does the acquisition of Siemens Gamesa renewables electronics portfolio help ABB India? What are the revenues for this business in India in CY '24 ? And how does this expand the portfolio?
Sanjeev Sharma: Okay, that is a global acquisition, what has happened. In India, we have not great footprint about it. So, we are buying only some inventories and capital equipment as what we informed the stock exchange in the last quarter. So, they are very much , they are players in the wind and renewable players . We need to find out how it works out going forward. So, not much of relevance for India at least as what a t the moment, it becomes a product part of the global portfolio, and the global team will guide our local teams how relevancy of that portfolio in the market becomes.
We should allow it sometime before we can be more specific about it.
Mohit Kumar: Thank you and all the best.
Moderator: The next question comes from the line of Parikshit Kandpal from HD FCE Securities. Please go ahead.
Parikshit Kandpal: Sir, hi, c ongratulations on a decent number. My first question is given slight sluggishness in the market and the muted growth, so how are the prices for the products holding on? So , have you seen any price cut or has the competitive intensity increased?
Sanjeev Sharma: Well, generally, on an overall basis, you are right, there is a bit of sluggishness in the

marketplace, mor

e specially on the large project side, I would say. In certain product categories, of course, there is an increased competitive intensity. Whenever there is an increased competitive intensity, you will see an effect on the prices , price realizations . But I would say that is on the minor side of the portfolio. I would say th e main story is that the large projects which are being held ba ck, they should be released in coming quarters. That's something we watch, and we are working with the client s. As far as the price adjustment, in minor product categories, there are definitely the pressures which we are seeing, mainly due to the competitive intensity as well .

Parikshit Kandpal: Any commentary on the margin guidance? I mean, still maintain that 13 % to 15% band or like how it will move now on a net margin level ?

Sanjeev Sharma: No, we have been saying that 12 % to 15 % is where we are talking at the PAT margins at this point of time. So , that's how it is. So , now we are reaping the benefits of the earlier quarters of good, priced orders we are getting secured at this point of time and also the leverage on the capacities which is playing out. So that's something which we will continue to watch out for.

Parikshit Kandpal: Okay, this is the last question , sir, on export. So any benefit you are getting on export because this quarter growth has been strong and an impact of the global trade friction which is currently going on in the US ? So will it likely benefit us in India because we don't have much of exposure to the US in the parent company?

Sanjeev Sharma: Too early to say. the global landscape is under formation with too many conflicts, both on the economic trade and some kind of hot spots in the market. And all of them, at least in this week, we find some resolution is being found. US was talking to China last week in Geneva. Some positive news is coming there .

Next Monday, coming Monday , Ukraine and Russia is talking to each other. Maybe a resolution comes there. And we also had, day before yesterday, the hot shooting war going on o ur western borders that came to a halt. So , these things had to play out and for a company like us or rather simple people like us who just look at the customers when they are going to decide orders, it is difficult to decide for how that will play out on our portfolio.

But on the export side, w e are allocated certain export markets. We are doing quite well there. And India as such, the way the trade system is, seems to be net positive for us, for our industries. And whatever portfolio that we are exporting, we are not seeing any kind of dampening effect. In fact, we had quite a good expansion of our export orders compared to last quarter. it was about 40% increase.

T.K. Sridhar: 40%.

Sanjeev Sharma: So, our exports increased 40% year-on-year basis.

T.K. Sridhar: In order s.

Moderator: The next question comes from the line of Umesh Raut from Nomura India. Please go ahead.

Umesh Raut: Hi, sir, good morning. My first question is pertaining to exports and services. So , if I look at your trend as a per centage of contribution from exports and services, it is the remaining range bound with a range of about 10 % to 14% since the last few quarters. So , how do you see a pick up happening here? Whether your install base can lead more of a big in the services business for you in the medium -to-longer term? And would there be any change in strategy from parent side as well in terms of supply dynamics so that you can have better traction on the export side?

Sanjeev Sharma: So, a growth of 40% on export side, I believe , is quite a healthy growth. And this is something which is available. When we talk about percentages , as long as the domestic market growth is strong , then the percentages of export even after 40% growth look nominal, right? So

, that’s

what as far as the domestic side is stronger, the percentages will continue to be playing out that way, but we are quite happy in terms of how our export markets are developing.

As far as the group is concerned, yes, our prime focus is on Indian market being a multinational corporation present in India. But given the facilities here are world -class , more and more global divisions are using our base for opening new export markets. It is a gradual but very steady process so that we are able to serve both domestic as well as global markets. And our teams are

doing a good job there. And we will see it will be a more steady path. But at the same time, there is a long path of continue to gain on the export markets from India.

Umesh Raut: And my second question is with respect to capital allocation policy . So, given that you have cash balance of Rs. 57 billion and sometime back you have also mentioned that you are looking forward to inorganic opportunities in the domestic market, but nothing has fructified in last two years . So, any color here how you want to utilize this capital going forward?

Sanjeev Sharma: So, we are expanding our capacities organically to meet the market demand. So that's how some of the balances are. We have increased our dividends. So that's how our shareholders are benefiting out of our cash balances. And as we speak, there are quite a few inorganic opportunities in our crosshairs. But t hen it takes two to tango.
So, as and when we are able to secure them, we will announce it to you. But yes, definitely there is a plan, both organic rewarding shareholders and plus inorganic opportunity and there is no rush for us. We will wait for the right opportunities at the right price so that that creates more value for our portfolio as well as value for our customers. But definitely it is on the plan.
Umesh Raut: Okay, sir. Thank you so much. I will join back the queue.
Moderator: The next question comes from the line of Jonas Bhutta from Birla Mutual Fund. Please go ahead.
Jonas Bhutta: Hi, gentlemen. Congratulations on a great set of results considering the environment. Just a question on the stickiness of the electrification segment margins. When I look at it from a recent quarterly perspective or even from an annual perspective drawing on information from the annual report , just could you help us connect the dots in terms of while the last two quarters order inflows for this segment have sort of moderated and the base quarters are sitting with large project orders , that coupled with a higher or let's say , no deterioration or the foreign exchange used or the import content remaining more or les s the same as a percentage of sales , the margins for the segments seem to be really sticky and probably even trending upwards.
So, I would appreciate it if you can give us some strategic decisions that you have taken that has put electrification as a segment at these margin levels and what happens when growth resumes in order inflows? Directionally, do margins for these segments sort of trend even higher from these levels? That's the only question.
Sanjeev Sharma: So as you know, Jonas , the profitability is a net result of multiple factors that flow through order margins and then how productivity measures that we do within our location and that's where a lot of investments go.
So, every year our units are more productive than previous years. Plus, how we manage our supply chain, our suppliers, that's another factor. And also how we are kind of localizing

continuously our portfolio. So , it's a combination effect that comes. And sometimes it is largely aided by margin realization , and at times it is realized by the supply chain realization , and sometimes this also gathered a localization and a combination of

those factors.
Going forward, we feel we are committed to this journey. And we do see that the volumes will continue to come. So , it means the utilization rate of our plants should remain good going forward. And also the quality of customers and the market segments that we are dealing with, they reward the people with a good portfolio, right?
But at the same time, as far as the factor of pricing is concerned, it stabilizes after some time. But then we continue to use the other leverages which are available. Anything, Kiran, you would like to add?
Kiran Dutt: Thanks , Sanjeev. very similar to that. One point to be noted is with respect to the order inflow , if you look at it with respect to even Q4 of '24 and then Q1, we are at around 71% growth compared to that. So the order inflows are always there. And when I look at the order backlogs, the order backlogs have really increased by 36%. So , for sure, which is going to give us good visibility in terms of the revenues which are going to happen , and we are sure that that would support in terms of the profitability as well.
Jonas Bhutta: Got it. And if I can just squeeze in one quick one for Sridhar. So if you can help us, when we see this line item called foreign exchange used, which tantamounts to roughly 50% of sales at Rs. 60 billion odd, most of these imports can be attributed to which segments? If at all you have to put in some directional thing, not asking for exact numbers.
TK Sridhar : You know, imports will happen in all divisions, right? It's only a question of in which division it is higher, in which division it is lower.
Jonas Bhutta: Yes, as the intensity is higher.
TK Sridhar : Exactly, right. So, technically what happens is in the projects division , it is slightly lesser on a direct import basis because they do more of projects , but they also draw from the motion and electrification wherever needed , who import , right ? So, definitely , I would say in terms of imports could be pretty higher in robotics because they depend quite a lot on the imports from outside countries because the ecosystem for robotics in the country is yet to be developed as what is needed.
TK Sridhar : And the next one is power electronics , which is the system drives and drive products , which depend quite a bit on exports , and also definitely in EL, where we have the electronics piece which is required. So overall, just to sort of sum it up for you , if you look at exports per se, I

would say because the volumes are pretty much higher in EL and MO, they would do almost 70% of the imports will come only from these two segments and the balance 25 %-30% come from robotics.

Jonas Bhutta: Understood. Thank you , and all the very best.

Moderator: Ladies and gentlemen, in the interest of time, we request you to restrict to one question per participant. The next question comes from the line of Amit Mahavar from UBS. Please go ahead.

Amit Mahavar: Hi, Sridhar and Sanjeev. Good morning and congratulations on stable profitability. I just have one question, sir. You know, the outlook for CY '25, particularly on base orders , can you throw some light on some high growth segments , particularly propulsion, semi -acid propulsions, and renewable low voltage and motion orders ? Do you think there is a risk of this year being 10% or less growth in orders ? That's my question.

Sanjeev Sharma: You are talking of base orders, right , if I am not wrong ?

Amit Mahavar: Yes, sir.

Sanjeev Sharma: So, it is very difficult to predict. Let me be very honest. Because given the Amban situation, lot of moving parts at this point of time, which one would never have expected , so naturally, so then at this point of time, Amit, we are not able to even say that whether it will g row at 10% or less than 10% is what we see, right? But our intent has always been to be aiming fo

r double -digit
growth , right, and then be in line with what the market could sort of decide as a result of these particular macro factors which is beyond our control , right. So, that's how I see to be honest, Amit.

Amit Mahavar: And the second quick one is on capacity creation. ABB has always been realistic and measured when they think of capacit ies, a nd we have seen that many times and which also helps in the time of low growth. This year and next year, anything particularly one or two items where we are thinking of adding capacity or capability? If you can be specific without going into much details, whatever is allowed and possible?

Sanjeev Sharma: Yes, since you asked, so we will have capacity expansion, especially in the units which are relatively small in the business. So now they are coming of age. So we have to put them into the larger units because their volumes have grown, and they are demanding much more space. So there are some in Process Automation. We also see the same in the electrification on back of growth as well as on back of expanded portfolio which needs to be localized. We also see something similar in motion. And you will hear from us once we are ready for it and willing to kind of show that as an available capacity to the market.

T.K. Sridhar: Amit, as you alluded to, definitely before we go through with our CAPEX plans, we are very measured in that to understand what capacities which we have, which we could first leverage upon and what are the other options available. And then it's a well thought -through decision before we start to invest in organic and inorganic options.

Amit Mahavar: Thank you, Sridhar and Sanjeev. Lovely to hear all of this.

Sanjeev Sharma: Thank you. Last question probably. So we are six minutes past 11.

Moderator: So we take the last question from the line of Aditya Mongia from Kotak Securities. Please go ahead.

Aditya Mongia: Thank you everyone for the opportunity. I wanted to get a sense from you across your segments of the level of sophistication of the product as you suggested on the call. I wanted to understand , A) in which segments is it driving our margins up because on a relative basis we are fairly strong ? And B) from here on, have you seen the customers , internationally , which all segments can incrementally benefit as the customers further moves in this direction ?

Sanjeev Sharma: So, if you go back to the slide where we have these 18 divisions coming across 23 market segments, the margin accretion would definitely be very attractive in the first sector where we are growing faster because that's the place where technology plays a diff erentiating factor to quite a large extent and where the speed of execution is also important. And also new solutions are very relevant in those particular market segments. Therefore, the margins there would definitely be at this point of time attractive f or the reason is because they are also starting from a lower base and trying to set up their shops in India as what we see. So , this run should come and can continue for some more time till the base expands and comes to a stabi lization level. In the second category , where it is called realistic growth between 8 % to 10% -12%, there is a bit of a mixed bag where you have sectors which offer a margin for the value which we deliver and some of the sectors go by tendering model which could be more competitive in nature. And while we come to the last sector , which is the low growth sector but a high volume impact there,

there margin accretion comes more from the leveraging on the capacities and the delivery and the volumes what we build rather than ju st by ability to push prices over there.
So, according to me, Aditya, a ll these three segments have characteristics which are quite different , right . And while the first one is very good to

be in because it has the highest margin
potential, but it does not have the base through which we could really drive the margin. So naturally, we need to have a good balance between all the three market segments an d which give us the growth what we are in today at a pattern of 12 % to 15% as what we see.
Aditya Mongia: Got that. Thank you so much for your response. That would be my only question.
Moderator: Thank you. Ladies and gentlemen, we take that as the last question and conclude the question - and-answer session. I will now hand the conference over to Mr . T.K. Sridhar for his closing comments.
T.K. Sridhar: Thank you . Thank you very much once again on behalf of ABB for taking time out to understand what's happened in Q1 , 2025 and definitely look forward to interacting with you more and more and as we go into Q2 , 2025 and also the other macro factors as what we see today sort of ease out and it becomes a more level playing field for all of us. So, thank you very much for joining

the call , and thanks to the ABB Management also who could take time out to listen in and also to answer appropriately to the investors. Thank you very much.
Moderator: Thank you. On behalf of ABB India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.
----------------------- (This document has been edited for improving readability) -----------------------

Investor / Analyst contact:
TK Sridhar
Chief Financial Officer and
Chief Investor Relations Officer
sridhar.tk@in.abb.com

Sohini Mookherjea
Country Communication Manager
sohini.mookherjea@in.abb.com

Registered & Corporate Office:
ABB India Limited
Plot No. 5 & 6, 2nd Stage,
Peenya Industrial Area IV, Peenya
Bangalore 560058
Karnataka

CIN: L32202KA1949PLC032923
https://new.abb.com/indian -subcontinent

Call: Aug 2025

ABB India Limited
Registered and Corporate Office
Disha - 3rd Floor, Plot No. 5 & 6, 2nd Stage
Peenya Industrial Area IV
Peenya, Bengaluru – 560 058
Karnataka , India CIN: L32202KA1949PLC032923
GST: 29AAACA3834B1Z4

Phone: +91 80 2294 9150 – 54
Fax: +91 80 2294 9148
Email ID: i nvestor.helpdesk@in.abb.com

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BSE Limited
P.J. Towers
Dalal Street
Mumbai 400 001
(Attn : DCS CRD)

Nation al Stock Exchange of India Ltd
Exchange Plaza, 5th Floor
Plot No. C/1, G Block
Bandra -Kurla Complex, Bandra (E).
Mumbai 400 051

Attn: Listing Dept.
Dear Sirs
Sub: Transcript of Analyst concall

In continuation of our letter s dated July 28, 202 5 and August 2, 202 5, we are enclos ing a copy of the transcript of conference call with analysts, which took place o n August 4 , 2025 post announcement of un-audited financial results of the Company for the second quarter and half year ended June 30, 202 5.

The said transcript is also uploaded on the Company’s website.

Thanking you

Yours faithfully
For ABB India Limited

Trivikram Guda
Company Secretary and Compliance Officer
ACS 17685

Encl: as above

ABB India Limited
Q2CY2025 Earnings Conference Call
(April to June 2025)

August 04 , 2025

MANAGEMENT : MR. SANJEEV SHARMA – COUNTRY MANAGING DIRECTOR
MR. T. K. SRIDHAR – CHIEF FINANCIAL OFFICER
MR. G. BALAJI – PRESIDENT , PROCESS AUTOMATION
MR. SANJEEV ARORA – PRESIDENT , MOTION
MR. GANESH KOTHAWADE – HEAD, ELECTRIFICATION DISTRIBUTION SOLUTIONS
MR. SUBRATA KARMAKAR – PRESIDENT , ROBOTICS

Moderator : Ladies and gentlemen, good day , and welcome to ABB India Limited 's Q2 April to June Quarter CY 2025 Earnings Conference Call.

As a reminder, all participants' lines will remain in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal the operator by pressing "*" then "0" on your touchtone telephone. Please note that this conference is being recorded, and any unauthorized recording of this call is strictly prohibited. The recording will be made available on the company 's and SEBI 's website , subsequently.

I now hand the conference over to Mr. T. K. Sridhar – Chief Financial Officer of ABB India Limited. Thank you, and over to you, sir

T. K. Sridhar : Thank you, Rayo . A very good morning. Warm welcome to all of you ladies and gentlemen for the Q2 Analysts Call what we have today. So, it is proud to say that we are in the NSE Boardroom today, taking on this call. Along with me, I have Sanjeev Sharma – the Country Managing Director of ABB India Limited, and I have all the Business Heads other than Kiran Dutt, who is traveling at this point of time.

So, we have Balaji , representing Process Automation, we have Sanjeev Arora , Head of Motion and we have Ganesh Kothawade , representing EL and also Subrata Karmakar , from Robotics . And also , we have the other management people in the room. So , it is a great privilege for us to address this particular call from this iconic place where we have been associated since the last 30 years .

So, without wasting the time, over to you, Sanjeev, so you can take us through the Q2 Results and also get to hear from the leader.

Sanjeev Sharma : Thank you, Sridhar . Good morning to all of you, welcome to this call for our 2nd Quarter of 2025. We are happy to be addressing you from the National Stock Exchange. We are using their Boardroom, they have invited us here to celebrate 30 years of ABB India listing on the National Stock Exchange, and the whole management team and other team members are present here.

I will give you, given the occasion, a bit of a snapshot of how ABB has delivered shareholder value in last 30 years with kind of journey the that we have performed together with NSE. As you know we are manufacturing in this country for 75 years, but this snapshot that you see is for last 30 years.

Total shareholder return is 8,500% during this period and consistent dividend has been paid out every year since the listing of ABB on NSE. Our share price has risen 6,745% and market capitalization increased 68x. A lot of 100 shares is worth more than INR 6 lakhs, and net worth is 33x.

Now, key financial performance indicators between 2024 versus 1994 is our revenue from our core operations is 20 x in crores. Our PAT is 37x, EPS is 27x, DPS is 6,209% and dividend payout is up 2,850 bps. So, that is the kind of shareholder value that we have created from our India operations for our shareholders . And also that is the belief that we participate in this market. And you can see in last 30 years how many ups and downs have come in the markets and how many ups and downs have come into the global economy, local economy. And our belief system is that these are all temporary passing matters. We stay consistent in focusing on our customers, bringing more products for the country which are good for nation building, continue to localize it, continue to expand into the geographical reach and also continue to connect with new market

segments , which show up as the country is growing in its sophistication across the length and breadth of it and that continues to reward us and also continues to reward our shareholders.
If I look at many last quarters, I think practically after we came out of COVID,

we saw
continuous growth in orders, revenues and profitability , and I think all of you who have been joining this call have been part of that journey . And we are very pleased with how that journey and the growth has come for our portfolio and we enjoyed it , and we have created a very strong balance sheet at this point of time and also good momentum for our portfolio within the company. So, much so that for the first time, our backlog is about INR 10,000 crores and like everything, I think when the market had been strong for a very long period of time, a point comes when the market takes a breather . And I believe , we are passing through that point and maybe last quarter and at the current point, we see that the market has been readjusting its growth trajectory . And we believe , it is going to be momentary and then it will come back to its own forward trajectory again.
So, that gets kind of reflected in our orders and which is also kind of correlated with the large orders we had last year which are missing in the last quarter , but our backlog continues to expand . Revenues continue to expand and we have certain exceptional items in the PBT , which Sridhar would be able to explain .
You can see that the financial performance, the base orders, we continue to see base effect is strong. It is only the large orders are a bit cyclic. So , we continue to enjoy the growth on the base orders. Revenues expansion is 12% , which means the execution capability of the business is at a solid level.
Our cash balance stand s at INR 5,500 crores and Board of Directors have declared an interim dividend of INR 9.77 per equity share of face value of INR 2. So , this again is in consistency with the last two years that we have started declaring the interim dividends for the shareholders.
Now the portfolio, we have introduced some new products which are prime for this market and we will continue to gain more market share of the existing market as well as we are introducing new products and opening up new market sectors.

On the sustainability front, if you take 2019 as our base, we have reduced our GHG emission by 87.5%. We are rated strong in ESG performance by CRISIL, and comprehensive sustainability training is delivered to over 50 suppliers.
We continue to see stronger momentum in core segments in quarter two, complemented by few emerging segments, like for example, we particularly like transport, building and infrastructure, discrete and process industries . But at the same time there are certain classic segments within these segments , which are kind of subdued and sluggish . But we have a mixed market picture and as you said, our order backlog stands at highest level above 10,000 customers.
Some of the key highlights and I think you can go through them, right, this shows the diversity of the applications and the markets we supply, be it SCADA for remote terminal unit for pipeline projects , we have the power distribution for energy major , we have machine and factory automation for large paints and polymer company, supplying solutions for tires, robotic solutions for a two -wheeler manufacturer, and automation for a smelter project, and power electronic building block for control systems fo r Indian Railways. So, you can see how diverse our product portfolio gets supplied in the industry as well as in the core projects across the country.
Same way we continue to deepen our connect with our customers, so not only in Tier-I, we go to Tier-II, Tier-III, and new emerging markets within the country, and we continue to enjoy engagement and growth in these aspirational countries that we have at this point of time.
Well, our focus remains on the market segments which are relevant for us, which are considered a high growth, which is about 15%, moderate is between 8% to 15%, and low is less than 8% growth at the moment in the market.

So, that gives you a snapshot of how we are seeing the
market at this point of time.
Our theme of the quarter is pharma and healthcare, and just to give you a little bit of in -depth view how we see it, India is ranked third of pharmaceutical production by volume, and pharma industry shall reach $130 billion by 2030, a CAGR of 12% . And we see that the pharmaceutical market continues to grow in future and we continue to engage with our solutions. I think this is one sector which always stays part of our solution engineering, whether it is the automation systems, our drives and clean room solutions , or it is the powering such large plants, all those solutions go. And also in the robotics side, there are pharma majors who apply into certain applications as well.
Now, when it comes to sustainability in practice, our goals for this year, we are on track. As I said, 87.5% GHG emissions based on 2019. Our target is that four of our campuses will become

zero waste to landfill. Already three are achieved. That means no waste goes to the landfill from our plants. Out of four, three we have already achieved the water positive unit. That means we put more water in the ground than we take it out and water recyclability target is 50%. We have already achieved 41%.

We continue to have a CSR focus and not only at the central level, but all the locations where we are present. And our leadership team really is very conscious in terms of engaging the communities which we can affect in a meaningful way. And this is somethi ng which gives us a lot of pleasure and a lot of fulfillment apart from delivering good results for the market as well as our stakeholders.

Now, as for the outlook is concerned, we see mega trends are in electrification, energy transition, digitalization and automation, and sustainability. Because these are elements which are really kind of appreciated by our customers, which is part of our po rtfolio. And on the macro factors, of course, continued government expenditure, private investments, private consumption, and as inflation is easing, I think these are good positive tailwinds for us going forward and that we hope to kind of exploit as we g o forward.

Now, before I hand it over to T. K. Sridhar to give you financial highlights, let me take the benefit of all our business presidents present in the room to give you a very quick snapshot of what is happening in Process Automation, Motion, Robotics, and Ele ctrification.

So, let me invite Balaji for a very quick comment how does he see Process Automation so that you can take a benefit of a more granular view of each of the business areas we have. Balaji?

G. Balaji : Thank you, Sanjeev. As all of us know in Process Automation, we cater to solutions to various segments, specifically oil and gas, power, water, specialty chemicals, pharmaceuticals, and the heavy industries of metals, minerals, mining, etc.

From a Process Automation context, I think we are continuing the journey in what ABB does, which is to make the industries leaner and cleaner. Our solutions are bringing both the scale and sustainability to various industries that we cater to.

In terms of our performance of H1, I would say what is standing out, as you might see in the subsequent slide, is our profitability. We are holding course. This is a reflection of a good order backlog, strong execution. Notwithstanding the FOREX variations, I think these two positives have resulted in good results.

We do see demands coming in from core industries of various energy, mining, and paper industries. But overall, we have seen the markets have been sluggish in the H1 of 2025. We have seen some late positive movements that we hope would continue for the balance of the year as well.

Overall, we remain positive. We are watchful about the market. We stay prudent and cautious. Thanks, Sanjeev.

Sanjeev Sharma :

Thank you, Balaji. I invite Sanjeev Arora, who is the President for Motion division, Motion Business Area. Sanjeev?

Sanjeev Arora : Yes. Thank you, Sanjeev, and good morning to all. So, from Motion perspective, as you are aware that we are into motors, both low voltage, medium voltage drives, low voltage medium voltage, and traction business. And this, I would say, I would start with a positive note that although we talk about the sluggishness and other aspects a bit later, but then the base load orders for us are intact. And if I see the progress from last quarter to this quarter, the base load orders have shown some improvement. However, having said this, what we are missing is the large orders. And on top of it, of course, we are facing some headwinds when it comes to th e price realization. But then our theme still remains that how we can give the best of the technologies globally available to our local customers. That is our motto.

We are promoting energy efficiency with all the product ranges what we have across our Motion . And the customer is also appreciating and really going in that direction as well. The good part is the Motion portfolio is so large that we are serving be it the light industries, the heavy industries, infrastructure, railways, so we have a large bandwidth of operating in many segments . And we can really counter the cyclicity of that segments as we go forward.

But having said this, we are quite hopeful that in maybe H2, probably once we see some momentum in the large projects, the things would be back on track.

Sanjeev Sharma : Thank you, Sanjeev. So , I invite Subrata to give a bit of an overview on the Robotics side.

Subrata Karmakar : Thank you, Sanjeev , and good morning. As you know that in India, manufacturing is getting smarter and smarter . And in that way, robotics use of manufacturing industries in India is rapidly

growing.
Industry segment, if I talk about automotive and other than automotive, electronics, warehousing technologies, everywhere today , adaptation of robots are very high. Small customer, medium and large customers are also proportionately, we see the demand from all segments. Software wise, digital twin, one of the highest level of software today and AI and digitalization on top of it, actually getting robotics technologies smarter and demand for the robotics in the industries are growing.
We are very hopeful in India and the growth for robotics automation in the future. Thank you.
Sanjeev Sharma : Thank you, Subrata . And last but not the least, I think our largest division head for the ELDS distribution solution , but speak on behalf of the electrification, Ganesh .
Ganesh Kothawade : Yes. Thank you, Sanjeev. So, when it comes to the electrification, basically we are supplying the technologies , which is the switching and protection of the power distribution network. So, typically, we supply the medium voltage and low voltage components and the switchgear and majorly into the power generation and distribution, building segments, rail and road infrastructure, data centers, renewables, heavy industries like cement, steel, oi l and gas.

So, if we see post -pandemic, the momentum was really good , which is little bit softening when it comes to the larger inquiries, typically which is coming from the heavy industries and the data center . But base inquiries are still strong. As you can see from the results, our base orders have actually shown a growth and we also see a very good pipeline when it comes to the data centers, renewables and building and infrastructure.
Sanjeev Sharma : Thank you, Ganesh. And over to you, Sridhar, to give financial items.
T. K. Sridhar : Thank you, Sanjeev. I think with the business leaders participating and the time taken place, then the results will be shorter. So, let me try

my best at this point of time , if that is okay.
So, base orders for the quarter, we grew at 5%. Last year, the same quarter, we had some orders from Data Centers and from Mobility sector segments in Motion which is not there at this point of time.
So, I think this definitely shows that our focus on Tier-II and Tier-III has been pretty consistent, and they have been paving the results. So, just to sort of give a good insight about, we did improve our Tier-III and Tier-IV market shares during the first six months, and that is also reflected in the results.
Order backlog , INR 10,064 crores, all solid order backlog with clearly mandated scheduled delivery over the next 18 months to 24 months, both large and small orders, which will happen. And every business segment will have its own cycle to do it, so while Process Automation will have a longer gestation time and Motion business also will have a longer gestation time, the balance all will be executed in the next six months to nine months to come.
So, revenues grew, all-time high for the second quarter in the last five years, INR 3,175 crores, EBITDA is at 13% , lesser than compared to the previous quarter, so we will definitely come back to the story of what impacted profitability in this particular quarter.
So, cash balance at INR 5,054 crores, this is after also declaring and distributing the dividend of INR 700 crores, which we did in the month of May after the AGM, so we still also have the Board has approved interim dividend, which will also happen in the next few weeks to come.
Now coming to the profitability story, if you look at it, we have a profitability of 21% , which we started for the same quarter last year, 21%. So, what happened in this particular quarter? We had a few things which was basically very specific for this particular quarter.
The first and foremost is because there were QCO guidelines which we had to comply and we had the customer orders on the other side, which we have to deliver, so therefore , we had a hard choice to make in terms of importing material to supply to the customers to meet the delivery requirements as well. And th at definitely impacted both Motion as well as the Electrification business segment, Motion to a small extent, but definitely to a quite large extent to the

Electrification segment, that is number one. And because of which your import content was higher.
And the second thing was also the mix of the revenues and definitely a larger impact from the trading revenues, so this was basically depending on the in a project schedule that deliveries what we had to be made to the customers.
And the other couple of things was we did take one -off cost in the case of Electrification segment and as you know, ABB follows a conservative accounting and then risk appraisal process and therefore , wherever we saw a risk and to the extent what is evaluated is right is what we took in .

And we also declared it to the market in the SEBI results that we have taken one -off cost of INR 39.5 crores.
Apart from that, I think the one which was basically beyond our control was the exchange rate, right? So, exchange rate we follow a fair value hedging in which the results of this particular hedging impact go directly to the P&L. So, that is something was unexpected , especially when it comes to Euro and CHF .
The currency in the last quarter appreciated more than 10%, so all the evaluation on the forward , which we had taken and the cost which we hedged and we had the important, so definitely had an impact on the material cost per se combined which we had a 4.6% swing, right?
And other expenses what you see it is all volume related, so we did not have any one -offs over here and the personnel expenditure is pretty steady and stable. So, I think a long story short, I think this was a very specific quarter where we had this part

icular impact and this is something
what everyone is working around to understand how we should mitigate this going forward .
So, Electrification is working on the one -off claims as to how it could mitigate and so on, on the imported content and the mix as to how we could make it better so that we could deliver better results going forward.
So, having said that, I think as what Ganesh was alluding to, what Sanjeev Arora was alluding to, I think the market is definitely a bit of a mixed bag at this point of time with bit softening in some sectors while some other sectors are moving. So, it is a basically a cautiously optimistic approach which what the businesses will take.
The next slide. Yes, I think this has been the pattern sort of what has been there for the last eight quarters where we have seen consistently each and every quarter we had some large orders which give a favorable impetus to the order . And now in this quarter, we did not have a large order but the base orders definitely grew, right, by 5%, it is a bit of a motivation factor for all of us.
So, order backlog is INR 10,064 crores. They are a mix of large orders and also the product orders which will get delivered in this, right? So, I think almost 50% - 50% of it is coming from

large orders and they will get delivered over the next 18 months to 24 months depending on the project schedules what we have.
So, this is a slide which I think is more only from the investor standpoint when people when ABB Group looks at India, so they look at a 9% degrowth, while as we look at, on a standalone basis, a 12% degrowth. So, this is how the demand order and the supply side of it is interpreted.
Here is basically a bit of segregation, which we would already explained to. I think this is pretty much very evident that in this particular quarter, we did have INR 56 crores of impact on account of FOREX and INR 39.5 crores of this freight cost, which we had taken off a one -off in Electrification segment. So, other expenses stay steady, so there is no much impact. Our ETR at 25.7%, which is also steady.
We dwell a bit more into the segment -wise numbers. So, Electrification , INR 1,400 crores roughly in orders . And this is basically, and if I look at it , in the previous year, the same quarter, we had a large order there to the extent of INR 148 crores. So, that is something, because whereas we see here INR 1,432 crores and if you take only the base orders of Electrification quarter -on-quarter, we have delivered 9% growth on that. I would say the focus of Electrification, the building segment, the data center is strong and therefore we have got this growth momentum still continuing. Revenues, INR 1,379 crores. It could have been higher, but I think we had the issues to deal with in terms of QCO and import content. So, I think that is important.
So, that is something which probably had to be scheduled according to the earlier, that is what we get. Backlog at INR 3,500 crores , I think most of it will get exhausted in the next 12 months to 15 months. That is the trajectory what we see. And profitability, as what we mentioned, it has an higher import content, a revenue mix of higher trading revenues therefore and we had a FOREX volatility in the one -offs impacting that.
Motion also had INR 396 crores of large orders in the INR 1,329 crores of the last year. And therefore, on a standalone basis, I think for the base order, it is still delivered and solid growth as what you will see. Orders definitely grew for control systems railways and good system drive products on sale which happened. And also, in terms of the base order, yes, there was a bit of a competition, in fact, when it comes to some of the business divisions in Motion. But I thin k the overall basket of large base orders is still growing.
Backlog at INR 4,000 crores. I think here is where because

we have a good mix of system orders,
or the project orders, and also the base orders to do. So, I think , it will get spread between 18 months to 24 months for the total execution. And profitability was impacted again, as what we had in the case of Electrification. We also had a FOREX impact. We also, part of the businesses,

had to deal with the QCO challenges. And also, there was an impact of prime realization for multiple business divisions, especially motors in Motion. So, I think that is more of a competitive scenario, which is emerging out over there.

Process Automation , this is a division which actually reflects the large orders getting decided in the market. So , if you look at it, it is pretty much stable between what we had last year to this year. There is a slight decline and that is more of the fact that a couple of decisions got have been postponed for the last two quarters. That is reflective of the investment scenario, which is more cautious at this point of time.

Revenue is slightly subdued to the extent of INR 500 crores. We expect that this would actually become the next two quarters to come as the delivery schedules are getting framed up for the supply. Order backlog declined by 12% , that is more reflective of the subdued order intake what has happened in the last two quarters. Revenue execution maintained the same trend.

But the good part is profitability , despite a bit of a FOREX impact, they were able to recover that or offset it in a way through good revenue mix. They had high service content within the orders. And also, they had a good amount of projects , which they could close out and actualize the market in the quarter. So, I think this was some of the positives which could help offset the impact on the Forex .

Robotics last quarter had a large order from the electronics segment, which is actually not present in this particular quarter. So, they are at maybe INR 120 crores roughly in this quarter. And the future, as what you heard from Subrata , is pretty much promising. And we stay committed on this particular division as such.

And revenues grew all time high of INR 236 crores. But it was more evident from the fact that it had a large content of trading revenues , because Robotics has a longer runway to move for in terms of localization. So, we still depend on quite a few imported components. And therefore, the trading revenues are higher and they also had a FOREX loss. But I think the basic fundamentals of the business segment remains strong.

Next slide. Yes, this is something to prove as to how we are in the different offerings to the customers, the business areas, Motion and Electrification still hold 75% - 76% of the businesses coming from and that is also represented in the product portfolio of offering mix, which are 12% from the services and 13% from the product projects and so on.

Channels to market, partners and end users are important for us, so they constitute 80% while OEMs and EPCs are left and this is also a reflection of the fact that the large orders in terms of decision making are slightly getting delayed.

By geography, we are predominantly still a domestically focused organization, so 88% of it comes from the local market and 12% from the exports. Earlier, you would have seen 90% coming from the domestic market and 10% from exports. There is a bit of a change at this point of time , because it is also a reflection of the domestic market softening at this point of time.

So, overall, I think as Sanjeev was mentioning, we had quite a bit of a strong run in the several quarters after COVID and this is a quarter where we had specific issues to deal with . And we

are more than happy to deal with it in a very transparent way and disclose it to the stock exchange and the results, so that is what we have done.

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o, thank you very much for your patient listening. So, we can open up for the question -and-answers.

Moderator : We will now begin the question -and-answer session. The first question is from Renu Baid from IIFL Capital. Please go ahead.

Renu Baid : Yes. Hi, good morning, team. Thanks for the opportunity. My first question, Sanjeev, is now it is been almost six to nine months that you have called out that business is a bit soft with respect to large orders and CY ‘25 likely to be a year of moderation. So , how are you seeing second - half of the current year panning out? Is the momentum being sustained, slowing further or improving? And in your view, what will drive back the positive investment sentiments from the private sector, especially lar ge projects?

Sanjeev Sharma : Our take is that, especially as Balaji explained that we do have a pipeline of orders which are yet to be converted. I think we do see something in Process Automation, but it is not a big mountain of a kind of forward log, but it is a reasonable log for us to convert.

Likewise, in the Motion, Electrification, on a regular scale, I think it is a good market setup going forward . But not super strong as we have the experience in the last quarter. So, I would say on a normalized basis it is a good market , but not as strong as we have witnessed in past

couple of years or three years. Now going forward --
Sanjeev Sharma : What we can see going forward is that there is a bit of uncertainty in terms of what is going around the world. So, especially , on the private CAPEX , during these times, people become more cautious in terms of how much capital they want to commit till the clarity comes in terms of domestic market as well as for the export participation for our customers.
We do believe that the government CAPEX has started picking up, but it is yet to gather pace, and I think that will be one defining factor as we go forward . And also , we will see that the new market segment and new trends which are emerging in the marketplace like energy transition and cities expanding and creating more robust power supply. Data center and recent events wherein something happened in terms of somebody was not able to kind of participate in the cloud services. I think that may lead to more digitalization services and the localization of the cloud and the data centers locally. T hose trends may start emerging as well and that go positively for our business.
So, I say second -half, yes, it will take time for it to come back, but I think , if I put a mid -term, which is, say, next year onwards, hoping that everything falls in place, I think we should start getting the momentum back in the marketplace. That is the expectation we have.

Renu Baid : Sure. Secondly on the profitability of margin front, a, demand moderation and plus inflationary impact has been probably visible in some of the segments like Motion and EL. And Sridhar, in your view the QCO impact how elongated could that be in terms of readjusting for the domestic standards and getting the qualification done and probably that lingering impact of that on our margin profile?
T. K. Sridhar : Okay. Good question, thank you. I think this time, being six months, what we had performance, we also definitely would have also looked at the balance sheet , which have been abbreviated that has been published. So, we do have inventories which are high at this point of time, which was roughly INR 1,800 crores to INR 2,300 crores, INR 500 crores.
So, we have imported quite a bit of material to meet these compliance requirements and they got probably relaxed as late as last month. And therefore, we expect that we will have to use these imported components to supply in order to gain time and also liquidate these inventories and so, they give you impact as what we see.
We have in some of the products, one -year ru

nway up to September 26th is what we need to be ready for that and in some of the products . We will come to know in the months to come. So, as we are preparing for this, we will have to be making sure that we stay committed to the deliveries, what we are given as per the customers . And therefore, we are okay to invest by importing material and using it in the consumption.
So, I think in the next six months, we will have a mix which we have to do judiciously in order to ensure that we have a balance consumption between imported and the localized and also the revenue mix in terms of how we do more of manufacturing revenues an d service revenues to shore up the margins.
Renu Baid : Sure, and the pricing impact in terms of inflation as well as weak demand, any price hike that you are taking or the market itself adjusting?
T. K. Sridhar : So, I have the Motion and EL leaders over here. So, the question is, are you going to pass it on to the market the price adjustments?
G. Balaji : Yes, of course. Whatever inflation is there, the market should definitely be able to absorb it.
T. K. Sridhar : So, I think, Renu, what could be a bit of a challenge is that the volatility of the FOREX is something what the market may be not be so easily accepting it. Okay. So, the reason is because we have a short cycle order. The long cycle project orders definitely have a possibility of correcting it because they go by industries, by adjustments. So, that is protected. But whereas, if you look at the products which we are 70% and they are more short cycle, I think this challenge of balancing the volatility risk vis-à-vis the margins what we have committed on is going to be definitely a work to be done.
Renu Baid : Sure. Thank you and best wishes to you.

Moderator : Thank you. The next question is from Mohit from ICICI Securities. Please go ahead.
Mohit : Yes. Good afternoon , and thanks for the opportunity. My question is, are you anyway impacted by the tariffs announced by the U.S. on India, either on the revenue side or the cost side?
Sanjeev Sharma : Well, I think as you can see, that 90% of our business is domestic, right, so that is where we get it. And most of our products we have quite high localized content. And that is the strategy of ABB globally, to be local for local. So, that means we are increasingly, post -COVID, deepening

our supply chains locally. And that is something which is helping us.
So, as such, on the kind of a tariff side, we are not exporting a very high volume into the U.S. at the moment. There are a couple of products which we do. So, we will see how that pans out. But that is not a very high mix of our overall orders and revenues at this point of time, yes.
Mohit : Understood. My second question is , can you please explain the nature of hit you have taken on the Electrification side? And why , and are there a risk of further such risk? And how are you mitigating it?
Sanjeev Sharma : So, it is a kind of a typical project topic, we have been executing a project, wherein certain corrections had to be done into the installed equipment. So, that is where the hit comes. And as far as we are concerned, we are an engineering company. We deliver engineer solutions. And all these engineer solutions need to comply with the local standards.
So, at times, if there is a deviation on it, we never step back. We always correct it first. And then make sure that the customer enjoys the product how it is meant to be. So, that is the nature of it and we have already corrected those, what you call, anomalies that we detected. And in collaboration with the customer, we have that back online for our customers.
Moderator : Thank you. The next question is from Bhavin Vithlani from SBI Funds Management. Please go ahead.
Bhavin Vithlani : Hi. Good morning. Two questions. One is, what could be the impact on the exports given t

he
tariffs that we have seen and many products that ABB is the feeder factory for the global side?
The second is, on the motors business, we have seen significant increase in the competition where MNCs like WEG and Nidec have set up greenfield facilities and the larger existing ones like CG has doubled capacities. You also spoke about price realization being under pressure and more color on this would be more helpful. These are my two questions.
Sanjeev Sharma : So, as far as tariff is concerned, I think I answered that question in my previous response. So, as I said, as far as 90% of the market is domestic and out of the 10% of the exports, only a very minor part goes into the U.S. specifically. But there is some export for that, something we do not see as a major impact.

And we hope this situation like in other countries will resolve itself given the tactics of negotiation in place. So, we do not see significant impact on us at this point of time. And now when it comes to competition, I think competition is way of life. ABB is a global company. This competition in one form or the other exists in many markets globally for us.
And we deal with it and we know how to play this out. And especially in domestic market, we have had a very strong run of our Motion businesses in the market, which is visible in our results post-COVID. And when there is an extraordinary performance by a c ompany, which was us, there are always competitors who get more interested in those market segments and there is much more activity.
So, I think , it is a fairly normalized behavior that we see part of our portfolio, unless Sanjeev, you have something to add, Sanjeev Arora.
Sanjeev Arora : Definitely, Sanjeev. I think you have given the right perspective. And as far as the price realization, if I pick up that point, definitely we will have that push of increasing the price level to the market. And we have been connecting that in last quarter as well.
So, coming back to the competition, that Sanjeev has explained very well. And we are expanding our base in India. And we are going into the segment specific, energy efficiency, the best of the technologies present at this point of time in the globe, with the, I would say, the local footprint. So, that we keep that forte.
And the customers are also appreciating and they are actually giving that kind of credit to ABB as far as motors you are asking specifically. And that is also getting well explained in the improvement in the base load orders. So, yes, the competition is welcome. But then on other part, we are doing our stuff to stay ahead. Thank you.
Moderator : Thank you. The next question is from Amit Mahawar from UBS. Please go ahead.
Amit Mahawar : Yes. Hi. Sanjeev, I have two questions. First is, so last year you had a very strong base of large orders also. In second -half, can you recoup? I do not see too many large proportion orders for you. I do not see a lot of segments which otherwise would have been large orders in second -half. So, is it safe to say this is going to be a 5% or maybe 5%, 7% growth year for orders? I know we do not give guidance, but some color here. That is question number one.
Sanjeev Sharma : So, on the traction side, I think we still have some play out in the market which we are hoping to secure going forward. So, it is not dried out, but it was not in last quarter. And we do see some good play there because the expansion by railways, metro, I think that is still quite a strong market segment.
So, I think that is something we should keep back of mind. And our portfolio is pretty strong as well as pipeline is reasonable there. Now when it comes to the other market segment, as we said,

yes, if you net out the large contracts which are cyclic in nature from the previous year, our base

order remai

ns pretty strong. And I think that is what counts. And also our small cycle orders, there also remains quite strong.

And I think that is the nature of large contracts that you get them, they show up in your backlog and you execute over a period of time. And that is why you can see our backlog numbers are expanding. But yes, we will take the market as it comes. And typica lly, we do not second guess the market. We really, really deal with the market as it shows up.

And I would say for the conversion point of view, for the large projects or reasonably medium - sized projects, the pipeline is reasonable at this point of time. And we are hoping to convert them in the third and fourth quarter of this year for us.

Moderator : Thank you. Next question is from Atul Tiwari from JPMorgan. Please go ahead.

Atul Tiwari : Yes, thanks a lot. Sir, my question is whether you are seeing increased competition from Chinese imports in any of the product segments that you are present in?

Sanjeev Sharma : So, we did have a lull for a period of time given what happened between India and China. I think though it is not out there in open, but we do see participation from the Chinese manufacturers in the marketplace, and some of the corporates, when they are decidi ng, they are bringing that into the mix of buying as a possibility from Chinese players.

So, yes, I think your question is in the right direction. So, Chinese players' participation with the products which are manufactured in China and imported directly by the corporate, that has come into the mix now.

Atul Tiwari : And sir, which product segments this will be?

Sanjeev Sharma : Mostly it is coming in the heavy industry or heavy equipment.

Atul Tiwari : So, I mean, which of your product segments this competition is coming in, Electrification or Motion?

Sanjeev Sharma : We have seen some of it in our Process Automation segment.

Atul Tiwari : And sir, obviously, I mean, all of us know about heavy industrial overcapacity in China and the prices which are obviously totally unrealistic. So, is the same situation here, that the prices are way off the mark?

Sanjeev Sharma : They are. I think the buyer is taking benefit of that sentiment, but I think that is not the price where we will participate just to keep the order and the revenue books going. So, we typically, as I said, we have a long experience in this area. It always comes for a period of time and then it dies itself out. So, we participate with a reasonable kind of quality in the eyes of the customer and the appreciation for the local value -added by us. And whenever we see the participation or

that appreciation, we participate. But if the decision is purely based on price and which is way out of fundamental expectation, I think we do not participate.

Sanjeev Sharma : We still let the customer know what the value proposition we have, but sometimes customers get enamored with the price level they get.

Atul Tiwari : But you have not in any competition in Electrification and Motion segments till now?

Sanjeev Sharma : No, we have not seen that in Electrification and Motion at the moment, and nor in Robotics, little bit, but not much.

Moderator : Thank you. The next question is from Sameer Thakur from Ambit Capital. Please go ahead.

Sameer Thakur : Hi. Thanks. So, on a high import content, I understand that the increasing import volume could impact revenue in quarters as well. And is it safe to assume that this is the bottom quarter and will we get back into that 12% to 15% PAT margin in a quarter from Q3?

T. K. Sridhar : So, Sameer, we do not give any guidance, but I think to answer to your question to a color to that, as I was mentioning earlier as well, so we have a topic to handle, right? So, the QCO is not a simple topic so it has its processes to go through. So, but on the other side, we have deliveries which are c

ommitted to the customers. So, we stay committed to the customers. There is a momentary impact in terms of using more of imported components to deliver to the customers. So, therefore, we will continue to have a judicious mix between using the imported materials which we have definitely stopped, assuming that we do not face any headwinds in future and also increasing the manufactured content. So, I think at this point of t ime, to answer your question, it will be a mixed bag, right? So, the earlier sort of a band which we had given 12% to15% is something which we need to work out to be there.

Moderator : Thank you. Next question is from Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal : Sir, my question is on the prospects pipeline. So, I know you spoke it earlier, but has it reduced or is it just timing delays? So, just wanted to understand the discretionary and non -discretionary part of that and whether it is there or whether it is getting delayed and when do you think the recovery will happen, which quarter?
Sanjeev Sharma : So, let us give you a very quick snapshot. Balaji, do you see it is reduced or it is delayed in the Process Automation?
G. Balaji : I would say that it is just picking up that is been a general sort of a delay in decision making and we wait for the customers to make the decision at the appropriate time and then we proceed ahead.
Sanjeev Sharma : Okay. Sanjeev Arora, do you see in Motion it is reduced or it is delayed?

Sanjeev Arora : No. As I said earlier, so we have good prospects and I do not think it is reducing and it is a matter of just time that we get into our books.
Sanjeev Sharma: What do you think, Ganesh, on the Electrification side?
Ganesh Kothawade : As I said, the base enquiry is still strong, so it has not reduced. Some of the large enquiries, particularly in chemical, oil and gas segment is getting delayed, some of the decision. Some reduction which we have seen in heavy industries like cement and s teel.
Sanjeev Sharma : How do you see in Robotics, Subrata?
Subrata Karmakar : It is a little bit of a time gap, but the pursuit level is very good.
Sanjeev Sharma : There you have it.
Parikshit Kandpal : So, this continues to remain in this quarter and looks like what the commentary is spoken by the business leaders. So, maybe towards the end of the year we will see some pick -up happening?
Sanjeev Sharma : Let us hope so. So , I think we will meet again.
Parikshit Kandpal : Just one question to Sridhar. On the margins earlier you have been guiding about 12% to 15%, so how do we pivot now, given that H1 is over, so do you think now we will be able to maintain the lower end of the margins?
T. K. Sridhar : We had a market commentary, and we had an operational topic to deal with, Parikshit . So, are we out of the QCO? Answer to that is no. We still have to deal with it in the next couple of quarters to come as well and be ready for 2026, right?
So, as we navigate the next quarter, we will make a judicious mix of how we use this. But also , shore up the manufacturing revenues to be at this point, to give you a bit of a qualitative direction , quantitative direction is not possible, and we do not do it.
Parikshit Kandpal : Okay. Sure. Thank you, team.
Moderator : Thank you. The next question is from Aditya Mongia from Kotak Securities. Please go ahead.
Aditya Mongia : Thank you for the opportunity. I just wanted to clarify , when we talk about base orders and large orders, are they separate topics, like certain sectors only go for large orders and those are not coming, and thus we should be seeing base orders separately? Just want to get a better sense as to whether a large or der is just a summation of bigger parts of orders, which can also be given up as base orders, and thus the trend should be seen in combination, or should one just focus on
base orders separately? Thank you.

Sanjeev Sharma : So, if you really see our portfolio construct, I think we may have explained it earlier also, they have three distinct areas. One is the MTO and MTS business, which is the made -to-order and made -to-stock , which are the made -to-stock and then these are the ones which are high -flying equipment, we make it as a regular production, and it gets generalized into the market consumption. So, that is what is a classical base order and there is a very pretty robust strength, a good strength out in the marketplace, and is a function of the demand and also the competition participation, and the price realization, and whether we want to participate in that price. But there, I think we have a very good traction, and that is a very good expanding area.
Now second part, which comes, is for ETO, engineer -to-order, that we use the same product that we produce, we do value -added engineering and make more subsystems for the customers, let us say, in the energy, year -on-year kind of business, wherein we give a complete power distribution solution for industries, cities, etc.. There again, I think so, it is a small to mid -cycle order. MTO , MTS is a small cycle order. And this ETO business, again, is quite robust and it is going into the new emerging market segments. And there again, we will call it as a base -plus order. They are not the large order because they can be a single unit or it may be these are orders where some multiple of same units are required. So, there again is a volume that happens on our shop floor.
Now, the last but not the least is our systems order wherein what we do is we use our core

automation technologies and electrification technology and plus third -party material to integrate a system order for a customer wherein a value -added performance -based solution is given. And typically, that is where these large orders come. And they are quite cyclic in nature and they are very dependent on large CAPEX happening either directly by the government through EPCs or end users securing them themselves.
The other large order that can come is in the ETO space which is in the data center or in the MOTR, the traction business wherein suddenly a particular partner has a very large trains contract or a metro contract and they will offload a lot of volume of the technology that goes into those.
So, I would say as for the base order is concerned, it is pretty robust. Volumes are not affected. A particular market segment may get affected because of the increased competition intensity. But then we choose how much we want to participate in terms of p rice correction. We continue to play the premium side of the market there.
And ETO is quite robust. And system business is quite cyclic. And if you compare previous years, I think we had a fair mix of the systems orders as well as large orders coming from railway and traction. And relative to that, if you see the numbers, that is where I think they are kind of showing a different picture. But the base orders remain fairly robust for us at the moment.
Aditya Mongia : Just a related question. Do we have meaningfully different hit rates in base orders and, let us say, large systems orders? That will be the final question. Thank you.

Sanjeev Sharma : Good point. So, base orders are a pure function of flow in the market, like how well we channelize ourselves in the market. So, more expansion of channel partners, more expansion of our integrated partners. So, it is a function of that. As well as reaching out to Tier-II, Tier-III markets. And also participating in more market segments where the machinery manufacturers are catering to those market segments. So, it is a function of channelization. It is less of a hit rate but more of channelization. I think a majo

r part of the business comes from the channel management and I think that way we continue to get better and better.
And other way how we get better there is by localizing and introducing more products in the market so that the channel partners can do more meaningful value add for their customers in the marketplace. So, that is how the base order functionality works. And when it comes to large orders, yes, that is a pure hit rate.
Like, for example, I mentioned that we had a couple of opportunities we let go because of the Chinese competition wherein the price which was put on table of customer was way out of normal trend and the customers took a bite on it and we let it go. So, yes , that is where the hit rate goes down. But in favor of not mixing our books with the toxic orders which typically will not give much of value to our shareholders.
Moderator : Thank you very much. Due to time constraints, we will have to take that as the last question. I would now like to hand the conference over to Mr. T. K. Sridhar for closing comments.
T. K. Sridhar : Thank you. It was very nice to talk to all of you once again in this quarter which was definitely a different quarter than the previous quarter since the COVID where we had always been declaring absolutely pretty strong results. And I would also say that this result what we declared given the market situation what we are in according to us is decent enough apart from the impacts what we had on the profitability which were one -offs.
So, having said that, I think we would like to look forward to talk to you again in the next quarter. And thank you once again for all participating and supporting us in this particular journey and also the management team who is here. And from here, we go for the next event.
Sanjeev Sharma : Which is the bell ringing ceremony. And I think we will do it on behalf of everybody on the call.
T. K. Sridhar : Yes, you have been a strong support for us in this journey of 30 years. I think from where we were to where we are today, it would not have been possible without the support of all people like you and the investors who have imposed their confidence in ABB. Thank you very much and looking forward to talk to you next time. Thank you.
Moderator : Thank you very much. On behalf of ABB India Limited, that concludes the conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.
---------------------- (This document has been edited for improving readability) ----------------------

Investor / Analyst contact:
TK Sridhar
Chief Financial Officer and

Chief Investor Relations Officer
sridhar.tk@in.abb.com

Sohini Mookherjea
Country Communication Manager
sohini.mookherjea@in.abb.com

Registered & Corporate Office:
ABB India Limited
Plot No. 5 & 6, 2nd Stage,
Peenya Industrial Area IV, Peenya
Bangalore 560058
Karnataka

CIN: L32202KA1949PLC032923
https://new.abb.com/indian -subcontinent

Call: Nov 2025

ABB India Limited
Registered and Corporate Office
Disha - 3rd Floor, Plot No. 5 & 6, 2nd Stage
Peenya Industrial Area IV
Peenya, Bengaluru – 560 058
Karnataka , India CIN: L32202KA1949PLC032923
GST: 29AAACA3834B1Z4

Phone: +91 80 2294 9150 – 54
Fax: +91 80 2294 9148
Email ID: i nvestor.helpdesk@in.abb.com

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BSE Limited
P.J. Towers
Dalal Street
Mumbai 400 001
(Attn : DCS CRD)

Nation al Stock Exchange of India Ltd
Exchange Plaza, 5th Floor
Plot No. C/1, G Block
Bandra -Kurla Complex, Bandra (E).
Mumbai 400 051

Attn: Listing Dept.
Dear Sirs
Sub: Transcript of Analyst concall

In continuation of our letter s dated October 30 , 202 5 and November 06 , 202 5, we are enclos ing a copy of the transcript of conference call with analysts, which took place o n November 07 , 2025 post announcement of un-audited financial results of the Company for the third quarter ended September 30, 202 5.

The said transcript is also uploaded on the Company’s website.

Thanking you

Yours faithfully
For ABB India Limited

Trivikram Guda
Company Secretary and Compliance Officer
ACS 17685

Encl: as above

ABB India Limited
Q3 CY2025 Earnings Conference Call
(July to September 2025)

November 07, 2025

MANAGEMENT : MR. SANJEEV SHARMA – COUNTRY MANAGING DIRECTOR
MR. T. K. SRIDHAR – CHIEF FINANCIAL OFFICER
MR. KIRAN DUTT – PRESIDENT , ELECTRIFICATION PRODUCTS
MR. SANJEEV ARORA – PRESIDENT , MOTION
MR. SUBRATA KARMAKAR – PRESIDENT , ROBOTICS

Moderator : Ladies and gentlemen , good day, and welcome to ABB India Limited Q 3 (July to September Quarter) CY 2025 Earnings Conference Call.

As a reminder, all participants' lines will remain in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone telephone. Please note that th e conference is being recorded, and any unauthorized recording of this call is strictly prohibited. The recording will be made available on the company's and SEBI's website, subsequently.

I now hand the conference over to Mr. T. K. Sridhar – Chief Financial Officer of ABB India Limited. Thank you, and over to you, Mr. T. K. Sridhar .

T. K. Sridhar: Good morning. Thank you very much for conducting the first few words about it. So , ladies and gentlemen, very good morning once again. Welcome to the Q3 2025 investor call of ABB India Limited.

So, on the call along with me are Sanjeev Sharma – the Country Managing Director of ABB India . I have Kiran Dutt, who leads Electrification business in India and also Sanjeev Arora , who leads the Motion business and Subrata Karmakar for the Robotics . Unfortunately, Balaji, who leads the Process Automation Division , is not able to join because of his customer commitments.

So, with this, I hand over the call to Sanjeev to take us through the initial micro on the market slides of ABB. So , over to you, Sanjeev.

Sanjeev Sharma: Thank you, Sridhar, and good morning to all of you. Happy to welcome all of you to our Q uarter 3 performance earnings call .

So, I will give you some business highlights, followed by financial highlights by T.K. Sridhar, and then we will have a question -and-answer session.

So, if you see the business highlights :

We had 13% base order growth and 14% revenue growth. But if you compare last year, we around in this quarter, we had some large contracts, large orders. So , if you look into the overall order growth, that looks (-3%). But the base order growth was quite healthy.

Profitability is 16% up quarter -on-quarter . And it is (-7%) year-on-year, profit after tax. And there are mixed issues, I think, which we will take up in the financial presentation. I will give you more details then. And we continue to maintain a strong cash position, nearly Rs. 5,000 crores.

We continue to expand our portfolio and bring more premium products to the market because market is demanding it. And we have introduced IE5 ultra -premium efficiency LV motors. And this is proven induction motor technology and free from rare earth materials.

We also successfully commissioned some ABB Ability ™ SCADAvantage solution for THINK Gas P rivate Limited, enabling end -to-end automation and digitalization for compressed gas distribution network.

Sustainability is on target, and I will give you more data. And all our motion factories are certified as zero waste to landfill as on dat e.

So, we saw a good revenue growth of 14%, and as I said, net of large orders, we had (-3%) orders growth, plus 13% in the base orders. And our order backlog stands at Rs. 9,895 crores, gives us a good visibility of revenues in the coming quarters.

Renewables, buildings and infrastructure, discrete automation , process industries, I think these are the themes which are built around the opportunities we saw in the marketplace.
The diversity of our portfolio plays in diversity of applications, right from wind turbine converters to gas chromatographs, oxygen analyzer for a leading integrated energy player, electrical instrumentation for a global F&B player , robotic solution for EV mobility, insulated case circuit breakers for power distribution equipment company, process automation

and drive
solution for metal. So , we can see our 18 businesses playing this 23-market segment always keeps the robustness of the business model at the co mpany level.
The key element of our expansion of our business is to continue to expand into new market segments, also new geographies and also keep introducing and reintroducing our technologies to our partners and customers. And our team does customer connect programs across the width and the depth of country in the market segments as well as geographies and the large and the medium and the small size customer base and that is something that keeps us growth initiatives and the growth impulse that we need inside the company and that has been the drumbeat for last many years and our team continue to have that drumbeat going.
Our focus on diverse business market segments spread in 23 market segment s; we continue to see high engagement and high response in data center, electronics and renewable and our portfolio is resonating well in these and these are the long -term gains. And I think we see a much more capacity buildup coming in these areas in the near future. And the moderate growth is basically the segments in the middle and the low growth segment that we see at this point of time which continue to rotate over a period of time are listed on the right column.
The theme for the quarter is giving an idea about textiles, a deep dive. India is the world's second largest producer of textile garments with 4.6 % share of global trade. It is expected that it will grow at 8.6 % CAGR and the competitive advantage of India into this sector is availability of raw material and also skilled manpower at competitive cost , which is a driving element for this business . The government is paying attention and has some good initiatives in this area including the PLI scheme and the GST ra tiona lization to boost domestic demand. And also there are key trends which are right now affecting. I think there is a bit of a challenge for this sector with the U.S. tariff impact , but at the same time India is diversifying itself and creating more partner

countries to mitigate those tariff impact. Infrastructure is being modernized and also more sustainable manufacturing practices are being brought in this area. And ABB offers motors, drives, PLCs, engineering tools, service and support and host of other solutions in this particular market segment. So, we always make sure that we have good propositions for this growing and important segment in the country.
On the sustainability in practice , we are on track. You know , our target for reducing the GHG emission was 87 %. We have achieved it at 87.05 %. Zero waste to landfill units we had target that in 2025 four units will be zero waste to landfill. We have achieved four. So , great job done by our team and locations. And also we focus on that our units will turn water positive units. That is we put more water in the ground than we take it out. And our target is four units. We have already achieved three. And one un it remaining is under certification at the moment. Most likely by end of the year we will achieve the target. And water recyclability is at 44 %. And our target is 50 % for this year.
On the CSR and performance with purpose , we continue to focus on education and skilling, diversity and inclusion, communities and environment. And for last 10 years , we always spend 100% of CSR allocation. And now having run this program for a period of time, we can really see visible impact wherever we have engaged, and we do it in a very institutionalized way, and our teams can see the impact on the communities with the targeted programs that we have taken.
For 2025 outlook, I think tailwinds are private consumption, government capital expenditure, and moderating inflation, but headwinds, as we know, trade uncertainty is playing out around India

. We have prolonged geopolitical tensions which haven't found a w ay to subside, but I think we will have to see that through . And of course, there is a volatility in the global financial markets, and there is a lot of fluctuation on the FOREX . So, these are the things we need to navigate, both on the opportunity side an d the challenges side as we finish 2025 in 1.5 months, and then also enter 2026.
I hand it back to T. K. Sridhar to take you through financial highlights. Over to you , Sridhar.
T. K. Sridhar: Thank you, Sanjeev. So, I think we now get into the most meaty part of it, which is the numbers, where I think people are waiting for more information sharing.
So, if you look at these numbers on the slide, the orders, base orders, which we call, have an execution cycle which is shorter compared to the larger orders, which more represent the project

orders or the long -term system orders. We have grown for the quarter a 13% growth, which is, as per what we understand with the market dynamics, which is there, this is pretty healthy stuff, at least because it gives us the visibility of revenue conversions going forward, just not depending on t he large orders which are there in the backlogs at this point of time. And this is spread across all the business divisions in the respective business segments.

So, it is not just in one division, which has really helped us to do it, but it is across. So , it is, I would say, a good recovery which has happened from the previous quarter, where we could see certain offshoots which are coming up. So , that is about the orders .
When we come to the backlogs, Rs. 9,900 crores of backlog roughly on the books. And this would be definitely be executed over the next quarters. We do have a plan and there are no slow - moving or non -moving orders. Everything is lined up for execution in the few quarters to come. And almost 30% of it as a composition of large orders. So , it is basically 70% which are the smaller orders which will get executed on a month -to-month basis.
Revenues, because we have a backlog and we said that we would definitely be executing it , so it has generated a 14% growth . And profitability , we are at 16.4 % on PBT compared to 14.9% sequentially , and 20.5% compared to the previous year . We will dwell upon this as we go forward. And that is more due to the material cost impact. We have a mix issue of revenue which we are having because we are definitely pushing the new technologies around and also FOREX , which Sanjeev alluded to in his section. And last but not the least, the very recent impact of QCO or the B IS certification which is needed for the locally manufactured products to be used in production.
So, this is basically the overview of how we are for the quarter. And the cash balance, Rs. 4,500 crores . Of course, we could have done slightly better over here. We have stocked up strategically inventory to make sure that we are not bound by any QCO obligations which could come up as a surprise or a delay in certification. We need to serve our customers because we have committed delivery times for the backlogs and we have done a conscious strategic stocking up over there on the inventories which I am pretty much sure will get liquidated as we go into 2026.
So, this gives a bit of a more granular view of the P&L. If you look at it of revenues we did discuss and then we come to material cost. So , material cost is something which I know that people are looking at as to what could be the increase in the material cost and I think it is better that we go business area by business area so that you have a bit of more granu larity on it.
So, overall, it is an issue of mix of revenues. The portfolio changes which has happened and also on the competition which has intensified in quite a few segments and also the fact that we had an ability to command a

premium in the post -COVID era which has now sort of drie d up. So,
that is something which is not there now and also market dynamics which are slowing down the decision on quite a few orders and therefore opportunities are restricted in the market to play with. And last but not the least, we have the QCO impact as well. So, that is how it is.
Other expenses are more or less steady. No one -offs in the expenses . And, ye s, unlike the last quarter, we did not have any FOREX , big FOREX impact in this particular quarter. But I think the rest of it is basically mathematical calculation. So, this is how we have an overall P&L structure .

Electrification. On electrification, in Q3 2024, we had almost Rs. 560 crores of a large order, right, which is not there in this particular quarter. So, that means against 1,700 -1,800, if we round it off, if we take off 600, so then we are talking of Rs. 1,200 crores. So, I think the base orders have still grown in electrification. So, that is something which is important to note. And we have been consistent in that particular effort.
So, the revenues, I think it is across all divisions. There have been no division which is finding it difficult to execute the backlog and the revenues. The backlogs definitely is down 2%. It is more related to the pace of execution is faster than the pace of intake of orders. And that, therefore, it is a reflection of that. But I am sure that as the market picks up and we are able to be successful, we should be able to also line up the backlogs going forward.
Now comes the profitability element. So, I think there were a bit of a question s as to what is the impact which is playing out in electrification. So, just to give you a bit of a picture on it, I think both MO and EL have similar issues . So, they have an issue of mix, which is basically what we do, which is a reflection of both market segments where we play out and also the portfolio what we have used to deliver the solutions to the customers. I think that is how we see the mix.
So, that means if a high profitability segment is absent in this particular, or lower in this quarter,

but we have gone, because I take you back to those slides where we used to say what are the high growth markets, the moderate , and the low growth market. And naturally, the competition also plays out accordingly in these particular segments. And that has a reflection on the mix topic as what we see. The mix is one thing and then, of course, the competition as what we see in the limited opportunities what we have at this point of time, which has also got an impact on how the pricing is done and followed by the QCO and the FOREX impact.
So, now just to draw a bit of a color, what is the mix impact in electrification? Probably 1% could be the mix impact which we had, because that is the portfolio changes what has happened. That is the market segment changes what has happened where we have delivered these particular revenues.
And competition, clearly, I think, as I said in the past, we had a clear advantage of 1% to 1.5% in which we used to claim a price prem ium, which is not there at this point of time. And QCO impact, it depends on business to business, ranging between 0.75 % to 0.8 % is what we have. And FOREX , 0.6%. So, roughly, this works out to a gap of 3 % on an average, which used to be the trend earlier in EL in the last three quarters, as what we have seen , right? So, if you look at it, a gap of this is contributing to th at. And so, that is how we see EL .
But is this something not normal? According to me, we have gone through these particular cycles . Cycles at this point of time are softening as what we see and therefore we play out . We continue our investments as what is needed for the future. We see that the opportunities are there . They are something which are not drying up at this point

of time , but of course the decisions are
delayed . And also we make sure that we pick those opportunities which are relevant for our

portfolio and are good to play, good to participate in. So , that is basically an approach what ABB has and that has been consistent even in the past.
Motion . We had a good order intake in this particular quarter. Of course , we had a large order which played out in Motion to the extent of Rs. 150 crores which was not there and to the extent of Rs. 900-990 crores which was there in the last quarter , the similar year. So, again, a good base order growth. So , Motors having good base order growth is actually a bit of a refreshing sign because that is the early trends which pick up to see how the market is behaving .
So, execution, 9 %, as you know, as I was alluding to, a lot of system orders and large orders which are also sitting as a part of the motion backlogs and that is why you could see at 4 ,100 backlogs which are there and they have probably a higher content of large system orders and long-term orders which will get executed over a period of 12 to 18 months as what we see.
So, now coming to profitability. We did talk about it in the Electrification. So, here, I think the mix is again 1% to 1.5%, which plays out , and then we have the market dynamics . And the competition is more intense in terms of degree over here , because motion has a larger play in core sectors as well as the middle sector . And that is where the competition is intense and then they have a higher impact in terms of competition dynamics . And they also have a bit of a QCO impact and of course FOREX impact because they have a huge content of FOREX , which is there.
So, overall , I think 4.5 % to 5% variation in Motion compared to the previous profitability levels and what is now can be attributed to QCO and FOREX impact, which is 1%, 1.5% and then you have the market dynamics and the mix playing out on the rest which is more market -led topics as what we see.
So, now the question could be , so is this QCO impact going to remain for some time? Answer to that is yes because the dates are definitely changing. So , we are preparing ourselves to make sure that we get our slots, get our preparation done for navigating this particular challenge . And every business has an action plan but it will take some time , probably another 1, 2 to 3 quarters minimum which would take this particular issue to be resolved at least for ABB as what we see.
So, what is this really QCO impact? I think this was a question which had come to us. I think we normally have been using our locally designed products to serve the customers , but as they have to go for approvals and they have to wait for the process to be completed , so naturally then we need to definitely use imported equipment to serve the customers , and therefore that is causing (i) a cost which is higher when you import , and (ii) definitely FOREX volatility , which is impacted to the imported denominated currencies , right? So, these are some and a couple of these things. So , can we come out of this faster? Ye s, our efforts are there , so we need to make sure that we are able to work on this consistency in a focused manner.
Process Automation. I think PA was pretty interesting. So , they are cyclical in nature because they operate more on the core sectors like metals, mining , and oil and gas , and a little bit on

pharma side of it. So , they see the order intakes stagnant because the decisions , especially on larger expansions , are getting delayed and they are relying more on retrofits and sort of smaller size orders and they don't have any large orders at this point of time . And that is basically why the revenue levels are also sort of stagnant at Rs. 600 crores , and they have a backlog which i

s

falling down because the revenue is coming out of these particular s exhausting the backlogs . Profitability is pretty much consistent. They don't have a QCO impact. They are systems businesses, so they have multiple vendors through whom they could source the material, so they relatively are less impacted by the QCO impact. But for the FOREX impact, because there are long-term contracts, they have FOREX variation cla uses and therefore they are not much impacted on it. But they have, because they are long -term contracts, the probability to have improvements on the designs, on the optimization of the processes is better yielding them and also they have a higher content o f services to the extent of 30% in their offerings and therefore they have a better ability to maintain the margins as what we have seen in the past.

Robotics . ABB globally announced the divestment of robotics, so we still have, the decision in India is fully dependent on the Board's evaluation and the next set of processes which will happen, which is at this point of time not decided. So , they did have a good order intake in this particular quarter to Rs. 203 crores and that had come from their segments which they play out in automotive and electronics area and general industry. So , that is how the backlog is stronger. Profitability again, so I think it also depends here more on the mix and a bit of a FOREX . They don't have much of QCO impact over here. They had a bit of a lower service revenues in the last two quarters and therefore the profitability is muted as we stand , right? So, this is basically how the segments perform.

And then finally we go to the chart which looks at the channels of the market. If you look at it again, we have a similar ratio of this thing, nothing much changed compared to the previous 1.5 years. But only thing to note, on a cumulative 9 -month basis, project s have basically come down to 8%. We have services at 13% and products still at 79%. So , I think the ratios more or less remain the same, not much of a change is what we see.

I think we can now open the call for the Q&A .

Moderator: Thank you. We will now begin the question -and-answer session. The first question comes from the line of Sumit Kishore with A xis Capital. Please go ahead.

Sumit Kishore: My first question is in relation to your margins. Your profit margins for the quarter are closer to the lower end of the white band of 12 % to 15 % that you wish to operate in. Qualitatively, if you could elaborate whether margin pressures around material cost, the market dynamics, post - COVID correction are all factored in or we still have some room to go ? Can this be the new normal for profitability in coming quarters after the record highs that we saw in the last calendar year? So , your comme nts here will be very useful. That is my first question.

T. K. Sridhar: Sumit, I think when I had definitely elaborated more than adequately on the profitability movement segment by segment at an overall level, right?

So, I think that is already answered. So , I don't want to repeat it again because that is the same thing. So, now the question is, and as rightly, even in the last calls which we had said, so we are at the lower end of the percentage is what we want to operate in. And we are doing it at a pretty high levels of 15 %. That probably registered in the mind as a new normal for quite a few of the markets. But I think we are at the end of the day in an engineering industry. And so we have our cyclical impacts to be handled.

Coming back to what are the topics? I don't thin k we don't have any one-off topics other than what we told about the mix, the market dynamics as what we understand, which is more related to the competition scenario playing out on the limited investment decisions what we have , and of course the FOREX and the QCO. So, I don'

t have anything much more than that.

When will we improve or move forward as in this particular journey? Probably I think the QCO should be addressed in another three to four quarters is what we see because that is the timeline what the government has also given. And therefore, I should assume that that is what the time with everyone industry will take. That is how it is. And the balance part is dependent on how the market develops and how private consumption and the investment decisions on the public sector happen. So , that is how we see.

And just to give a bit of more color to our answer on this, do we find opportunities drying out at this point of time? No. Yes, the opportunities are there, but the decisions are delayed and the choice of customers today are quite variant. And the only thing , a factor which is probably unknown at this point of time on account of geopolitical topics between , how does it play out is what we need to see, right? So , that is something which is unknown at this point of time and left to the best guess of you guys.

Sumit Kishore: So, in the backdrop of what you said and what Sanjee v mentioned on the call earlier, well, base orders are higher up 13 % year-on-year. They are stable quarter -on-quarter . So, is it right for us to sort of interpret that given the decision making is a bit deferred in the backdrop of the macro environment geopolitical tensions , is this level of base orders absolute terms likely to persist for some time before we see a breakout because of a more diversified CAPEX cycle playing out?

So, across three segments, the main ones, electrification, motion, and process automation, how should we think about where we are in the CAPEX cycle and how this can play out over the next 12 to 18 months?

Sanjeev Sharma: We have had a very good cycle post -COVID wherein we enjoyed very good growth both in expansion of orders, revenues, profitability, and all elements. And that was on back of India growth story as well as lot of CAPEX put in by the government in the right places. And also we had a good support in our segments that we were focusing the new segments, mid segments, and also large core segments.

At this point in time for last few quarters now there is sluggishness in the market in terms of CAPEX formation as well as expansion projects. They are at a good level, but they are not in a very strong expansionary mode.

So, from our perspective, this is a cycle which comes as a correction after a strong growth. Whether it takes one quarter, two quarters that our perspective is this is going to come back. The growth is going to come back , and we will ride that cycle because our 18 divisions focus on this very dynamic 23 market segments. The moment the order intake and the order formation takes place, it will directly reflect in our books in the orders , revenues as well as in the capacity utilization, which directly impacts profitability as well.

Moderator: Next question comes from the line of Renu Baid with I IFL Capital.

Renu Baid: I have two questions if they can be addressed. The first would be given that the team has mentioned that they are seeing some green shoots in base orders and tariff settlement is near, do you expect pickup in the investment cycle or broad -based pickup in large order finalizations, which has been not the case for the last two to three quarters? So , what would be your view on the likely revival or recovery in the CAPEX momentum? And if the momentum is the way it is there today with flattish book and just early teens growth in base orders, would you think it would be possible for ABB to manage double -digit growth in CY 2026? Probably that too would be a year of moderation of consolidation like 2025. And in case if you can give any comment , NVIDIA the recent relationship on which NVIDIA and ABB are working together for

solid state
drives for AI data centers. In your view , by when you think the product service market would be available and ready? And in case if that product is available in India for ABB, to what extent it can increase the TAM for us in the DC market?

T. K. Sridhar: So, Sanjeev, I think we could invite Kiran and Sanjeev Arora on this, because they are reading the market quite stronger for EL and MO or any of 75% of our business. So , I have Kiran over here. Kiran, so you could throw some colo ur on Electrification and Motion, Sanjeev Arora could throw some colour .

Kiran Dutt: Thank you, Sanjeev, and Sridhar . I think it is a good question in terms of the market how it is behaving and also a quite elaborate question in terms of what exactly we are trying to do in data centers as well. I think let me pick up from few of the segments of the market. Let me just pick up something on renewables, rail and maybe something on dat a centers since the question is there.

Now, w hen I look at the way renewable sector is behaving, what we see is a good expansion in terms of the renewable market. Specifically, when it comes to renewable, I am also looking at something known as battery energy storage systems, which we call it as BESS . So, that is something which is really topping on the charts in terms of the opportunities which is available for the future as well. And we are also looking at something on green hydrogen, which is also becoming very prominent as a sector in the market.

When I look at rail, you have seen lot of expansion across investments from the government and also into the metro sectors, metro rail across the various cities of India. So , that is something which is an investment which is coming across. And we find that this is going to really contribute to the base orders going forward.

On the data centers, when I look at it, I segregate into two parts: one in terms of hyperscale and

the second one in terms of the colocation data centers. When I look at hyperscale, yes, there is a bit of a sluggish kind of a movement in India at this poin t of time or probably in the Q3. And we are also looking at EBIT in terms of sluggish growth there in hyperscale.
But at the same time, what is important to understand is how exactly the colocation data centers are behaving. I think colocation data centers, there is a huge demand for them in terms of the capabilities what they can extend and also the difference of the customers and they want to have colocations, which is really supporting them in their day-to-day processes.
So, we feel that data centers in colocation would grow and we have seen substantial growth in Q3 as well. And we would like to go forward with our services and solutions to them even this quarter as well and last quarter as well we have been doing the same. Maybe over to Sanjeev Arora .
Sanjeev Arora: Thank you, Sridhar . Thank you, Sanjeev. And thanks, Kiran. I think I echo what Kiran has just mentioned, so giving a flavor of the discrete part. Base load orders as Sridhar has mentioned, they have been very good for us. And that shows the early signs of positivity in the market demand. Because when we compare to last few quarters, yes, there was a challenge. And Kiran has well explained on the segments part.
But then when we touch upon the cement and the steel and the oil and gas part, I would say that the investment cycle has started in these segments as well. So , cement , we are seeing a bit of a revival and upturn in the investment. Same goes for steel industry. And also we do see a good pipeline in the oil and gas sector. So, yes, the markets will be a bit dynamic. Price pressures will be there. But the good part is that demand will also be sustained in the coming quarters as we see now. So , that is the comment from my side.
T. K. Sridhar: Thanks, Sanjeev. Thanks, Kiran. So,

Renu, I think hopefully this gives you a more granular view
than at the company level. So , because at least only process automation and robotics, so process automation forms only 13 % and we alluded. And that sums of f the comments which Kiran and Sanjeev have given also applies to them in a way. So , I think overall, we feel that the market would be at similar levels as what we see at this point of time in the next one or two quarters. And then probably we co uld see some things which could be on the positive side as what is the assumption at this point of time.
Renu Baid: Anything on the NVIDIA opportunity or TAM for India? The recent engagement with ABB parent with NVIDIA for AI data centers to develop solid state drives and cooling solutions. In

your view, can the solutions be available to A BB in India , when the products are prepared and ready? And to what extent it can increase our TAM in this particular segment.

Sanjeev Sharma: So, at this point of time, I don't have the complete details of this particular deal. I know as much as you know in terms of intent of ABB Express with NVIDIA. But as a principle, if there is no geographical restrictions or obligation of those technologies, all technologies ABB develops, they are naturally available to our customers here in India.
Moderator: The next question comes from the line of Atul Tiwari with JP Morgan. Please go ahead.
Atul Tiwari: Sir, my question is on this QCO. Could you elaborate a little more on what exactly is the nature of this QC O order, which is leading to higher imports? And how long this impact will continue before you adjust to the QC O fully ?
T. K. Sridhar: So, Atul, I have actually in my commentary elaborated quite a bit including what is the impact on QCO, right? I think probably people joined in late or missed out what I said. What is QCO ? The government in its mission for Atmanirbhar Bharat has wanted to create a system where Indian manufactured or developed products are more used. And before they use, I think they had to be tested and qualified by the Bureau of Indian Standards and that is something which is getting done. So, till now it was not mandatory, but now it has been made mandatory.
So, therefore all the products have to be , whatever we manufacture including the subcomponents have to go through the testing and certification of these particular institutes. And it takes a lot of time because the number of labs are less, the number of slots are less and there are so many people competing for the same slots. And therefore, it is definitely a problem. So , probably I think , that is exactly why the government also keeps extending these particular deadlines, because they know that there is a capacity issue which they have to address, right?
But now on the other hand, having come to know that this is problem on hand, we need to draw a decision which is better in terms of serving the customers. We have no other option , if we want to keep the customer serviceability as the main criteria , but to use imported material to make sure that are already certified for the global laboratories that which could be used, right? So , that is something what is QCO about and how are we handling that.
So, to address this because there is going to be definitely a lot of time which will be taken to get our product certified and so forth the others as well. And therefore, in the interim, we have no

other option but to import material to serve our commitments to the customers. So , what does this mean? What used to be locally developed and which we are using at a cheaper cost, which we now need to import for the base cost it self increase s, number one.
Number two is that you have a FOREX which is attached to this particular transaction. So , that is also subject to volatility. So , you have an impact on both. So , how long will it conti

nue? It could continue as what I said to another three to four quarters is what I mentioned.

Atul Tiwari: So, very perversely , this order which was designed to promote Indian manufactured equipment is leading to higher imports. So, that is what I wanted to understand. So , as an industry, are you guys not representative of government than that it is serving the opposite purpose of whatever was intended?
T. K. Sridhar: We have done through a lot of other associations everyone. Every industry is making sure that it is representing itself to the right authorities to do it. But this is a government objective.
Sanjeev Sharma: Atul, you can also help us by writing analyst report and publish it in the major media. And Sohini can help you with all the information. Any help that we can get to get this thing through is always good. But it is a matter of time. It will be sorted. But y es, that is the stage we are right now.
T. K. Sridhar: We need to go through it, Atul. We have no other way, okay? But it is good in the overall interest of the nation in the long run. That is how we look at it, okay?
Moderator: Next question comes from the line of Lavina Quadros with Jefferies. Please go ahead.
Lavina Quadros: Just wanted to check , sir, on the robotics arm , I am sorry if I missed it if it was discussed earlier. But on the robotics arm, given the parent has sold it at a valuation, earlier there was a thought that maybe the robotics arms gets listed separately. I mean , how are the Indian shareholders going to get compensated for it? Just to understand. Will the arm be separated out? Or will the valuation be in line with what is being offered to the parent?
Sanjeev Sharma: So, we had made it clear at a global level that the robotics business will find its own footing, so that they can find their growth path in future. And then initial interest was to list that company. But then in the interest of the shareholders, we got a very good offer from SoftBank and Global Board decided to choose SoftBank to be the future owner and take this business forward.
As far as India assets are concerned, these assets will be evaluated by the Board, Independent Directors included. And we will follow the due process of evaluating it. After the valuations are done like we have done in the past and the local Board is satisfied , based on that valuation , separation of this asset will be done into a new company. But then this is something is not given. This is subject to ABB India Limited ’s Board approval.
Lavina Quadros: Sir, just lastly on this only. So, listing is unlikely, but a separate valuation will be decided and then you will follow the due course process. Broadly at least as of now that is what seems to be the case.
Sanjeev Sharma: Absolutely. So , that is how these assets are dealt with. And if you see the history of similar assets separated from ABB India Limited, we follow a very tight governance model and that is led by the ABB India Limited Board.
Moderator: Next question comes from the line of Samir Thakur with Ambit Capital. Please go ahead.

Samir Thakur: So, you said that the pipeline for energy industries and process industries , that is still there. And is this just a problem of conversion to orders? And are you seeing that pipeline is increasing? Or is there an underlying issue with the demand or any loss of market share there?
Sanjeev Sharma: Is this question for a specific market segment?
T. K. Sridhar: No. I think it is for process industries in general , process automation which is oil and gas, cement, steel, and other core sectors. Balaji is not there. Balaji is not there on the call. I think he is with the customer.
Sanjeev Sharma: So, as such, if you really look into the focus of ABB into the process industries, we have very d

istinct focus on market segments like oil and gas. We have mining. We have cement. We have pulp and paper , and metals . So, these are the market segments, which we participate with their CAPEX cycle as well as their OPEX cycle. And CAPEX cycle is sometimes the greenfield project and sometimes it is the expansion of the project. And also sometimes they have the upgrade of their digital infrastructure, energy efficiency infrastructure.
So, we find that in these sectors given they are the continuous industries, they continue to invest in all the cycles. It is the intensity changes only when the greenfield projects kind of are announced or major expansions are announced by these players who are operating in this market.

So, our typical drumbeat and our rhythm is around OPEX as well as the expansion in the normal course of the business. And that we see is quite robust at this point of time. And that continues to be robust because these are substantial industri es. They have to continue to invest into the area we are.
Now when it comes to the major expansion, the greenfield expansions, in certain market segments, we definitely see there is a greenfield expansion, but it is not widespread. And I believe the cycle of the demand versus how much capacity is available, there is likely to be an upsurge in the capacity utilization of , so that is probably capacity expansion of many of these segments.
At the same time, one has to also keep in mind, this is something which I cannot say as confirmation . But in the news media, there is a clear mention that between India and China now there is a thaw of relationship, and more and more businesses are opening up. So , it is unclear what will be the impact of Chinese imports in the country.
So, I think all our customers who are in these process industry segment , they will be also evaluating very closely how this will play out , whether the Chinese imports will flow into the market in an uncontrolled way , whether that will impact their price realization in the market. So , I think that part is unclear at the moment and that will define the future demand curve for these industries in our opinion.
Samir Thakur: If I can squeeze in one more just coming back to again QCO one. There was a deadline in November '25 as well for some of the products. So , just I also wanted to check if I understand

clearly that imports , the TC related imports that we keep on doing , is that the right way to think of? We had earlier imported in, I think, March, April, May , in that quarter. And probably going ahead, we have to keep importing unless you build the certifications.
T. K. Sridhar: Yes. So , what happens is this . The government keeps moving these particular dates, right? So , what has come in what we thought as we were working in the second quarter, that November is a date before which we have to close this. And in case if we don't do it, then you have to definitely use the important subcomponents what we require, right? But we go with that anticipation. And we try our best to get it qualified in the laboratory, right?
But if we see that there is a delay, we have no other option but to make sure that we have to import more for future requirements. But then the government as we neared to th is thing, the government takes a call to extend it. So , this is basically exactly what they said. So, now the government keeps moving these deadlines depending upon how the progress is and how they are able to monitor this particular process. So, we need to go with that and be in line with the process for certification.
There is no , definite saying that it will close at this rate come what may. It is not going to happen because as I mentioned earlier , the capacity is less vis-à-vis the work to be done, which is humongous, right? So , that is taking more time. And therefore, we have to go

along with what
the government is directing us to do.
Moderator: Next question comes from the line of Amit Mahawar with UBS. Please go ahead.
Amit Mahawar: Good morning, Sanjeev, and Sridhar . Congratulations on maintaining a very good order momentum in base orders, better than industry maybe . Sir, I just have one question. You have the book in process automation, which is maybe around 30%, 40% down. EP is the only segment where we have grown very well , 15% top line. And I don't worry about margins , etc., on this issue. But do you think in CY '26, we can touch a 10%, 12% revenue growth given that mobility orders will take some time, given that energy is not a large basket for us and the discrete portfolio for us is growing more in just short of teens or less than that. So , a quality of assessment , Sanjeev, which will help us.
Sanjeev Sharma: So, I think it is fair to say as process automation is concerned net of robotics , it will be only 13% of our portfolio 12% to 13% of our portfolio. So , we take benefit of industry cycle whenever there are large CAPEX projects and the large, consolidated orders coming to us or system orders coming to us. Other than that, we continue to gain on the ETO, which is engineered to order business, which is largely sitting in MO and EL. So , that continue to benefit. And then , of course , we have the EL business, which is the product business, which is made to store and made to order fast moving products in the marketplace.
So, in the made to order, made to store and ETO, I think the business is quite robust. And we do feel that given the backlog that we have , the execution of it is well lined up. They are clean

orders. So , we will see an uptick of revenue growth with that as we go forward both in EL and

MO. But then there are some long gestation orders sitting in the mobility side that you are right. So, I think if you net that out, I think rest of the book to bill orders as well as in the EL and MO will continue to push the revenues upwards. And as far as the PA is concerned, it goes through the cycle. So , we have seen it for a very long period of time. And whenever the cycle on the large orders pick up in that area, of course, they positively contribute to us.

Moderator: Next question comes from the line of Rahul Gajare with Macquarie Capital. Please go ahead.

Rahul Gajare: I just have one question. You have touched on delay in order finalization, I think, in your opening remarks. Now , it is very clear that I think the entire order inflows are supported by base orders. But in the last four quarters, we have got only Rs. 400 crores of large orders. I want to understand if you could highlight discussion with clients and if it is further possible to quantify the kind of large orders that we are looking at over the next maybe three to four quarters, I think that will be helpf ul.

T. K. Sridhar: So, normally, we don't give this particular future projection as such, right? So , we just only give a color on how the markets are and that's exactly what Kiran or Sanjeev or Sanjeev Sharma did allude to at this point of time. So , I mean , when it is large orders definitely are widespread in all the three business areas such as electrification , motion, and process automation.

What we are saying is at this point of time the opportunities are there, but the decisions are getting delayed. It is not going the same pace as what it is. But I think the good part is the base orders keep growing and which is what our focus is. So , I think to be honest, we cannot give a direct sort of a projection or a number to this particular question. I am sorry , that is the sort of policy which we have.

Rahul Gajare: In that case, is it possible you all can highlight the kind of growth that you are thinking of when you are talking about classifying certain industries into high

growth or medium growth or low growth? Is that something you can do?

T. K. Sridhar: Actually, we don't give any growth projections, right? So , we only say our ambition is to be there in the trajectory of how the market is moving and what do you call , maintain that momentum of what we have seen. And I think , of course , post COVID, we had a very, very fast growth trend which is now softening out . So, our always ambition is to be in the double -digit corridor as what Sanjeev was mentioning earlier.

Rahul Gajare: Appreciate that.

Moderator: Next question comes from the line of Aditya Mongia with Kotak Institutional Equities. Please go ahead.

Aditya Mongia: My question was more at a broad portfolio level gaps that you see emerging as the market conditions change as well as opportunities that may be coming in the market that we don't

currently serve. In a sense from an inorganic perspective, how actively are you thinking about your portfolio at this point of time?

Sanjeev Sharma: So, I can take this. So , at a global level with the robotic sale as well as how we generate cash, I think we are a quite robust company globally. And also at a local level , our cash reserves are quite healthy.

So, our global CEO in the last call has made it very clear that ABB is looking for large ticket inorganic options around the world. And whenever such options are exercised, they also have a footprint effect in India and we participate with our books in those acquisitions as well.

So, that is one part which is very much in the play. And I think that is a very strong and solid intention of the management to grow our bolt on portfolio. So , that is what we are looking for that the existing businesses should acquire businesses which complement their existing portfolio and also their ability to serve their customers even more effectively or the channel partners or the channels even more effectively.

So, that is very much on. And we also have a similar focus in India for inorganic approach other than the global, wherein we do have a list , but it takes two to tango. So, that we are working on. And we stay again focused on the bolt on opportunities for the existing businesses and also the specific new emerging market segments, which are relevant in India and relevant for our business in India, they find that focus. And this is done not only by us, but it is also participated by our global divisions. And they together with our local divisions , they are always focused on those opportunities, and we do have a pipeline. We will let you know soon we succeed either globally or locally with these opportunities we see in the marketplace.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we have reached the end of question - and-answer session. I would now like to hand the conference over to Mr. T. K. Sridhar for closing comments.

T. K. Sridhar: Thank you very much. I think it was a very interesting discussion on QCO on the market dynamics and the opportunities as well as robotics piece of it. So , thank you for supporting us and also thank you for giving some valid inputs around our businesses and wish to talk to you next time after the full year results in the month of February and have a good closing. Thank you very much all of you.

Moderator: Thank you. On behalf of ABB India Limited, that concludes th is conference. Thank you for joining us. You may now disconnect your lines.

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Investor / Analyst contact:
TK Sridhar
Chief Financial Officer and
Chief Investor Relations Officer
sridhar.tk@in.abb.com

Sohini Mookherjea
Country Communication Manager
sohini.mookherjea@in.abb.com

Registered & Corporate Office:
AB

B India Limited
Plot No. 5 & 6, 2nd Stage,
Peenya Industrial Area IV, Peenya
Bangalore 560058
Karnataka

CIN: L32202KA1949PLC032923
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